

Project Boracay

2025

BAIN & COMPANY 

Disclaimer

- This material and the analysis contained herein (the “Report”) was prepared by Bain & Company, Inc. or its affiliates (“Bain”) over a limited time period solely for the use of Client (“Client”) and is not to be disclosed in whole or in part to any third party without Bain’s explicit prior written permission. In the event Bain does grant permission for the Report to be disclosed to a third party, Bain will not permit any such third party to rely on the Report unless explicitly agreed between Bain and such third party in writing.
- The analysis and opinions contained in the Report are based on information provided by Client, from industry participants and from other primary and secondary sources. Bain has not audited or verified this information and makes no representation or warranty, express or implied, that such information is accurate or complete. Bain has not conducted any legal, environmental, financial, operational or physical due diligence concerning the subject company. Forward-looking statements and estimates contained herein are based on the information described above and Bain’s judgment and should not be construed as definitive predictions or forecasts. This Report does not purport to address all risks and challenges facing Client, its business and the markets within which it operates, nor all possible market conditions.
- Bain does not have any duty to update or supplement any information in the Report.
- No responsibility or liability whatsoever is accepted by any person including Bain & Company, Inc. or its affiliates and their respective officers, employees or agents for any errors or omissions in this Report, save insofar as Bain may expressly agree in writing.
- This Report does not constitute (i) an offer or solicitation to purchase or sell any securities or assets or (ii) a recommendation by Bain to purchase or sell any securities or assets. Each potential participant in the financing of any transaction concerning the subject company should make their own independent assessment of the investment.
- This Report is not complete without an accompanying oral discussion and presentation by Bain.

Executive Summary

1 Sustainable global demand with distinct identity, not a fad - U.S. consumer awareness of Korean fried chicken exceeds 40%, with trial rates above 90%, showing broad cultural adoption - KRFC has moved from “exotic” to “expected”, following a similar trajectory to high-growth ethnic categories like sushi or Thai food - KRFC is not merely riding the wave of K-culture – it represents a long-term culinary adoption	2 Winning food category within the mature food market - Korean fried chicken is a high-growth segment within the mature and crowded global food service category - No large global player has yet claimed the “Korean fried chicken” position at scale – creating a rare whitespace opportunity	3 The premium-accessible food with both format and occasion versatility - KRFC occupies a sweet spot: perceived as more premium than traditional fast food, but priced accessibly - Positioned between LSR and FSR, KRFC supports both dine-in and delivery growth - Flavor-forward menu drives strong repeat rates, enabling lunch, dinner, and snack-time usage	4 #1 KRFC brand outside Korea and first to globalize the model - Boracay is the de facto global category creator, with ~500 stores in 8 countries and leadership in US, Thailand (TH) and Philippines (PH) - Leading the category in brand awareness and culinary consistency - First-mover advantage in U.S., now operating ~150 stores with AUV > \$1.5M	5 Fully systematized and scalable franchise model - Boracay is rare among ethnic food players in that it has institutional-grade systems across its value chain - Distinct franchise models for U.S. (multi-unit institutional) and Southeast Asia (master franchise agreements with strong operators) - Operated by a demographically diverse franchisee base with local expertise	6 Multiple value creation levers aligned for scalable growth - Significant whitespace remains in core markets (US/TH/PH), providing strong growth for new stores - High adaptability across store formats enables demand capture across diverse customer profiles - Boracay has grown with limited marketing investment to date – presenting significant upside through loyalty program and active marketing	7 Replicable asset-light global expansion beyond core markets - Boracay is well-positioned to replicate success in high-AUV regions across international and Europe - Active master franchisee (MF) discussions underway in Puerto Rico, Australia, Saudi Arabia, Malaysia, and Indonesia, leveraging a proven playbook - The asset-light MF strategy accelerates expansion without requiring corporate capital deployment
--	--	---	---	---	--	--

AGENDA

Chicken concept and Korean Fried Chicken market growth prospects

United States

Thailand

Philippines

Boracay's core competency and performance assessment

United States

Thailand

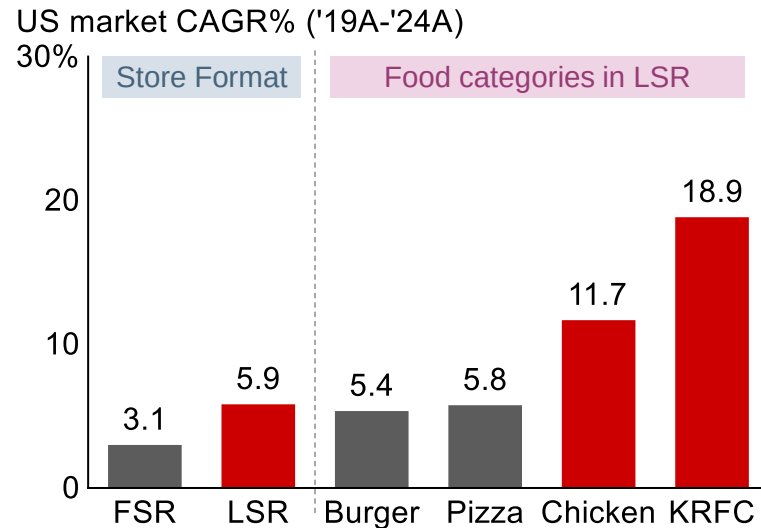
Philippines

Boracay's value creation opportunities

Appendix: Customer Survey

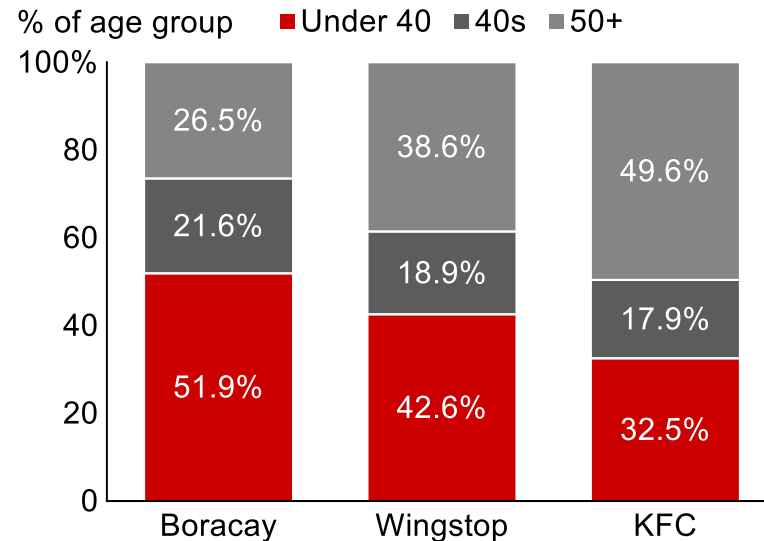
Korean Fried Chicken (KRFC) is the next growth engine in global LSR — fast-growing, youth-driven, and built for franchise profitability

High-Growth Category



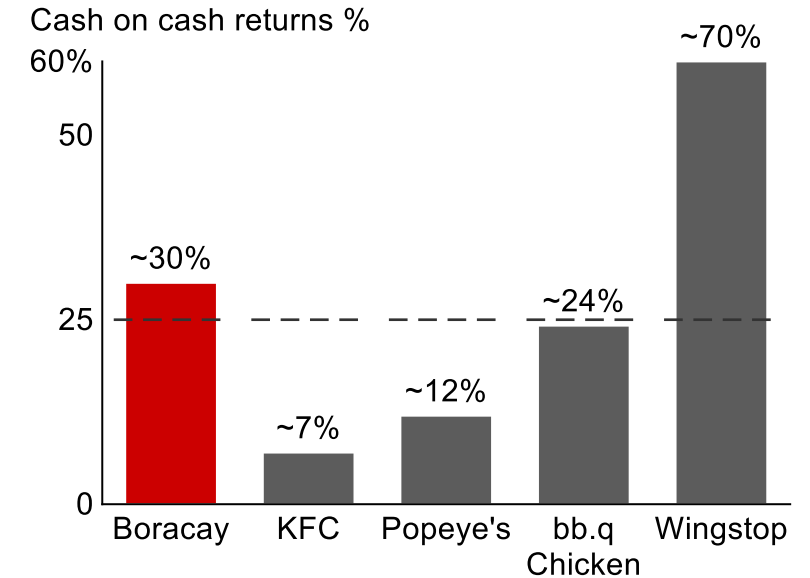
- KRFC is **growing at 3x the rate of the overall LSR category**, outpacing even fast-growing segments like chicken and pizza
- **A differentiated flavor profile and strong cultural momentum** are fueling this structural growth

Youth-Driven Demand Engine



- KRFC **attracts a significantly higher share of Millennial and Gen Z customers**, building long-term brand equity
- **Boracay is leading the category in early adoption among young consumers** — a key driver of future recurring demand

Attractive Franchise Economics

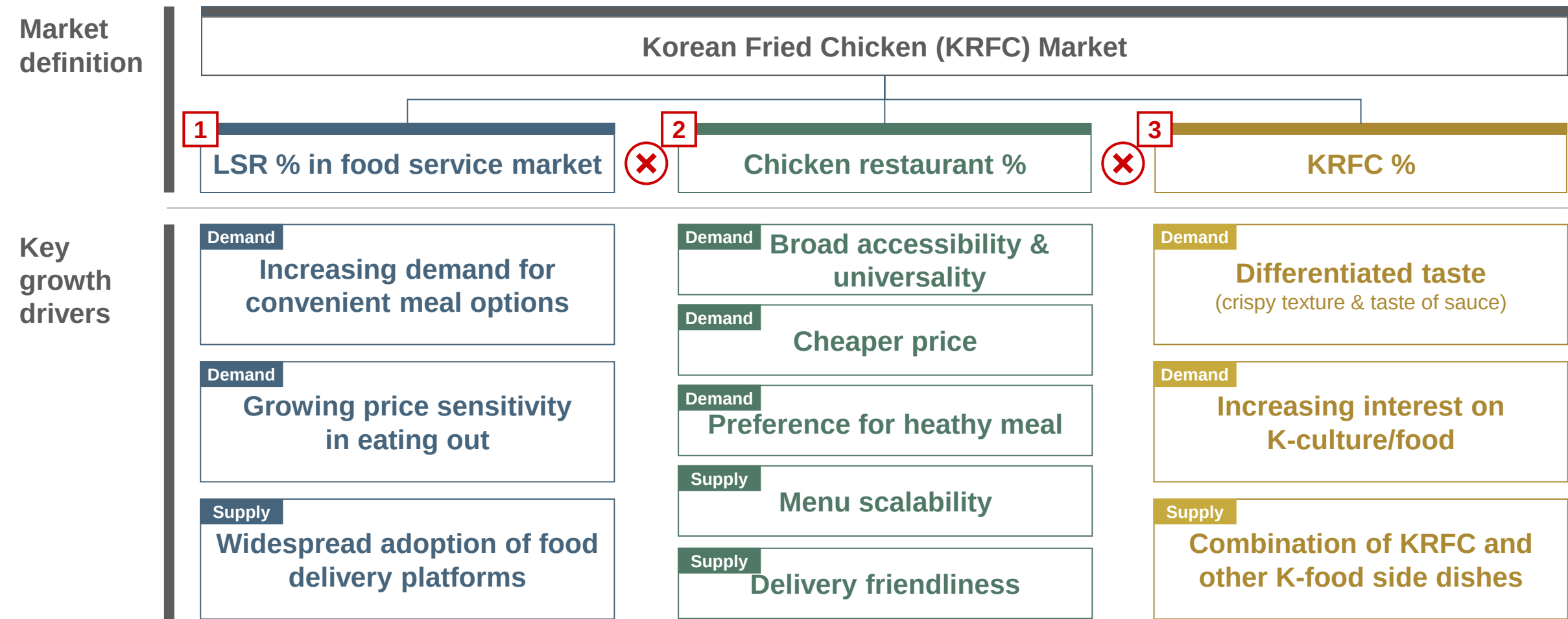


- Boracay already delivers ~30% cash-on-cash returns, with **upside from digital, 1P, and marketing initiatives**
- As the brand activates its value-up plan, **AUV growth is expected to unlock Wingstop-level return potential**

Note: Based on U.S. market; Source: Company Internal Data; Lit. Search; Expert Interview; Bain Analysis

KRFC market has grown in line with the growth of food service market, accelerated with growing preference & interest on chicken segment and KRFC itself

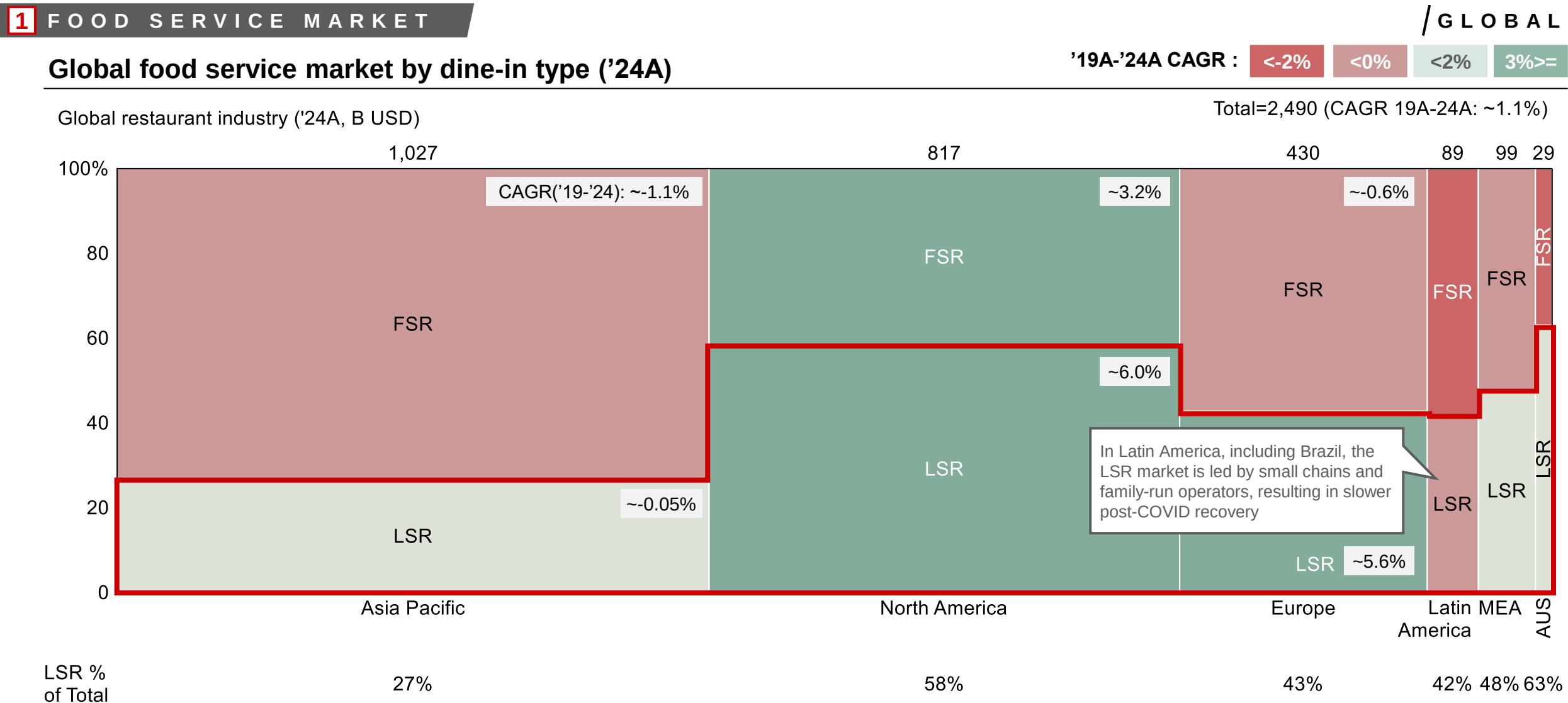
KRFC market growth drivers



Source: Bain Analysis

This information is confidential and was prepared by Bain & Company solely for the use of our client; it is not to be relied on by any 3rd party without Bain's prior written consent

LSR is emerging as the key dine-in type with ~3% p.a., outpacing FSR (-0.2% p.a.) in global food service market



Globally, LSRs are outpacing FSRs due to their better fit with fast, affordable meals and delivery demand, and represents Boracay's focus going forward

1 FOOD SERVICE MARKET

Key growth drivers for LSR market

		LSR (Limited-service Restaurants)	FSR (Full-service Restaurants)
Demand-side	Increasing demand for convenient meal options	- Enables quick meals with less time spent on cooking and eating - Offers a casual, low-effort dining experience with self-service and a relaxed atmosphere	- Higher-quality, multi-course offerings extend average mealtime - Offers a formal experience, driven by full table service and elevated ambiance
	Growing price sensitivity in eating out	- Appeals to cost-conscious consumers, resulting in low meal spend - Cost savings over FSR in labor and ingredients enable lower pricing	- Targets higher-income consumers, driving up per-person meal prices - Premium inputs and trained staff lead to higher cost base than LSR, raising prices
Supply-side	Widespread adoption of food delivery platforms	- Single-serve, simple menus enable easy packaging and fast delivery via pre-prep and quick cook times - Delivery-friendly packaging and stable food quality during the delivery lead to fewer customer complaints	- Strong preference for in-store dining experience - Multi-course, made-to-order meals hinder fast delivery and complicate packaging - Delivery quality loss and packaging challenges from complex menus reduce suitability for premium-seeking customers

Source: Expert Interview; Lit. Search; Bain Analysis

Globally, chicken is growing faster than other food categories

2

CHICKEN CATEGORY

'19A-'24A CAGR :

<-5%

=<0%

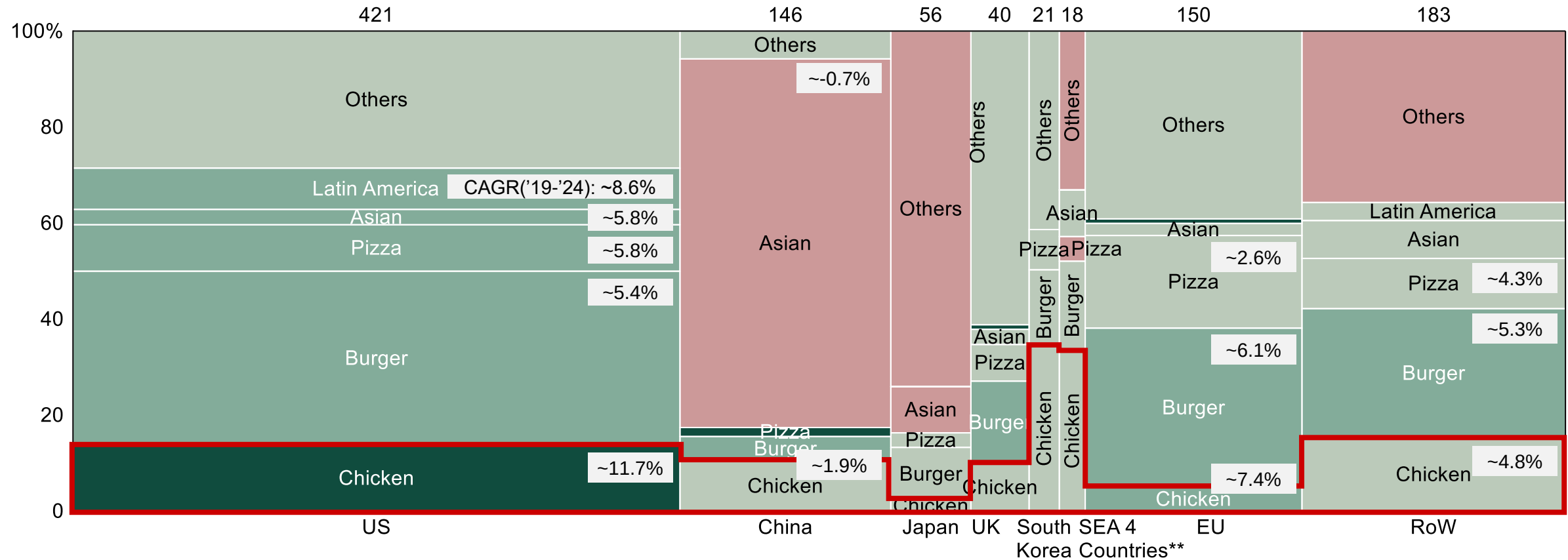
0%>

5%>=

10%>=

Global food service* industry ('24A, B USD)

Total=2,490 (CAGR '19A-'24A: ~3.2%)



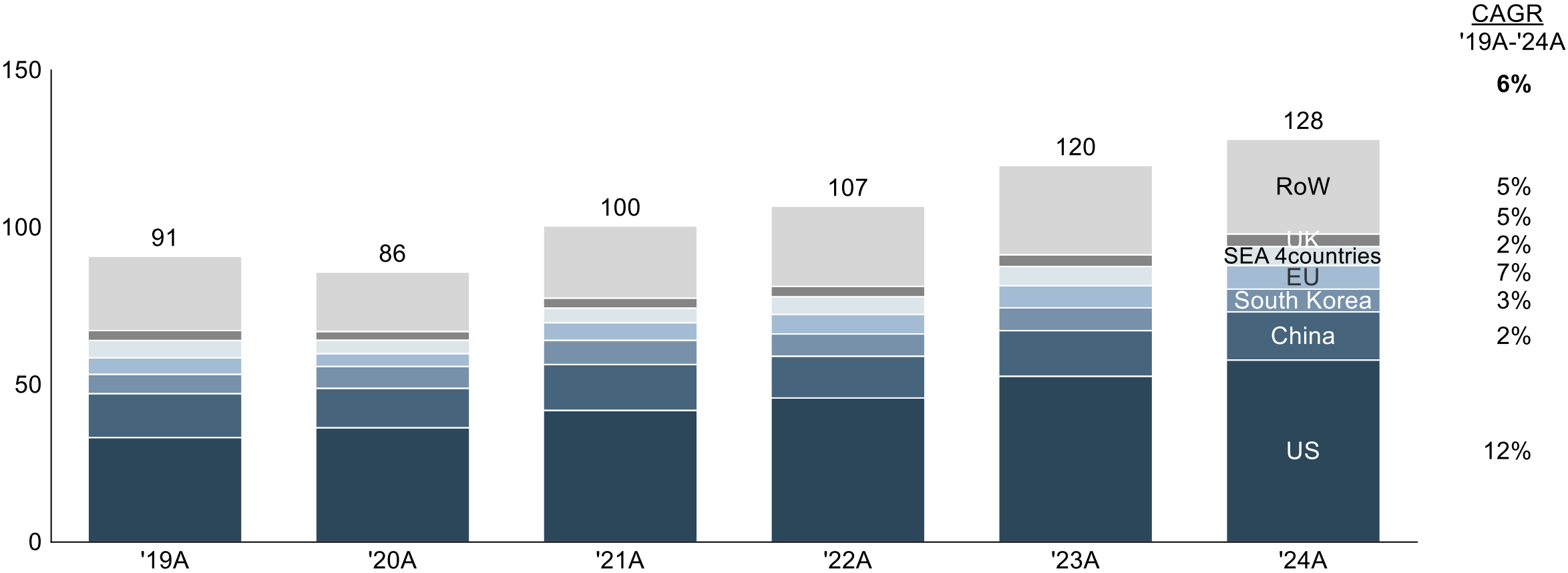
LSR % of food service Industry	61%	21%	44%	65%	33%	35%	39%	43%
Chicken % in LSR	14%	10%	2%	10%	35%	33%	5%	15%

Global chicken market growing steadily at ~7% annually across key countries

2 CHICKEN CATEGORY

Global chicken market historical trend ('19A-'24A)

Global chicken market (Unit : B USD)



Source: Euromonitor; Bain Analysis

Compared to other food types, chicken stands out for its strong growth potential driven by accessibility, affordability, menu versatility, and delivery suitability

2 CHICKEN CATEGORY

Chicken growth potential (vs. other food category)

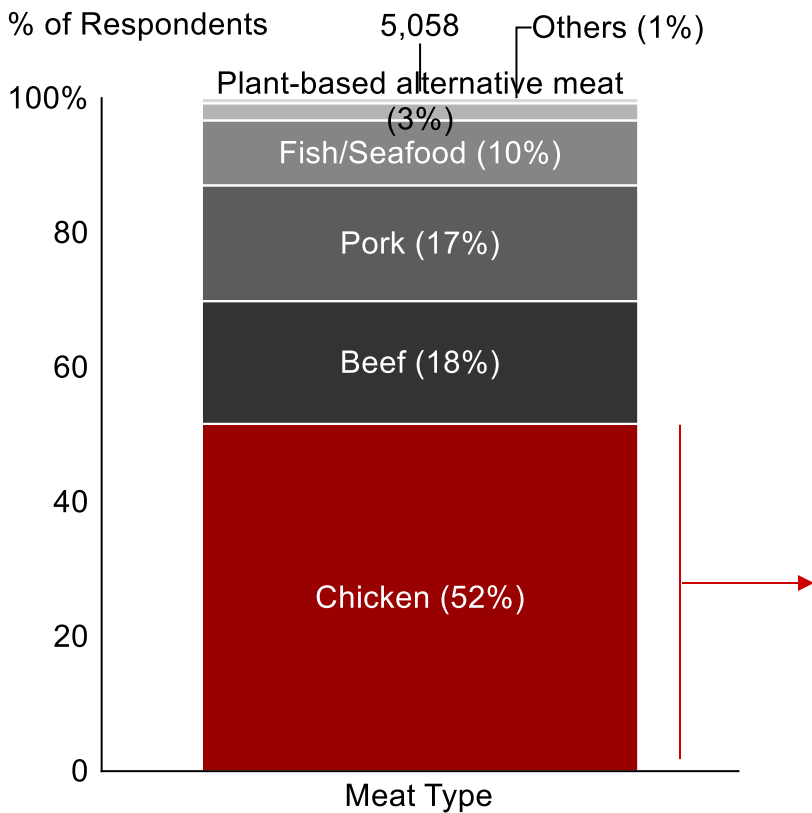
		Chicken		Other food types (e.g. hamburger, pizza, etc.)
Demand-side	Broad accessibility & universality	- Chicken is globally consumed and aligns with various religious dietary norms - Suitable for various occasions like meals, snacks, and late-night eats	➤	- Though globally popular, beef and pork face religious dietary restrictions - Often consumed as a convenient or fast-food option
	Cheaper price	- Falls in the middle price range and can broaden appeal with solo options - Chicken costs ~53% less per gram than beef and ~44% less per gram than pork	➤	- Burgers are typically cheaper, while pizza often costs more than chicken - Using mainly beef or pork, it tends to cost more than chicken
	Preference for healthy meal	- Health trends favoring low-fat, low-cholesterol foods spotlight chicken as a key protein option - Popular among athletes and gym-goers as a core diet food	➤	- Burgers and pizzas are seen as high-calorie, high-cholesterol foods, not considered healthy - Avoided by health-conscious consumers
Supply-side	Menu scalability	- From wings to fillets, chicken allows broad menu range via diverse cooking styles and parts - Known as the healthiest meat, chicken fits well with specialized diets	➤	- Pizza and burgers rely on limited prep methods like baking and grilling, with variations mainly in toppings, patties, or sauces - Efforts like alternative-meat exist, though consumer response is still low
	Delivery friendliness	- Fried foods hold shape well, with newer methods improving crispness retention - Compared to others, chicken offers better-developed delivery packaging	➤	- During delivery, food may lose texture due to crushing, drying out, or becoming soggy - Improved delivery packaging still can't prevent shape loss from transit shifts

Source: Expert Interview; Lit. Search; Bain Analysis

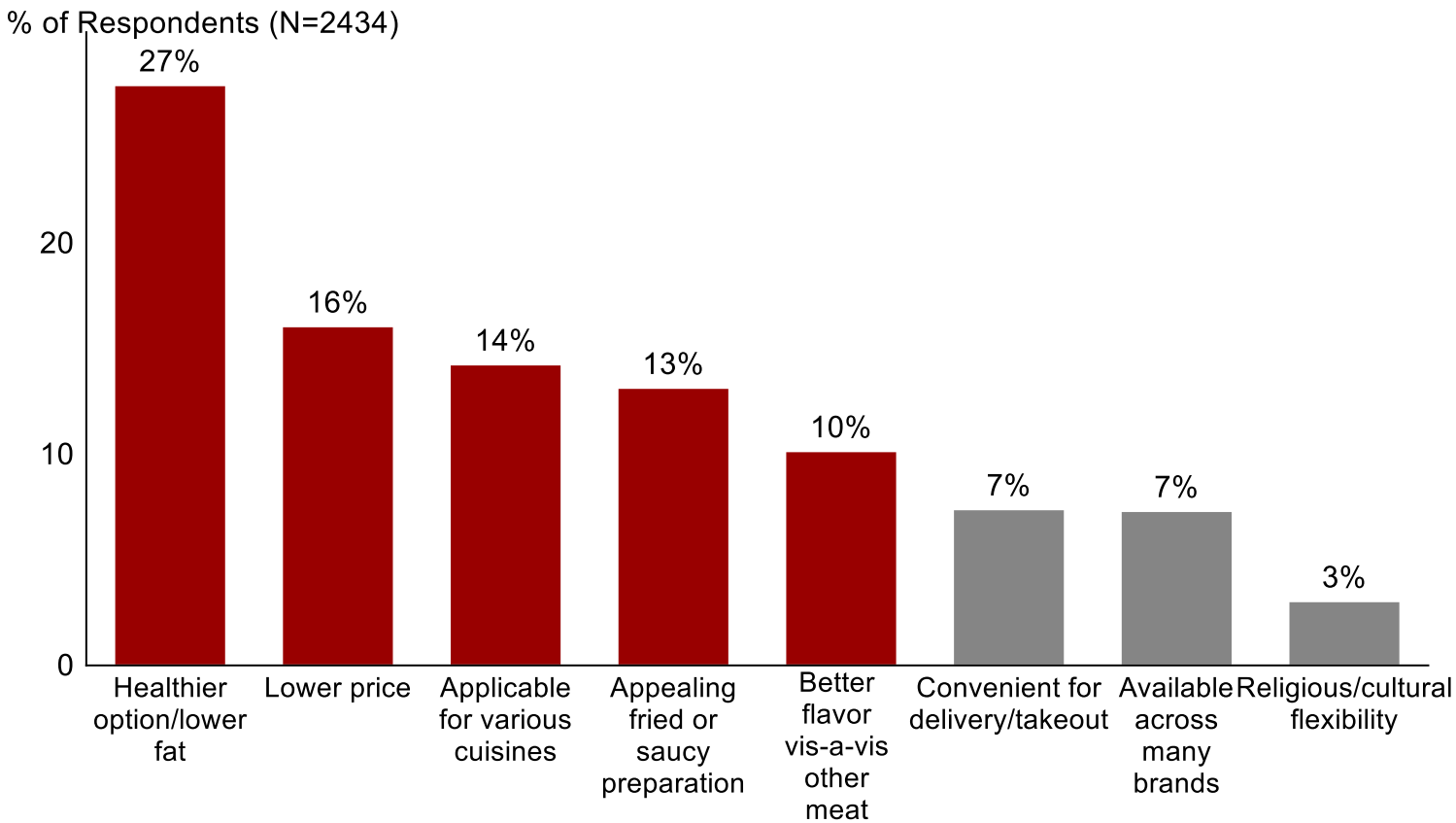
Around 50% of respondents frequently order chicken, making it the most consumed meat due to its health appeal, affordability, and versatility across cuisines

2 CHICKEN CATEGORY

Q. Which type of meat did you frequently order to consume the most?



Q. Of the reasons you selected for choosing “Chicken” over other types of meat, please select the most important one?



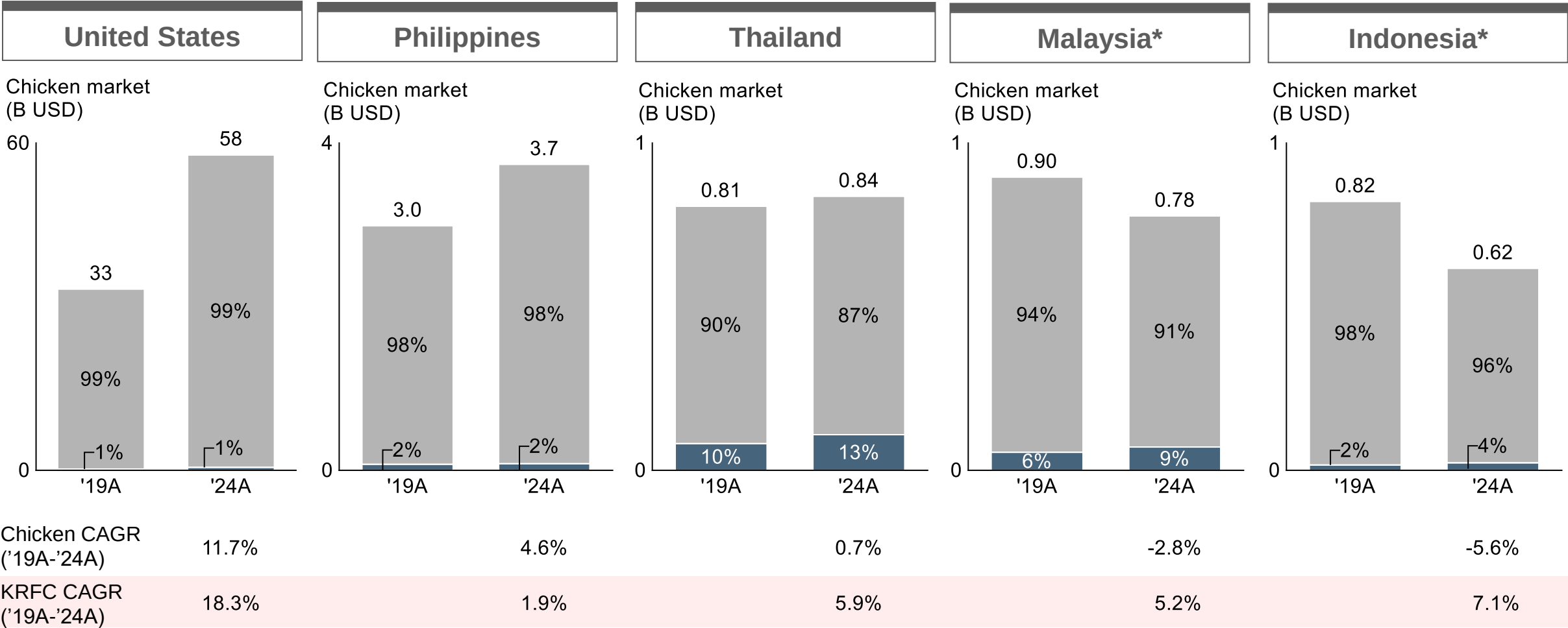
Note: “Others” hidden from the RHS chart; Source: Customer Survey; Bain analysis

KRFC is entering major chicken markets as a distinct category and is growing faster than the traditional chicken segment

3 K R F C

Chicken & KRFC market growth in key countries

Legend (Mix): Chicken KRFC

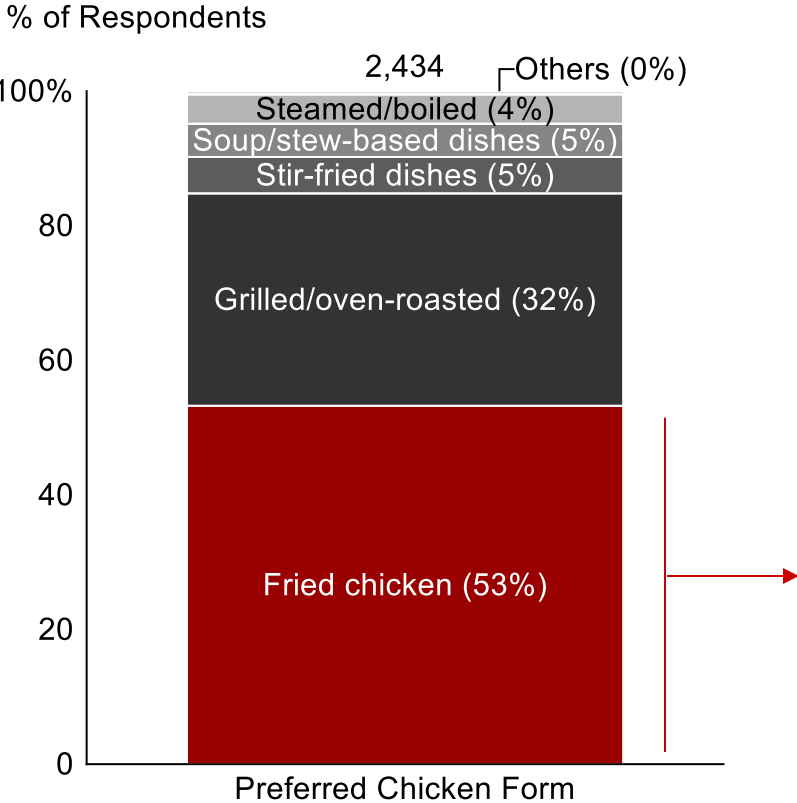


*Following the Gaza conflict in late '23, boycotts against U.S. firms in Islamic countries like Malaysia and Indonesia led to a decline in the chicken market, with chains like KFC and Popeyes affected; Source: Bain Analysis

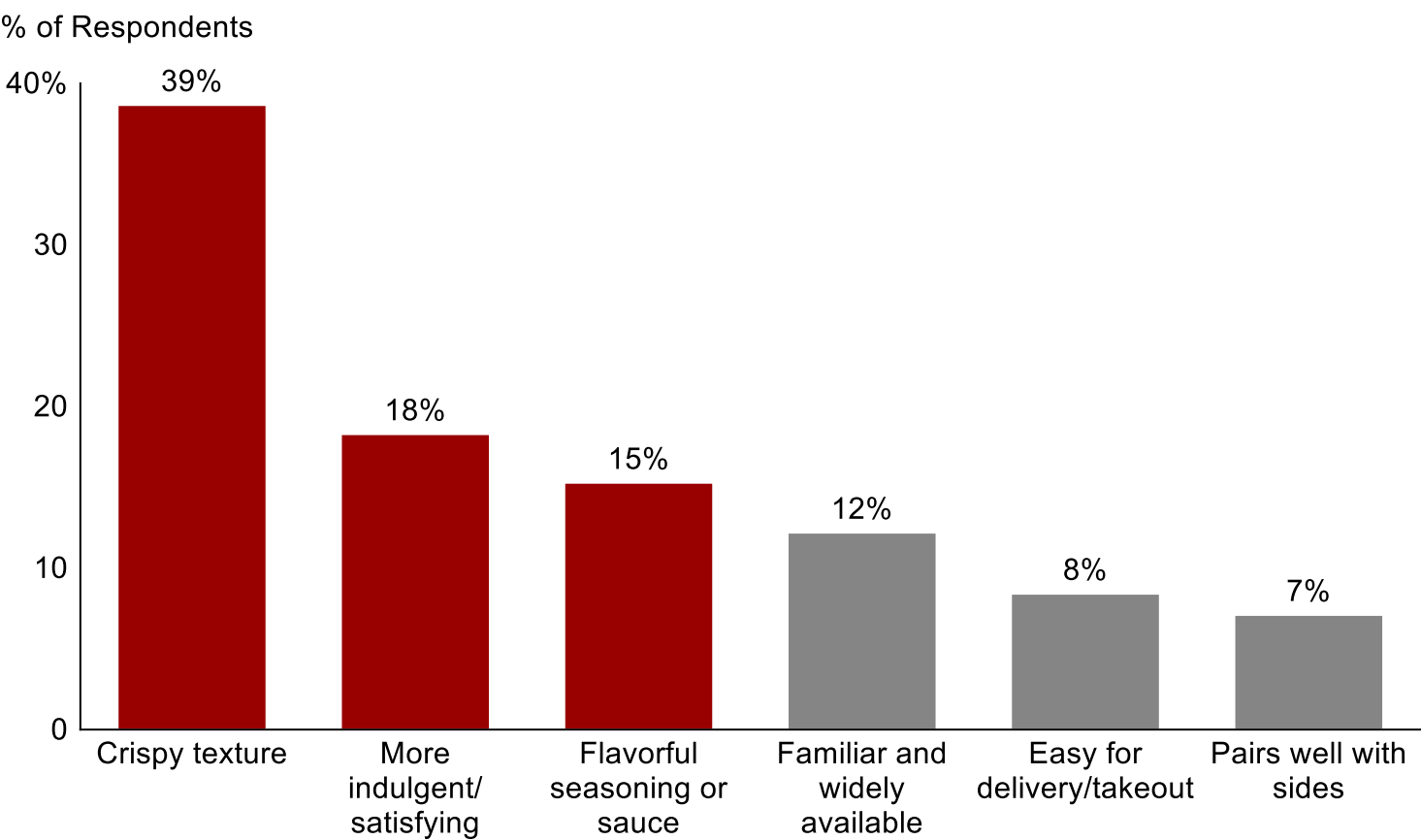
Fried chicken stands out among chicken types, driven by its crispy texture, indulgent flavor, and bold seasonings or sauces

3 K R F C

Q. What is your most preferred form of chicken?



Q. Of the reasons you selected for choosing “Fried chicken” over other types of chicken, which is the most important one?



Note: “Others” hidden from the RHS chart; Source: Customer Survey; Bain Analysis

KRFC stands out with unique flavor profiles and Korean side pairings, boosting demand through synergy with rising K-culture popularity

3 K R F C

KRFC growth potential (vs. legacy chicken segment)

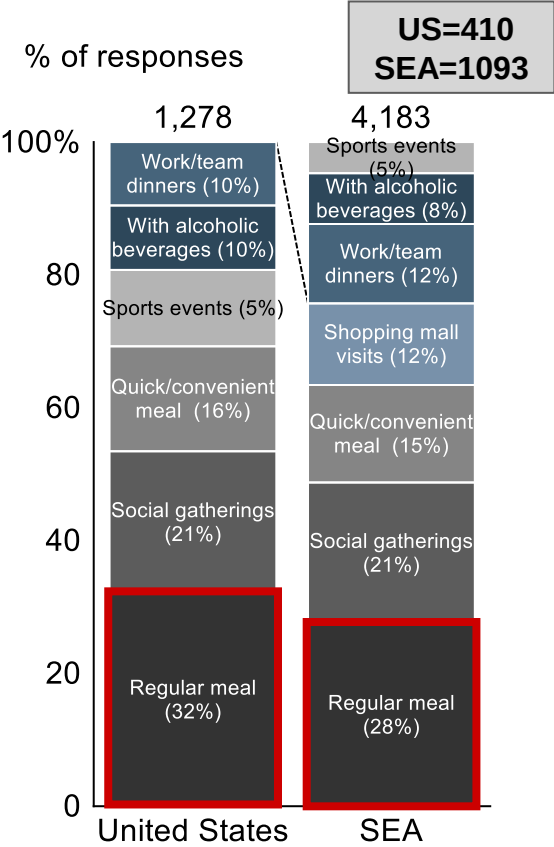
		KRFC		Legacy / existing fried chicken segment (E.g. KFC, Popeyes)
Demand	Differentiated taste (texture & flavor)	Crispy texture	➤	• Seen as less crispy compared to other options – Single high-heat frying creates a texture distinct from KRFC's method
		Taste of sauce		• Despite variety in American sauces, consumers tend to view them as standard in taste – Dipping sauces like honey mustard or bbq don't infuse deep flavor into the chicken
	Increasing interest on K-culture/food		➤	• FC has long been established as a traditional food, lacking new cultural triggers
Supply	Combination of KRFC and K-food side dishes		➤	• Side dishes are diverse but mainly play a supporting role with limited meal value – Sides like biscuits, mashed potatoes, and coleslaw are meant to offset the greasiness of chicken
			➤	

*AOV: Average Order Value; Source: Expert Interview; Lit. Search; Bain Analysis

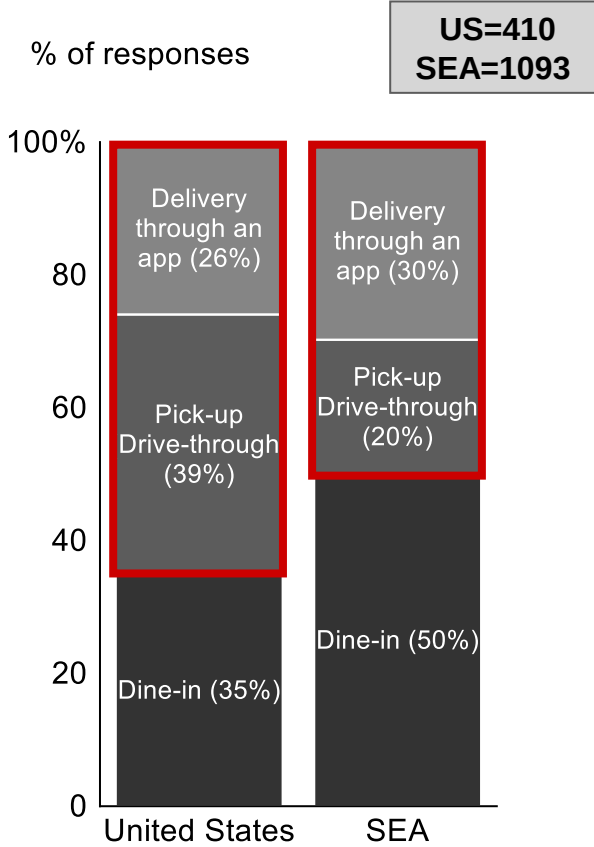
In the U.S. and Southeast Asia, KRFC is consumed as an everyday meal with high weekly/monthly frequency, and consumers express intent to eat it more often

3 KRFC

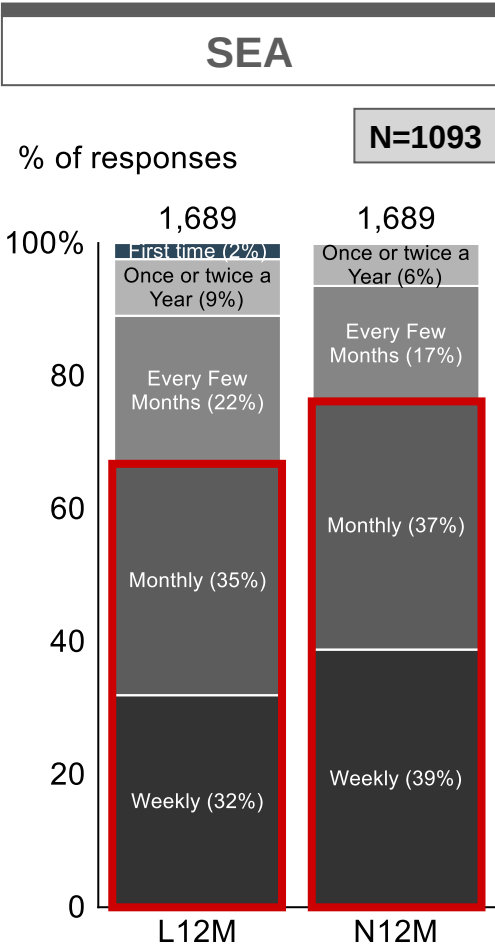
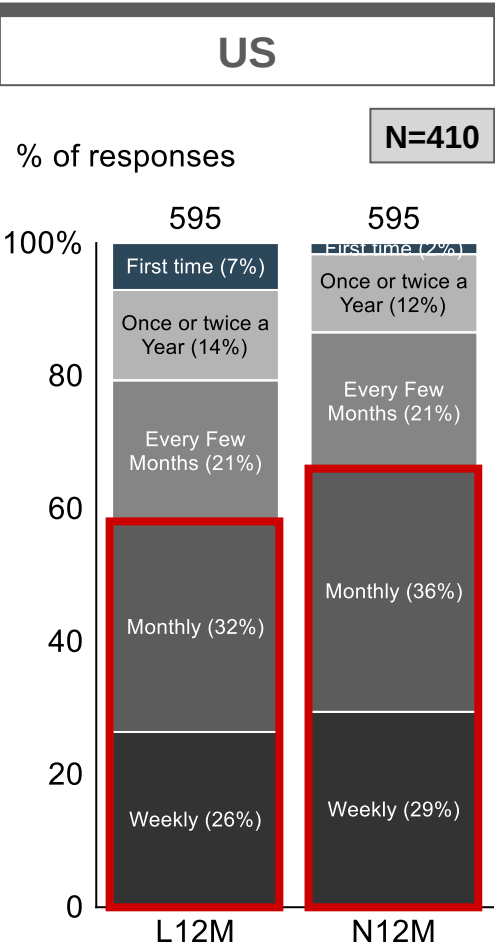
Q. At what occasions do you typically eat KRFC?
(Select up to 3 options)



Q. Which channel do you usually use to order KRFC?



KRFC Dining Frequency: Current vs. Planned

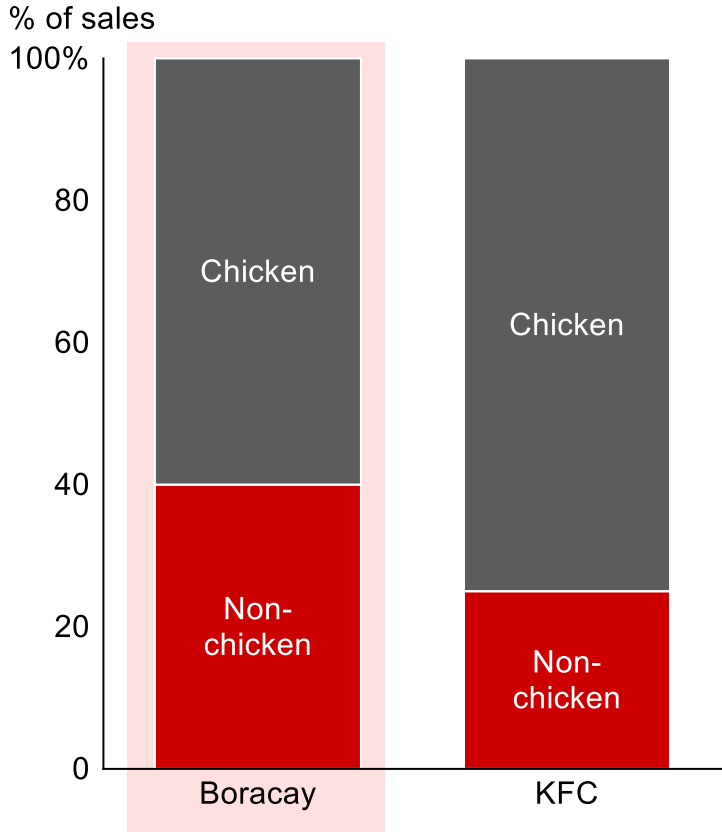
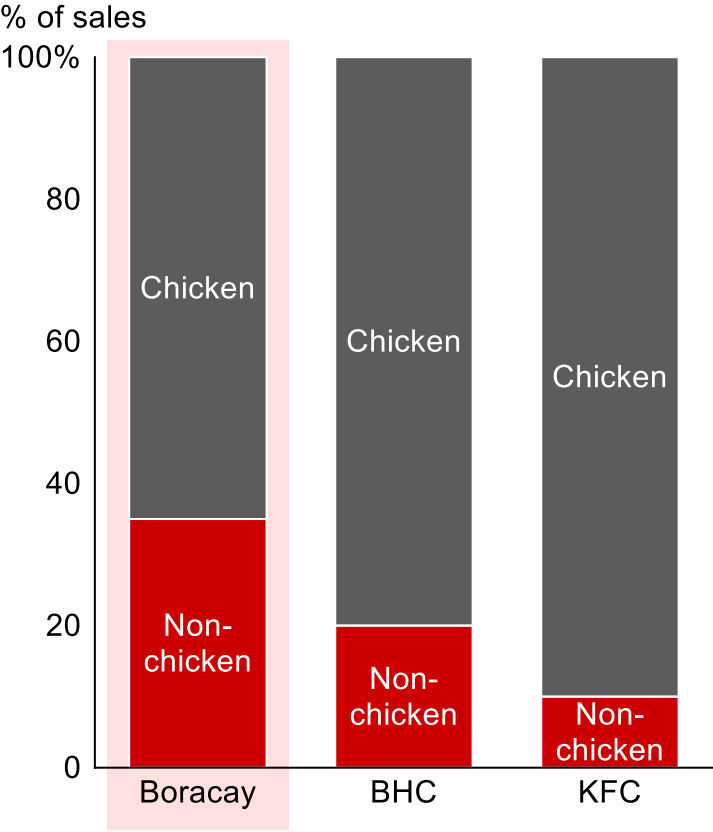
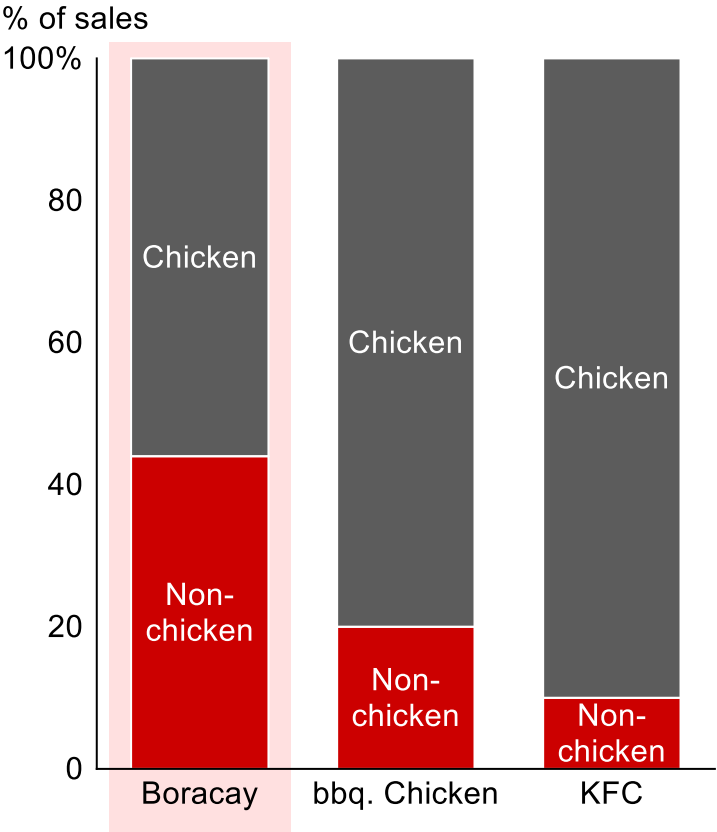


Note: "Others" has been hidden from the chart; SEA includes Thailand, Philippines & Malaysia; Source: Customer Survey; Bain Analysis

Compared to legacy FC brands, KRFC derives more revenue from non-chicken menu items, highlighting the competitive edge of K-style side dishes

3 K R F C

Sales comparison (chicken vs. non-chicken side-dish, '24A)



Note: Non-chicken segment covers side menu, beverages, etc.; Source: Company Internal Data; Lit. Search; Expert Interview; Bain Analysis

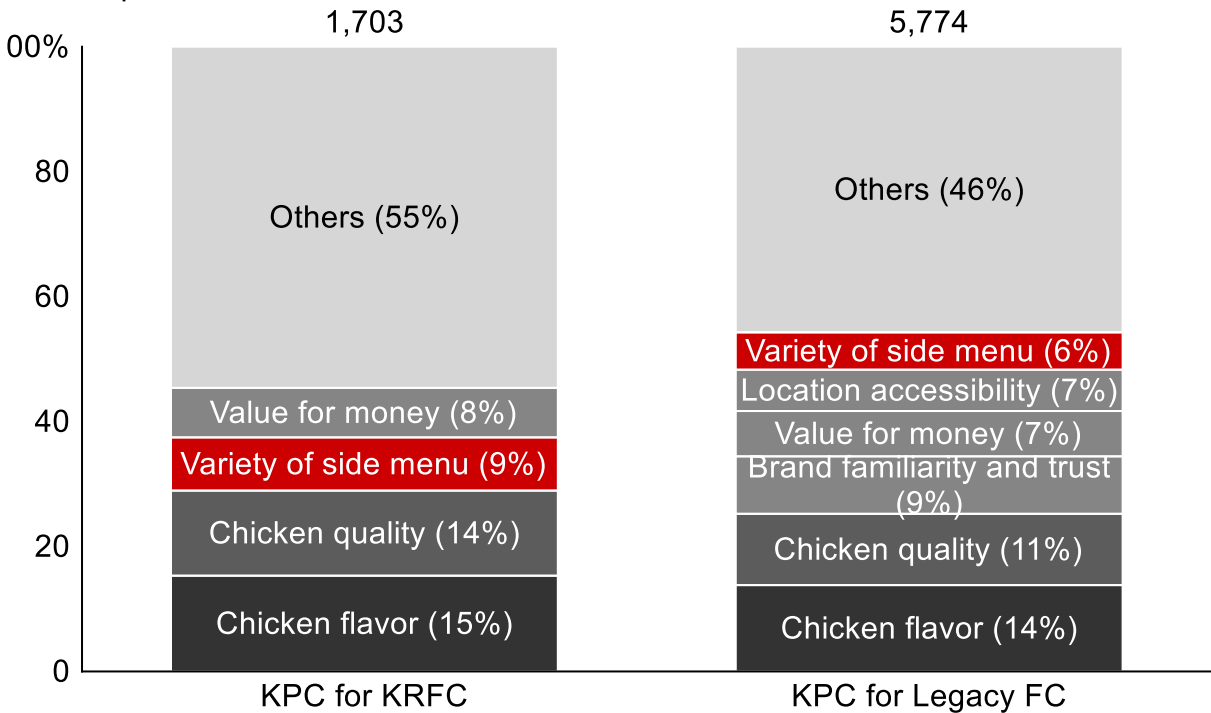
Non-chicken items are a major purchase driver for KRFC chicken buyers in the US and Southeast Asia

3 K R F C

Q. What are the main reasons you usually choose FC Brand ?

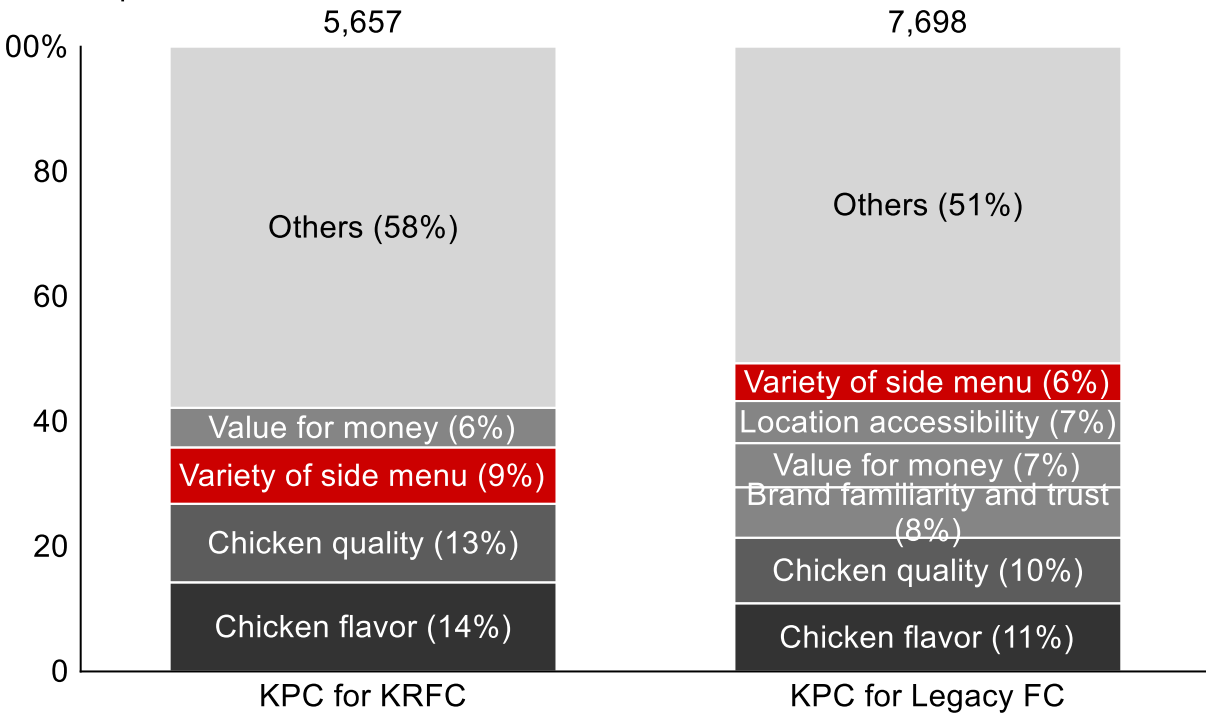
US

% of responses



SEA

% of responses



Note: Clubbed all other KPCs into "Others" bucket; Source: Customer Survey; Bain analysis

For an ethnic cuisine to become a sustainable global category, key success factors must be met at each stage of growth

3 KRFC SUSTAINABILITY

Key success factors for food category sustainability – the case of sushi as a global benchmark

		Gaining local acceptance		Becoming a trend	Building distinct identity
Main Factors	Dem-and	Menu acceptance	- Flavors and textures tailored for local comfort and familiarity - Sushi localized as “CA rolls”		
		Customer awareness		- Recognized as a fancy trend to mass public - Sushi featured by Hollywood stars through mass medias in the 80s	- Identified as an indep. food category with special value prop. - Sushi positioned as “healthy & convenient lunch” and also “high-end Asian”
	Sup-ply	Store coverage	- Enter regions with large immigrant population - Sushi places popped up in CA from 70s	- Reinforce coverage and start nationwide expansion - Flourished in CA / expanded nationwide	- Wide nationwide expansion - Sushi places become accessible all around the US
		Ease of entry (e.g. supply chain, ease of cooking)		- Easy to cook & source ingredients - Sushi still requires certain level of expertise to make, but raw fish supply chain established by “True World Foods” significantly eased ingredient sourcing	
Accelerators	National brand		- Strong country branding can elevate how ethnic cuisine is viewed worldwide - Japan having a “clean and tidy” image, consumers could significantly lower their emotional hurdles of trying raw fish		
	Evolving dietary pattern		- The shift of dietary patterns will serve as a tailwind for the food becoming mainstream - In line with well-being trend in the 80-90s, Sushi consumption was boosted as it was recognized as healthy low-fat food		

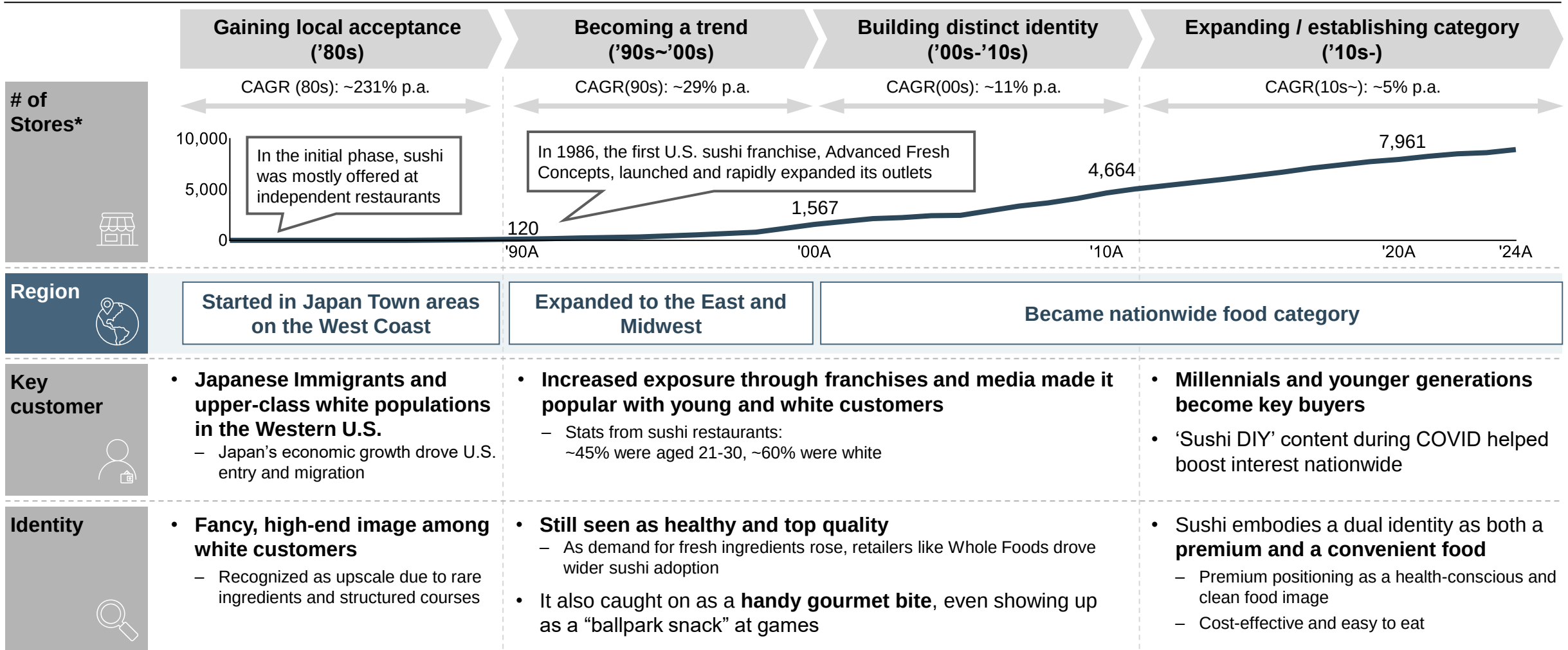
Source: Lit. Search; Bain Analysis

Back-up: Sushi has become a sustainable category in the U.S. through broad demographic appeal and a healthy, premium identity



3 KRFC SUSTAINABILITY

Growth history of Sushi in U.S.



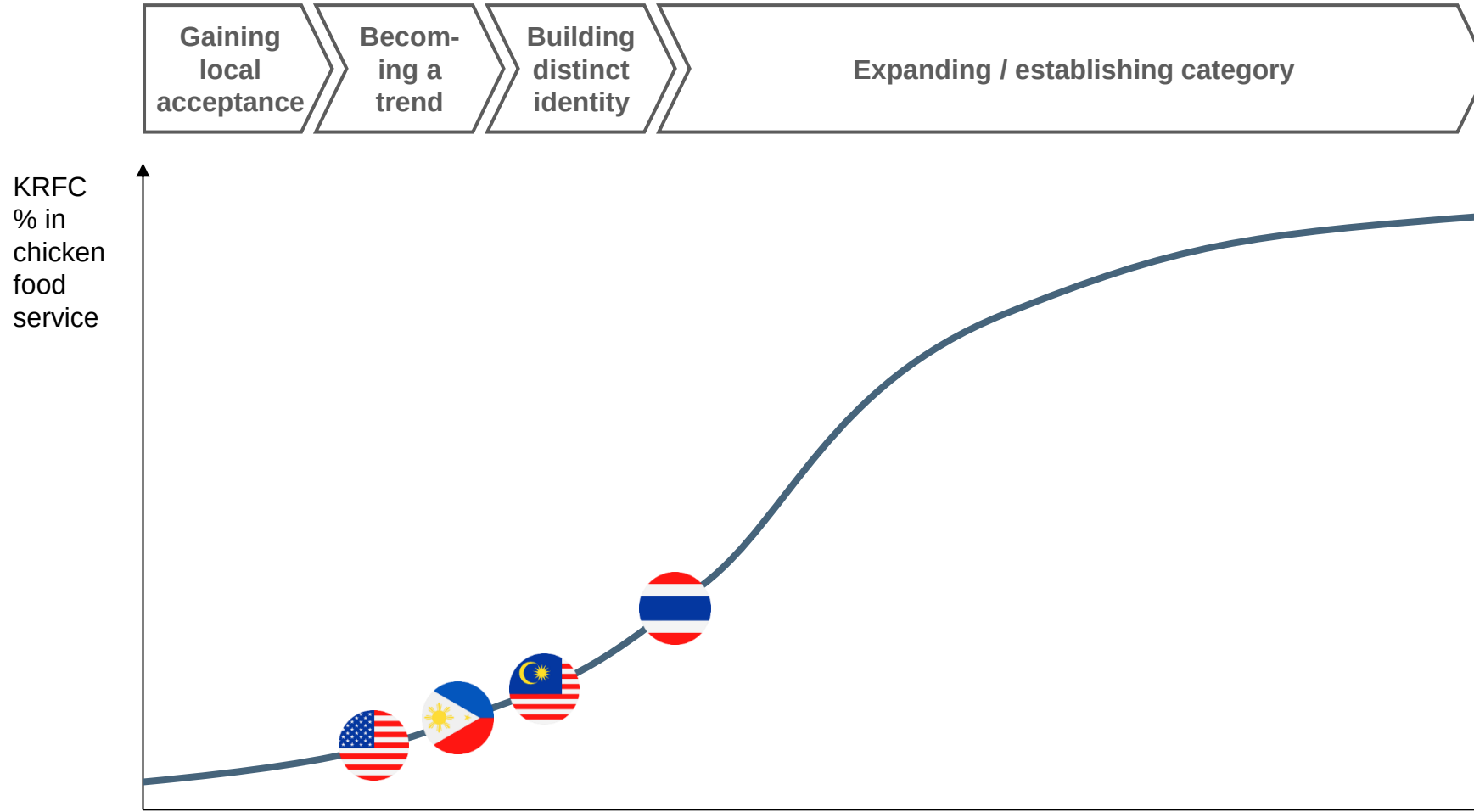
*Estimated total number of stores operated by the top seven sushi franchise brands in the U.S. (e.g., Advanced Fresh Concepts Franchise Corp, Hissho Sushi, Snowfox, etc.); Source: Lit. Search; Bain Analysis

KRFC is evolving from a trend into a distinct global brand, with its unique offering sustaining demand across diverse markets (1/2)

3 KRFC SUSTAINABILITY

/ ILLUSTRATIVE

KRFC evolution phase by key country



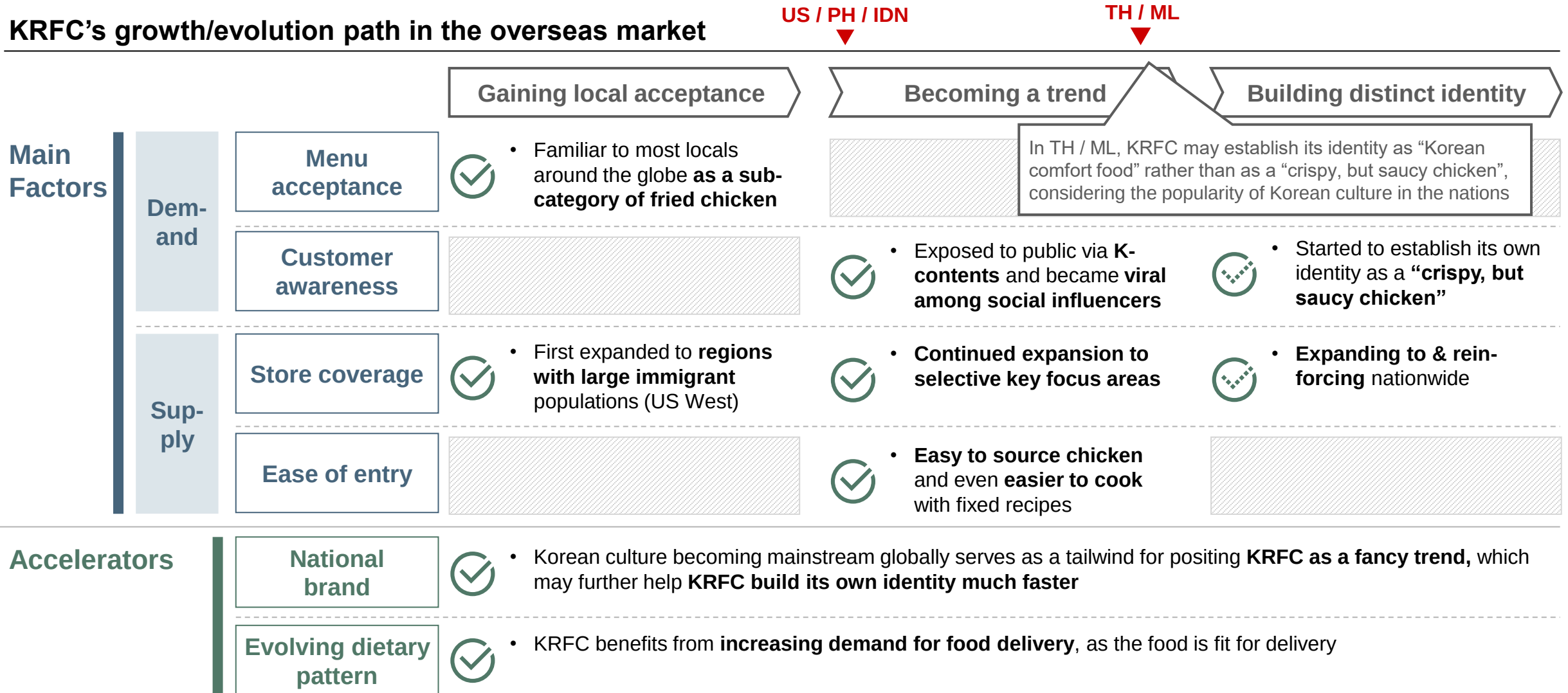
Commentary

- **Korean friend chicken has been evolving as a distinct food category across countries**
- **In Thailand, KRFC has matured beyond a passing trend and is now embraced as a differentiated culinary identity**
- While the U.S. market is in earlier stages, **KRFC has clear momentum** for accelerating path to a distinct food category

KRFC is evolving from a trend into a distinct global brand, with its unique offering sustaining demand across diverse markets (2/2)

3 KRFC SUSTAINABILITY

KRFC's growth/evolution path in the overseas market



Source: Lit. Search; Bain Analysis

In the U.S., KRFC is gaining additional growth momentum from rising K-culture popularity and increased social media exposure



3

K R F C

S U S T A I N A B I L I T Y

Additional tailwind for KRFC in U.S.

Cultu-
ral
popula-
rity

Sushi

(Growth phase: 1990s)

Less popular than
mainstream K-culture

- The **K-culture boom in the U.S.** is driving **KRFC's rise within the K-food category**
 - Rising K-culture interest boosts KRFC consumption, effectively drawing new customers
 - The success of Parasite in '19 and BTS's "Dynamite" in '20 helped drive KRFC's rise in popularity

Social
media-
driven
spread

Relied on offline buzz

- **KRFC-related posts are highly visible on major U.S. social media platforms like TikTok and Instagram**
 - Active KRFC content and challenges by influencers boost visibility on key social media
- During its rise, sushi expanded entirely through offline word of mouth without social media supports

KRFC

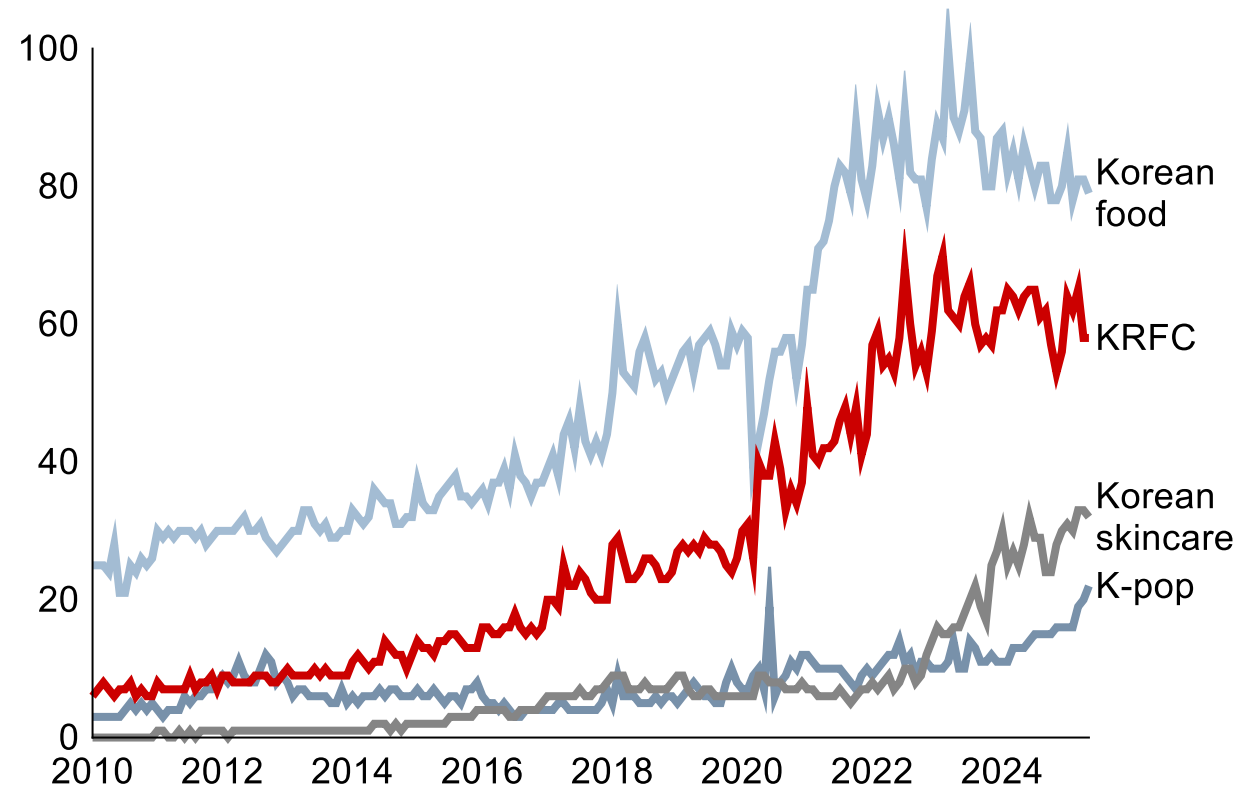
(Growth phase: 2020s)

Growth with the rise
of K-culture

**Social media enables
faster spread**

Trend index comparison in U.S.

Google search trends index in US
(index=100*)



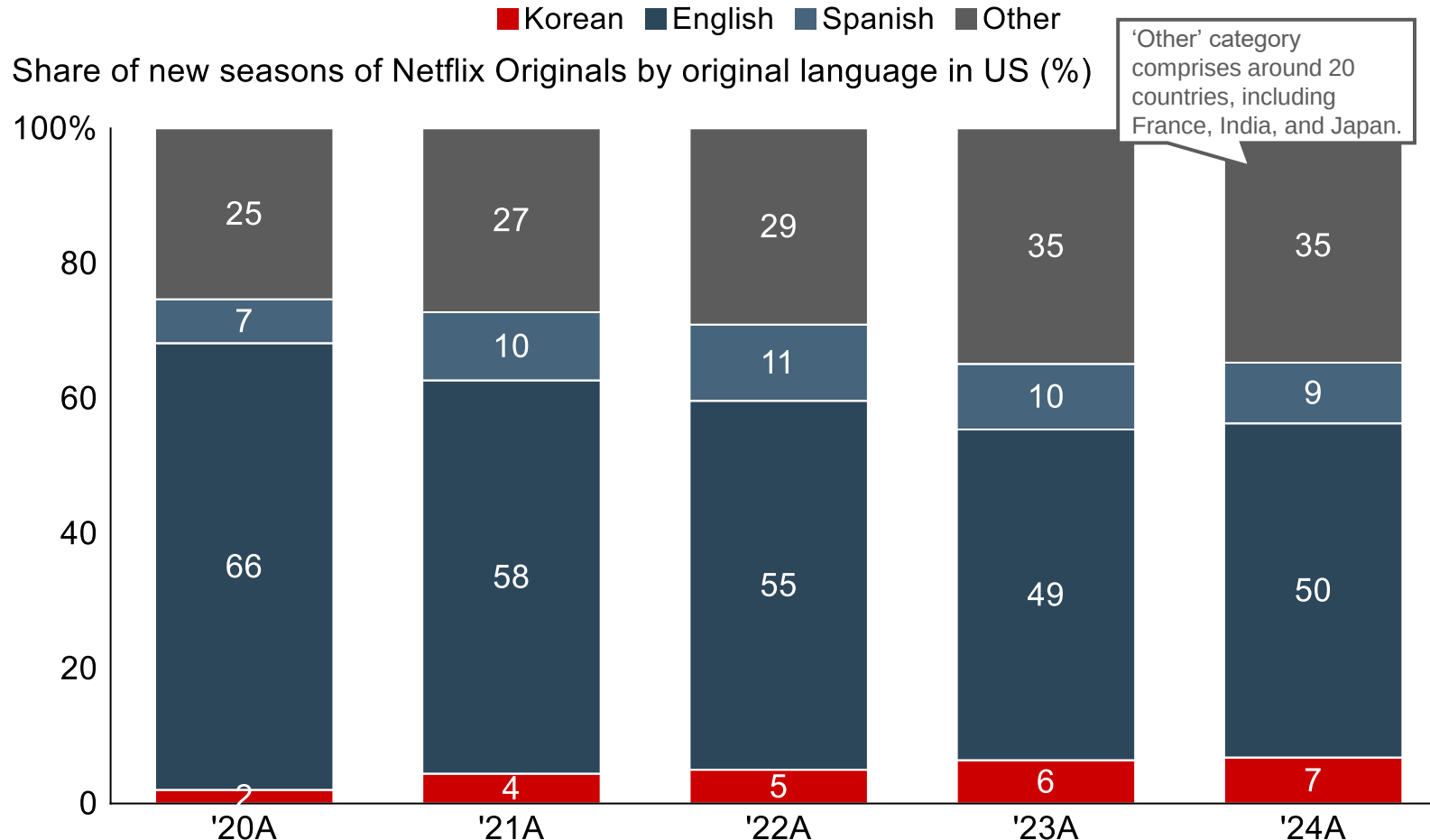
*Index top search frequency at 100 for entire timeframe; Source: Lit. Search; Bain Analysis

Back-up: Rising popularity of K-content in the U.S. is accelerating growth for K-food categories including KRFC



3 KRFC SUSTAINABILITY

K-contents popularity



Commentary

- **Sustained growth and rising presence of Korean original content on US Netflix**
 - The share of Korean content grew from 2.0%('20A) to 6.8%('24A), ranking third in total newly released Netflix original content on US Netflix
- **Relative decline in English and Spanish content share**
 - As US viewership shifts beyond English, with Korean-led Asian content emerging as key growth driver
- **Rising demand for Korean originals boosts content expansion**
 - Netflix US boosted Korean originals after Squid Game('21A), with strong demand driven by hits across genres
 - Korean originals expose viewers to Korean food, raising visibility for K-food like KRFC

Notes: Other includes Netflix original contents in French, Hindi, Japanese, etc.; Source: Lit. Search; Bain Analysis

AGENDA

Chicken concept and Korean Fried Chicken market growth prospects

United States

Thailand

Philippines

Boracay's core competency and performance assessment

United States

Thailand

Philippines

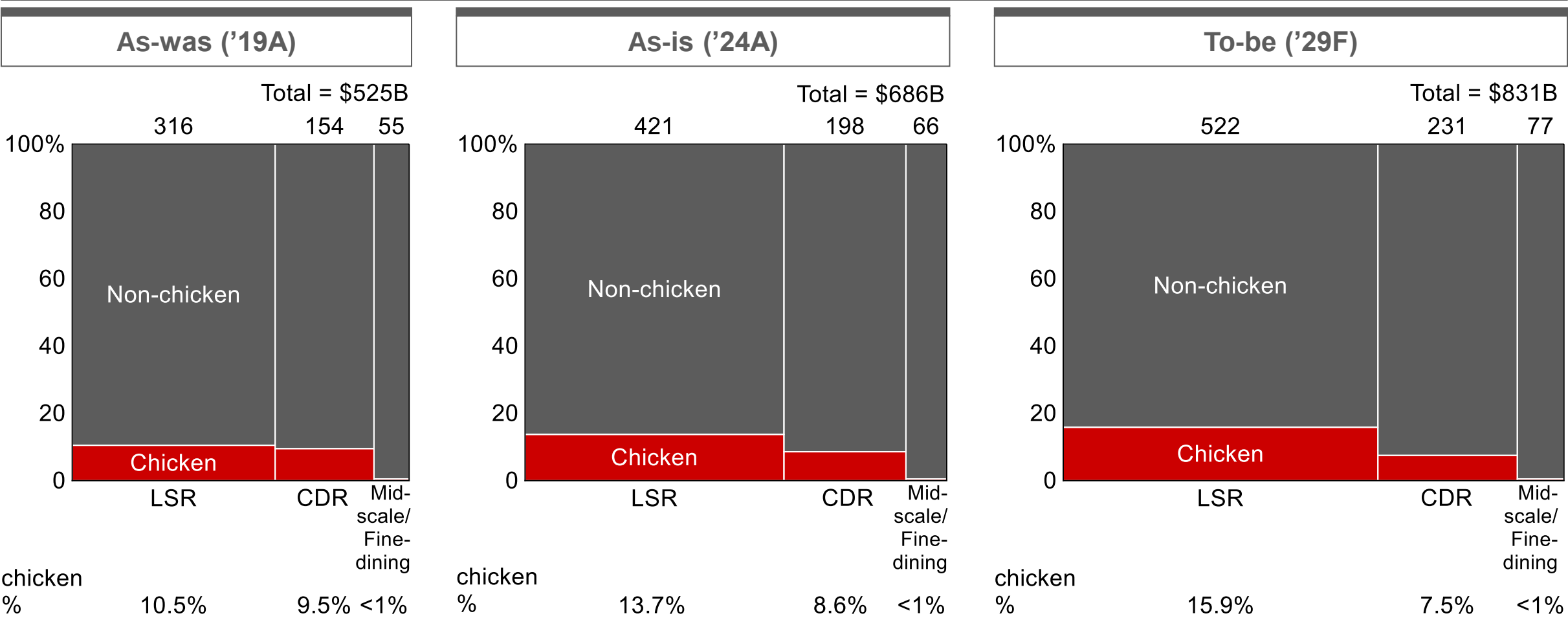
Boracay's value creation opportunities

Appendix: Customer Survey

Chicken's TAM has been growing fast, mainly in the LSR sector



Total US food service market



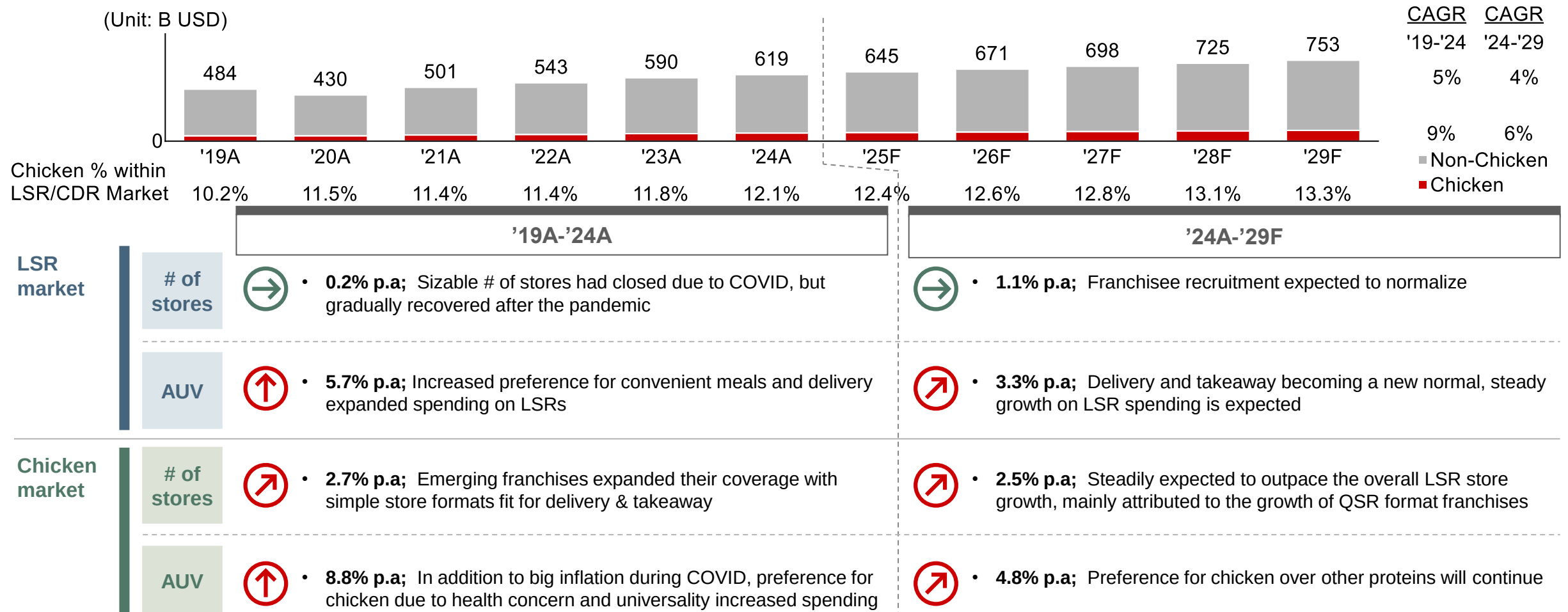
Source: Euromonitor; Technomic; Expert Interviews; Lit. Search; Bain Analysis

This information is confidential and was prepared by Bain & Company solely for the use of our client; it is not to be relied on by any 3rd party without Bain's prior written consent

U.S. chicken market across LSR and CDR reached ~75 B USD in '24 and has also been growing fast driven by strong preference for chicken cuisine



U.S. chicken market historical growth trend and outlook



*Based on LSR & CDR chicken market size; Note: All growth trajectory and forecast are based on LSR market, as LSR market accounts for ~80% of chicken market
Source: Euromonitor; Technomic; Expert Interviews; Lit. Search; Bain Analysis

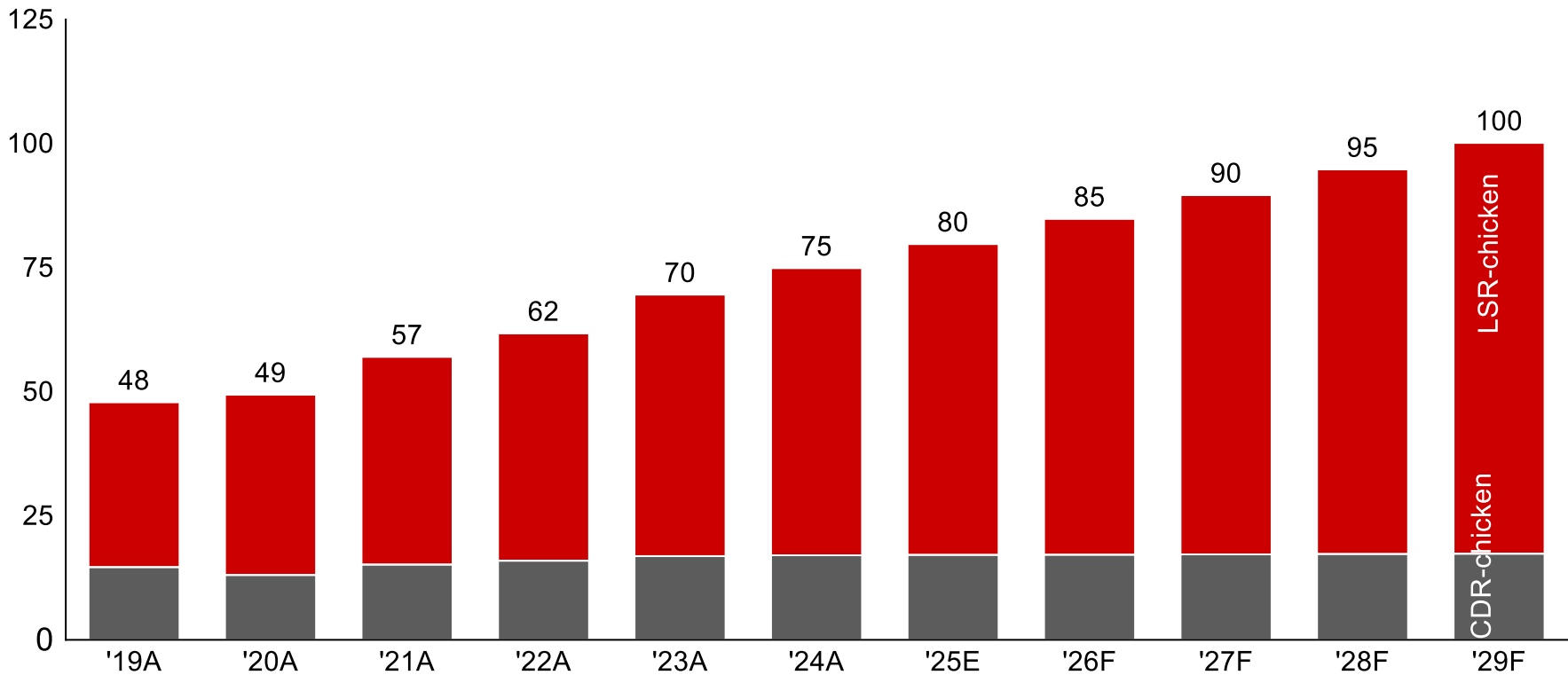
Chicken restaurants in LSR has been outperforming those in CDR, as they benefited from its convenience and chicken-consumers moving from CDRs to LSRs



U.S. chicken restaurant market

U.S. Chicken Restaurant Market Size
(Unit: B USD)

<u>CAGR</u> <u>'19-'24</u>	<u>CAGR</u> <u>'24-'29</u>
9.4%	6.0%



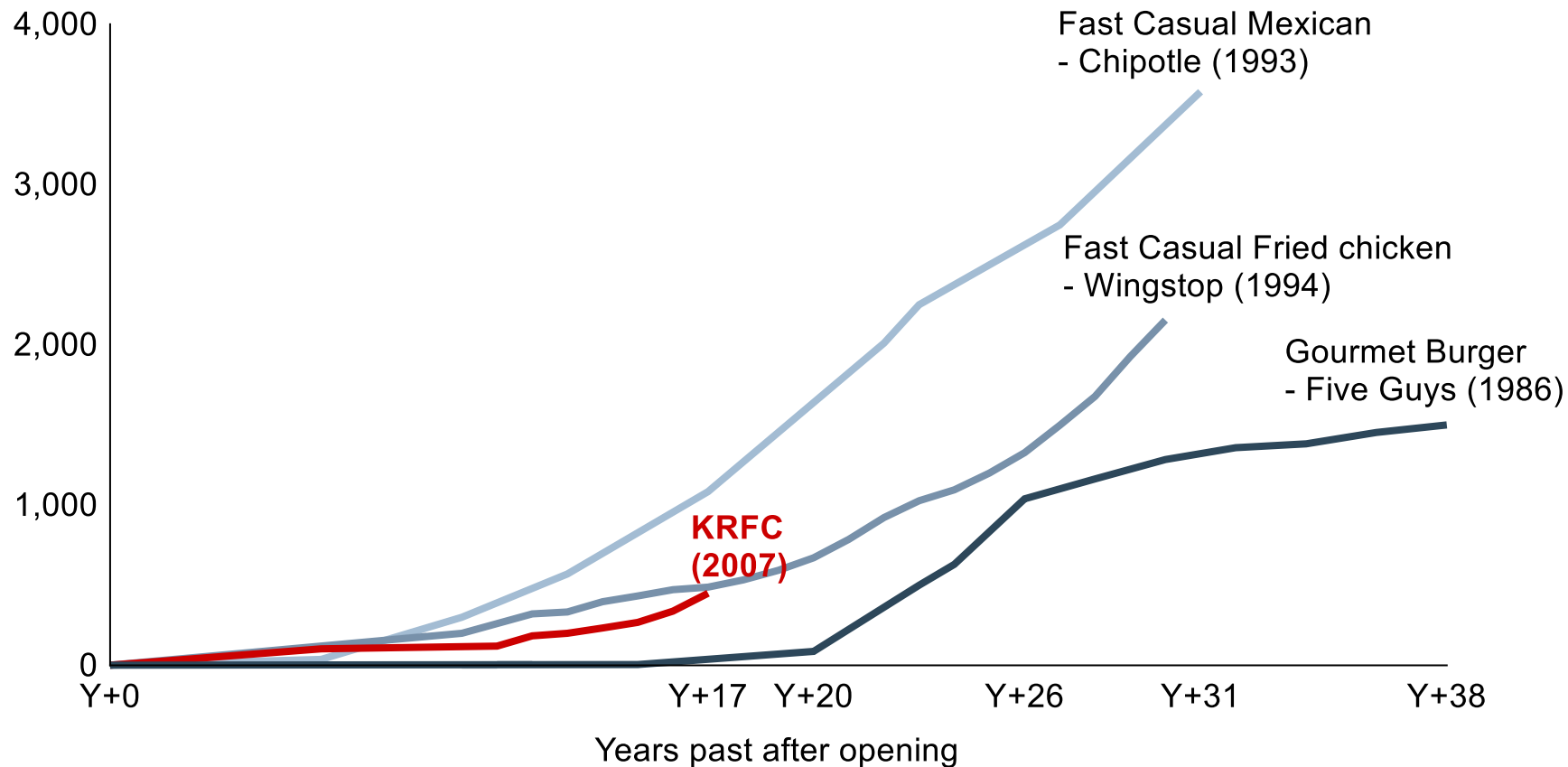
11.7%	7.4%
3.1%	0.4%

Like other category-leading franchises, KRFC brands are at the early stage, but will grow quickly through expanding number of stores



Store number growth trajectory of category leading franchises in U.S.

Number of stores opened (Unit: EA)



Commentary

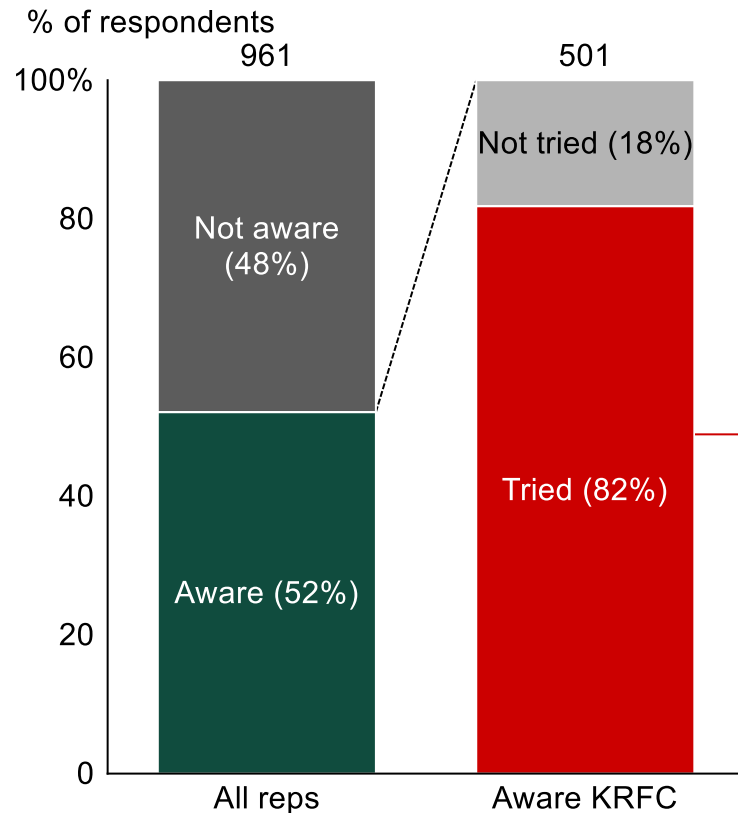
- Franchises leading a specific category **typically grow steadily before a certain inflection point**
- **After the inflection point** where broader range of customers are aware of the concept, **leading franchises show sharp increasing trajectory in store numbers**
- **KRFC brands**, mainly led by Boracay, are **encountering the inflection point**

KRFC is popular across age groups, and more popular among White/Caucasians, and males; ~82% trial signals high mainstream appeal



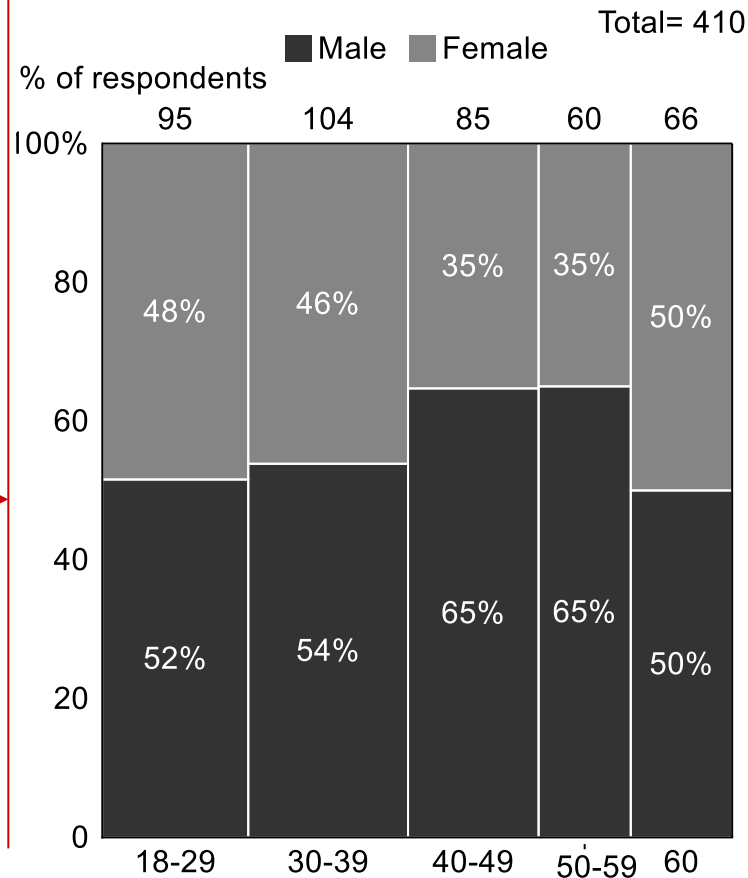
Q.

Have you tried Korean-style fried chicken before?



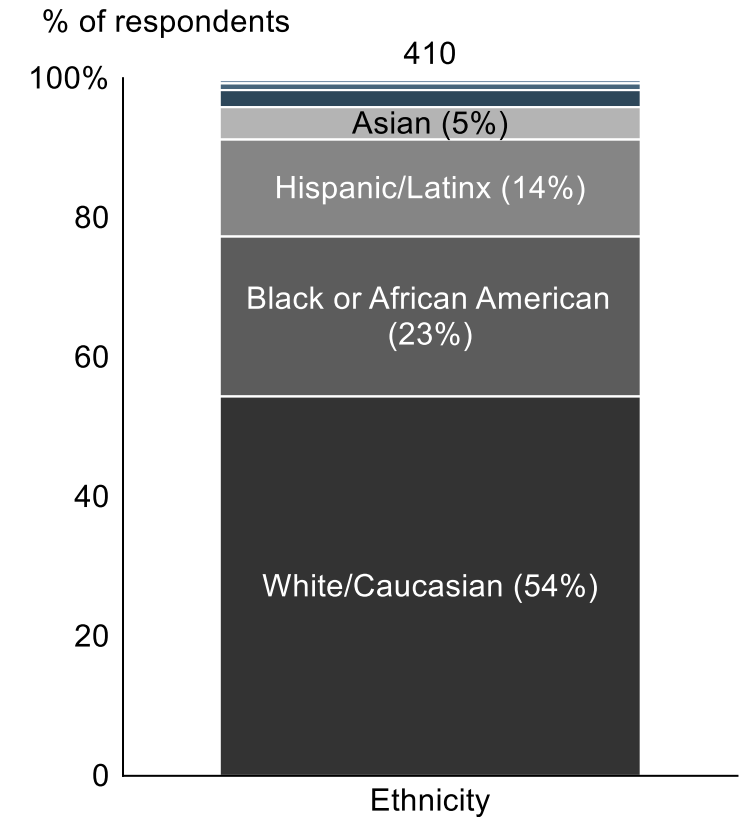
Q.

Please indicate your age group and Gender?



Q.

Please describe your race/ethnicity?



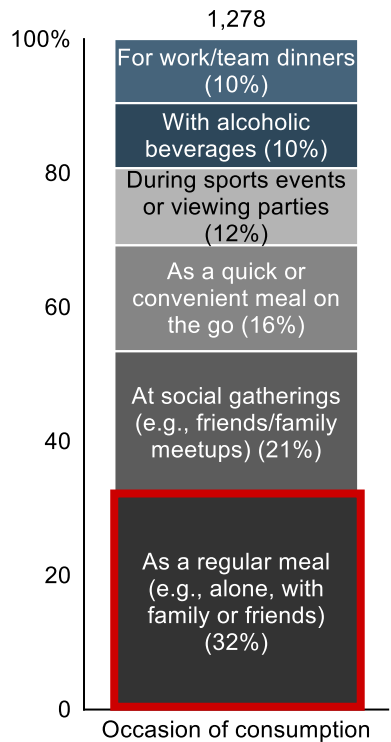
Note: 'Prefer not to answer' and 'Other gender' are hidden from the RHS chart; Source: Customer Survey; Bain Analysis

Around 60% respondents eat KRFC at least once a month, mainly during regular meals; pick-up is the most used channel with flavor as top driver



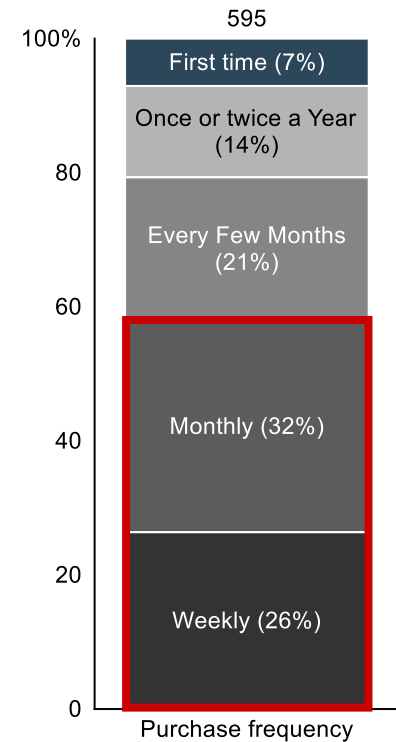
Q. At what occasions do you typically eat KRFC?

% of responses **N=410**



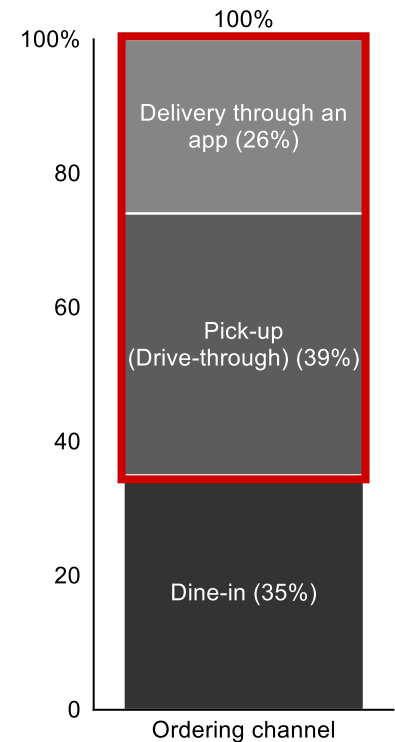
Q. How frequently do you eat KRFC?

% of responses **N=410**



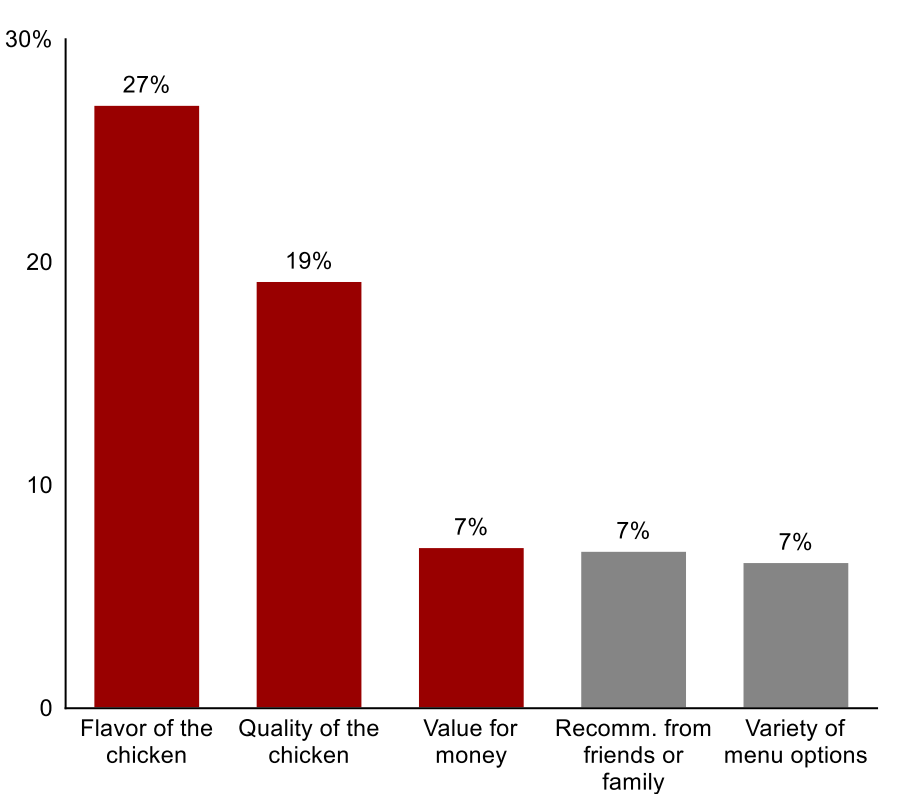
Q. Which channel do you usually use to order KRFC?

% of responses **N=410**



Q. What is the most important reason you usually choose KRFC?

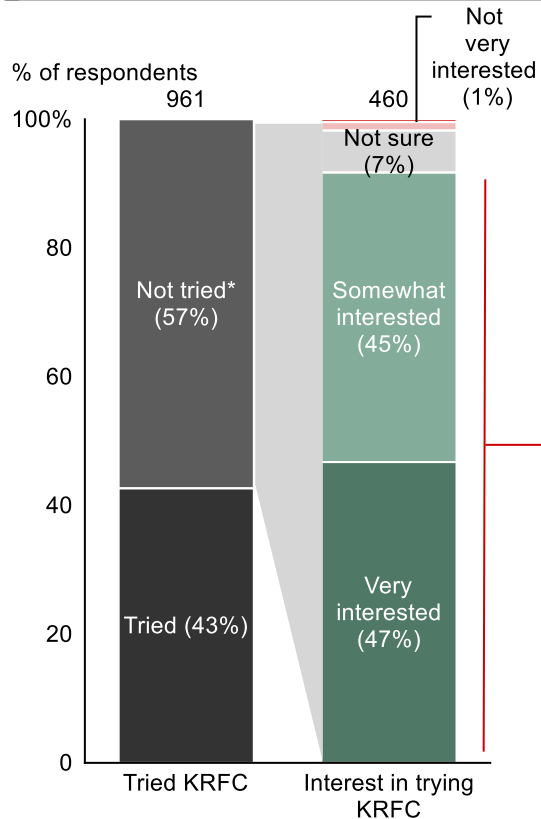
% of responses **N=410**



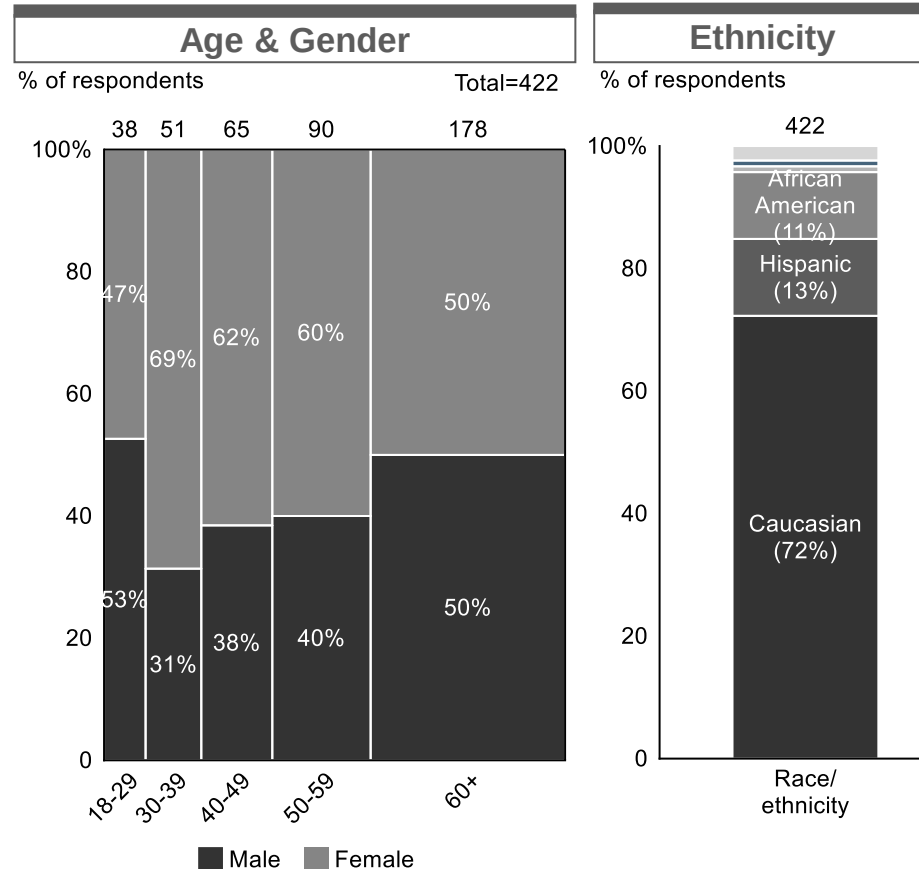
Strong potential for KRFC, driven by unique Korean style sauces and crispy, light texture; strong appeal among 18-29, Caucasian and female consumers



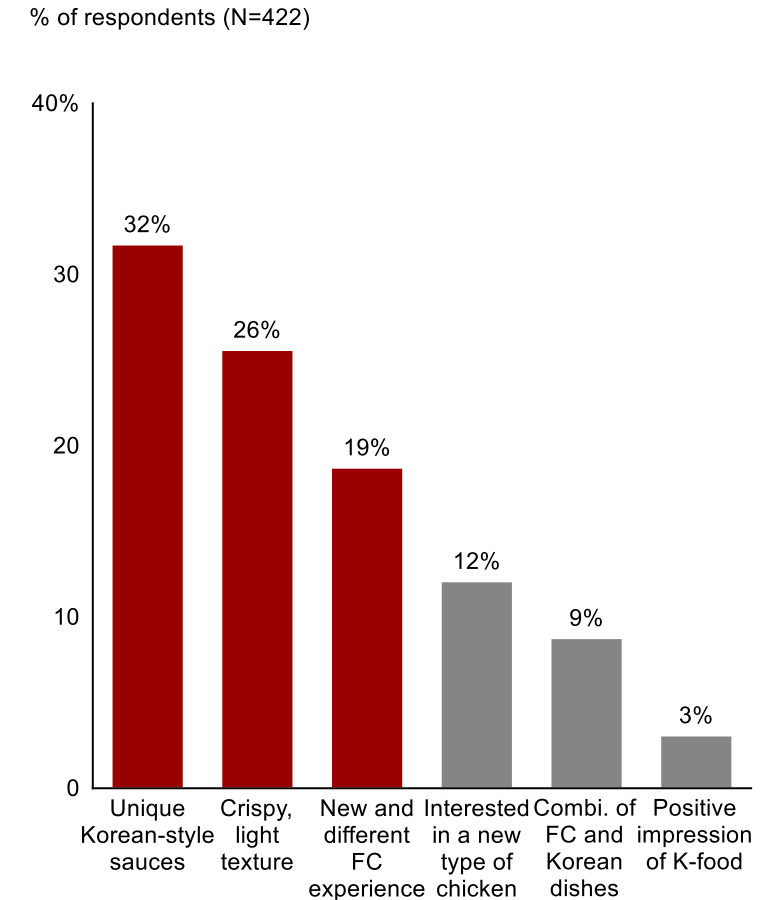
Q. Have you tried KRFC before? Would you be interested in trying KRFC?



Q. Demographics of respondents who are interested in trying KRFC



Q. What is the most important reason for you to be interested in trying KRFC?



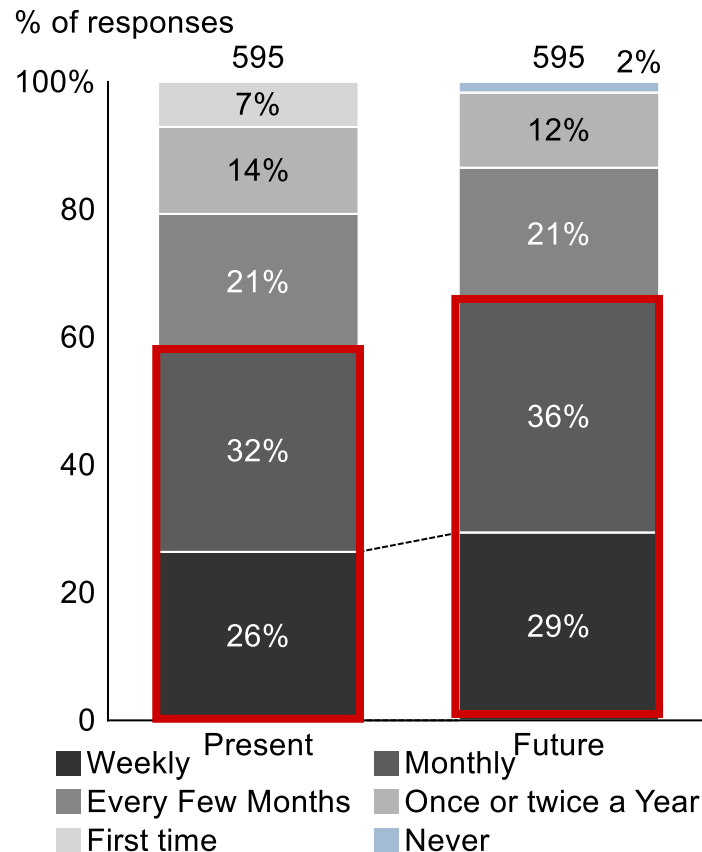
Note: "Others" bar has been hidden from the chart; (*) Includes both not familiar & familiar but not tried; Source: Customer Survey; Bain Analysis

Customers likely to dine more frequently at KRFC brands in the future; Consistent taste and affordability are key growth drivers



Q.

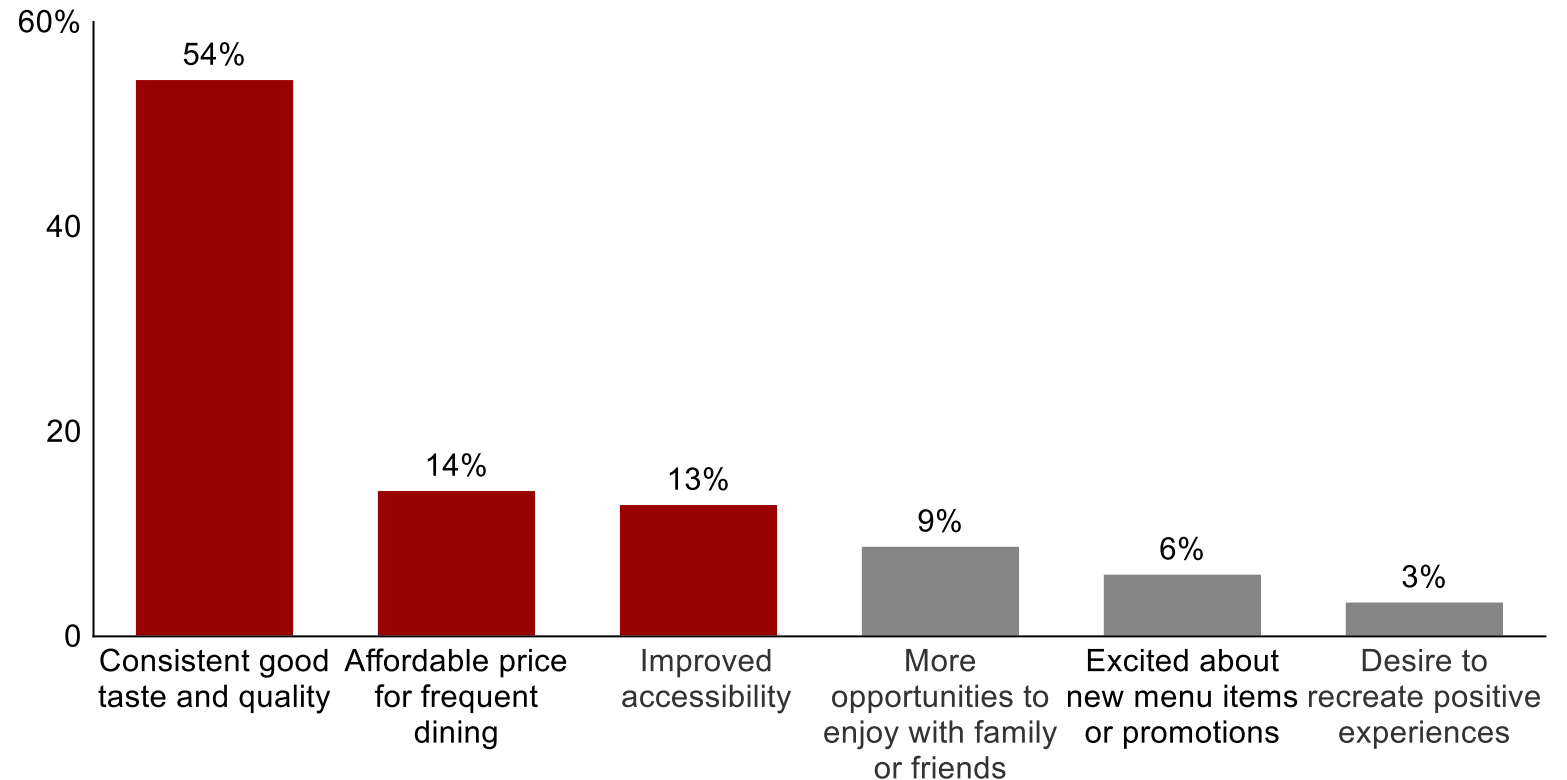
How frequently do you plan to eat KRFC brands in the future?



Q.

Of the reasons you selected for KRFC brands to eat more often in the future, which is the most important one?

% of responses (N=147, respondents with higher frequency in the future)



AGENDA

Chicken concept and Korean Fried Chicken market growth prospects

United States

Thailand

Philippines

Boracay's core competency and performance assessment

United States

Thailand

Philippines

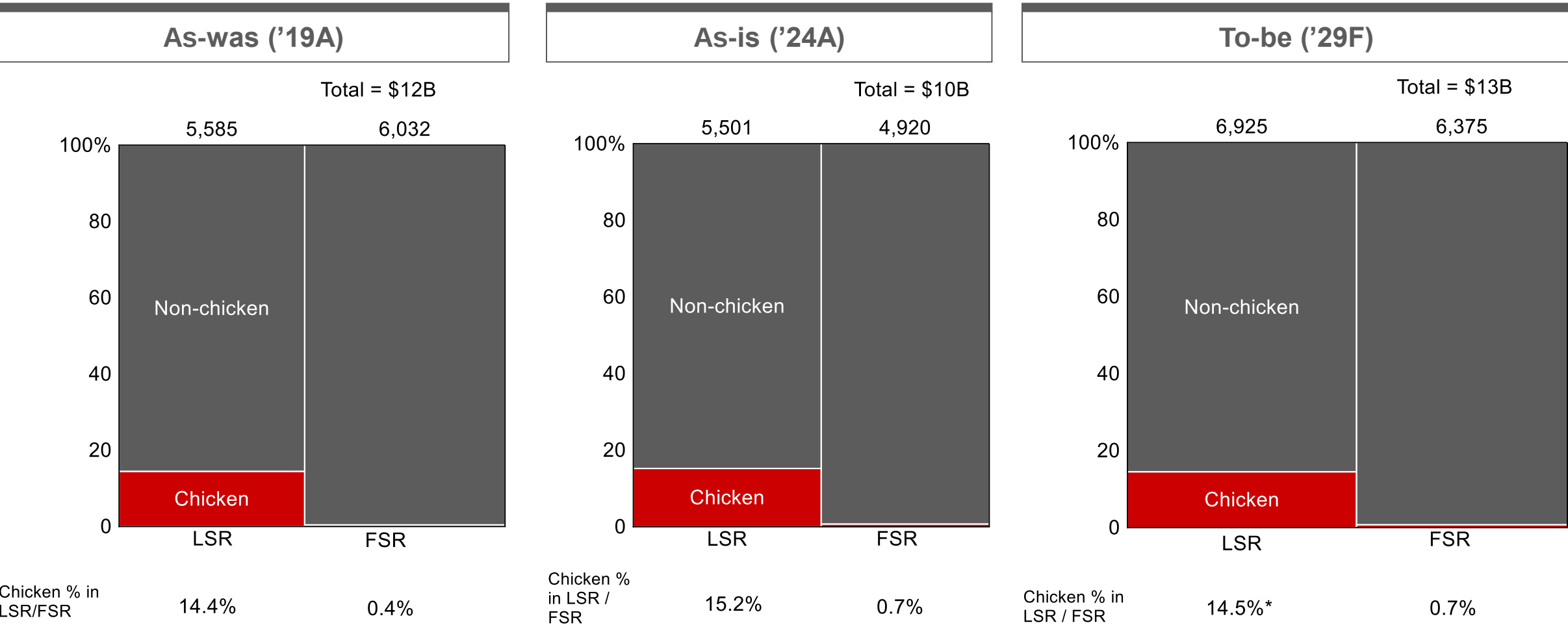
Boracay's value creation opportunities

Appendix: Customer Survey

Thailand's chicken market is driven by LSR, with ~15% of high chicken penetration in LSR market



Chicken Penetration in Thailand

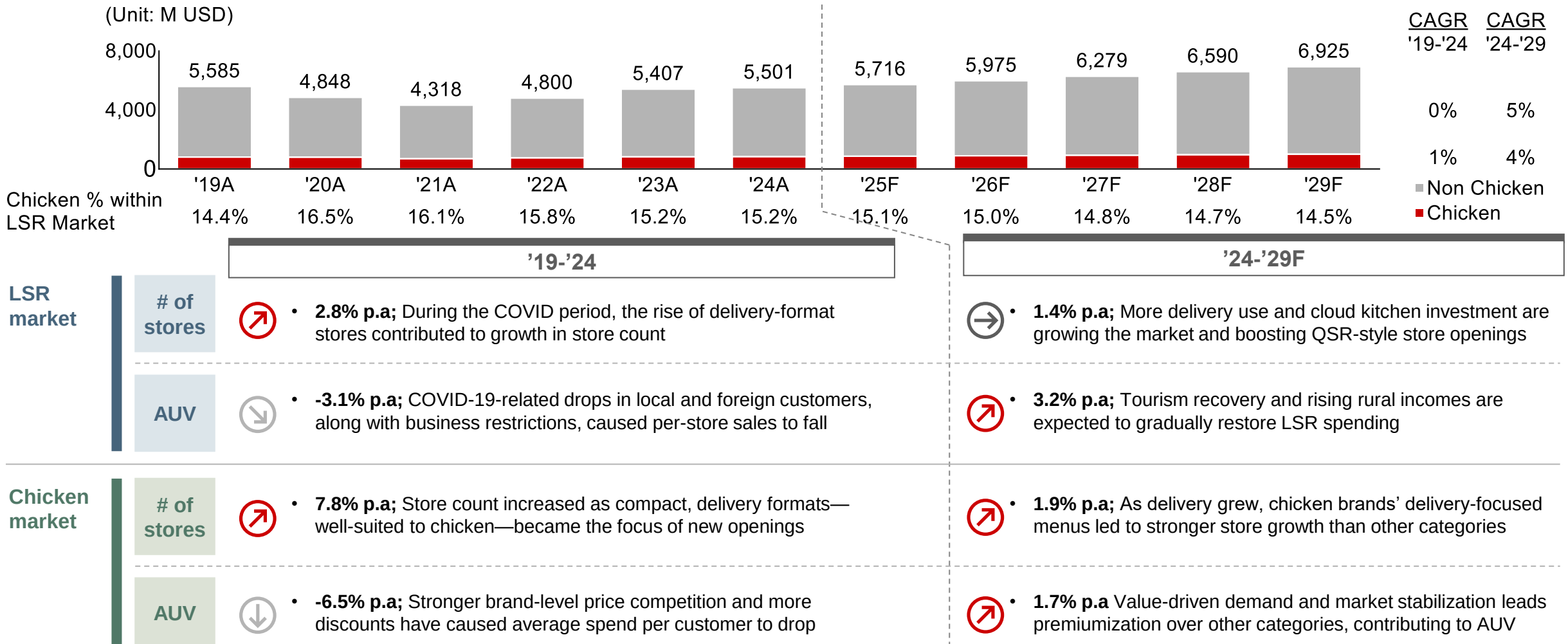


*Rapid growth in Thailand's LSR segment, driven by recovering tourism demand, has outpaced the chicken market, leading to a slight decline in chicken penetration; Source: Expert Interviews; Lit. Search; Bain Analysis

While Thailand's LSR market recovers from tourism revival and rising consumer confidence, chicken is expected to show stable growth



Thailand chicken market historical growth trend and outlook



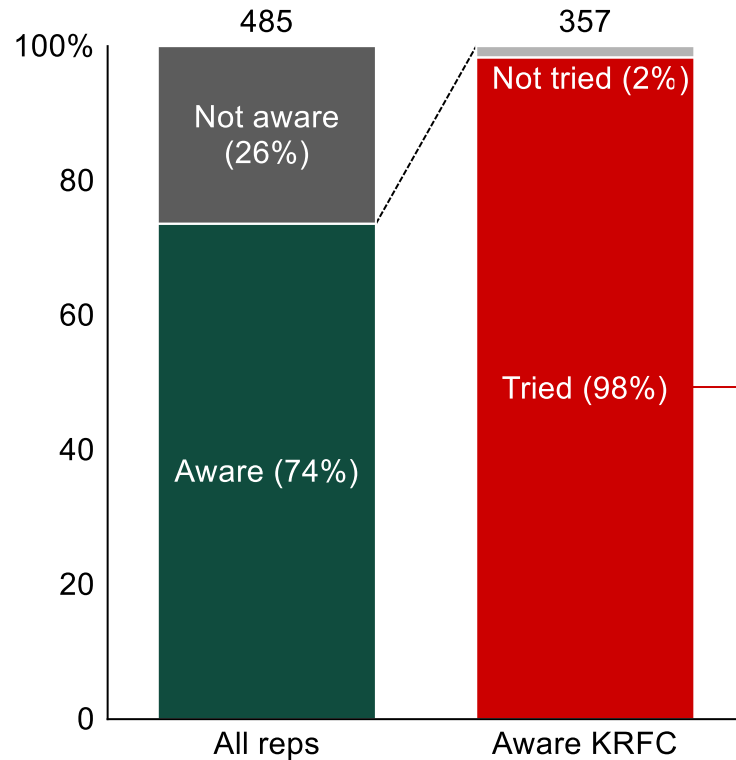
KRFC trial rates are very high in Thailand across age and gender groups, with women in their 20s and 30s as the core customer segment



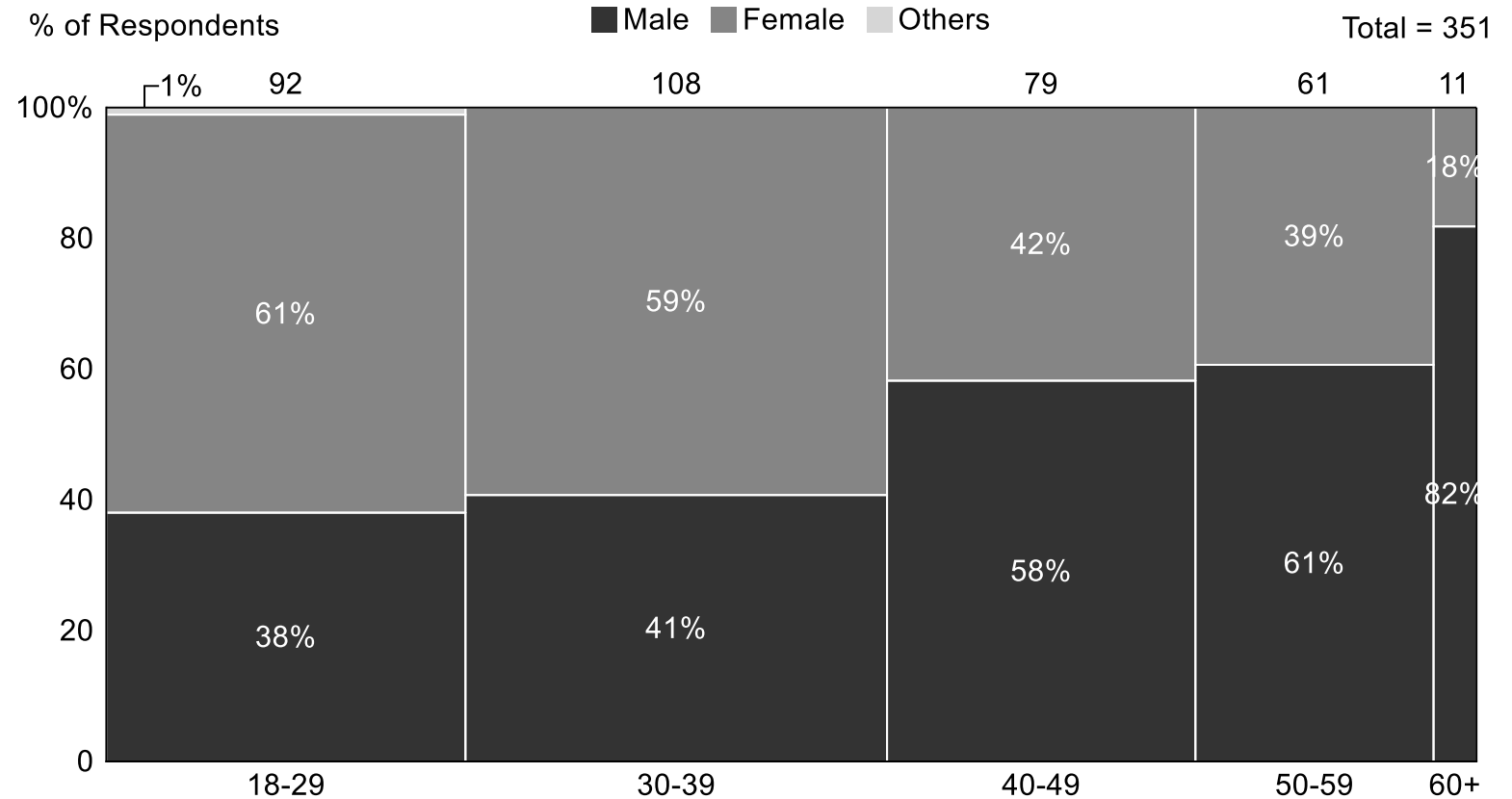
Q.

Have you tried Korean-style fried chicken before?

% of Respondents



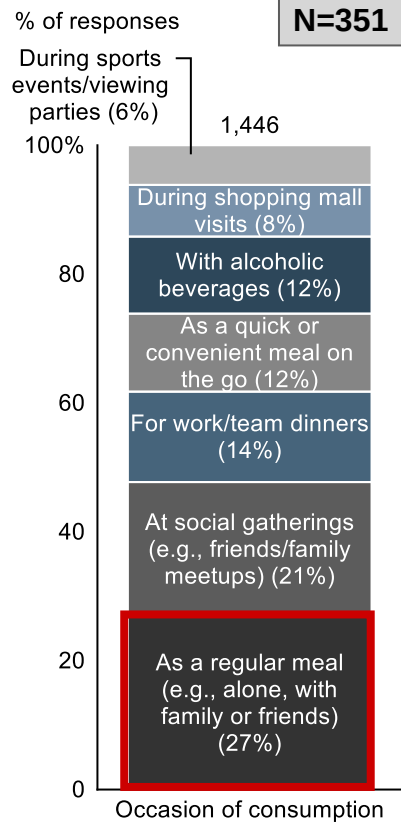
Respondents who have tried KRFC by age and gender (Demographic N=351)



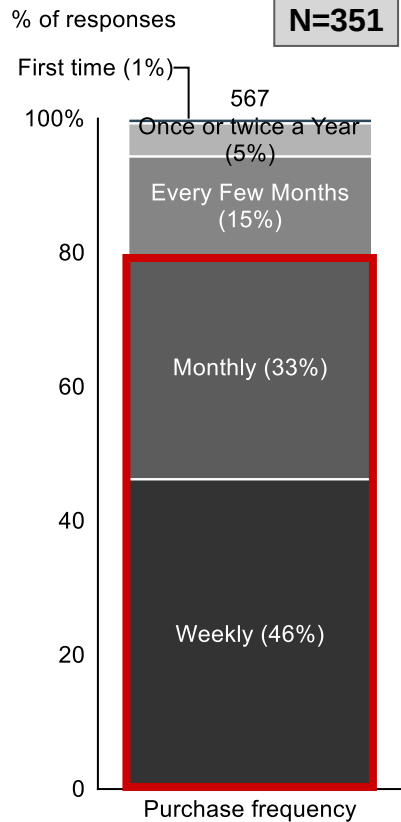
~80% respondents eat KRFC at least once a month, mainly during regular meals with dine-in channel; flavor, quality of chicken and various menus as top drivers



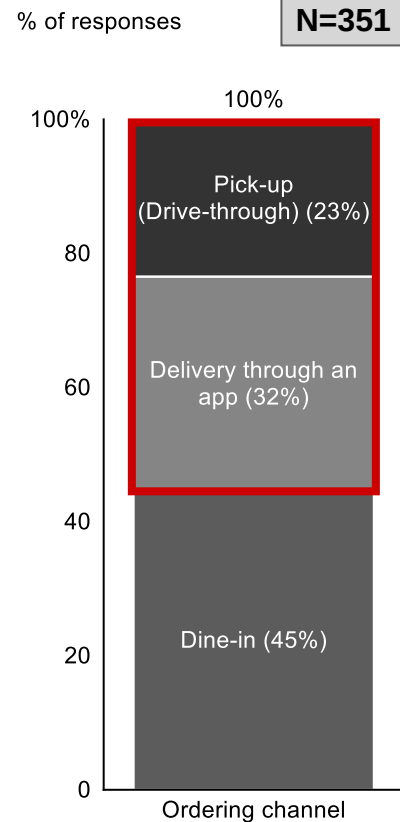
Q. At what occasions do you typically eat KRFC?



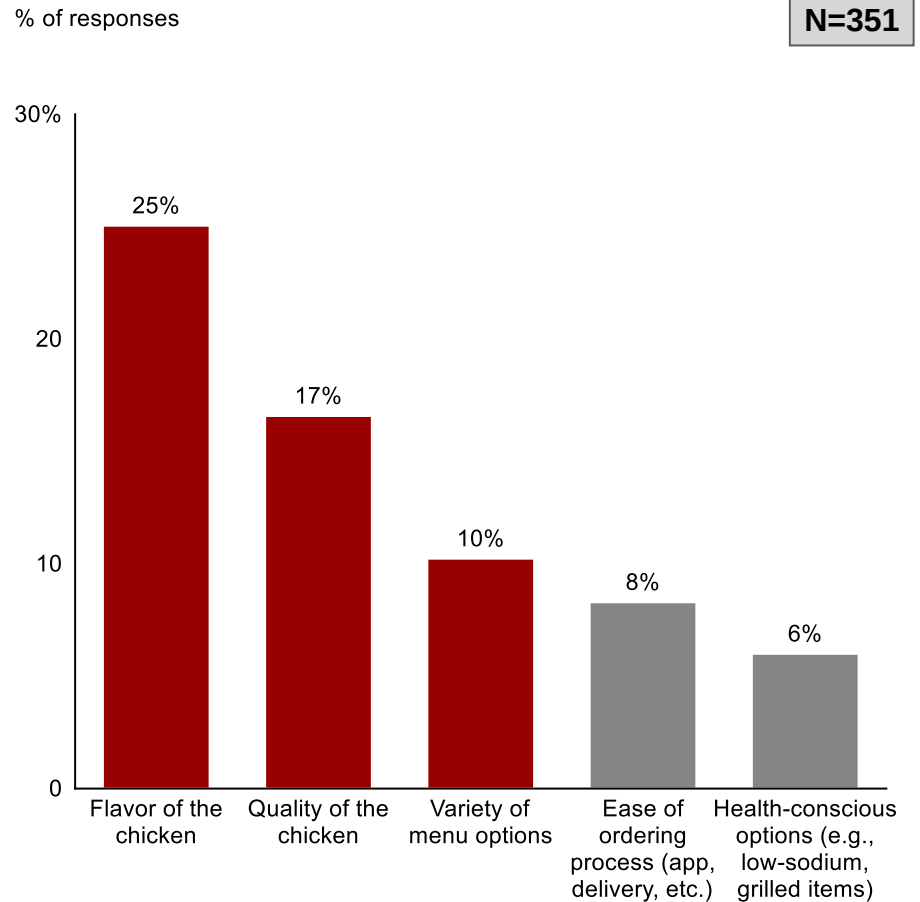
Q. How frequently do you eat KRFC?



Q. Which channel do you usually use to order KRFC?



Q. What is the most important reason you usually choose KRFC?

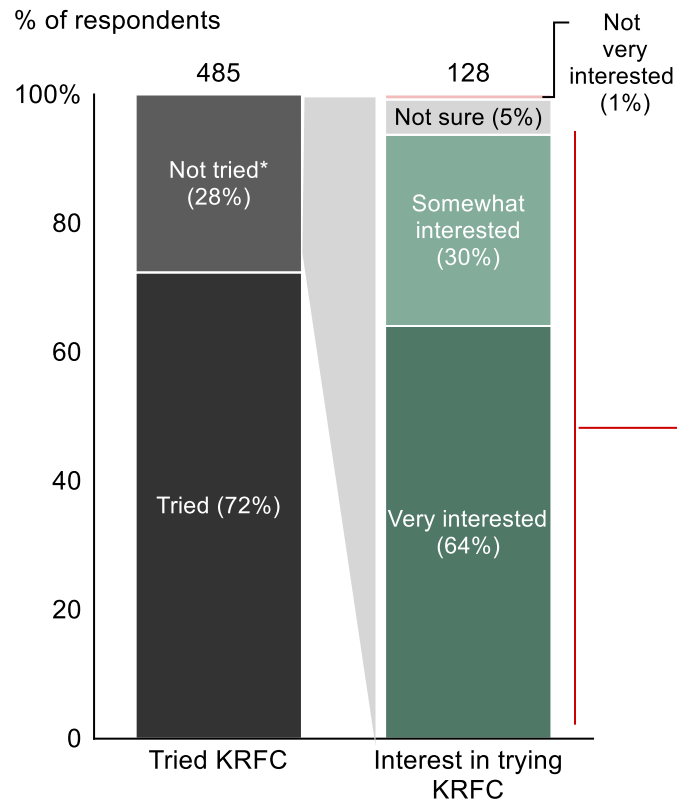


Note: 'Others' has been hidden from the charts on the slide; Source: Customer Survey; Bain Analysis

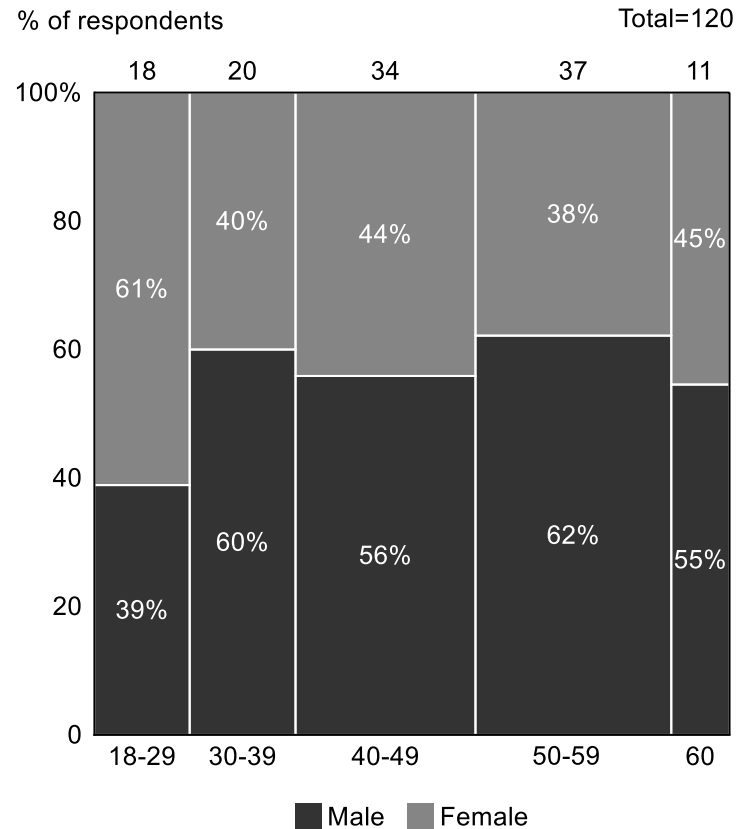
Strong potential for KRFC, driven by unique Korean style sauces; strong appeal among male consumers in their 40s and 50s



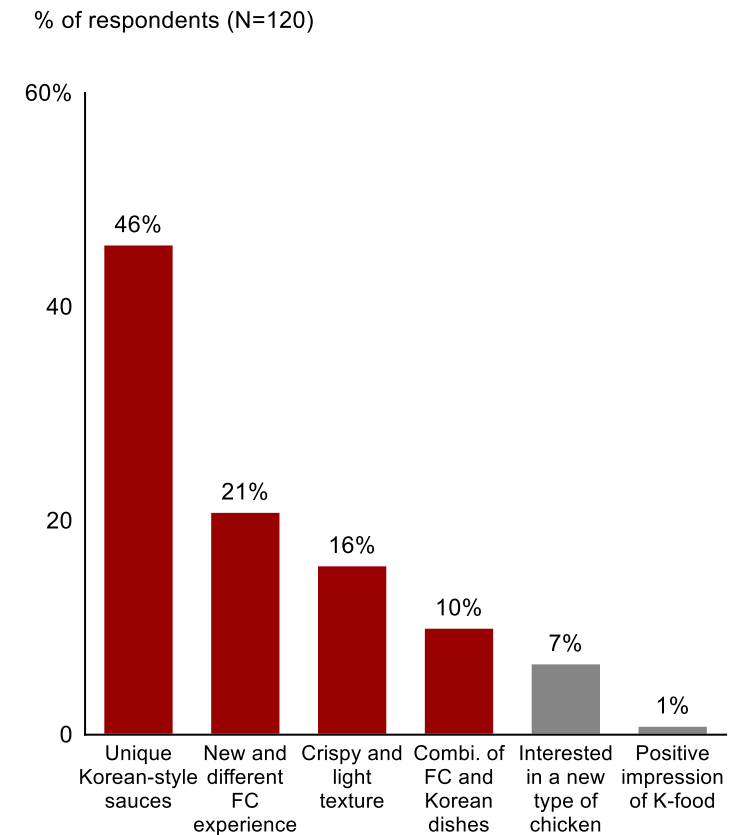
Q. (LHS) Have you tried KRFC before?
(RHS) Would you be interested in trying KRFC?



Q. Demographics of respondents who are interested in trying KRFC



Q. What is the most important reason for you to be interested in trying KRFC?



Note: "Others" bar has been hidden from the chart; (*) Includes both not familiar & familiar but not tried; Source: Customer Survey; Bain Analysis

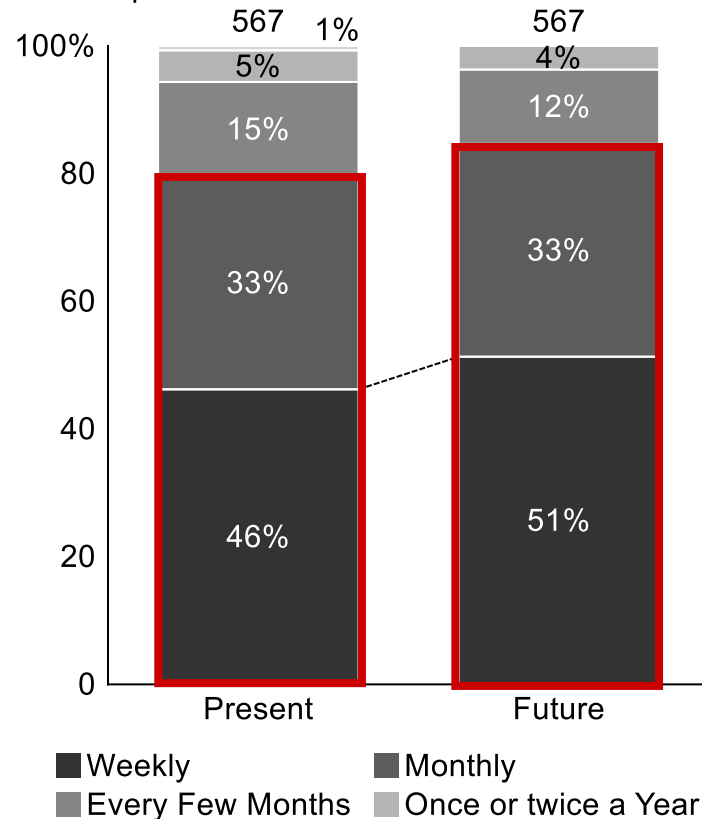
Customers likely to dine more frequently at KRFC brands in the future; Consistent taste and affordability are key growth drivers



Q.

How frequently do you plan to eat KRFC brands in the future?

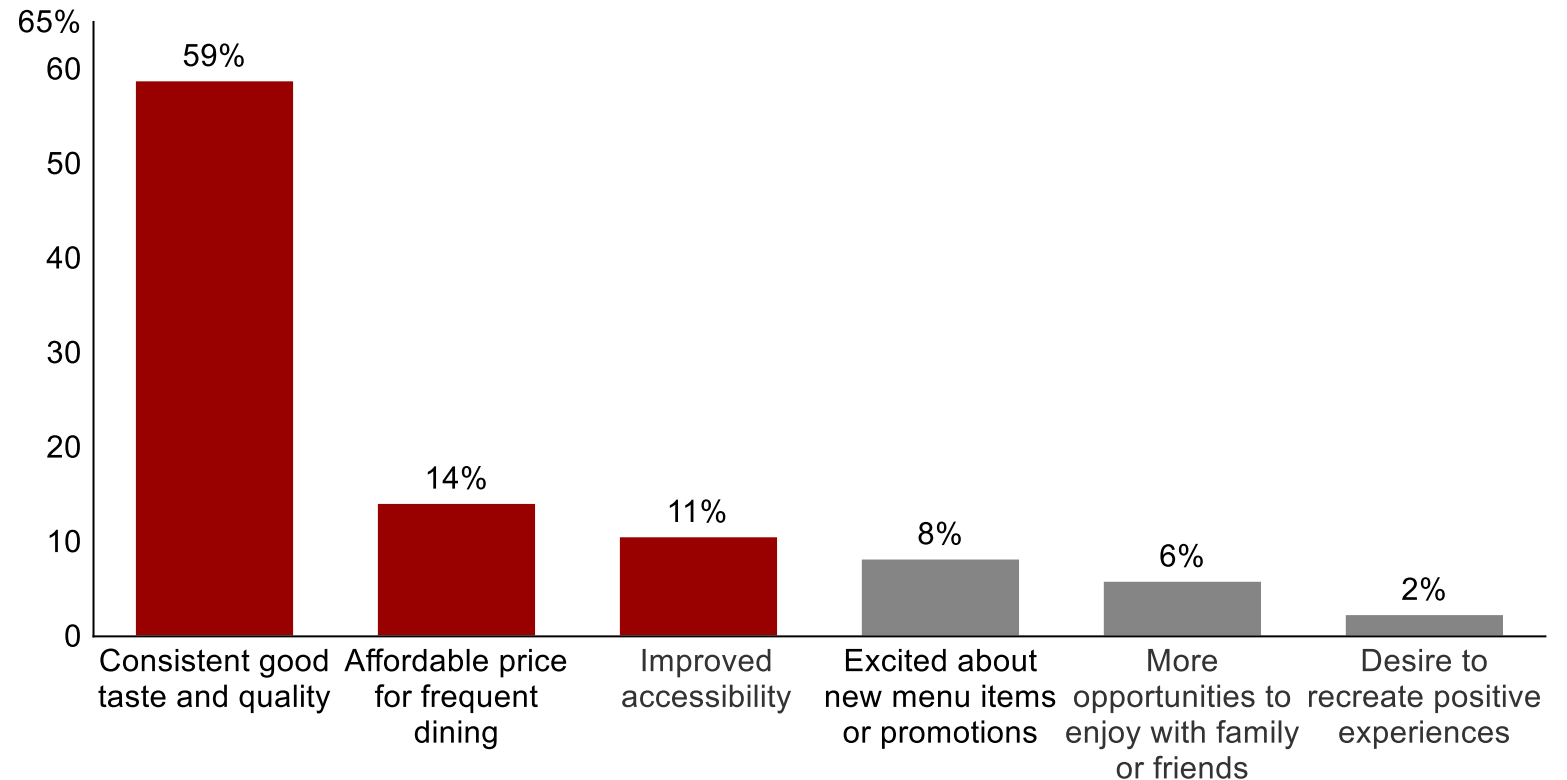
% of responses



Q.

Of the reasons you selected for KRFC brands to eat more often in the future, which is the most important one?

% of responses (N=85, respondents with higher frequency in the future)



AGENDA

Chicken concept and Korean Fried Chicken market growth prospects

United States

Thailand

Philippines

Boracay's core competency and performance assessment

United States

Thailand

Philippines

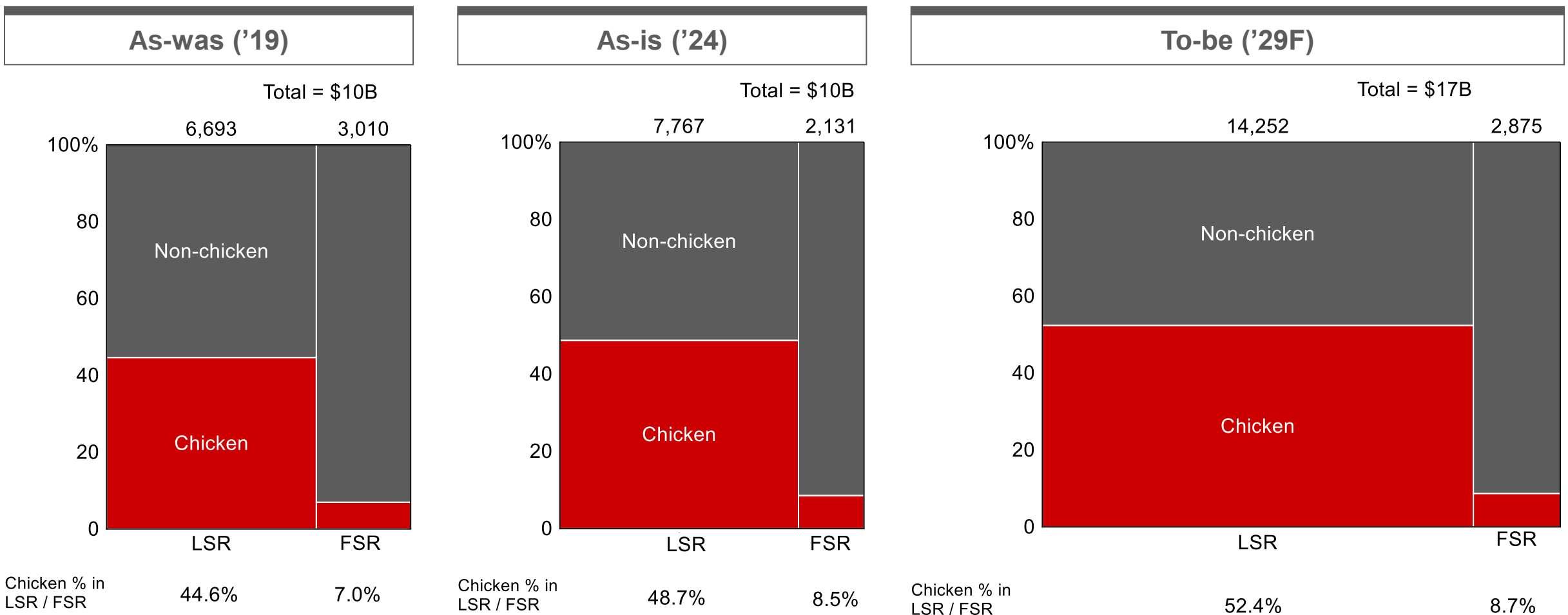
Boracay's value creation opportunities

Appendix: Customer Survey

Philippines has the highest chicken penetration in Southeast Asia, with an LSR-driven market and strong growth in chicken segment



Chicken Penetration in Philippines

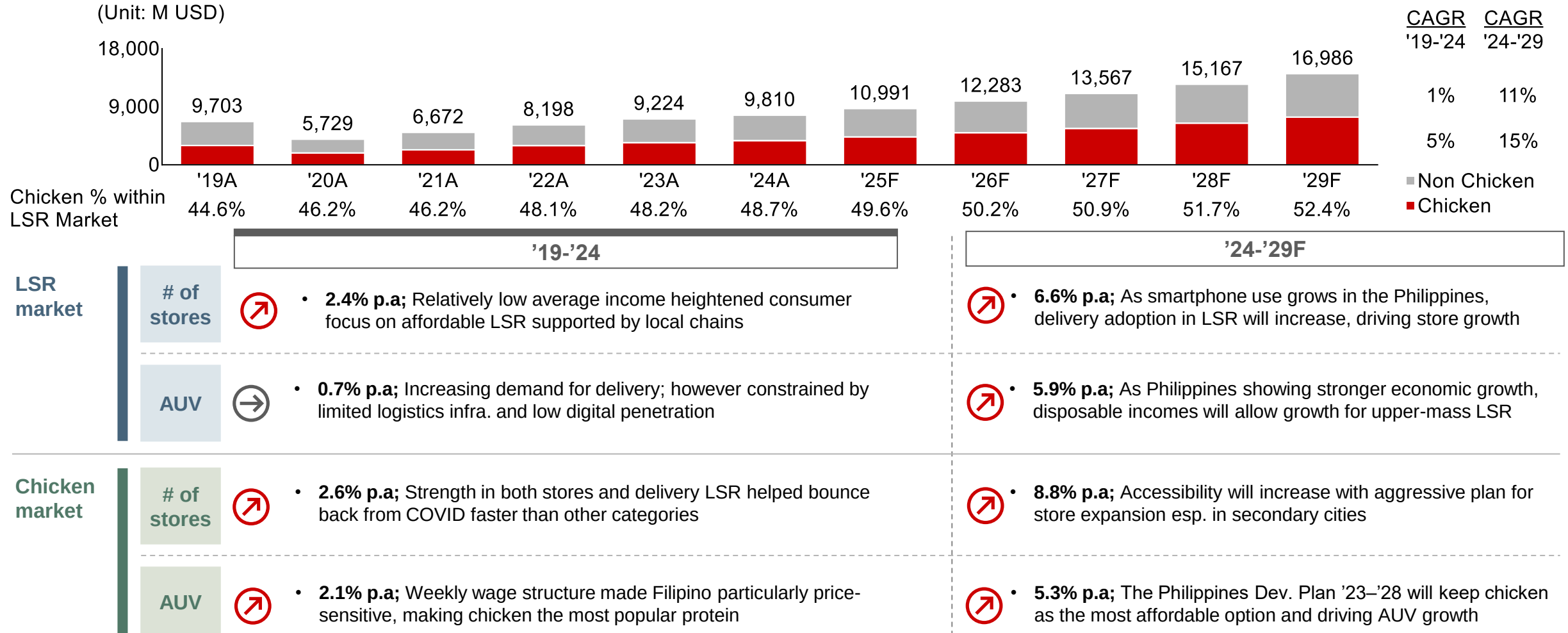


Source: Expert Interviews; Lit. Search; Bain Analysis

Strengthened by LSR market growth in Philippines, chicken market is expected to grow



Philippines chicken market historical growth trend and outlook



Source: Target Internal data; Expert Interview; Bain Analysis

This information is confidential and was prepared by Bain & Company solely for the use of our client; it is not to be relied on by any 3rd party without Bain's prior written consent

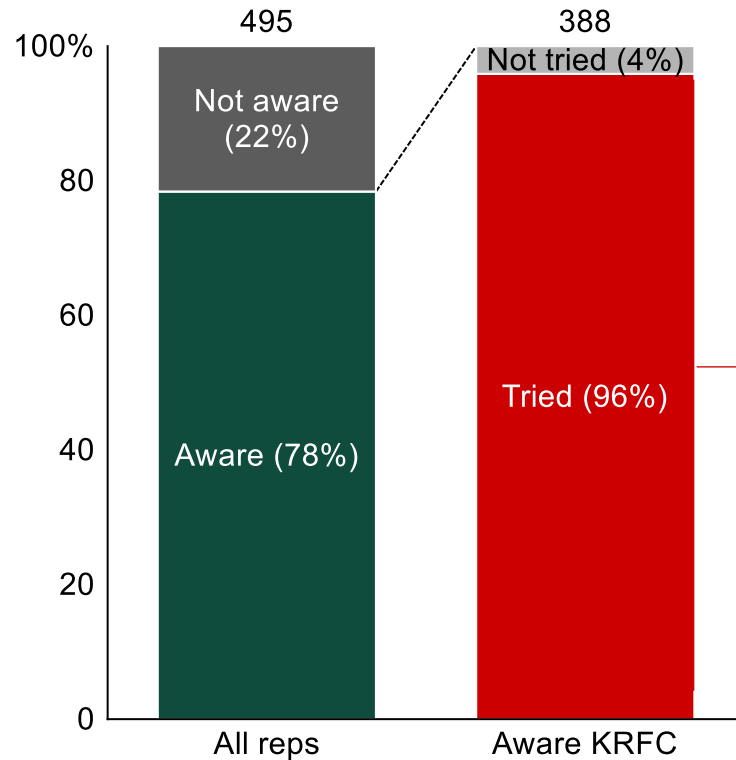
Philippines shows strong market penetration with a 75% trial rate, and notably resonating more with younger age groups & female consumers



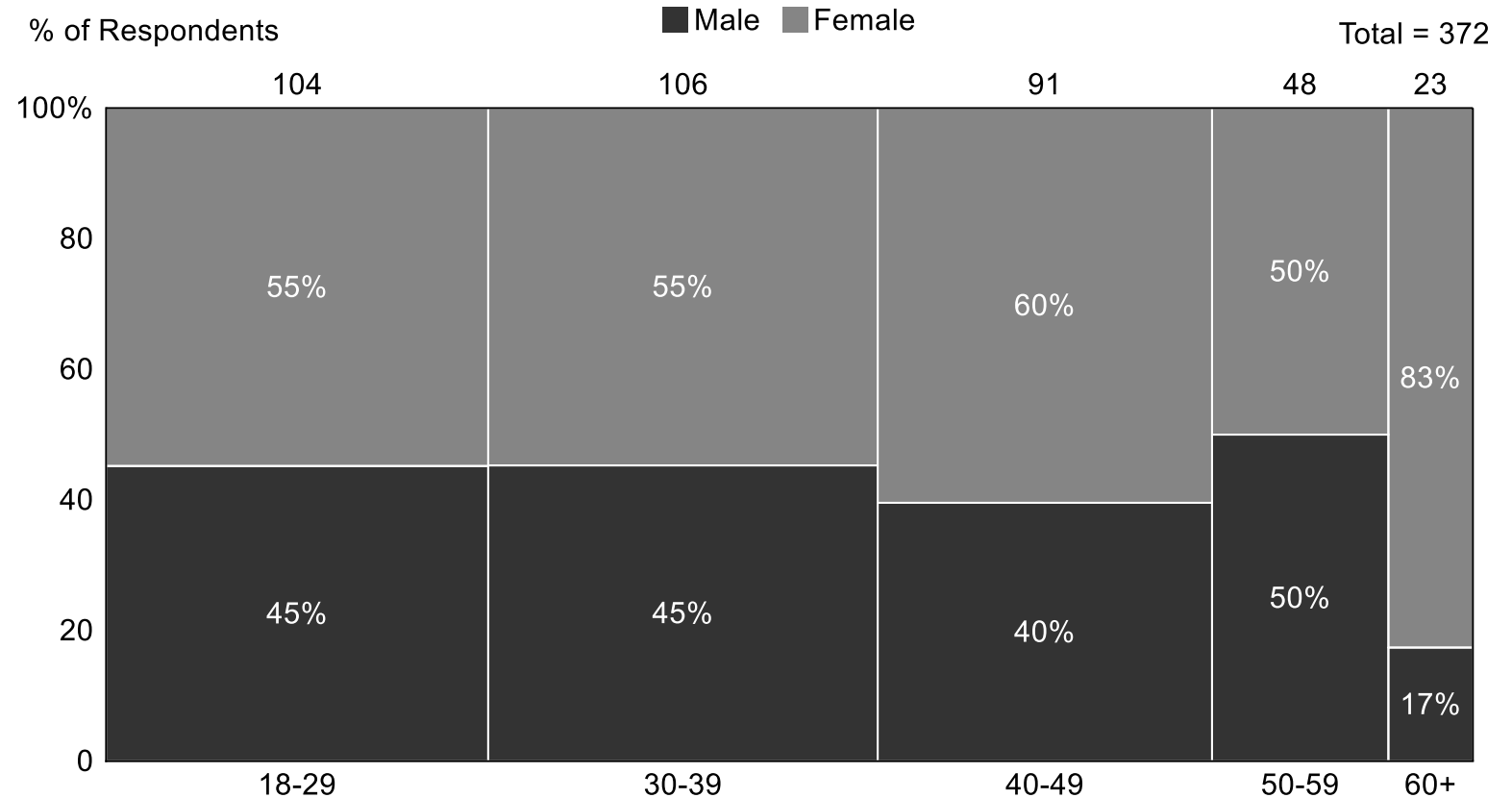
Q.

Have you tried Korean-style fried chicken before?

% of Respondents



Respondents who have tried KRFC by age and gender

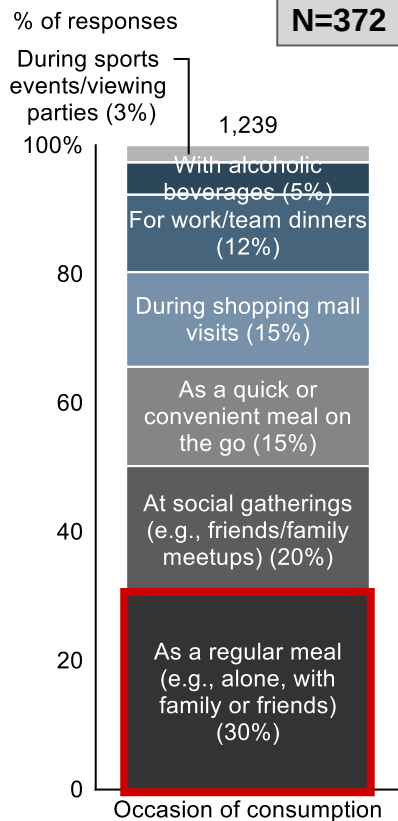


Source: Customer Survey; Bain Analysis

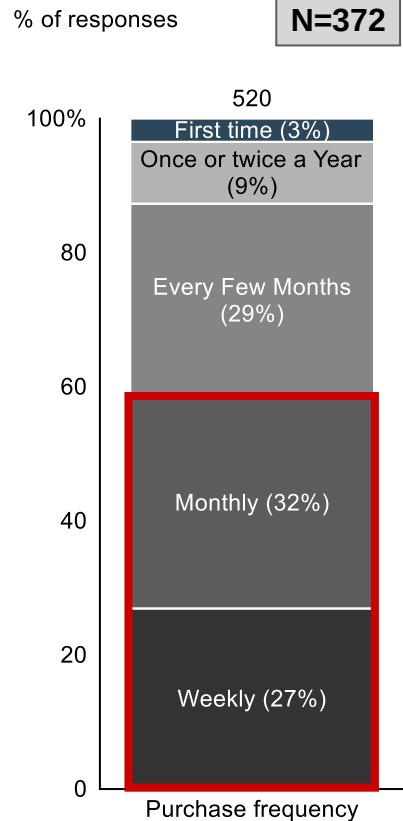
~60% respondents eat KRFC at least once a month, mainly during regular meals; dine-in is the most used channel with flavor as top driver



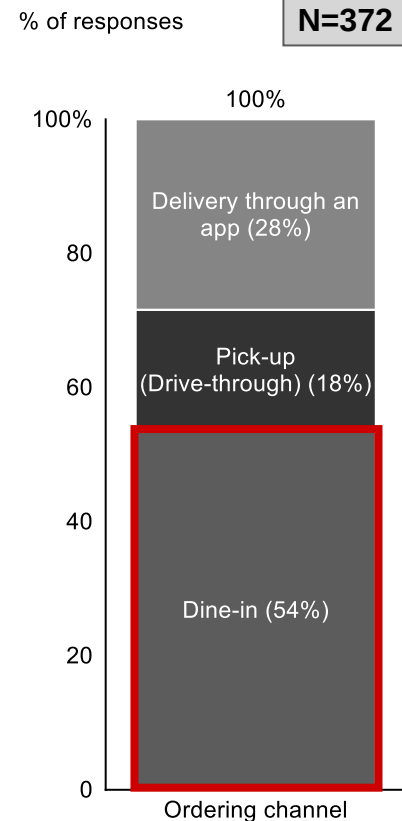
Q. At what occasions do you typically eat KRFC?



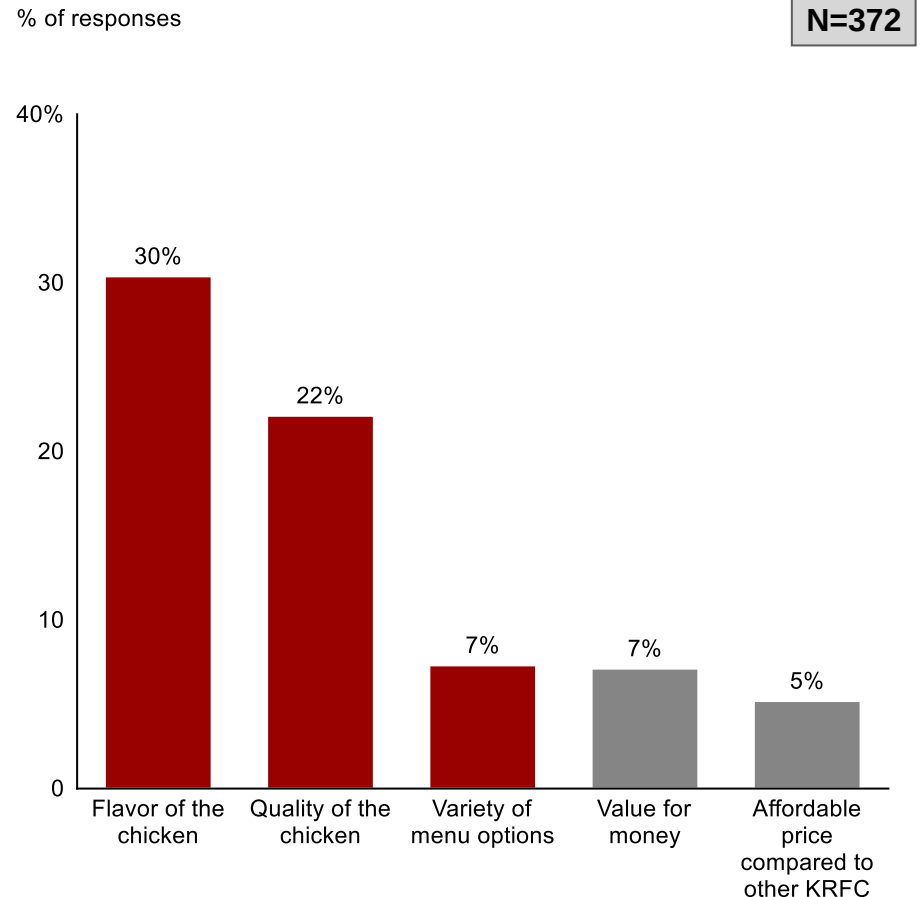
Q. How frequently do you eat KRFC?



Q. Which channel do you usually use to order KRFC?



Q. What is the most important reason you usually choose KRFC?



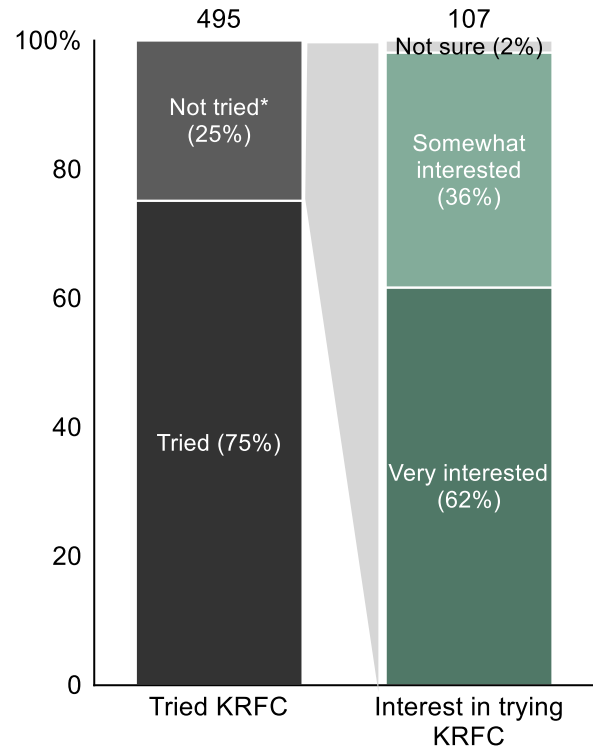
Note: 'Others' has been hidden from the charts on the slide; Source: Customer Survey; Bain Analysis

Very strong potential for KRFC, driven by unique Korean style sauces and crispy light texture; strong appeal among male consumers in their 40s and 50s



Q. (LHS) Have you tried KRFC before?
(RHS) Would you be interested in trying KRFC?

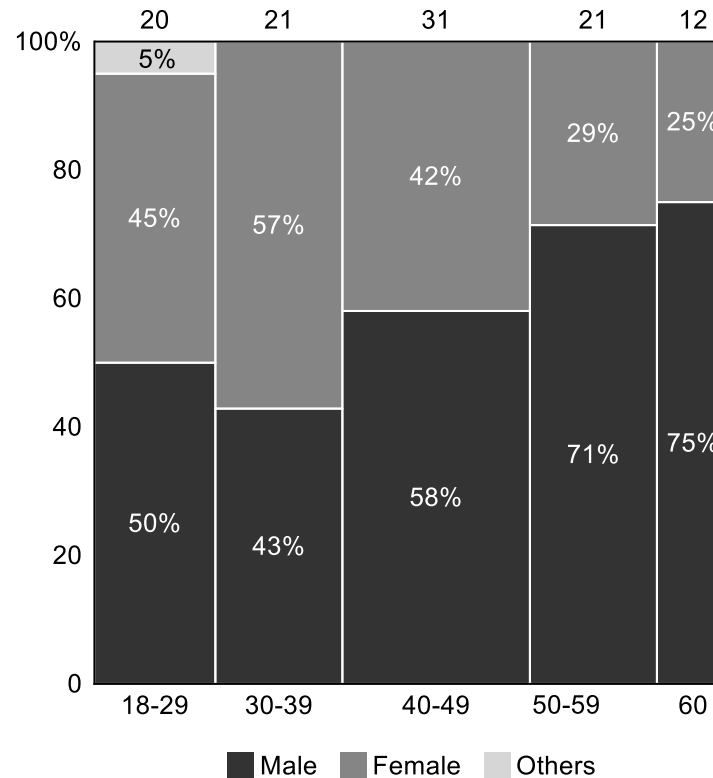
% of respondents



Q. Demographics of respondents who are interested in trying KRFC

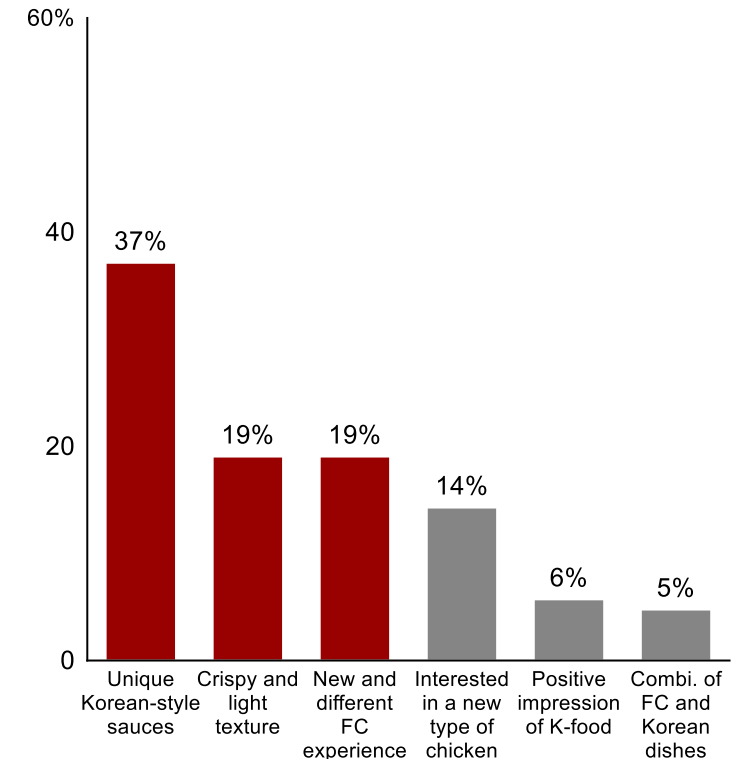
% of respondents

Total=105



Q. What is the most important reason for you to be interested in trying KRFC?

% of respondents (N=105)



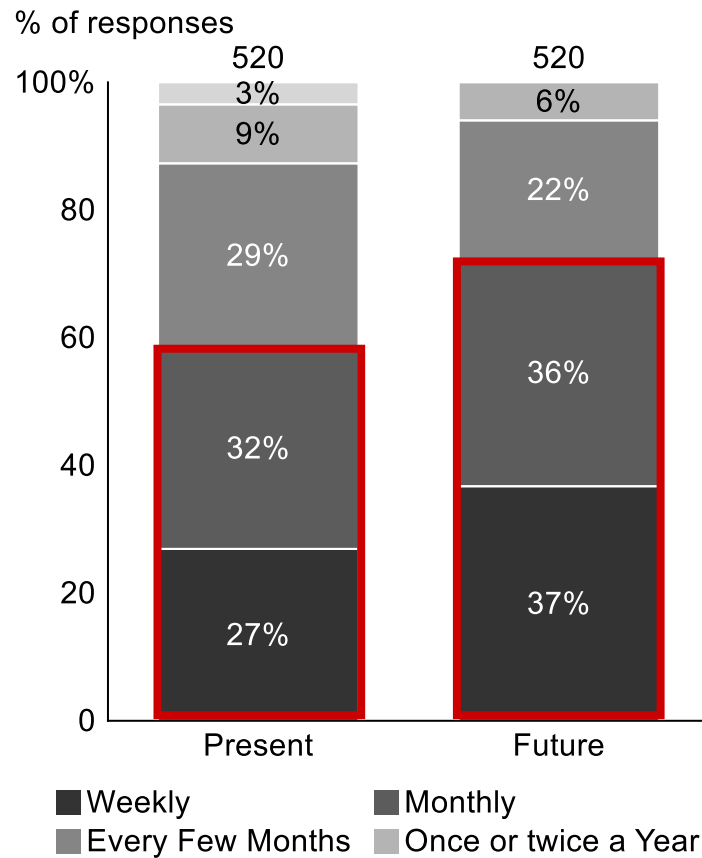
Note: "Others" bar has been hidden from the chart; (*) Includes both not familiar & familiar but not tried; Source: Customer Survey; Bain Analysis

Customers likely to dine more frequently at KRFC brands in the future; Consistent taste and affordability are key growth drivers



Q.

How frequently do you plan to eat KRFC brands in the future?

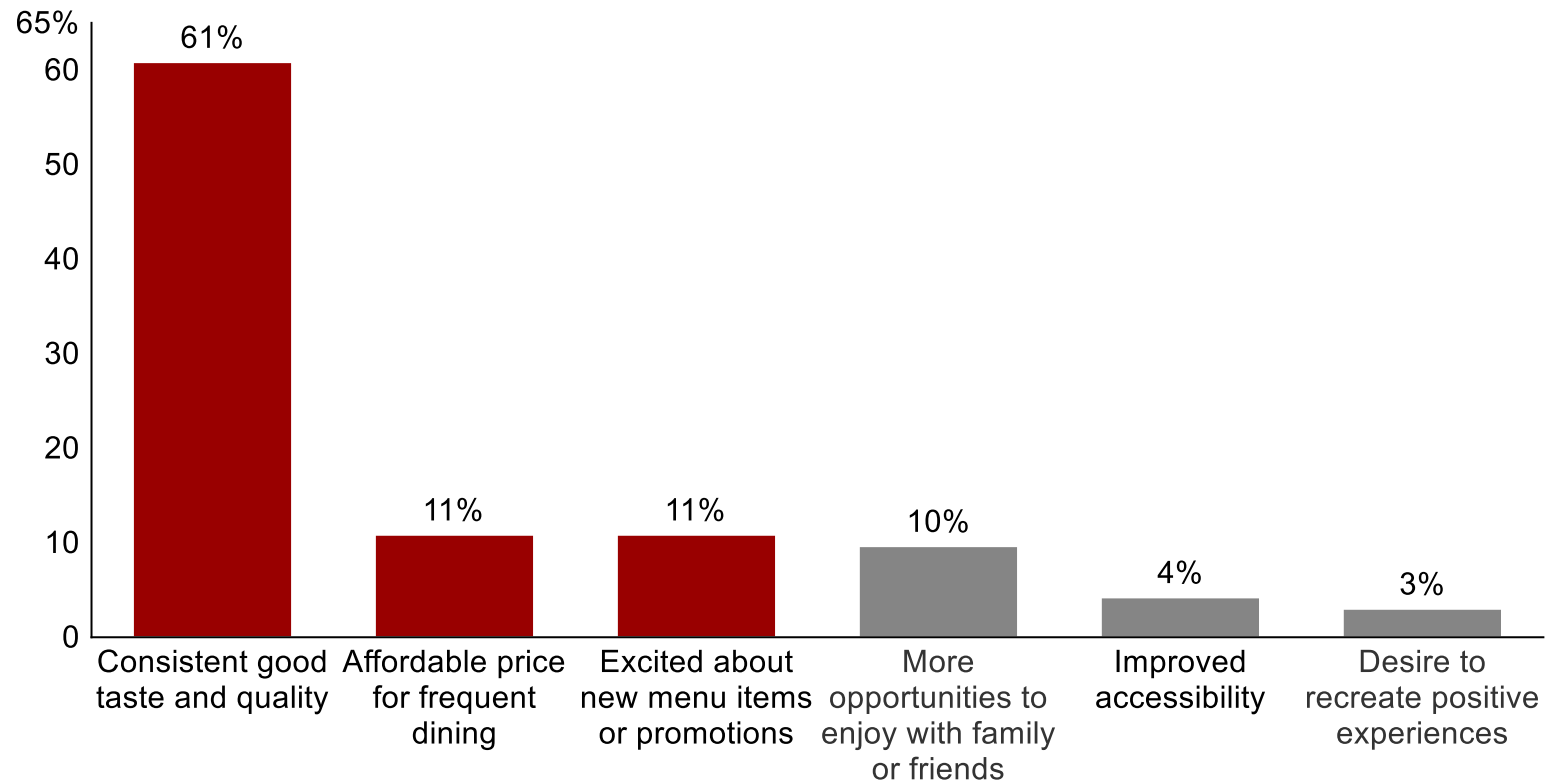


Source: Customer Survey; Bain Analysis

Q.

Of the reasons you selected for KRFC brands to eat more often in the future, which is the most important one?

% of responses (N=166, respondents with higher frequency in the future)



AGENDA

Chicken concept and Korean Fried Chicken market growth prospects

United States

Thailand

Philippines

Boracay's core competency and performance assessment

United States

Thailand

Philippines

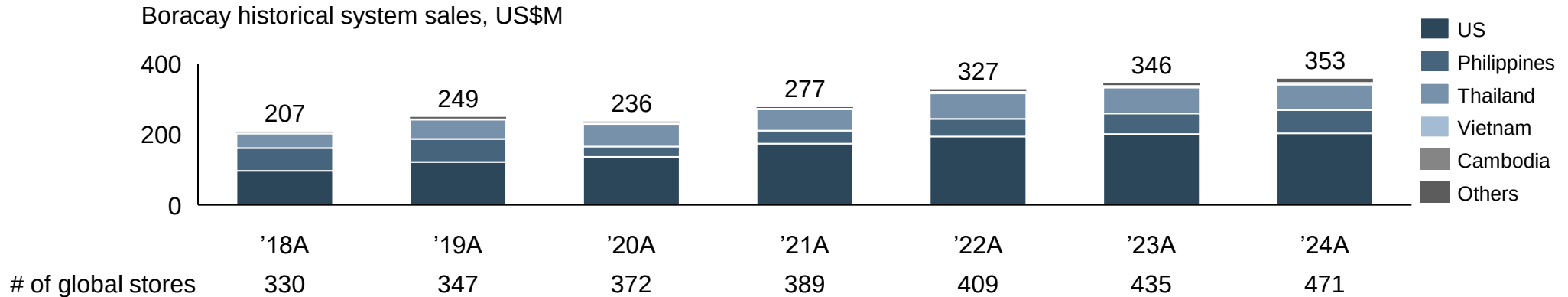
Boracay's value creation opportunities

Appendix: Customer Survey

Alongside overseas expansion into key markets like TH and the PH, Boracay has strengthened its U.S. operations through diverse strategic initiatives

Boracay's growth path

Historical system sales



Key strategic moves

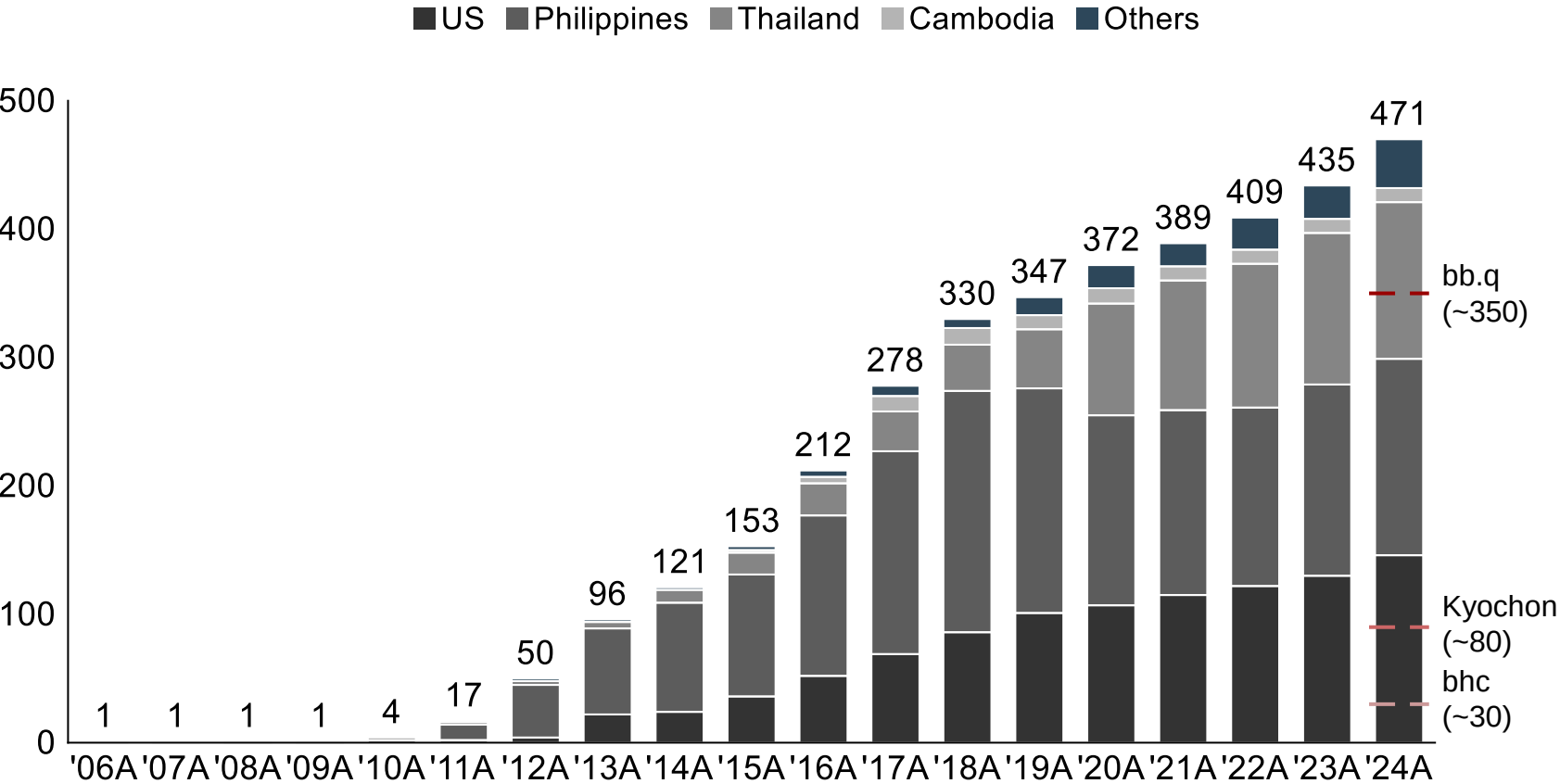
	HQ function reinforcement ('20)	Sauce biz model change ('22)	SCM migration & integration ('23)	Change of operator for 1st party app ('24)	Diversification of store format ('20)
U.S.	- Centralized U.S. HQ functions to improve efficiency in operation - As part of localization and U.S. strategy reinforcement	- Shifting from KR operations toward U.S.-based outsourced prod. - Selecting suppliers to ensure high-quality sauce production	- Shifting from dispersed logistics to a centralized system via Sysco integration - Improved logistics control and management	Switched platform operators to enhance app performance and better capture delivery demand in the U.S.	- Store format strategy is evolving to capture continued demand for delivery and pick-up in the post-COVID - Scaling up delivery-optimized QSR stores in place of existing FCR-type locations - Adjusting store mix to enhance agility in meeting evolving market needs
RoW	1 Global expansion - New entry into SEA countries (~'10) - Building on success in TH and the PH, new market entry is underway across high-potential SEA countries - e.g., Vietnam, Indonesia, etc		1 Global expansion - Preparation for entry into EU markets (~'23) Considering expansion into European markets with strong chicken demand		

Source: Company Internal data; Bain Analysis

As an early mover among KRFC brands, Boracay has built a stable international foundation with around 500 stores across multiple countries

1 GLOBAL EXPANSION

Historical trend of # of overseas stores for Boracay



Source: Company Internal Data; Lit. Search; Bain Analysis

Boracay's global expansion

Early entry into global markets

- Boracay entered the U.S. market in '06, achieving faster overseas expansion
 - bb.q entered the market in '03, around the same time as Boracay
 - bhc began its overseas expansion in '22

Operating franchise biz in ~9 countries

- From initial entry in the U.S., growth has continued across SEA, including Thailand and the Philippines
 - Entered France; preparing to enter the UK and other European markets

Running ~500 locations globally

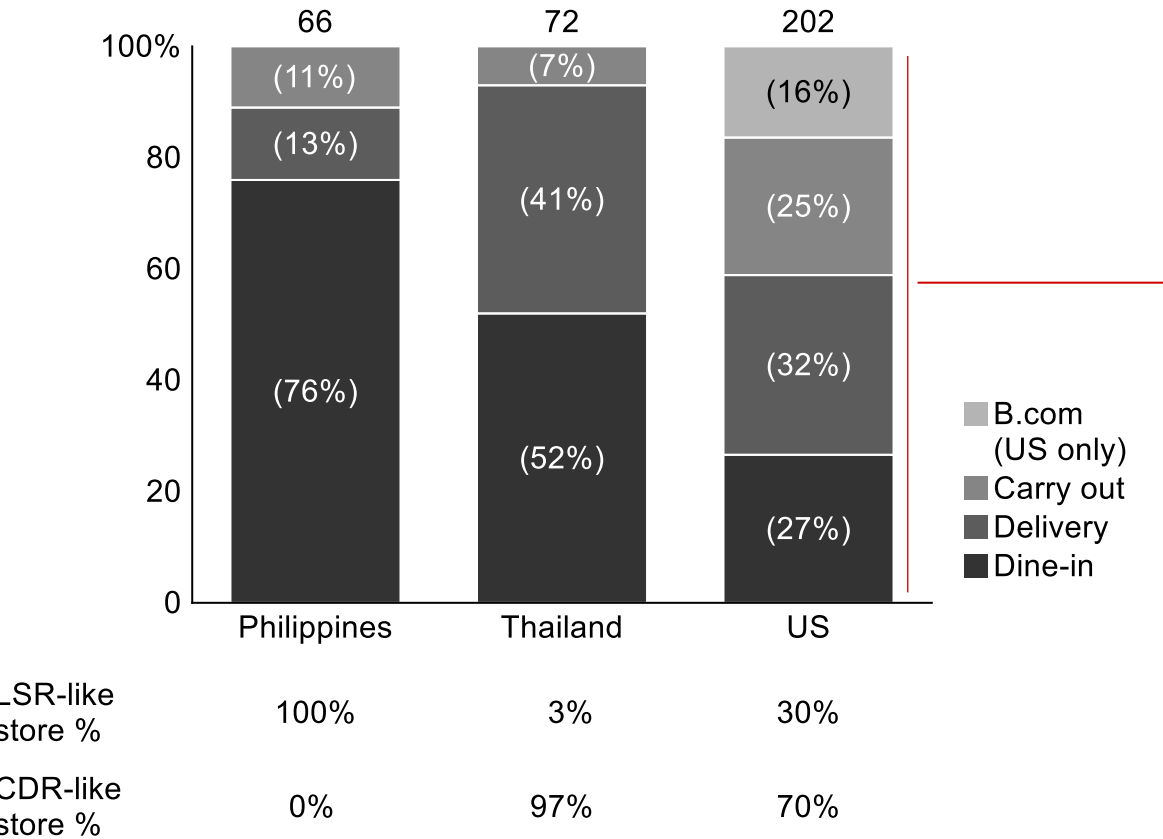
- Ranks 1st in overseas store count among large KRFC brands, followed by bb.q with ~350-400 locations
 - Boracay's global store count is expected to grow with additional openings in both existing and new markets

Sales differ by country as local KRFC habits vary; in the U.S., it's viewed and used as an LSR

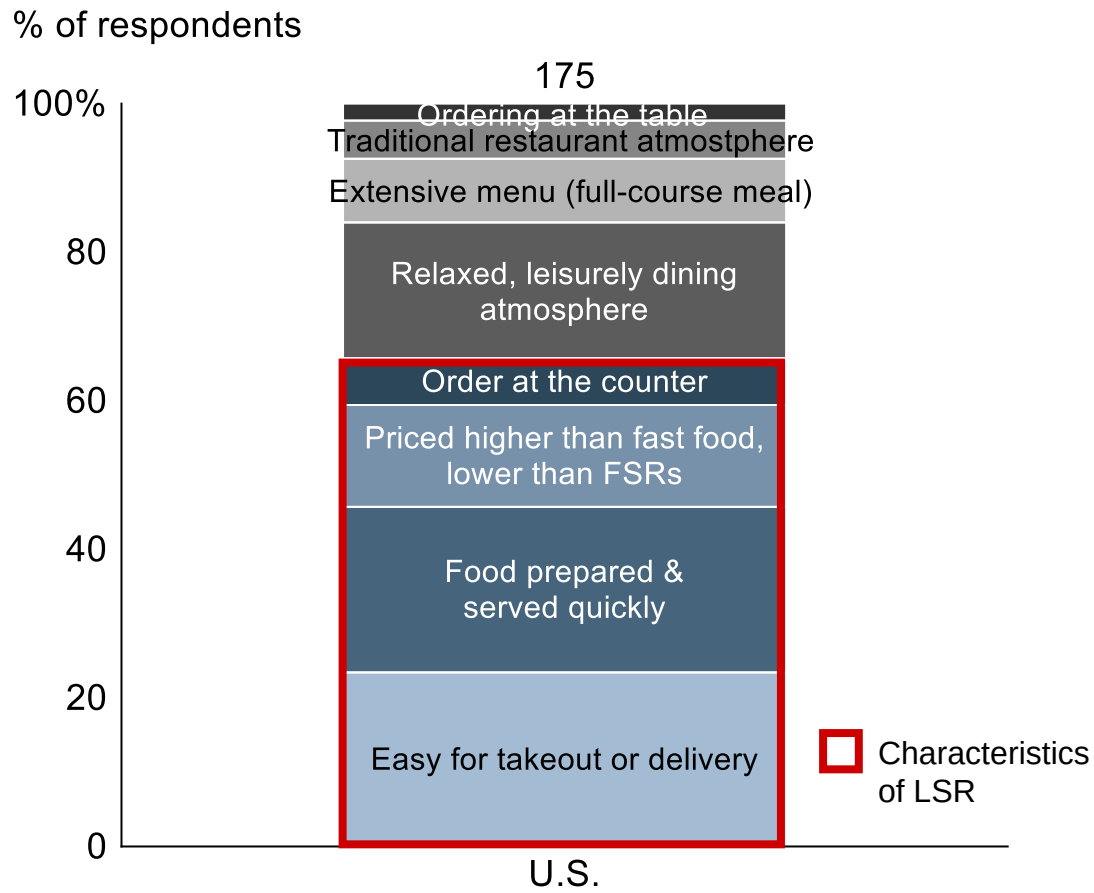
2 STORE FORMAT DIVERSIFICATION

Boracay's GMV breakdown by channel ('24A)

(Unit: M USD)



Q. Of the options you selected, which best describes the characteristics of Boracay's stores?



Note: Respondents who have never been to the store in person have been hidden from the chart; Source: Customer Survey; Bain Analysis

Boracay is actively diversifying store formats and expanding locations in response to rising demand for delivery, pick-up, and ready-to-eat meals



2 STORE FORMAT DIVERSIFICATION

Boracay's store format

LSR			FSR	
QSR		FCR	CDR	Family / Fine dining
Remote kitchen	Delco	Fast casual	Full dine-in	
				

US mkt

of stores*

3 stores

4 stores

42 stores

102 stores

N/A

Expansion history

- ←
- Growth in LSR format (FCR, QSR), fueled by increasing demand for convenient meals and delivery
 - LSR-like sales (e.g. delivery, pick-up) share is also increasing in the CDR stores
- Boracay first entered the US market via CDR and established its presence

*As of Nov-2025; Source: Company Internal Data; Lit. Search; Bain Analysis

AGENDA

Chicken concept and Korean Fried Chicken market growth prospects

United States

Thailand

Philippines

Boracay's core competency and performance assessment

United States

Thailand

Philippines

Boracay's value creation opportunities

Appendix: Customer Survey

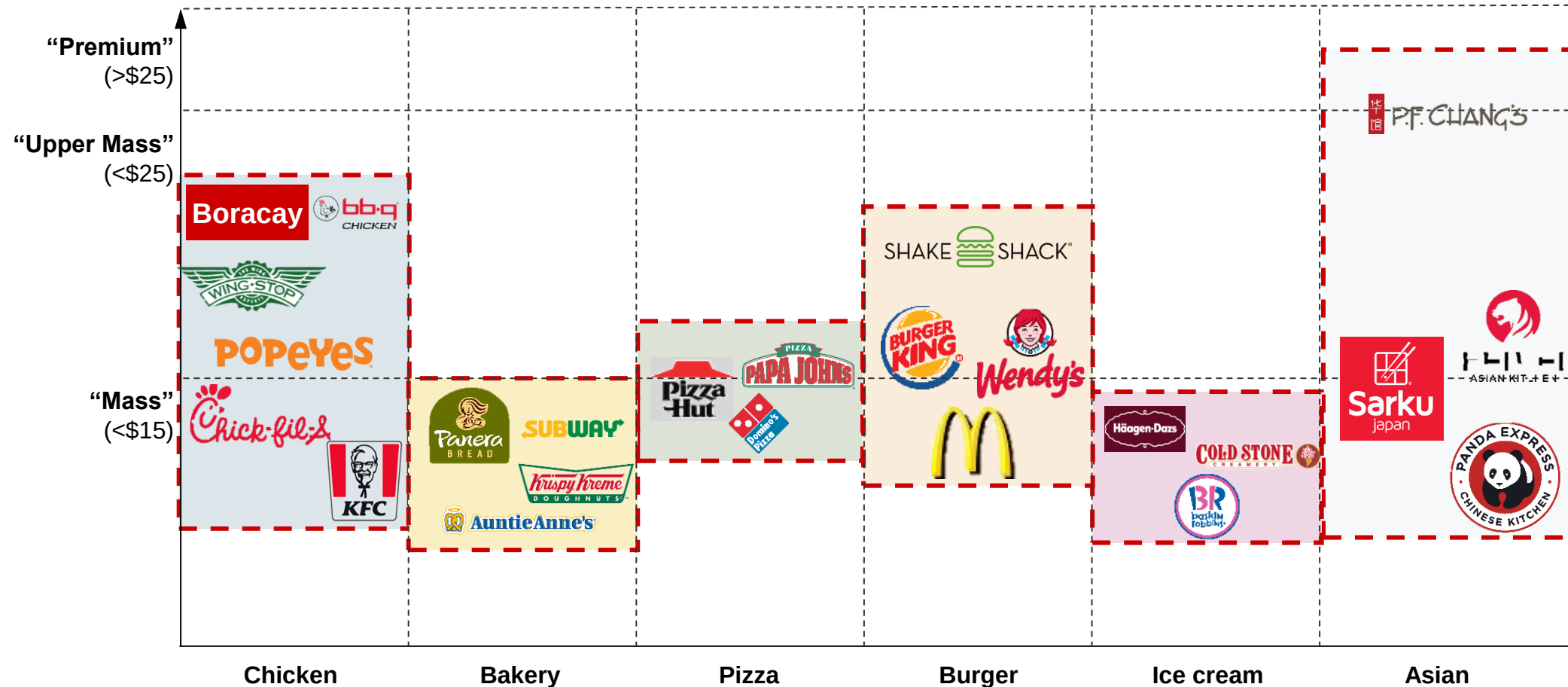
Boracay is positioned at a relatively higher price point within the U.S. foodservice market, reflective of the premium product and experience



/ NON-EXHAUSTIVE

Boracay's price positioning in U.S.

Price point: Brands from top listed companies based on estimated average check size per person

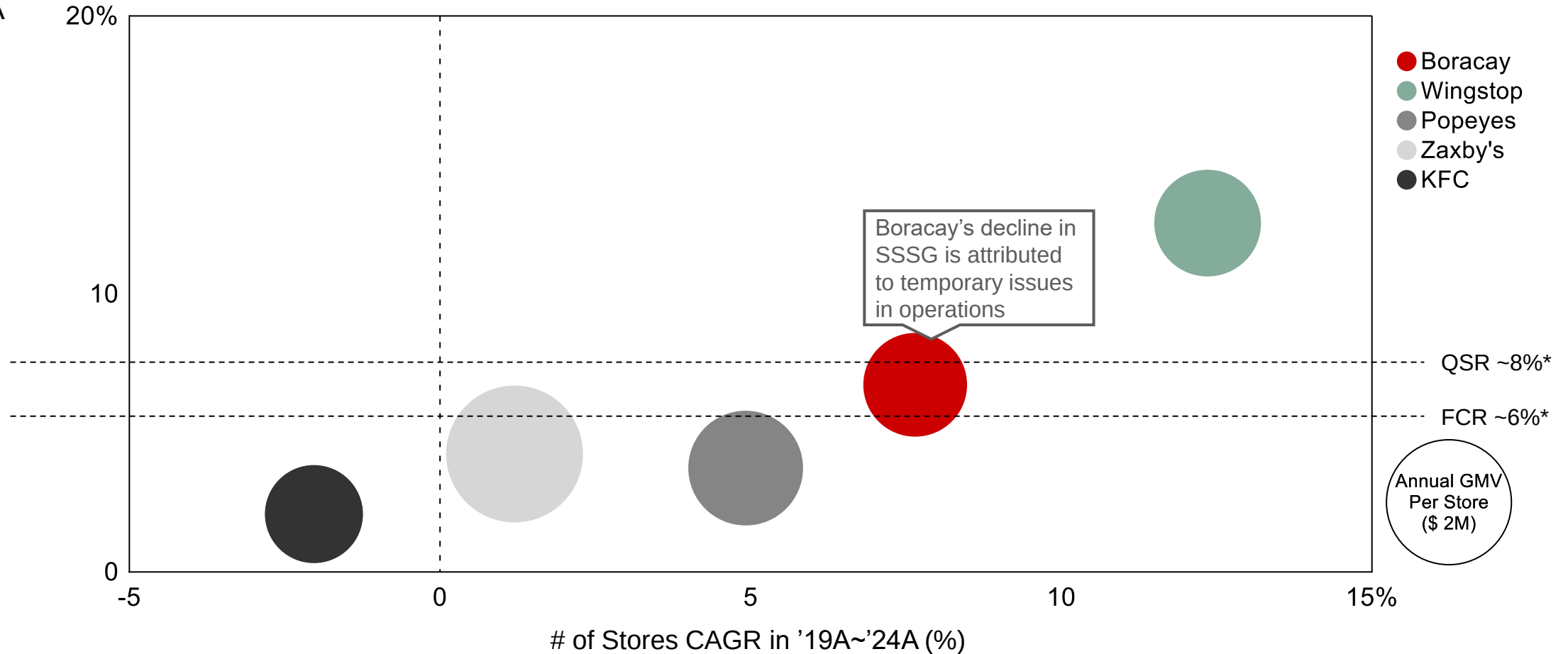


Source: Company websites, Euromonitor, Bain analysis

With high price positioning and greater appeal than legacy fried chicken, Boracay is achieving rapid growth backed by strong per-store growth



SSSG
in '19A~ '24A
(%)



*Average market annual growth rate during '19-'22; Source: Company Internal Data, Euromonitor, Bain analysis

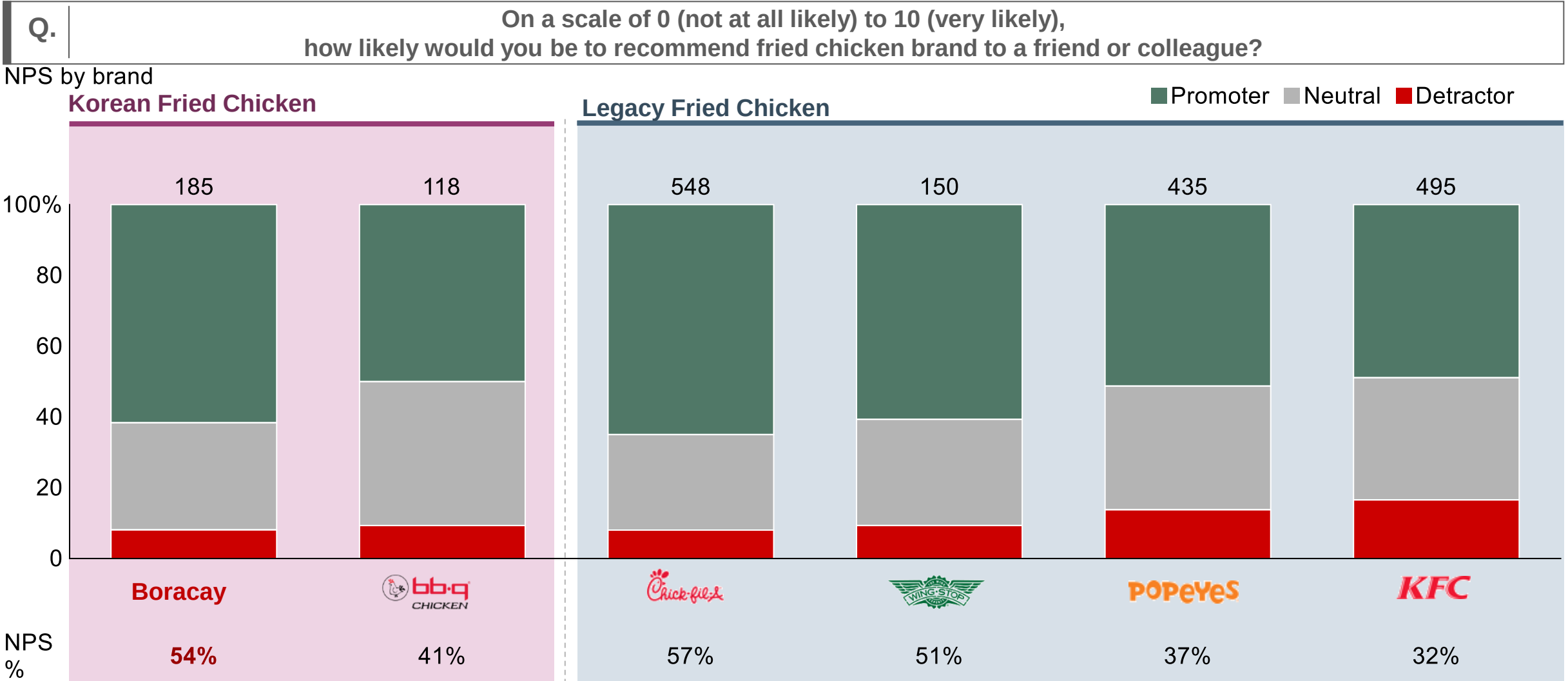
Within the chicken category, KRFC outperforms legacy brands across most KSFs and is seen as comparable to growing brands like Wingstop



KSFs in chicken brands in US	Above par Par Below par		
	KRFC brands (i.e., Boracay)	Growing chicken brands (i.e., Wingstop)	Legacy chicken brands (i.e., KFC)
Unique brand concept	Established own identity as 'fried chicken glazed with sauce' and also as Korean	- Secured unique brands with their signature menu - Wingstop – wings & fries / - Raising Cane's – chicken fingers	Known widely as traditional brands, but lacks own identity compared to new brands
Crave-ability	With extra crunchiness and spicy sauce, offers differentiated taste to customers	- Attract customers with signature menus and variations - Wingstop offers 10+ different dip sauces	Classic menus representing each brands steadily attracts customers
Appeal to younger gen.	'Spicy' becoming a trend among GenZ, attracts them with spicy items (Boracay - spicy)	Leverages Gen-Z culture like hip-hop (e.g., Drake's 'Lemon Pepper Freestyle')	Have limits on appealing to younger generations with their classic brand image
Versatility	Offers casual dine-in experience with soft alcohols, as well as delivery and takeaway	Limits their meal occasion by mostly focusing on delivery & pick-up	QSR brands see continued in-store dining, with consumers not fully shifting to pickup or delivery

Source: Lit. Search; Bain Analysis

KRFC brands show higher customer advocacy than legacy players like KFC, with Boracay's advocacy on par with Chick-fil-A and Wingstop, and ahead of bb.q



Note: "Others" hidden from the chart; Source: Customer Survey; Bain Analysis

Within KRFC, Boracay holds overwhelming customer awareness

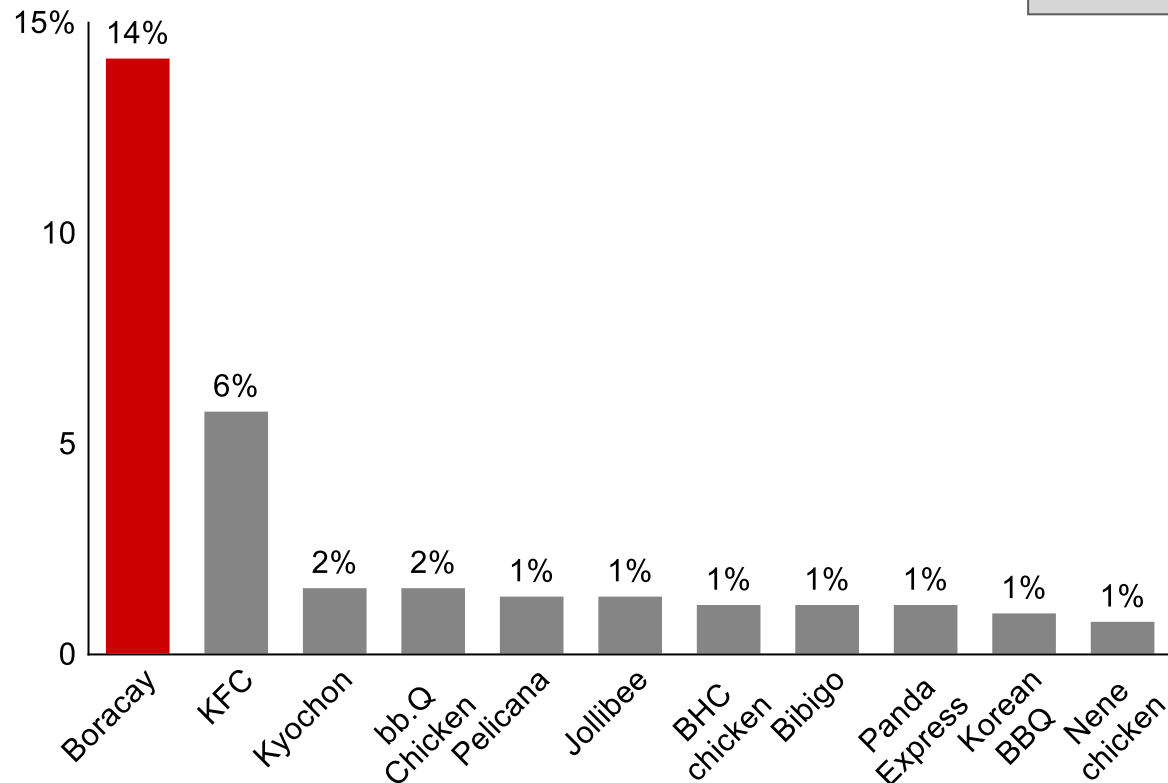


Q What brand first comes to mind when you think of Korean-style fried chicken?

Unaided awareness

% of respondents

N=501

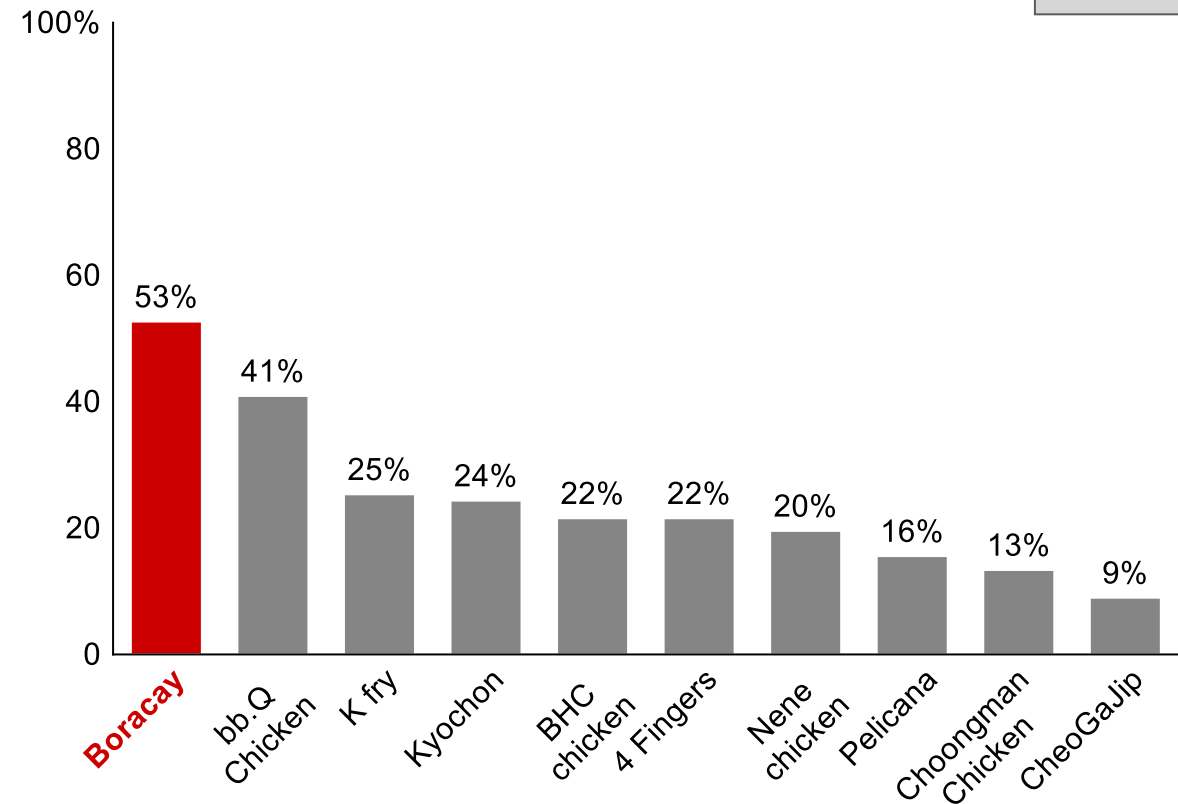


Q Which Korean fried chicken brands are you familiar with? Please select options all that apply.

Aided awareness

% of respondents

N=501

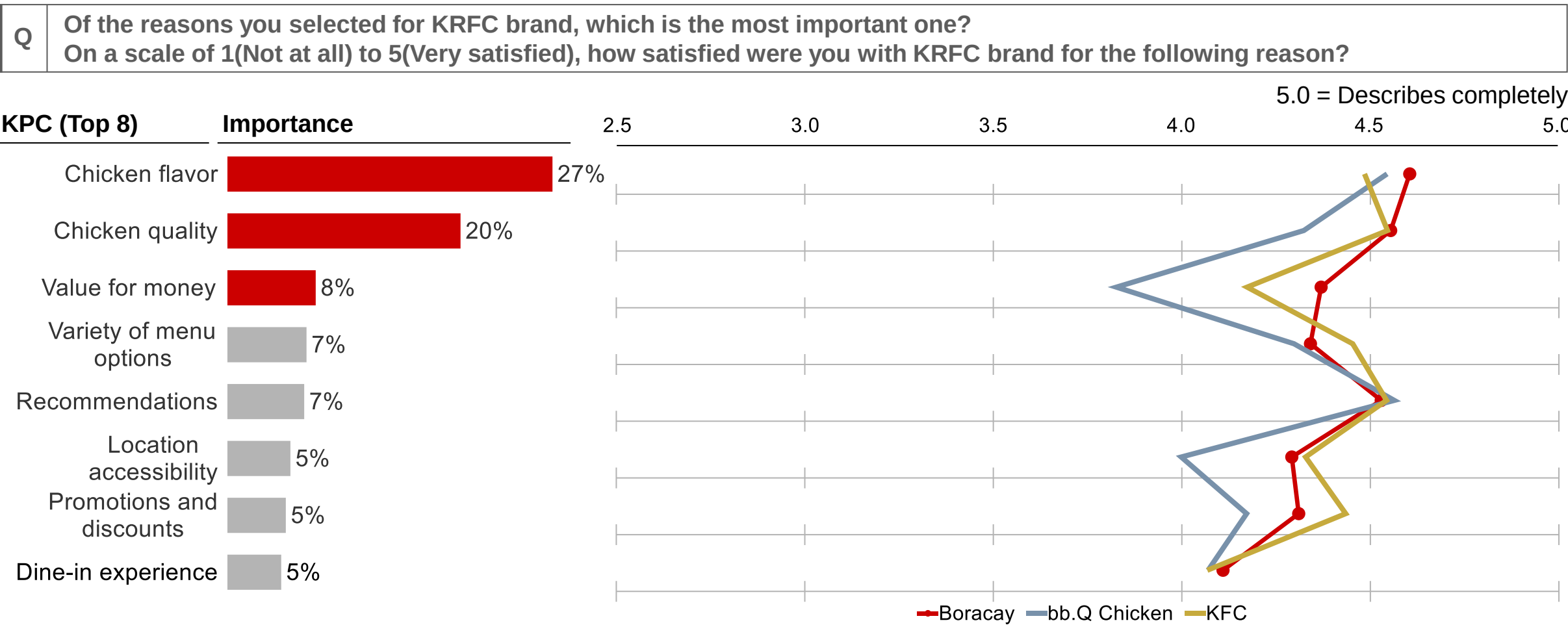


Note: "Others" and brands with no respondents have been excluded; only the top brands are shown in the unaided chart; Source: Customer Survey; Bain Analysis

Customers report greater satisfaction with Boracay compared to bb.q



Chicken flavor (~30%) and chicken quality (~20%) are the most important KPCs



Note: Only top 8 KPCs have been displayed on the LHS chart; Data for Boracay, bb.q, bhc chicken, Kyochon, NeNe Korean bb.q, 4 Fingers and K fry; Source: Customer Survey; Bain Analysis

Back-up: Boracay competitiveness assessment (1/2)



KSFs in chicken brands in US

Above par

Par

Below par

Boracay

bb.q

Wingstop

KFC

Crave-ability

- Has **craveable signature KRFC sauces**, with various Korean side dishes

- **14 different sauce** with **clear Korean-flavored** side dishes offers customers to visit bb.q

- **Signature menus and variations** (offers 10+ different dip sauces) attract customers

- **Classic menus** representing each brands steadily attract customers

Distinct brand concept

- Boracay is **THE category-creator and has an authentic brand**
 - Has several non-Korean Asian menus (takoyaki, udon, etc.)

- **Maintains its identity as “Korean”**, emphasizing its relation to K-culture
 - Launched “How to speak Korean Fried Chicken (in Korean)” ad ('24)

- Secured unique brands with their **signature menu** (Wings & fries)

- Known widely as traditional brands, but **lacks own identity compared to new brands**

Appeal to younger gen.

- **‘Spicy’ becoming a trend** among GenZ, attracts them with spicy items (bb.q – caribbean, Boracay - spicy)
- Targets **younger generations interested in K-culture**, who are often considered “trendy”

- **Leverages GenZ culture** like hip-hop (e.g., Drake’s ‘Lemon Pepper Freestyle’)

- Have limits on appealing to younger generations with their classic brand image

Versatility

- Offers **dine-in experience with soft alcohols**, as well as **delivery and takeaway**

- Mainly focuses on **take-out and delivery channel** (most of its stores are ‘express’ type)

- Limits their meal occasion by **mostly focusing on delivery & pick-up**

- Though positioned as QSR, **consumers still dine in stores**, not only having them delivered or picked-up

Back-up: Boracay competitiveness assessment (2/2)



KSFs in chicken brands in US	Above par Par Below par			
	Boracay	bb.q	Wingstop	KFC
Nego. power with local supply chain	Stretching variety of ingredients but low volume per menu results in weaker negotiation power	HQ overlooks majority of sourcing and procurement, securing stronger negotiation power relative to individual units	With centralized procurement and logistics management system, HQs of each brand exerts extensive price negotiation power over regional suppliers fueled by their large order volume	
Proven ingredient quality (sauce)	Sources sauces from KENS, currently transitioning to TK's to ensure higher quality and consistency	Sources sauces directly from Korea, successfully maintaining the original quality and taste as of that in Korea	HQ mandates purchase of sauce and seasonings from strictly qualified vendors, hence majority of stores in the US of each brand maintains uniform and fine quality	
Strict guidelines on training	Offers standard training curriculum	Operational consultants provide on-premise training for 2-3 weeks immediately after launch of new store	Benchmarked leading franchises to establish hands-on training program for new employees and clear manuals	HQ operates digital platform with resources & AI chat-bot while BP stores train new employees through a shift shadowing mechanism
Strict mgmt. on QSC consistency	Operational consultants audit service and store condition; recently included food quality evaluation with culinary experts	Excluding stores in NY & NJ, personnels from HQ visit only 1 or 2 times a year for QSC (mostly done as a formality)	Conducts frequent announced & un-announced quality audits and findings are evaluated using an elaborate rating system ensuring both minor and severe deviation from guidelines are appropriately penalized	

Source: Lit. Search; Bain Analysis

Boracay, as KRFC's frontrunner, and bb.q, as a follower, are co-creating the KRFC market, leveraging the concept's competitive strengths



KSFs	Boracay	bb.q chicken 
Unique brand concept	- Though displaying its identity as a KRFC brand, expands its horizon with more diverse Asian menu - Has several non-Korean Asian menus (Shrimp shumai, Bao buns, takoyaki, udon, etc.)	Maintains its identity as “Korean” with commercials and menu more emphasizing its relation to K-culture - Launched “How to speak Korean Fried Chicken (in Korean)” ad in '24, with most of its side dishes limited to “Korean” foods
Crave-ability	Approaches customers with its unique signature sauces, Soy garlic and Spicy, aiming to position itself as a go-to-place for typical KRFC	- Keeps renewing its main fried chicken menu, aiming to target broader customers and create buzz - Has 14 different fried chicken menus (Honey Garlic, Secret Sauce, Hot Spicy, Gangnam Style, Cheesling, etc.)
Appeal to younger gen.	Targets a broader audience while reflecting Korean origins in a way that supports mainstream appeal	- Linking the brand identity with K-culture, tries to target trendy GenZs who are interested in Korean cultures - Uses K-pop as a background music of its commercial & advertise its exposure on Korean TV shows or dramas
Versatility	- Started with casual dining format with soft alcohols, but also provides delivery and takeaway - Recently introduced LSR type stores (Fast Casual, Delco, remote kitchen) specializing in delivery and takeaway sales	Focuses on delivery and takeaway sales based on the same business format of Korea ~80% of the stores are “express” type, which has very few table seats and no table service
Franchisee friendliness	More flexibility in ingredient sourcing allows franchisees with higher margin; ongoing menu simplification and training efforts aim to further enhance operational consistency and quality	Requires to purchase all ingredients and materials through HQ, which eases the difficulty to run the business but harms the profitability of individual franchisees

Source: Expert Interview; Lit. Search; Bain Analysis

AGENDA

Chicken concept and Korean Fried Chicken market growth prospects

United States

Thailand

Philippines

Boracay's core competency and performance assessment

United States

Thailand

Philippines

Boracay's value creation opportunities

Appendix: Customer Survey

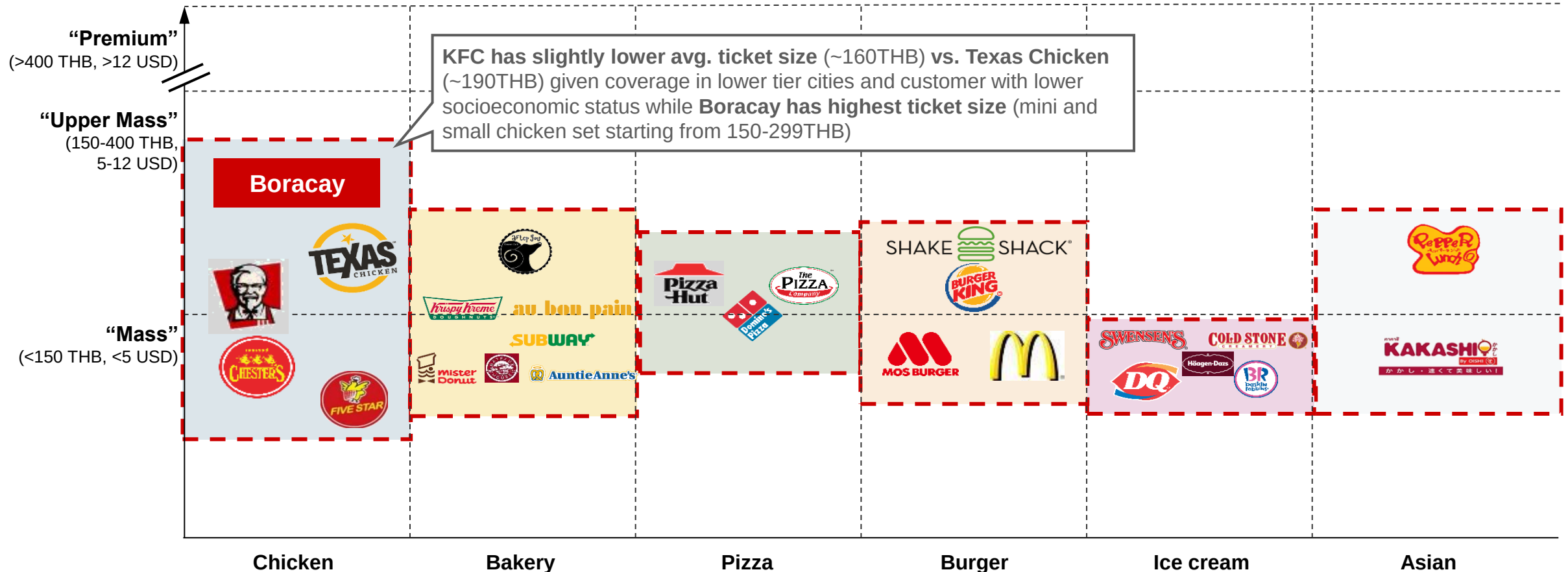
Boracay occupies a distinct upper-mass positioning among fried chicken brands in Thailand, enabling it to command the highest ticket size in the category



/ NON-EXHAUSTIVE

Boracay's price positioning in Thailand

Price point: Brands from top listed companies based on estimated average ticket size per person

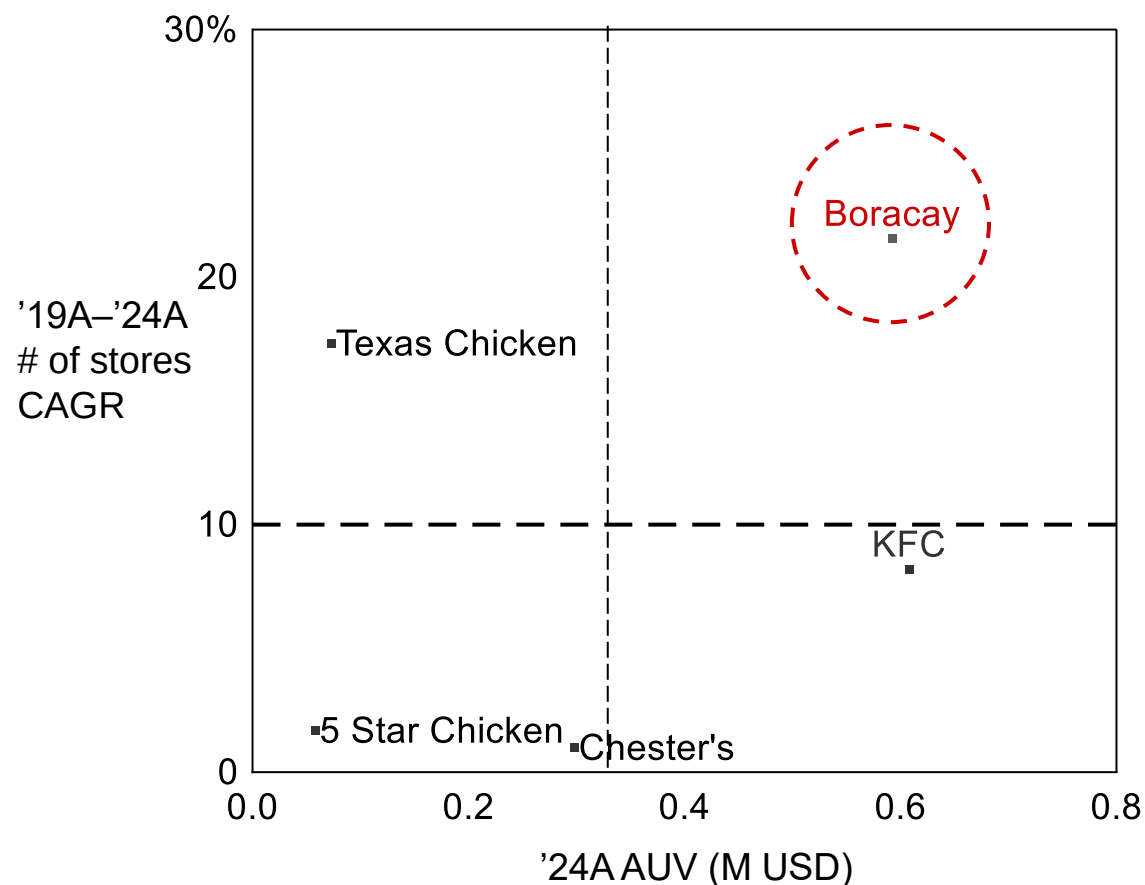


Notes: Five Star is mainly categorized as street stalls / kiosks, but has started expanding to QSR model; Source: Company Websites, Euromonitor, Bain Analysis

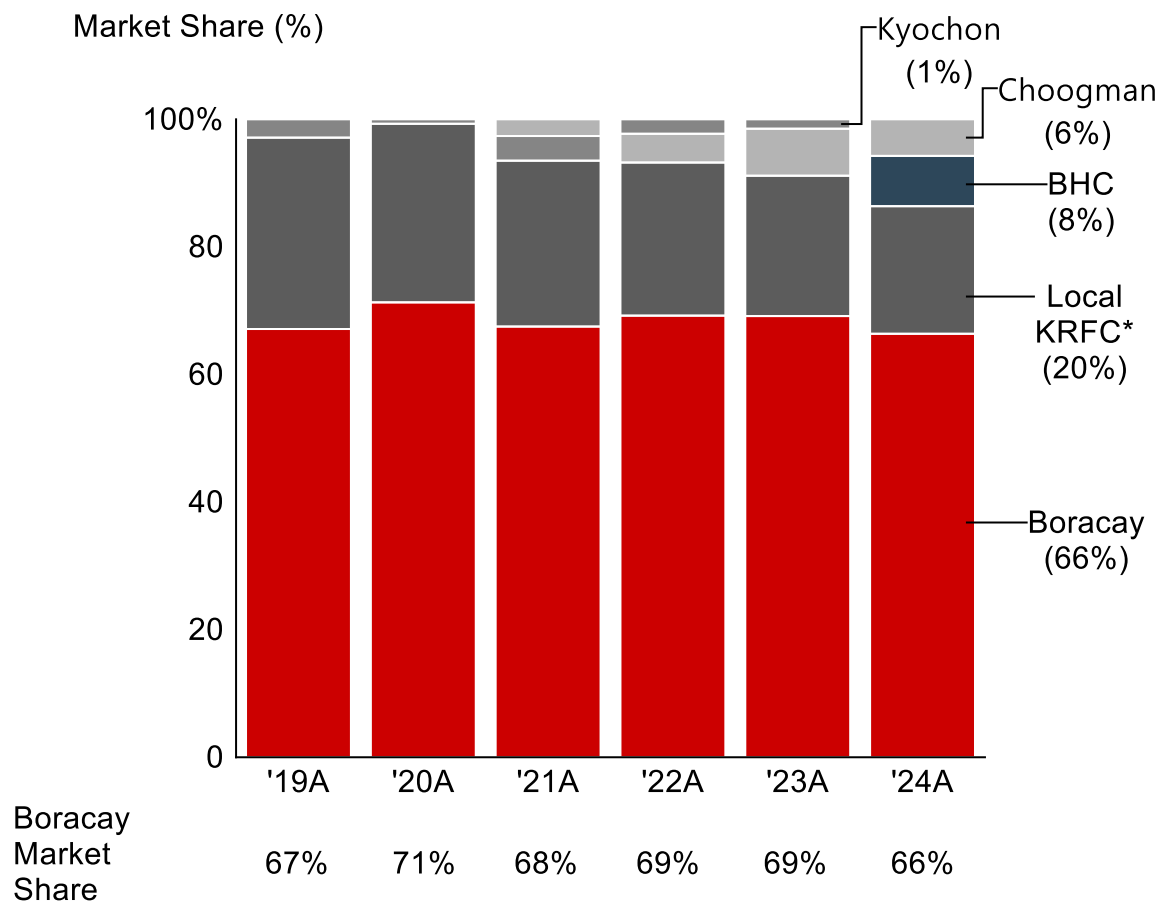
Boracay's high AUV and accelerated store expansion solidify its market leadership in KRFC and establish it as a dominant player in Thailand



Thailand chicken market performance overview



Thailand KRFC market share trend



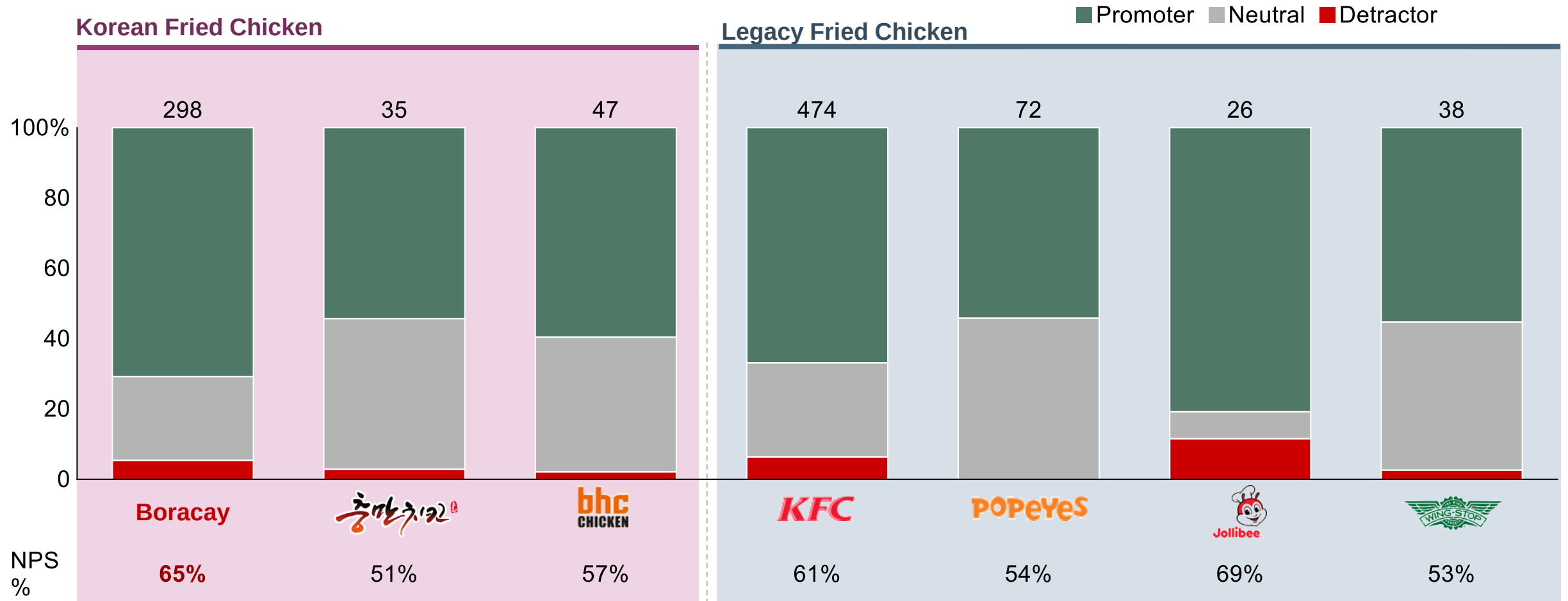
*Includes Thailand local players (e.g GuGu Chicken); Source: Expert Interview; Lit. search; Bain Analysis

Boracay outperforms key KRFC competitors on customer advocacy, with higher NPS and customer presence vs. its major competitor, bhc



Q.

On a scale of 0 (not at all likely) to 10 (very likely),
how likely would you be to recommend fried chicken brand to a friend or colleague?



Note: "Others" and brands with N<10 hidden from the chart; Source: Customer Survey, Bain Analysis

Boracay leads brand awareness by a significant margin with unaided at ~65% and aided at 90%, well ahead of bb.q Chicken, bhc and other brands

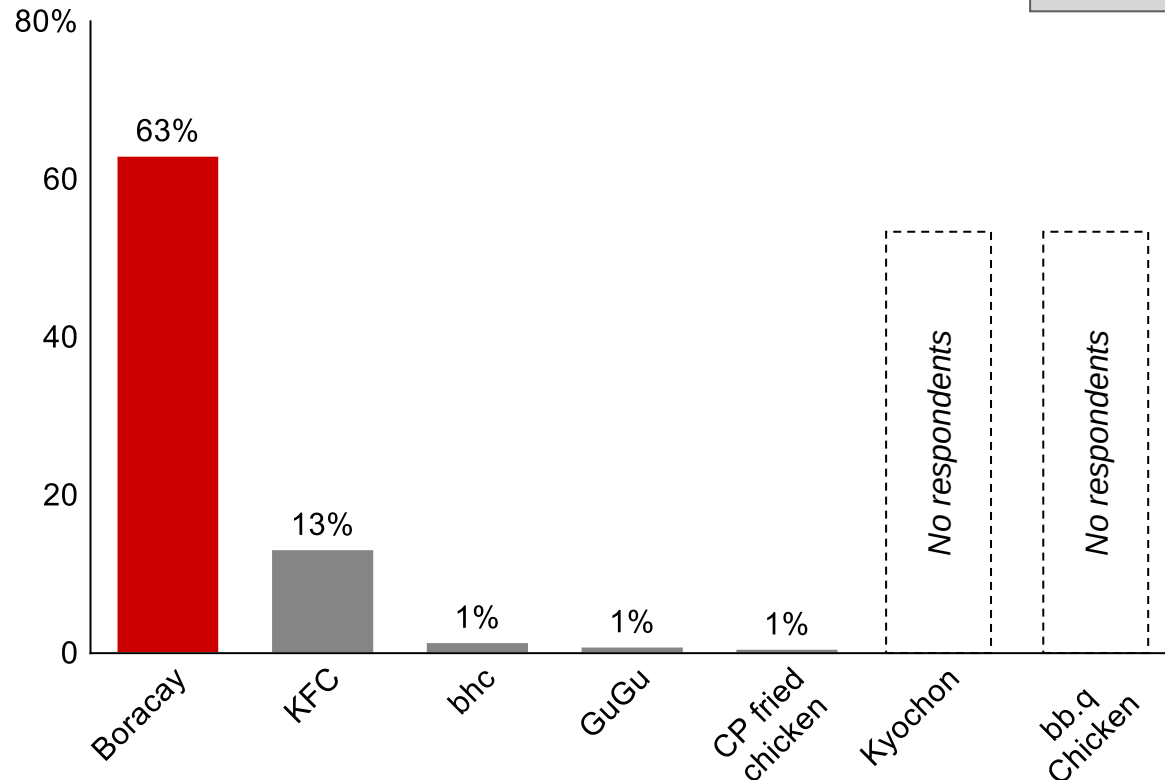


Q What brand first comes to mind when you think of Korean-style fried chicken?

Unaided awareness

% of respondents

N=357

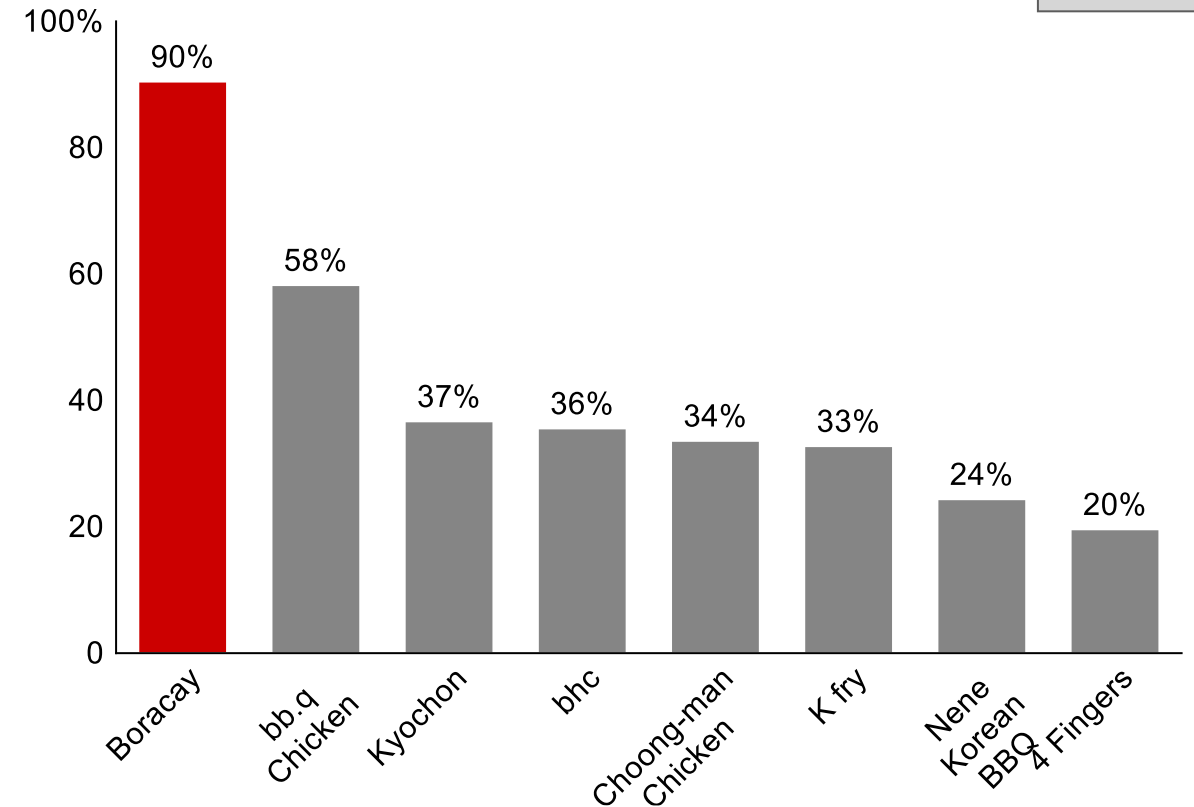


Q Which Korean fried chicken brands are you familiar with? Please select options all that apply.

Aided awareness

% of respondents

N=357



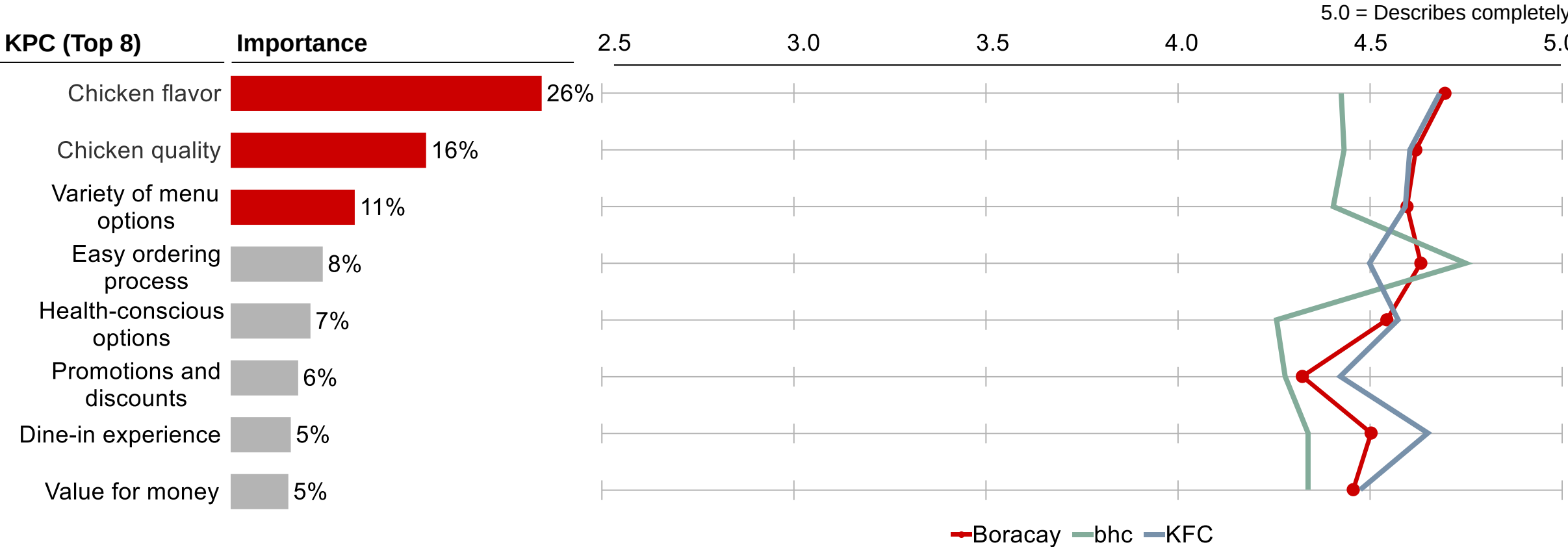
Note: "Others" and brands with no respondents have been excluded; only the top brands are shown in the unaided chart; Source: Customer Survey, Bain Analysis

Chicken flavor and quality emerge as the primary purchase drivers, with Boracay outperforming competitors on taste metrics



Chicken flavor (~25%) and chicken quality (~15%) are the most important KPCs

Q Of the reasons you selected for KRFC Brand, which is the most important one?
On a scale of 1(Not at all) to 5(Very satisfied), how satisfied were you with KRFC Brand for the following reason?



Note: Only top 8 KPCs have been displayed on the LHS chart; Data for Boracay, bb.q, bhc, and Kyochon; Source: Customer Survey; Bain Analysis

Back-up: Boracay shows the broadest and deepest search interest among KRFC brands



/ THAILAND

Boracay



GUGU Chicken



Chester's



Choongman



bhc Chicken



Commentary

- **Boracay stands out among Korean fried chicken brands in Thailand**, demonstrating strong nationwide search interest — a clear signal of rising mainstream awareness
- Due to its global brand strength, KFC is the only player surpassing Boracay, maintaining a dominant presence across multiple Thai regions
- **Boracay's primary stronghold is Central Thailand**, with significant search volume in Bangkok and Nonthaburi. There is notable **headroom for expansion into Eastern and Southern Thailand**

Search Interest

Lowest



Highest

Note: Search index by geography is relative to overall volumes of searches in the respective state; Source: Google Trends (April'19-March'25; Thailand); Bain Analysis

In Thailand, Boracay holds a defensible HQ-led advantage that significantly outpaces KRFC peers, particularly in MF support and menu development



Above par

Par

Below par

Competitive assessment of major KRFC players in the Thailand – Headquarter

	Boracay (~122 stores, '24A)	Choongman (~8 stores, '24A)	bhc (~11 stores, '24A)
Overall	Above par Leading KRFC brand in Thailand with HQ's strong support for local execution	Below par Limited presence and weak HQ–MF alignment hinder brand execution in Thailand	Par Moderate brand foundation but lacks market-tailored execution and systematic MF support
A-1 Agile HQ-MF Comm. System	24/7 communication loop and proactive issue resolution - Real-time communication via messenger between staff and local personnel, with monthly check-ins	- Local MF is mostly entrusted with simple operational tasks - Support frequency for MF low, lack of personnel in charge, feedback incorporation from HQ slow	Regular communication with Meation Group occurs, but HQ's lack of experience in the SEA market resulting in relatively weaker systematic MF support
A-2 K-Food/ Local Menu Dev.	- Menus catered to local consumption habits; strong K-Food positioning - Sells chicken + rice set menus like other local brands and offers 18 different K-side menus	- Limited menu innovation; no clear K-Food theme - K-side menu limited to rice variety	- K-food menu depth leveraged from Korean market origin - Side menus including menus like Japchae, Rabokki, Jjampong
A-3 Store Interior	- Consistent, modern K-Food interior concept aligned with brand identity - Compact design to reduce burden on franchisees	Standardized interiors with no strong localization	Unified K-style store design, but limited localization
A-4 Strategic Pricing	Upper-mass positioning; affordable yet may risk niche image if priced higher	Mid-level pricing, relatively in line with other KRFC brands	Lacks clear communication; perception of premium has potential to limit mass appeal

Source: Expert Interview; Lit. Search; Bain Analysis

As the leading F&B MF in Thailand, Minor Food Group gives Boracay a distinct advantage across all key success factors, unmatched by KRFC competitors



Above par

Par

Below par

Competitive assessment of major KRFC players in the Thailand – Master Franchisee

	Minor Food Group (Boracay)	Choongman Thailand Company (Choongman)	Meation Group (bhc)
Summary	Above par Leading F&B operator in Thailand with strong multi-brand synergies and execution excellence	Below par Limited to Choongman brand with weak F&B portfolio and operational experience.	Par Owns multiple Korean food brands but lacks integration and scale benefits
B-1 F&B Franchise Experience	Extensive restaurant franchise experience with global brands - One of Asia's largest restaurant operators, managing ~26 global food brands, ~2,600 outlets across 26 countries	No significant external restaurant franchise operation experience prior to Choongman - Experience limited to small consumer retail	Experience w/ Korean restaurant brands but limited to niche categories; focusing on bringing K-restaurants to TH market - Operated 3 brands in Thailand
B-2 Data-Driven Marketing	Leverages BP among portfolio groups by rotating brand dedicated marketing teams 3-4 major campaigns/y & constant SNS monitoring	Limited to brand-specific marketing, lacks broader strategic marketing capabilities	Group-level marketing exists but constrained at individual brand level
B-3 Delivery Platform Leverage	Strong bargaining position through scale and presence across major platforms - Negotiated 2.5X lower platform fee by establishing bulk-brand contracts	Limited bargaining power with major delivery platforms due to the lack of affiliated restaurant brands	Limited bargaining power with major delivery platforms as it operates only ~3 restaurant brands under its group
B-4 Site Access	Superior site access capabilities through established relationships with major landlords and mall operators	Limited landlord network restricts site access to core urban areas	Site acquisition efforts are constrained by insufficient local landlord relationships and operational scale

Source: Expert Interview; Lit. Search; Bain Analysis

A G E N D A

Chicken concept and Korean Fried Chicken market growth prospects

United States

Thailand

Philippines

Boracay's core competency and performance assessment

United States

Thailand

Philippines

Boracay's value creation opportunities

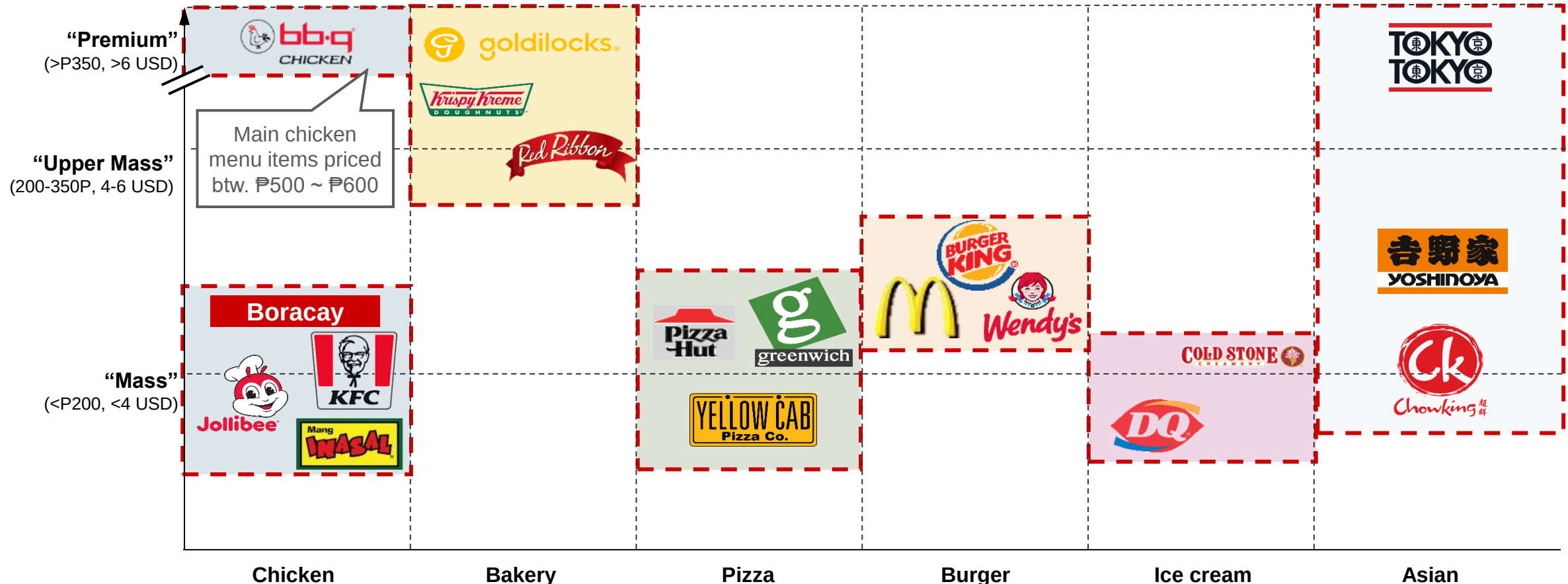
Appendix: Customer Survey

Boracay is positioned as the 'value-for-money' brand within the Philippines chicken segment, offering accessible pricing with solid product appeal

/NON-EXHAUSTIVE

Boracay's price positioning in the Philippines

Price point: Brands from top listed companies based on estimated average check size per person



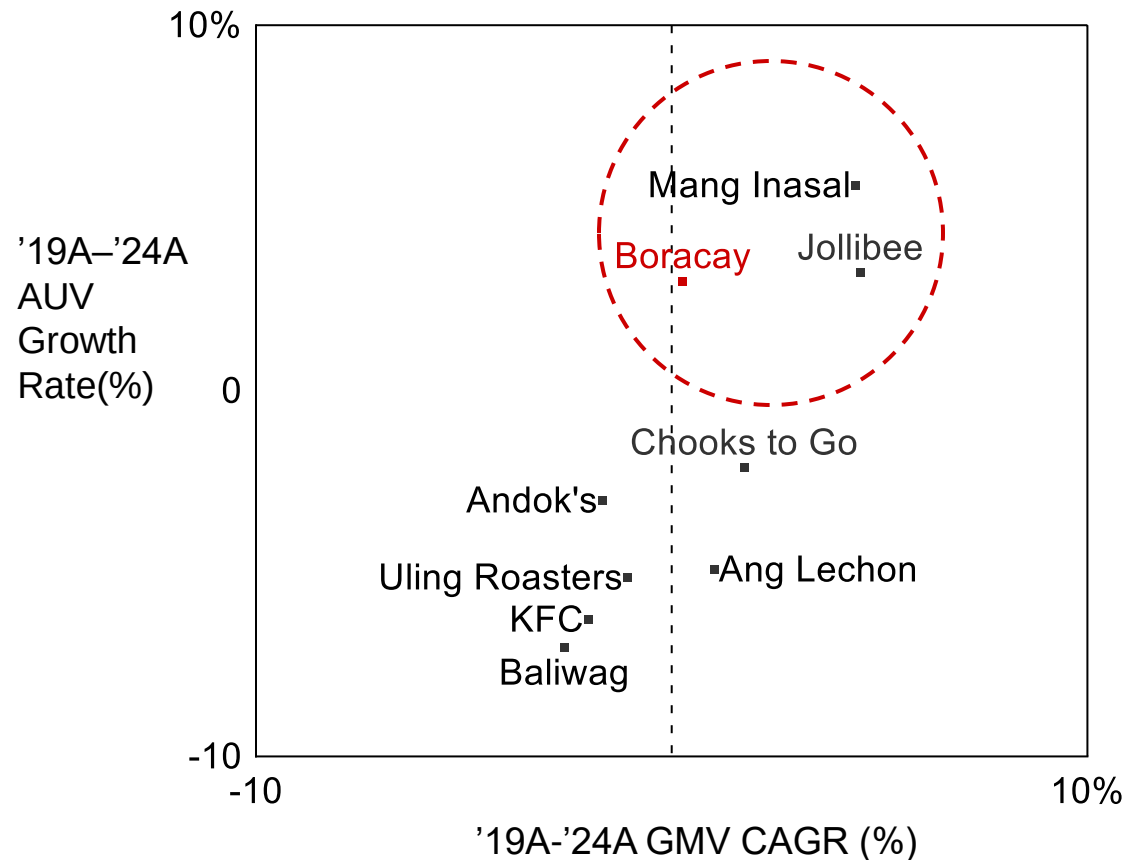
Source: Company websites; Euromonitor; Bain Analysis

This information is confidential and was prepared by Bain & Company solely for the use of our client; it is not to be relied on by any 3rd party without Bain's prior written consent

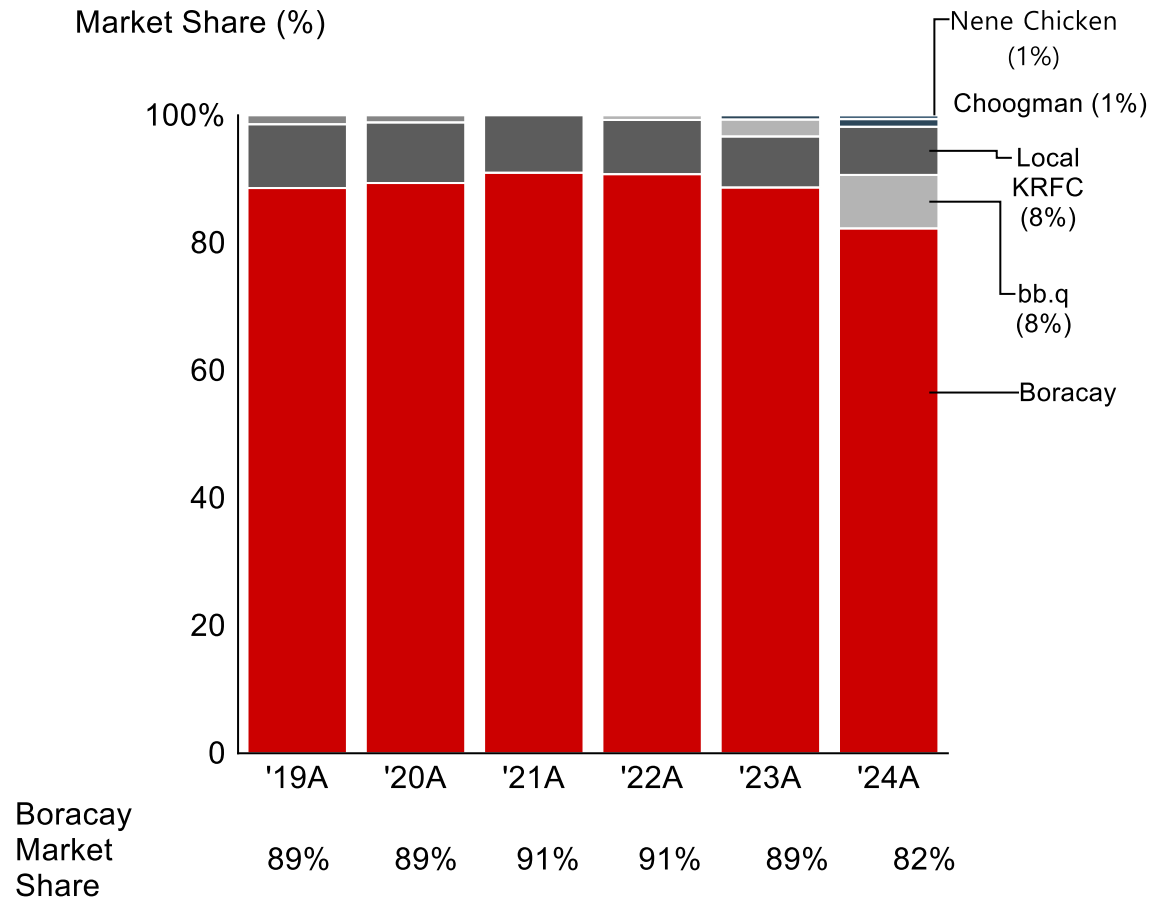
Boracay is one of the fastest-growing chicken brands, backed by industry-leading AUV growth, aggressive new store openings, and clear dominance in KRFC



Philippines chicken market performance overview



Philippines KRFC market share trend



Source: Euromonitor; Expert Interview; Lit. Search; Bain Analysis

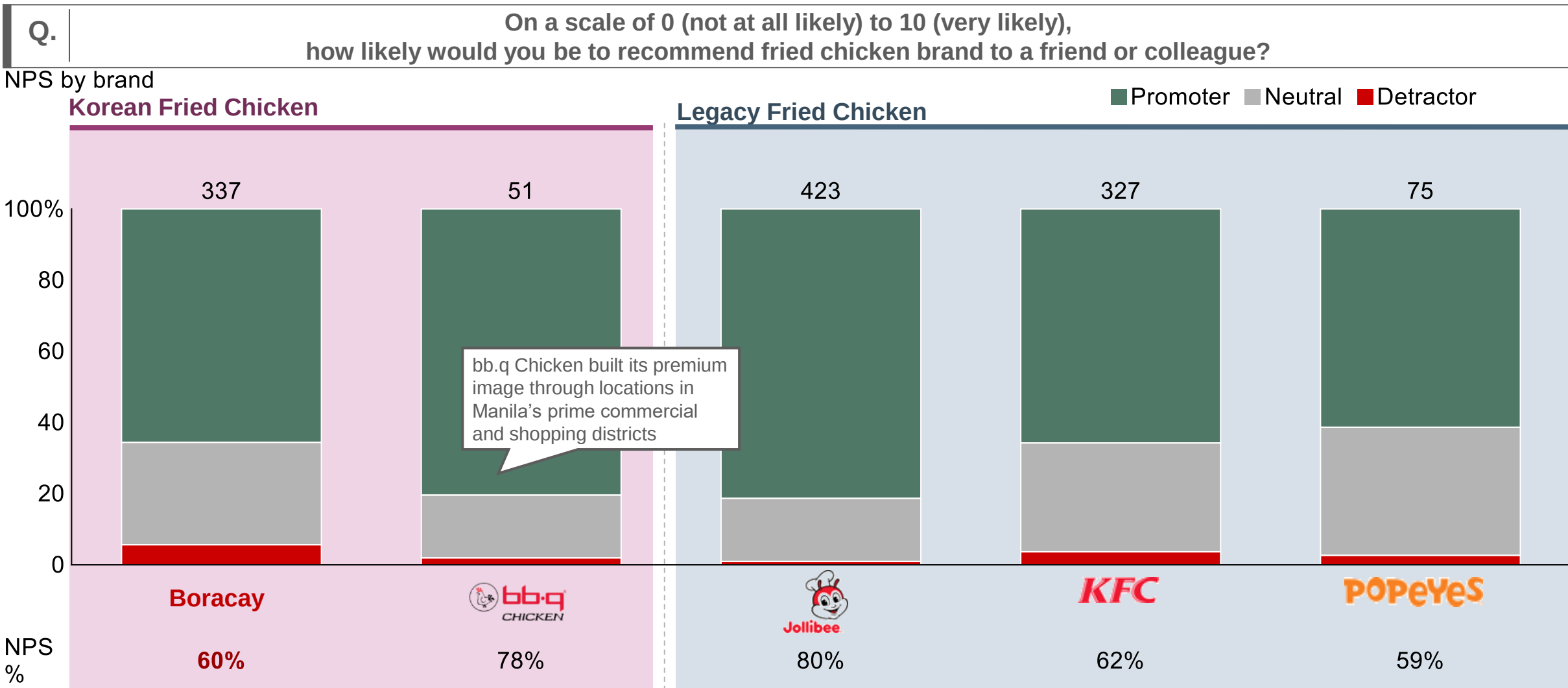
KRFC is emerging as a fast-growing chicken category in the Philippines, with competitive strengths that rival top local players and outperform legacy players



				Above par	Par	Below par
KSFs in chicken brands in PH	KRFC brands (i.e., Boracay)	Growing chicken brands (i.e., Jollibee, Mang Inasal)	Legacy chicken brands (i.e., KFC)			
Unique brand concept	Established own identity as 'fried chicken glazed with sauce' and also as K-Food	- Well-established local positioning; integration of Filipino+ foreign cuisine - Jollibee – American + Filipino - Mang Inasal – Filipino + barbeque	Known widely as traditional brands, but lacks own identity compared to new brands			
Crave-ability of Chicken	With extra crunchiness and sweet/spicy sauces, offers differentiated taste to customers	Deep understanding of local taste with continuous innovation in seasoning and sauces	Some localization in flavor, but innovation remains limited due to global brand standards			
Diversified Side-menus	- Strong presence of K-food items with emphasis on desserts and drinks - bb.q – Dalgona ice cream - Boracay – Bingsu, Café Koreano	- Robust and localized variety of side dishes, regularly updated - Mang Inasal – Halo-halo (PH ice dessert) - Jollibee – Peach Mango Pie	Limited diversity due to global standardization and brand origin - KFC – sells only 2 types of dessert (brownie and ice cream sundae)			
Appeal to younger gen.	Strong alignment with Korean Wave (K-Pop, K-Drama); culturally appealing for Gen Z segment	Familiarity-driven appeal, but lacks 'trend' elements attractive to younger consumers	- Brand image while familiar, is also uninspiring and hard to shake off - Fails to satisfy younger generation			
Franchisee friendliness	Low royalty fee / investment cost while lacking brand awareness ~3% royalty fee for Boracay	- Proven low-cost model with high brand awareness ~5% royalty fee	High royalty fee makes it less attractive, risk-taking for franchisees ~8% royalty fee			

Source: Expert Interview; Lit. search; Bain Analysis

Boracay has achieved strong NPS scores



Note: "Others" hidden from the chart; Source: Customer Survey; Bain Analysis

In the Philippines, Boracay leads awareness by a wide margin with unaided at ~37% and aided at ~96%, well ahead of bb.q Chicken and other brands

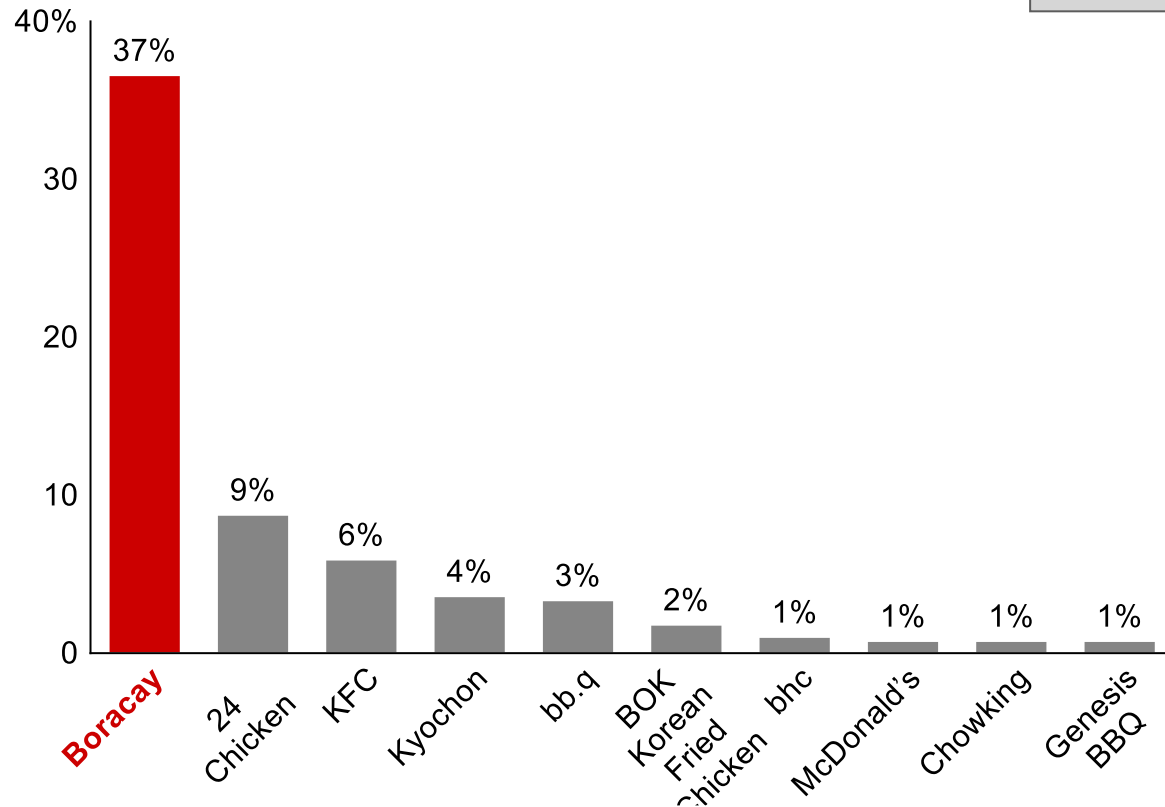


Q What brand first comes to mind when you think of Korean-style fried chicken?

Unaided awareness

% of respondents

N=388

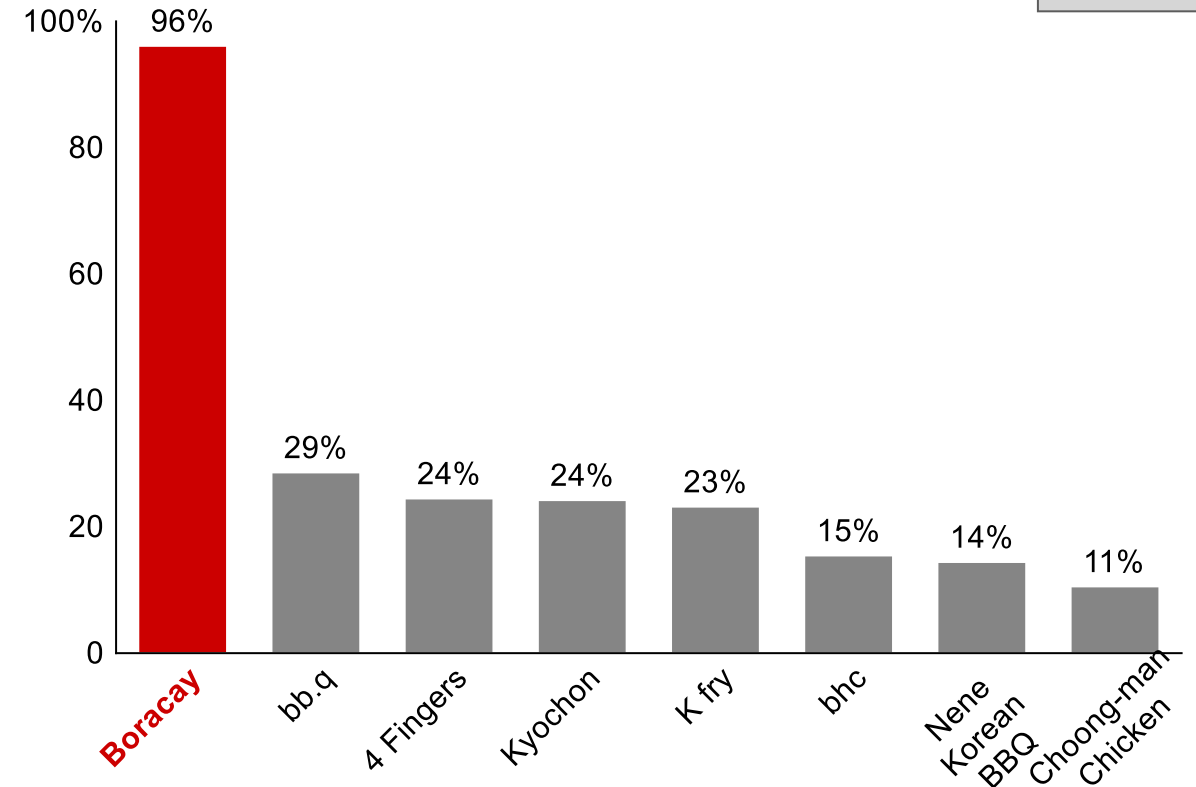


Q Which Korean fried chicken brands are you familiar with? Please select options all that apply.

Aided awareness

% of respondents

N=388

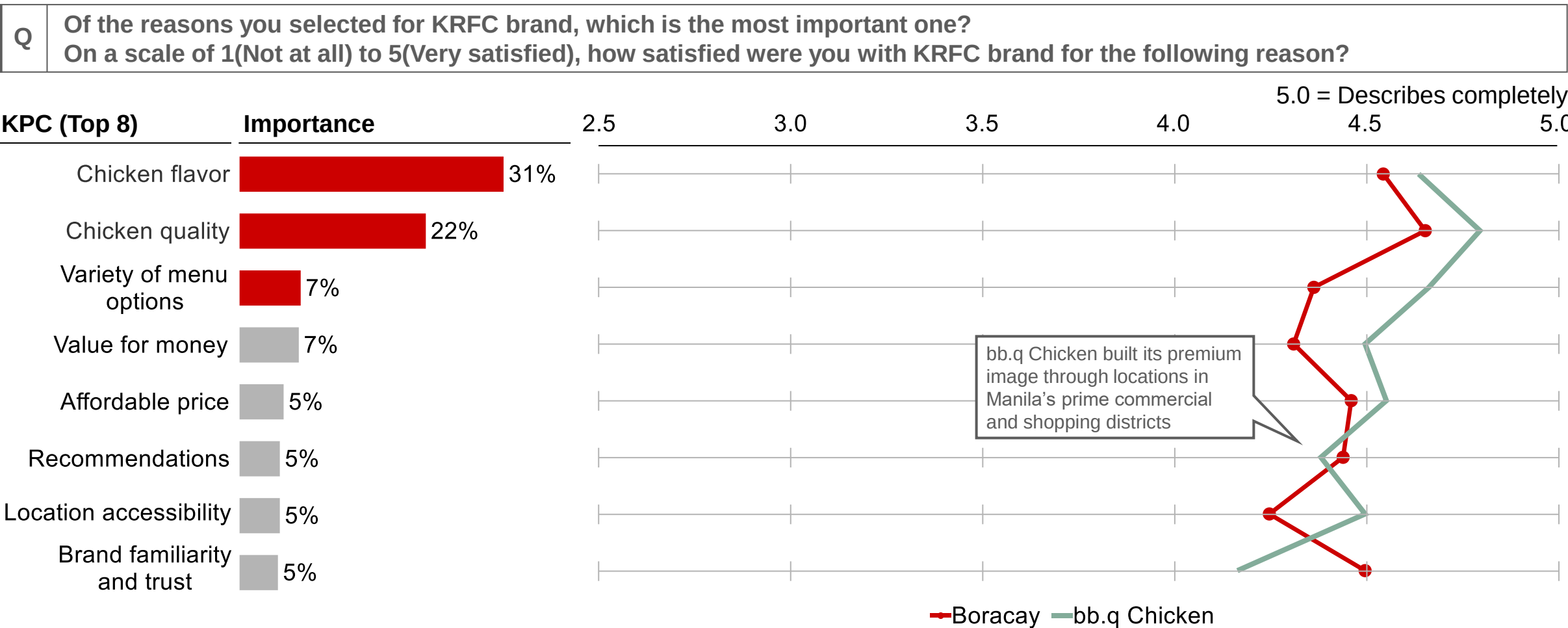


Note: "Others" and brands with no respondents have been excluded; only the top brands are shown in the unaided chart; Source: Customer Survey; Bain Analysis

Chicken flavor and quality are top KPCs for users



Chicken flavor (~30%) and chicken quality (~20%) are the most important KPCs



Note: Only top 8 KPCs have been displayed on the LHS chart; Data for Boracay, bb.q, Kyochon and 4 Fingers; Source: Customer Survey; Bain Analysis

Back-up: Boracay has a nationwide presence across the Philippines and exhibits strength in the Northern & Central regions



/ PHILIPPINES

Boracay



Jollibee



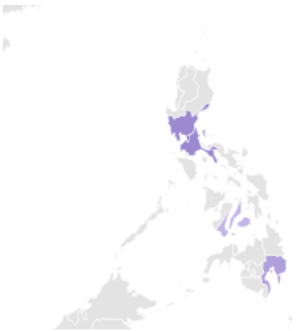
bb.q



Commentary

- **Boracay stands out among Korean chicken brands in Philippines.** The brand witnesses strong search interest across regions, demonstrating a nationwide footprint and indicating growing mainstream awareness
- **KFC and Jollibee are the only two players that lead Boracay** owing to the former's strong global presence and the latter's homegrown appeal
- Boracay's **main stronghold is in Northern and Central Philippines**, where most of its search activity is concentrated, especially **Metro Manila and Calabarzon**. Scope to expand in Eastern & Western Visayas, and across Southern Philippines

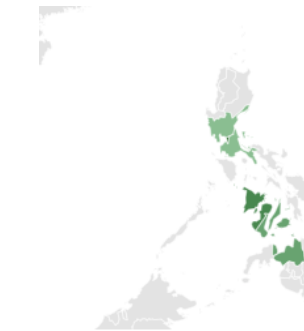
Goobne



Choongman



Nene Chicken



In the Philippines, Boracay holds a defensible HQ-led advantage that significantly outpaces KRFC peers, positioning it as the clear front-runner for brand success



Above par

Par

Below par

Competitive assessment of major KRFC players in the Philippines – Headquarter

	Boracay (~153 stores, '24A)	bb.q (~14 stores, '24A)	Goobne (~1 store, '24A)	Nene (~1 store, '24A)
Summary	Above par Well-positioned KRFC brand with strong market familiarity and store count	Par Recognizable brand, but limited differentiation and presence	Below par Weak brand recognition and insufficient localization.	Below par
A-1 Agile HQ-MF Comm. System	Strong local responsiveness supported by HQ alignment - High degree of MF autonomy shines in volatile operational landscape	- Standard playbook-based support; limited agility - Operates 'Chicken University' to educate foreign MFs regarding QSC	HQ support limited; relies on partner-led execution - Absence of structured communication channels hinders operational scalability	
A-2 Strategic Pricing	Effectively localized pricing - Focuses on bundle packs for sharing and cost-competitiveness	Relatively expensive - Dine-in menus offer only half or whole portion chicken	Relatively expensive for perceived quality; price-to-value mismatch - High menu prices deter PH's core LSR consumers, given price sensitivity and low disposable income	
A-3 K-Food/ Local Menu Dev.	K-Food / Localized menus tailored to regional palate - Serves 'chicken w/ rice' along with diversified K-Food side menus	Broad menu catered to outlet format and consumption habits - Different Dine-in and To-Go menu, offers both local and Korean dishes	Adopted trend-aligned menus and Filipino palate - Cheese fondu (UFO chicken) - Pasta + chicken (OMG combo)	- Local relevance moderate; lacks Korean styles menu - Offers K-burgers which are more focused on Western traditions
A-4 Store Interior	Balanced cost and brand identity - Compact design to reduce burden on franchisees ensuring scalability	Modern but higher cost structure - Noting low savings rate of PH, high entry barrier can be hindersome	Standard shopping-mall outlet; has no PoD - Both outlets are MF-led with attention to detail, but scalability across multiple sites remains unproven	

Source: Expert Interview; Lit. Search; Bain Analysis

Boracay's master franchise in the Philippines has stronger K-Food expertise and franchise capabilities which give Boracay a clear edge over other KRFC brands



Above par

Par

Below par

Competitive assessment of major KRFC players in the Philippines – Master Franchisee

	Scotland (Boracay)	LCS Group (bb.q)	Worldfoods Food and Beverage Corporation (Goobne)	Relle Foods (Nene)
Overall	Above par Leading MF with scale, experience in restaurants and strong localization capabilities	Par Backed by large conglomerate but lacks franchise experience and proven operational depth	Below par Retail scale exists but limited foodservice capabilities and early-stage expansion	Below par New entrants with minimal track record and limited execution capacity
B-1 Franchise Operation Experience	- Keen interest in Korean F&B - Operates over 170 stores nation wide including Japanese and Korean QSR brands	- Originally a real-estate and mining focused conglomerate - Has no prior F&B experience other than bb.q chicken	- Parent company focuses on household items - No prior experience in restaurant franchise other than Goobne	- Lacks expansion momentum and operational maturity - Only 1 store since 2022
B-2 Supply Chain Nego. Power	- Integrated sourcing system with high-volume procurement - Leverages nation-wide recognition as a family run conglomerate	Uses local sourcing; some partnerships in place but optimization limited	Absence of restaurant franchise brands under its group, relies heavily on direct/partial import with minimal local structure	
B-3 Franchise Recruitment	Established pipeline with training, onboarding, and scalability readiness	Active early-stage recruitment (aims 30 stores by '25) but lacks structured support system	Plans unclear; lacks structured program and exhibits low operational maturity	
B-4 Marketing	- Executes localized campaigns and SNS strategies - Scheduled promotions to sustain customer base	- Basic presence - Limited execution beyond product launches and new outlet announcements	- Low visibility and brand awareness - Minimal market tailored campaigns	- Limited to social posts - Lacks cohesive strategy to increase brand awareness or consumer engagement

Source: Expert Interview; Lit. Search; Bain Analysis

A G E N D A

Chicken concept and Korean Fried Chicken market growth prospects

Boracay's core competency and performance assessment

Boracay's value creation opportunities

Strategic Footprint Expansion / Format Innovation

Asset-light global expansion

Menu strategy optimization

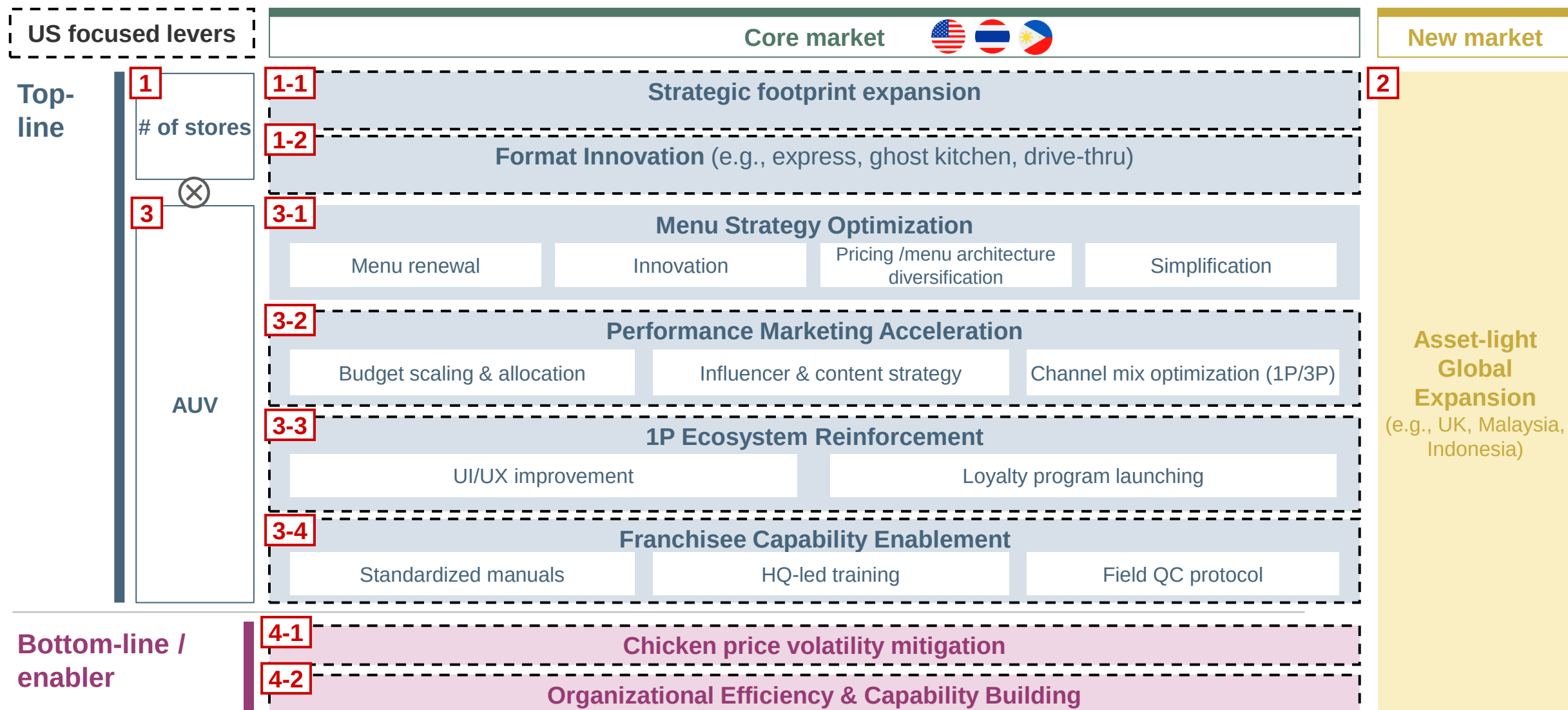
Performance marketing acceleration

1P ecosystem reinforcement

Chicken price volatility mitigation

Appendix: Customer Survey

Unlocking Boracay's Full Potential: Boracay value creation levers



Source: Bain Analysis

From Store expansion to digital engagement — a full-system playbook for growth potentials

Value creation levers	US focused levers	Potential impact
1-1	Strategic footprint expansion (in TH, PH, US)	600–1,800 whitespace opportunities, with potential to reach ~1,000 store potential by expanding into lower-tier cities (TH/PH) and key U.S. states
1-2	Format Innovation (e.g., express, ghost kitchen, drive-thru)	Unlock new formats like to-go, drive-thru (TH/PH), and ghost kitchen (U.S.)
2	Asset-light Global Expansion (e.g., UK, Malaysia, Indonesia)	Potential to build a ~400-store network in high-potential markets (e.g., Malaysia, Indonesia, UK) via asset-light master franchise partnerships
3-1	Menu Strategy Optimization	Menu changes can lift SSSG by ~2–3pt through innovation and simplification
3-2	Performance Marketing Acceleration	3x budget boost may drive ~\$870K/store sales via targeted / optimized campaigns
3-3	1P Ecosystem Reinforcement	UI/UX + loyalty can shift traffic from 3P to 1P, growing GMV up to 5x
3-4	Franchisee Capability Enablement	Ops standardization can uplift AUV by ~4% in underperforming U.S. stores
4-1	Chicken price volatility mitigation	Exposure to chicken price volatility is already mitigated by diversified menu mix; further efficiency gains possible through cost optimization
4-2	Organizational Efficiency & Capability Building	U.S. business model restructuring and enhanced local team structure enable operating leverage as store base expands and SSSG improves

Source: Bain Analysis

A G E N D A

Chicken concept and Korean Fried Chicken market growth prospects

Boracay's core competency and performance assessment

Boracay's value creation opportunities

Strategic Footprint Expansion / Format Innovation

Asset-light global expansion

Menu strategy optimization

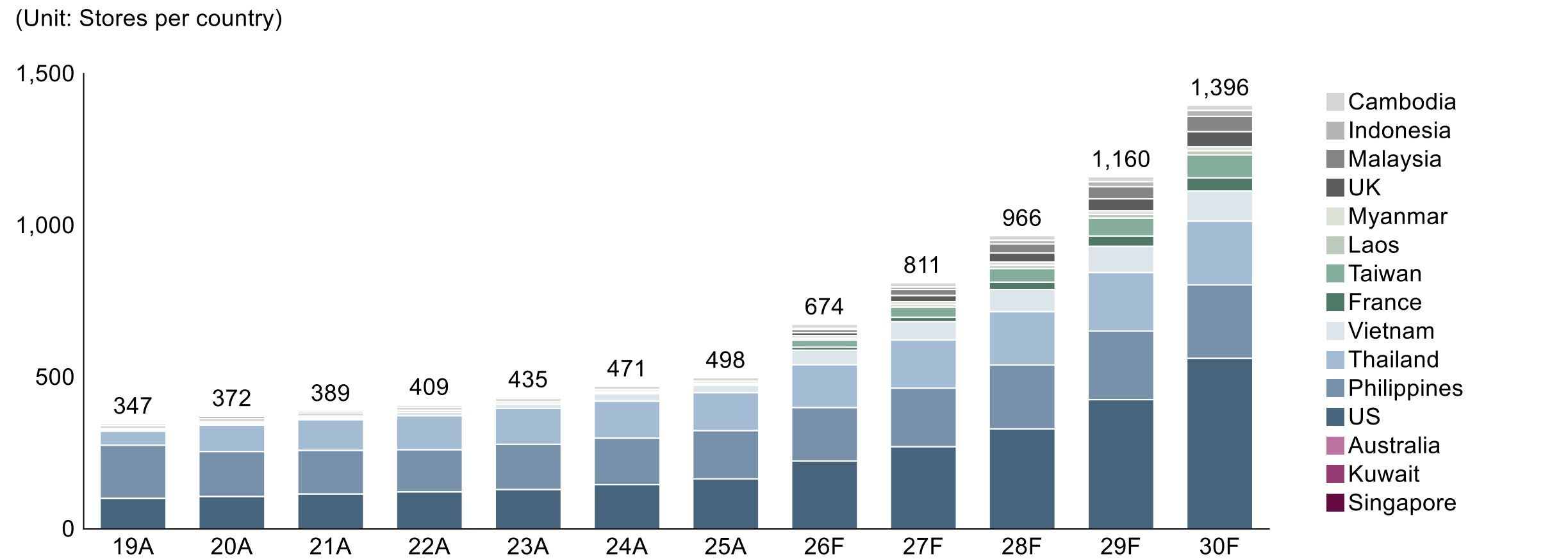
Performance marketing acceleration

1P ecosystem reinforcement

Chicken price volatility mitigation

Appendix: Customer Survey

Boracay has a potential to expand to ~1,400 stores across multiple countries by 2030



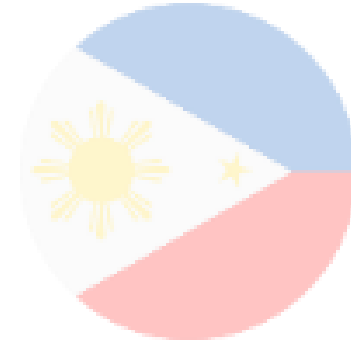
Strategic store expansion – United states



United states



Thailand



Philippines

US strategic footprint expansion summary



1-1 STRATEGIC FOOTPRINT EXPANSION

Whitespace full-potential

- Boracay has **~1,800 untapped store opportunities** across the U.S.
- Assess full store potential in **urban/suburban zones by factoring in population density and existing store footprint**, excluding rural areas

Boracay's store expansion path

- A successful U.S. store rollout requires **executing a “Divide and Conquer” approach tailored to Boracay’s current market coverage**
- **1) Prioritize deepening in established areas (e.g., CA, DC, MD, VA, NY/NJ), then 2) scale out to surrounding regions and 3) nationwide**

Key requirements & enablers

- To deliver on the strategy, Boracay must build capabilities in **1) local development, 2) multi-unit operations, and 3) structured execution**
- Boracay should **build expertise in focal regions and clarify R&R between development and operations; recently supported by new multi-store hires**

Prospects for new store expansion

- Driven by **store development team expansion and improved per-head rollout efficiency**, Boracay expects to combine **aggressive focal expansion and stable growth in other states, and AD-backed openings**

Source: Company Internal Data; Lit. Search; Bain Analysis

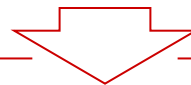
Boracay locations with strong per-unit sales are more likely to be found near other chicken brands in dense urban zones



1-1 STRATEGIC FOOTPRINT EXPANSION

Top 5 drivers of sales/sqft ('24A)

Variable	Description	Direction	Implication
Public transport (per 100k)	Number of public transport hub per 100k inhabitants in the catchment of the store	Positively proportionate: The more public transport the store has nearby, the better	Urban area with high footfall is a desirable location for Boracay
Distance to nearest chicken franchise	Distance between a given store and the nearest non-KRFC chicken franchise store	Negatively proportionate: The closer the store is to other chicken brands, the better	Customers visiting other chicken brands also visit Boracay stores , awarding greater customer inflow
Distance to nearest Boracay store	Distance between a given store and the nearest Boracay store	Negatively proportionate: The closer the store is to another Boracay stores, the better	When Boracay stores are easily spotted , they increase brand awareness , attracting more customers Boracay
Business/tech parks (per 100k)	Number of business/tech district per 100k inhabitants in the catchment of the store	Negatively proportionate: The less business facilities the store has nearby, the better	Customers rather have Boracay as dinner or take-home meal , not as a daytime lunch during work
Population density	Population density within the catchment of the store	Positively proportionate: The more people in the catchment, the better	Areas with larger population naturally leads to greater chance of attracting customers



Stores located in high-density urban zones tend to see stronger sales, with nearby chicken brands helping attract shared customers

Back-up: Bain defined the methodology of “whitespace” analysis for Boracay’s store opening full potential

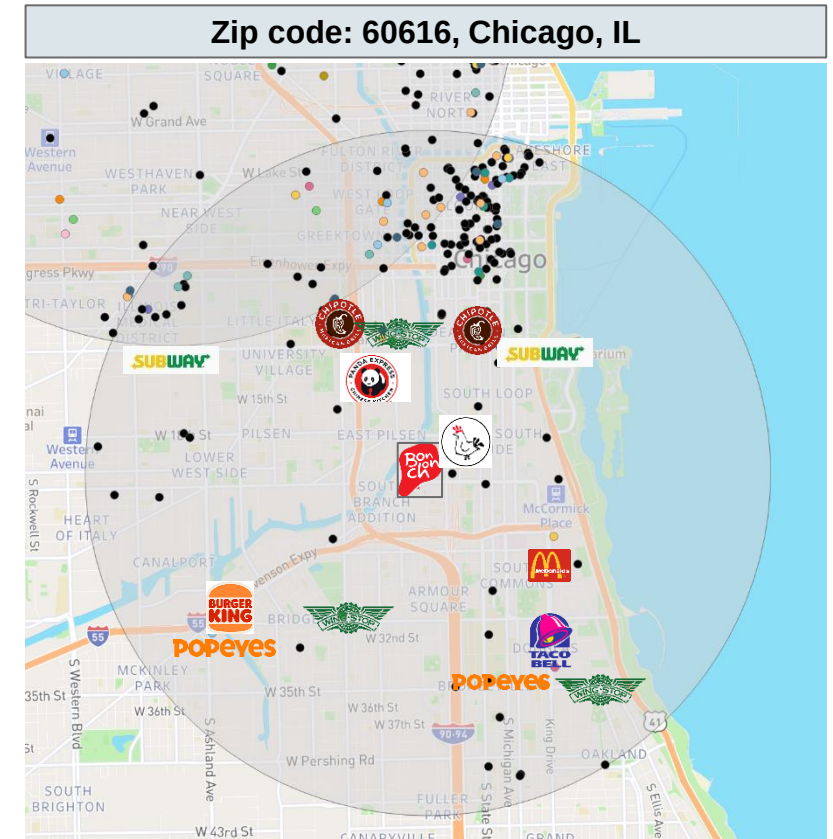


Market snapshot approach summary

- ① **Define catchments (seed points & radius)**
 - Define **zip-codes in US** as **urban, sub-urban** and **rural**
 - Select centroid of each sub-district as a seed i.e. potential location for whitespace, and draw catchments (fixed distance radii):
 - 2.5 miles for Urban areas
 - 5 miles for Sub-Urban areas
 - 7.5 miles for Sub-Urban areas
- ② **Define competition set**
 - Identify key **competitors for Boracay**:
 - **Chicken franchise** – KFC, Chick-fil-A, Popeyes, Wingstop, El Pollo Loco, Zaxby's, bb.Q, Kyochon, bhc
 - **LSR** – McD, Wendy's, Taco Bell, Burger King, Subway, Chipotle, Domino's, Pizza Hut, Jack in the Box, Panda Express, Panera Bread
- ③ **Identify traffic generators (Point of interest)**
 - These specific locations help identify missed opportunities for revenue engagement or customer flow
 - Schools
 - Universities
 - Public transport
 - Business tech parks
- ④ **Fetch socio-demographic info.**
 - Fetch key socio-demographic details such as:
 - Total population
 - Population by age (15- 29, 30- 44 & 45- 59)
 - Population density (per sq. mile)
 - Spending on food & beverage (in USD)
 - Purchasing power per capita (in USD)

Source: Bain Analysis

Illustrative view on the map



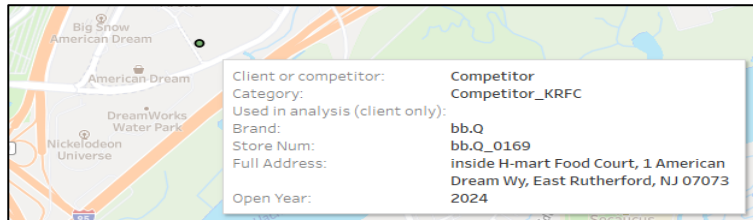
Store #3066, Chinatown, Chicago has:

- Very high competition with KRFC, LSR's and Chicken franchise
- highest sales (\$ 2,061.6 per sq.ft.) amongst all Boracays
- Large number business tech parks and transport hubs makes it a traffic generator

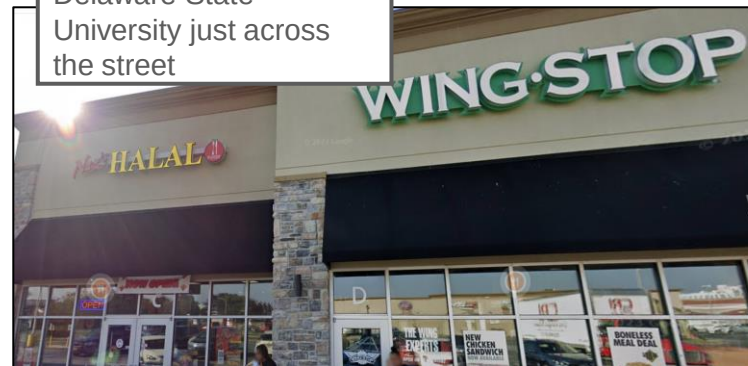
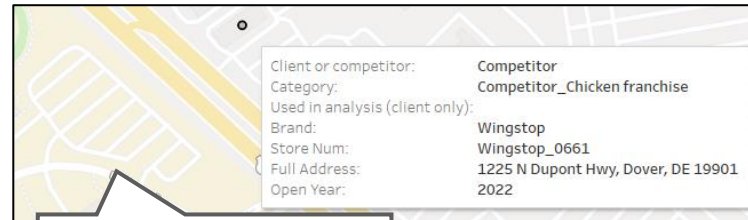
Back-up: Each brand has its own site selection strategy, reflecting its brand identity and target customers



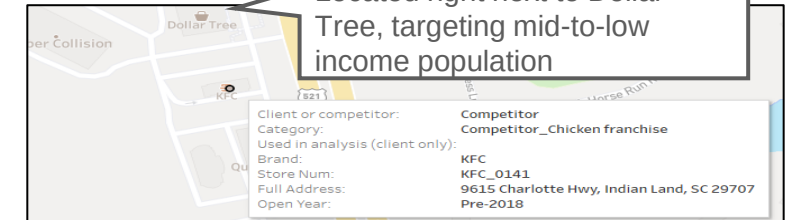
1-1 STRATEGIC FOOTPRINT EXPANSION



- Mainly penetrates locations with **large Korean population**, targeting **customers already familiar with KRFC**
 - Food courts within Korean wholesalers (H-mart or Lotte Mart) are bb.q's first priority go-to locations



- Mostly **targets stores** that requires minimal initial investment, also **considering young generation ratio**
 - Inline store formats are their first priority, and Pals like college and schools are considered as their main go-to-locations



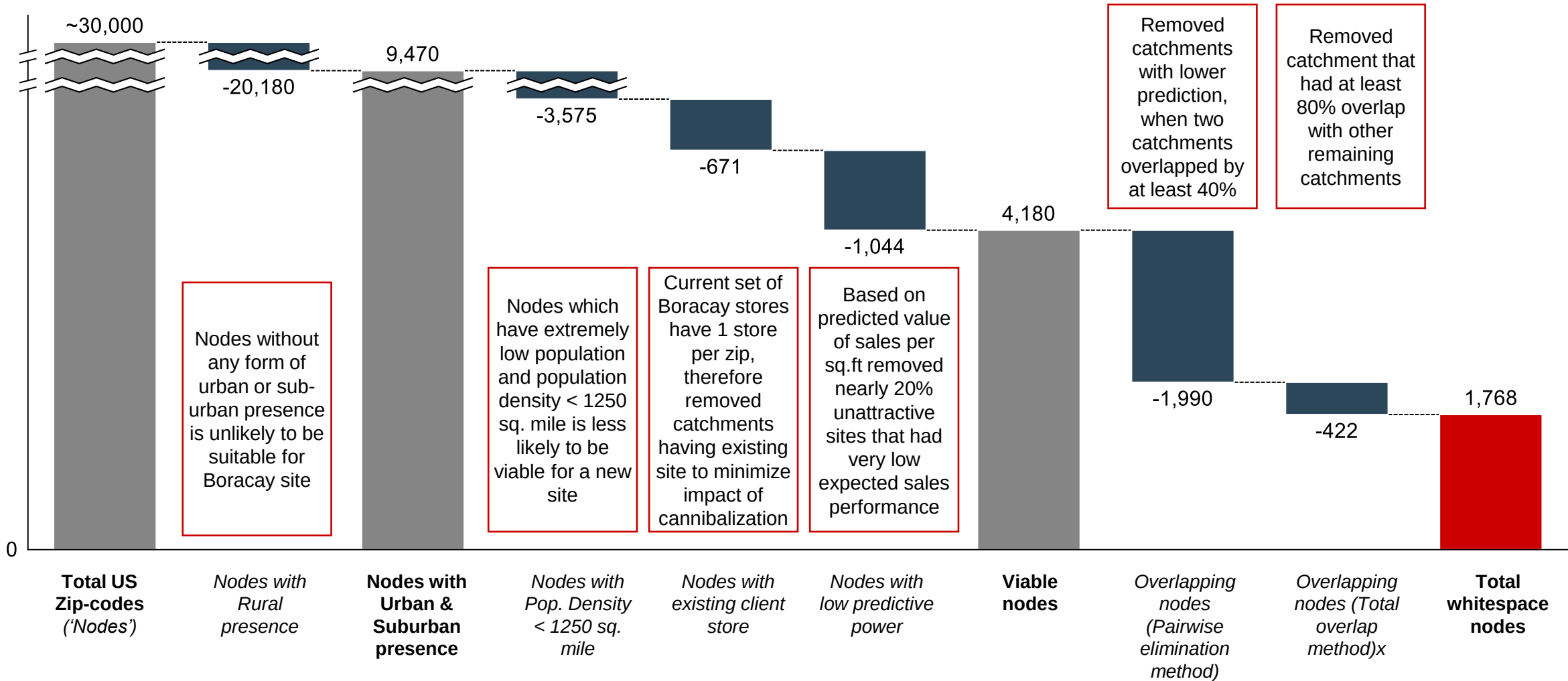
- Targets **mid-to-low income** population with B-or-C class real estate, or goes into **downtown areas with public transit**
 - Pals like dollar stores (e.g., Dollar General, Dollar Tree) and metro stations are the major considerations for KFC outlets

Beyond Boracay's current landscape, there are further ~1,800 addressable whitespace locations that could support a potential new site



1-1 STRATEGIC FOOTPRINT EXPANSION

Potential whitespace 'nodes' for Boracay sites (#)



Note: USA has 31,913 zip-codes out of which ~30,000 was used for analysis as following zip-codes removed: (1) in Puerto Rico, (2) Population <1000, (3) Population density =0; Source: Bain Analysis

While Boracay is tapping some new store formats, clear strategic direction for each format will further maximize its whitespace potential

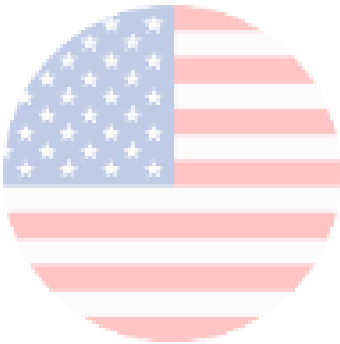


1-1 STRATEGIC FOOTPRINT EXPANSION

	Description	Boracay's presence (As-is)	To-be direction
Asset-light (QSR-like)	Remote kitchen	Located in highly selective urban cores granted to AD franchisees	Apply data-driven approach with 3PD data, also considering focal PoIs (college, etc.)
	Robo Kitchen	N/A	Combine robotics with remote kitchen, for maximizing operational efficiency
	Food truck (mobile kitchen)	N/A	
	Kiosk Store (To-go / Delco)	Located near universities, stadiums and retail corridors	Apply data-driven approach with 3PD data, also considering focal PoIs (college, etc.)
	Inline store	Located near commercial complex	Develop standard of small store to maximize operation efficiency within limited space (core menus, simplified cooking system)
Asset-heavy (FCR-like)	Non-traditional location	N/A	- Approach as an advertising billboard for better awareness - Active discussion underway with 4 airports
	Fast casual	Majority of recent openings are fast casual formats	Redefine purpose of the format, and strategically search spots with better location-format fit

Source: Lit. Search; Bain Analysis

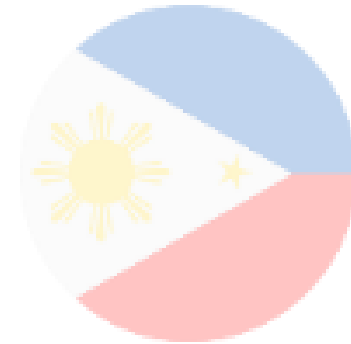
Strategic store expansion – Thailand



United states



Thailand



Philippines

Strategic footprint expansion summary in Thailand



1-1 STRATEGIC FOOTPRINT EXPANSION

Whitespace full-potential

- Boracay has **~650 untapped store opportunities** across Thailand
- Assess full store potential **by factoring in population density and existing store footprint**

Boracay's store expansion path

- A successful Thailand store rollout requires **executing a “Hub-and-Spoke” approach tailored to Boracay’s current market coverage**
- **1) Prioritize deepening in established area (Tier 1), then 2) scale out to surrounding regions (Tier 2/3) and 3) nationwide, especially in Tier 4 cities where whitespace potential remains significant**

Key requirements & enablers

- To deliver on the strategy, Boracay must build capabilities in **1) local development, 2) multi-unit operations, and 3) structured execution**
- Boracay should **build expertise in Tier 2/3 regions** by leveraging regional franchisors

Prospects for new store expansion

- Driven by a sub-franchising model through regional franchisors, Boracay expects to add new stores, combining **stable growth in Tier 1 with accelerated expansion in Tier 2/3 cities**

Source: Company Internal Data; Lit. Search; Bain Analysis

Boracay locations with strong per-unit sales are more likely to be found near competing KRFC brands and schools in high-population areas



1-1 STRATEGIC FOOTPRINT EXPANSION

Top 5 drivers of sales ('24A)

Variable	Description	Direction	Implication
Korean fried chicken franchise (per 100k)	Number of Korean fried chicken franchise outlets per 100k inhabitants	Positively proportionate: The more Korean fried chicken franchise outlets the store has nearby, the better	KRFC brands likely to cluster in high-demand zones , signaling opportunity-rich areas for Boracay
Shopping malls (per 100k)	Number of shopping malls per 100k inhabitants	Negatively proportionate: The less shopping malls the store has nearby, the better	High KRFC and fried chicken brand density in malls intensifies competition , which can negatively impact store-level sales performance
Distance to nearest Boracay store	Distance between a given store and the nearest Boracay store	Negatively proportionate: The closer the store is to another Boracay stores, the better	When Boracay stores are easily spotted , they increase brand awareness , attracting more customers Boracay
Schools (per 100k)	Number of schools per 100k inhabitants in the catchment of the store	Positively proportionate: The more schools the store has nearby, the better	Boracay's strong appeal among young consumers leads to higher store performance in school-dense areas
Population	Population within the catchment of the store	Positively proportionate: The more people in the catchment, the better	Areas with larger population naturally leads to greater chance of attracting customers



Stores located in high-population areas with a strong presence of young consumers such as schools tend to see stronger sales

Source: Bain Analysis

Back-up: Bain defined the methodology of “whitespace” analysis for Boracay’s store opening full potential

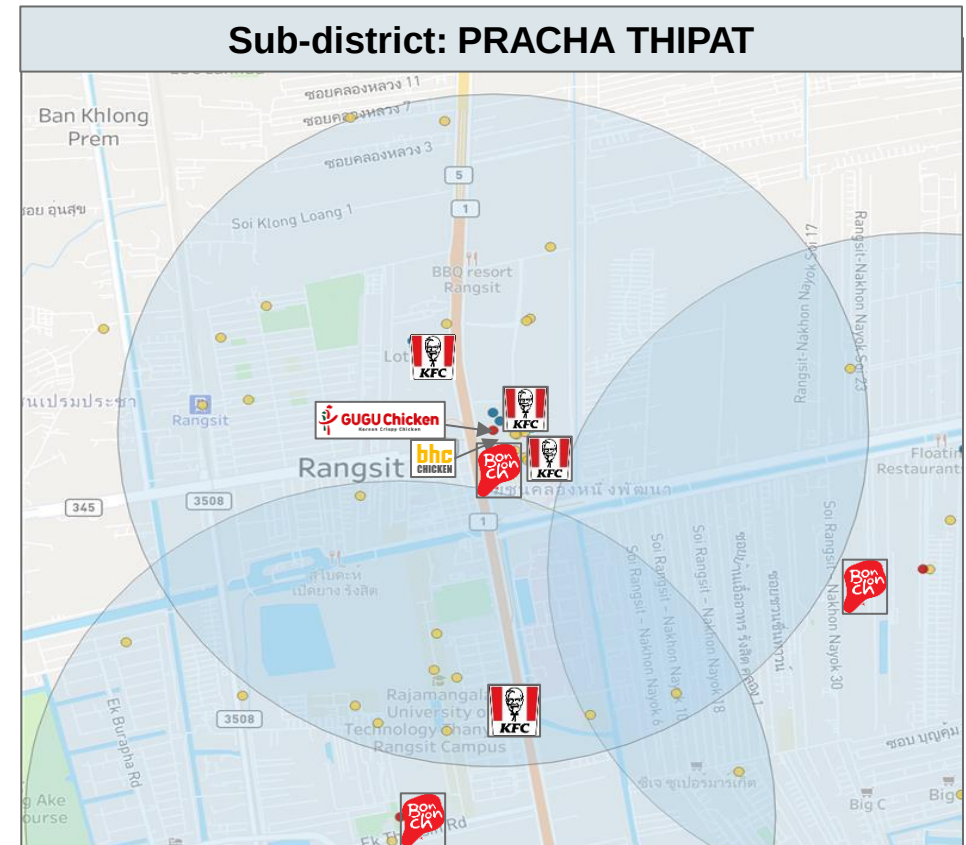


Market snapshot approach summary

- ① **Define catchments (seed points & radius)**
 - Define **sub-districts** in TH as **urban** and **rural**
 - Select centroid of each sub-district as a seed i.e. potential location for whitespace, and draw catchments (fixed distance radii) by taking:
 - 2 km for Urban areas
 - 5 km for Rural areas
- ② **Define competition set**
 - Identify key **competitors** for **Boracay**:
 - **KRFC** – Choongman, bhc, Gugu
 - **Chicken franchise** – KFC
- ③ **Identify traffic generators (Point of interest)**
 - These specific locations help identify missed opportunities for revenue engagement or customer flow
 - Schools
 - Universities
 - Public transport
 - Business tech parks
 - Shopping malls
- ④ **Fetch socio-demographic info.**
 - Fetch key socio-demographic details such as:
 - Total population
 - Population by age (15- 29, 30- 44 & 45- 59)
 - Population density (per sq. km)
 - Spending on food & beverage (in THB)
 - Purchasing power per capita (in THB)

Source: Bain Analysis

Illustrative view on the map



Store #16, Zpell has:

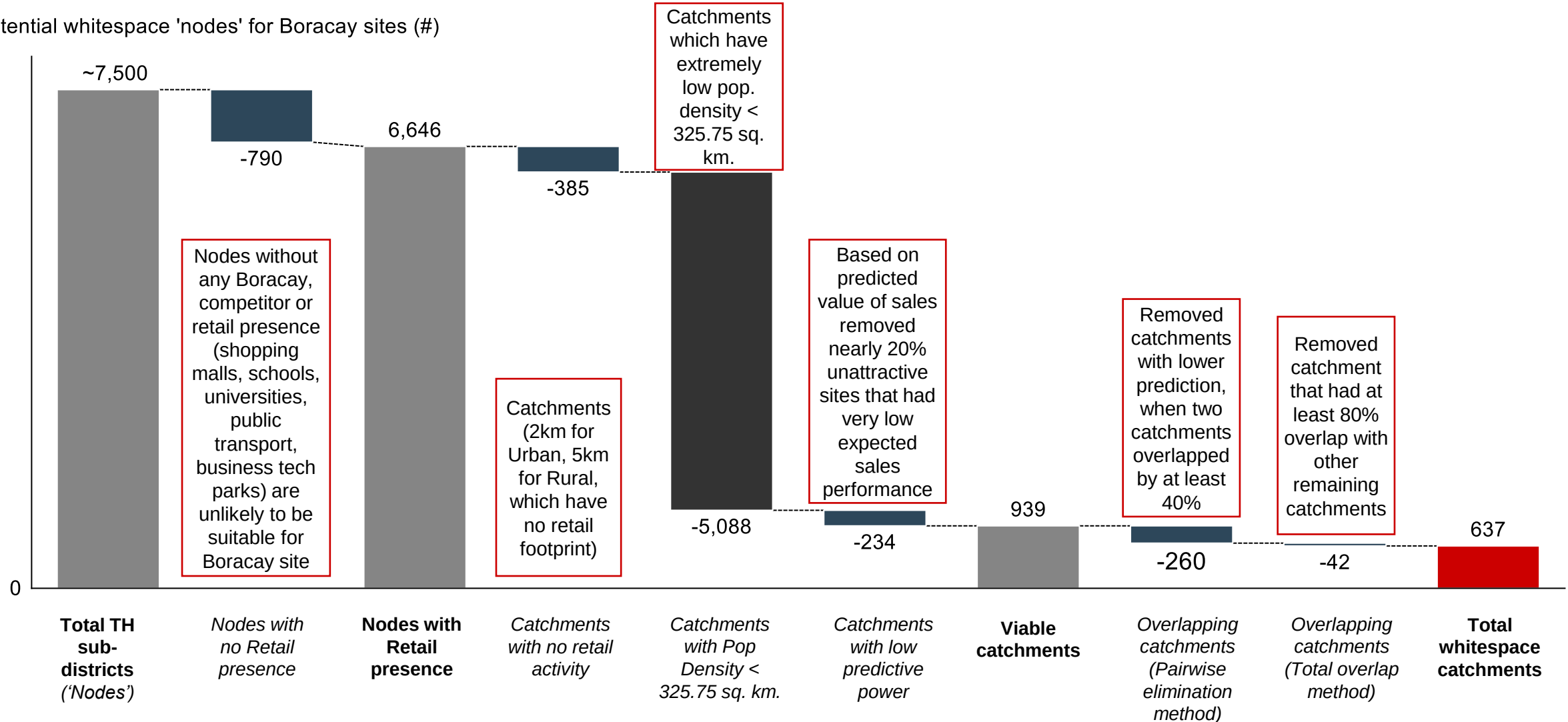
- Competition with bhc, Gugu and KFC in the catchment
- Is 3rd highest sales (THB 46,065,345) amongst all Boracay
- Large number of schools and universities thus making it a traffic generator

Beyond Boracay's current landscape, there are further ~650 addressable whitespace locations that could support a potential new site in Thailand



1-1 STRATEGIC FOOTPRINT EXPANSION

Potential whitespace 'nodes' for Boracay sites (#)



Source: Bain Analysis

Adapting the best-practice framework from KFC will help Boracay transition from controlled rollout to nationwide-reaching market penetration



1-1 STRATEGIC FOOTPRINT EXPANSION

Best practice of store expansion (KFC)

Path

Phase 1
Tier 1 cities

Phase 2:
Tier 2 and 3 cities

Phase 3:
Nationwide

- **Full saturation of Tier 1 urban centers** like Bangkok and **surrounding metro areas**
- **Aggressive expansion into Tier 2 and selective entry in 3 cities**
 - Flagships in shopping malls
 - Drive-thru formats in high-density residential zones
- **Active rollout in Tier 3 and Tier 4 cities**
 - Using multiple formats for nation-wide expansion (Delco, Drive-thru etc.)

“KFC built brand awareness in Tier 1 through key malls in Bangkok...later expanded into Tier 2/3 via malls, then rapidly scaled with drive-thru formats”

Former Head of KFC at QSR Brands

Enabler

Local dvlpt. expertise

Multi unit support

Systematic dvlpt. process

- Store rollout is driven by three MFs, each covering a focus regions
 - CRG covers northern provinces like Chiang Mai while QSR handles Northeast
- Dedicated training/operational support centers are built per region
 - QSR runs a simulation kitchen/campus near Bangkok; RD maintains logistics and workforce hubs in the North
- New store openings are supported by quantitative scoring system
 - 5km radius assessments, Drive-thru/delivery radius potential are all pre-evaluated

Boracay’s current status

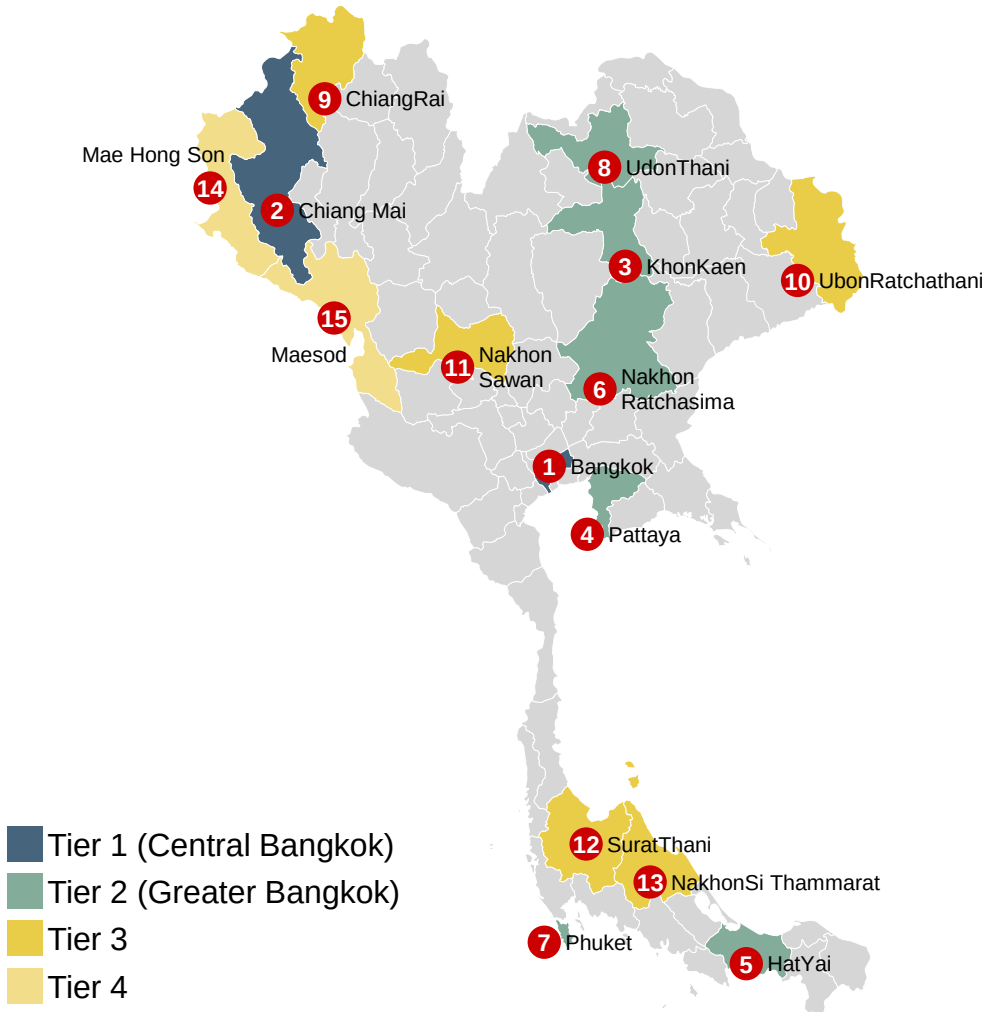
Majority of stores are concentrated in Tier 1 cities (Bangkok), with Tier 2 city presence selectively developed

- The majority of Boracay stores are concentrated in **key shopping malls in Bangkok and surrounding cities** such as Nonthaburi and Samut Prakan
- **Selective entry into Tier 2**, focusing on **high-potential urban hubs** such as Chiang Mai, Khon Kaen, and Nakhon Ratchasima
- Store rollout is driven by Minor Food Group under **centralized control, with minimal use of a sub-franchising model**
- Multi unit operations are supported by **MFG’s cross-brand infrastructure**
- Mostly **relied on inbound requests**, with no clear manual or playbook for new store development

Initial foothold in Bangkok with flagship locations, followed by aggressive regional expansion via diverse store formats and nationwide master franchise rollout

1-1 STRATEGIC FOOTPRINT EXPANSION

KFC: City-level expansion path in Thailand



Source: Expert Interview; Lit. Search; Bain Analysis

Initial Entry ('84~'03)

- **Direct Operations by Yum!**
 - Less than 100 stores
- Expansion from **Central Bangkok** to **outer urban areas**, satellite/commercial districts
 - ('84-'87) Large shopping malls in Central Bangkok
 - ('88-'92) High-income residentials in satellite cities
 - ('93-'03) Key commercial zones (university/office) within Tier 1

Mid-stage Expansion ('04~'16)

- **Full-scale franchising system** with Central Restaurants Group (MF)
 - Surged from 200 → 500 stores
- **Entered Tier 2 Cities** : Chiang Mai, Khon Kaen, Nakhon Ratchasima etc.
 - ('04-'08) Tourism and regional hub cities (ex. Phuket)
 - ('09~'14) Northeastern cities (ex. Kohn Kaen)
 - ('15~'16) Continued rollout into additional provincial capital cities

Continued Expansion ('17~Now)

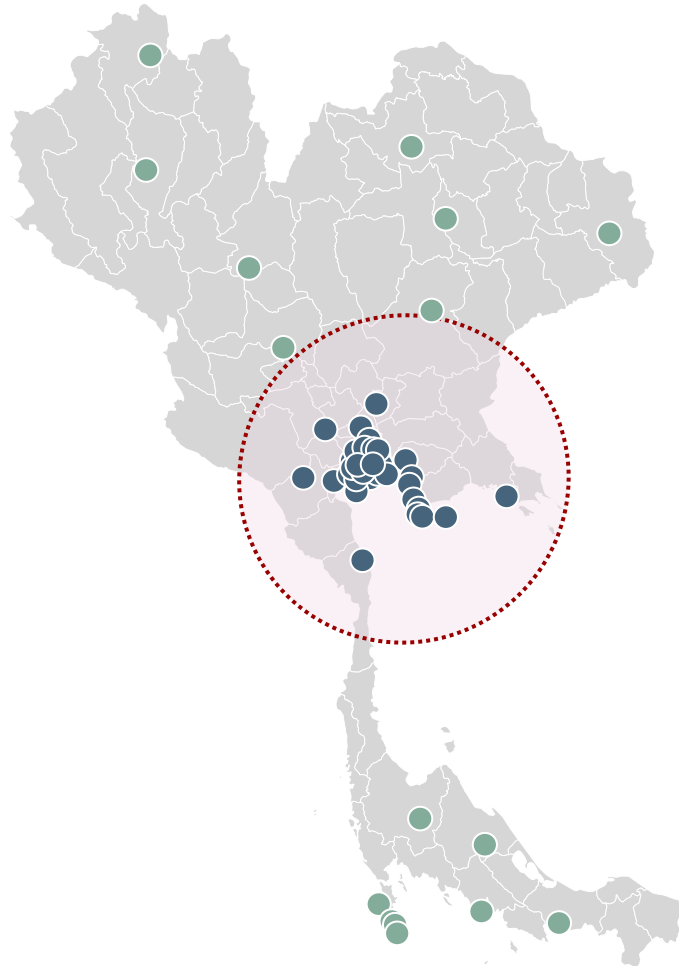
- **Established 3-Operator franchise structure**
 - Announced 80+ new stores per year since 2023 ("Within 15-Minute Access" Strategy)
 - Expanded store format portfolios including Drive-thru and Express
- **Strategic coverage of Tier-3/4**
 - ('17-'20) Entered Tier 3 (E.g., Maha Sarakham, Sukhothai)
 - ('21-'23) Expanded into Tier 4 and highway locations
 - ('24~Present) Scaling small-format stores and converting to digital formats in existing stores

~70% of Boracay stores are in Tier 1 cities with selective entry into key Tier 2–4 cities in Thailand



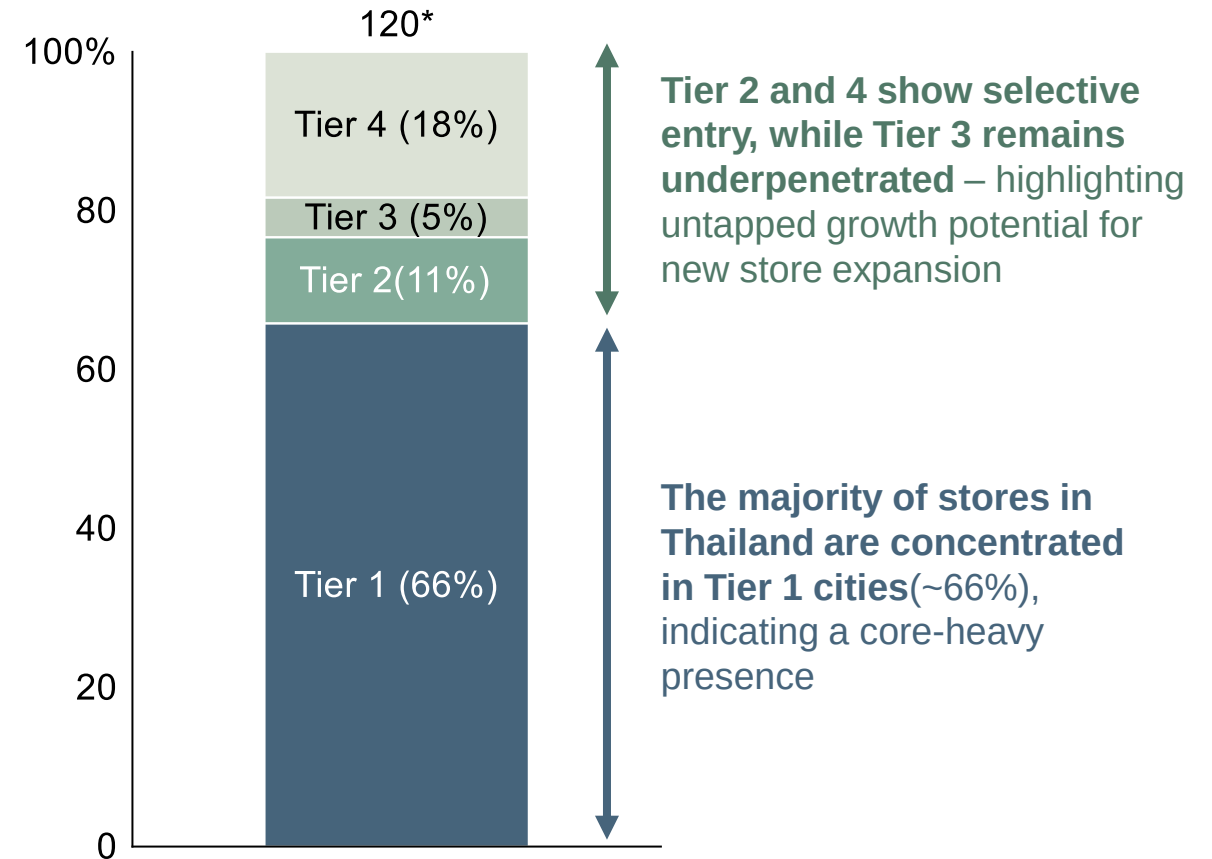
1-1 STRATEGIC FOOTPRINT EXPANSION

Boracay's regional distribution of stores in Thailand



Commentary

Store counts ('24)



*2 stores with unverified addresses have been excluded from the analysis; Source: Company Internal Data; Bain Analysis

Boracay should adopt a phased expansion strategy—maximizing Tier 1, selectively entering Tier 2/3, and prioritizing Tier 4 during nationwide rollout



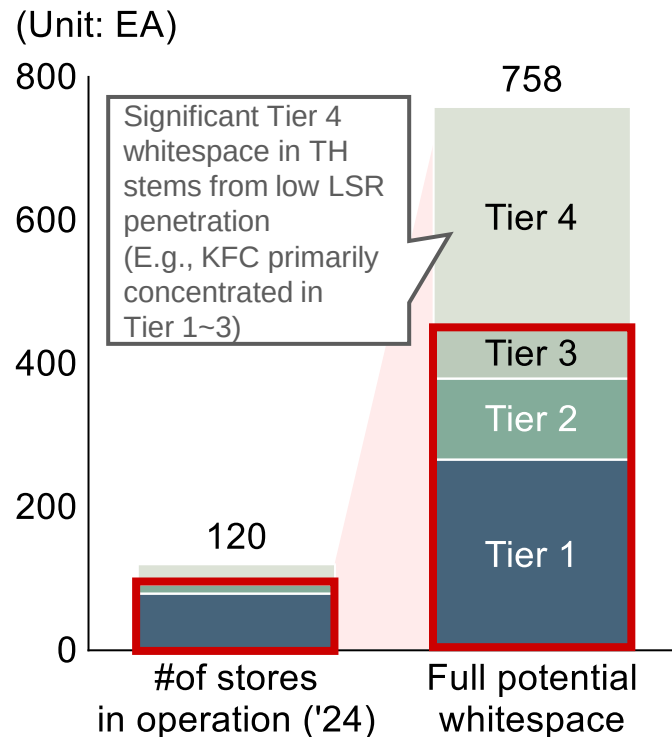
1-1 STRATEGIC FOOTPRINT EXPANSION

Phase 1: Tier 1 cities

Phase 2: Tier 2 and 3 Cities

Phase 3: Nationwide expansion

Store expansion plan



- Expansion strategy should **focus on remaining potential in Tier 1 cities** with aggressive rollout in Tier 2 and 3 cities
 - Tier 4 cities should be prioritized for in the nationwide expansion phase, given their whitespace potential

Key capability & enabler for store development

Local development expertise

- Establishing a **dedicated team to manage regional franchisors**, enabling deeper local insight and more structured rollout execution
- Active utilization of **regional franchisors focusing on Tier 2~4 cities**

Multi unit support

- Structured support to enable regional franchisors**, especially individuals to achieve scalable growth
 - Training system, construction guide etc.

Systematic development process

- City-tiered rollout playbooks** to ensure consistency and execution speed
 - Playbook to divide the R&R between Master Franchisee and regional franchisors

New formats unlock whitespace not only in Tier 2/3 cities, but also in global franchising, with better unit economics and higher operating leverage



1-2 FORMAT INNOVATION

Strategic Importance of New Store Formats

Expansion

Domestic Scalability

- **Enables Tier 2/3 growth** where mall supply is limited and brand awareness is low
 - E.g., Drive-thru formats bypass mall dependency

Global Readiness

- **Global MFs** (esp. in developed markets) **prioritize format versatility** for new brand selection

Unit Economics

Lower CapEx / Rent

- Formats like kiosk or delco **reduce upfront investment and operating cost**
 - Lower rent, minimal fit-out, and lean staffing

Faster Breakdown

- Smaller footprint and no dine-in lead to **faster payback through lower costs and quicker turnover**

Operational Flexibility

Multichannel Capacity

- Serve dine-in, pickup, and delivery in one footprint
 - E.g., Drive-thru enables all channels from single site

Time & Labor Efficiency

- Lean staffing, off-peak hours, and simplified kitchen operation of new store formats **enable longer operating hours**

Industry expert perspective



*“Tier 2/3 do not have the mall density of Tier 1—**Formats need to go where growth is**”*
Former Head of Franchising at global LSR brand



*“When evaluating a new brand, we look first at **whether it has proven multi-format success**”*
Former Director at Top-tier Master Franchisee in UK



*“After COVID, franchise brands have **increasingly focused on adopting new formats** – even converting existing stores – to boost AUV and profitability”*
Former Head of Franchising at global LSR brand



*“Post-COVID, consumers value convenience over occasion—**LSR brands win when they’re available how and when people want them**...consumers simply do not want to wait in lines in the malls anymore”*
Former Head of Franchising at global LSR brand

While Boracay is tapping some new store formats, clear strategic direction for each format will further maximize its whitespace potential

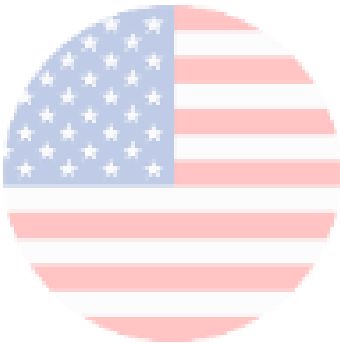


1-2 FORMAT INNOVATION

		Description	Boracay's presence (As-is)	To-be potential
Asset-light (QSR-like)	To-go / Delivery Hub	Remote Kitchen	N/A	Considering testing the format in high-density zones
		Kiosk (To-go / Delco)	 Recently began expanding with the Delco store format	Apply data-driven approach with 3PD data
	Inline store		N/A	Compact inline formats in key shopping malls for better brand awareness and reduced costs
	Non-traditional location		N/A	Increase exposure to young consumers; considering selective entry into airports and campuses
	Shopping Malls		 Majority of the stores are CDR/FCR formats	Redefine purpose of the format, and strategically search spots with better location-format fit
	Free Standing		N/A	Viable option in Tier 2 outskirts for brand awareness in the long-term
	Drive-thru Store		N/A	Viable option in Tier 2 outskirts for scalable expansion and brand awareness
Asset-heavy (FCR-like)				

Source: Company Internal Interview; Expert Interview; Lit. Search; Bain Analysis

Strategic store expansion – Philippines



United states



Thailand



Philippines

PH strategic footprint expansion summary



1-1 STRATEGIC FOOTPRINT EXPANSION

Whitespace full-potential

- Boracay has **~850 untapped store opportunities** across Philippines
- Assess full store potential **by factoring in population density and existing store footprint**

Boracay's store expansion path

- A successful store rollout requires **executing a “Hub-and-Spoke” approach tailored to Boracay’s current market coverage**
- **1) Prioritize deepening in established area (Tier 1), then 2) scale out to surrounding regions (Tier 2~3) and 3) nationwide**

Key requirements & enablers

- To deliver on the strategy, Boracay must build capabilities in **1) local development, 2) multi-unit operations, and 3) structured execution**
- Boracay should **build expertise in Tier 2/3** by leveraging regional franchisors and **clarify R&R between development and operations**

Prospects for new store expansion

- Combining stable growth in Tier 1 and aggressive expansion in Tier 2/3

Back-up: Bain defined the methodology of “whitespace” analysis for Boracay’s store opening full potential

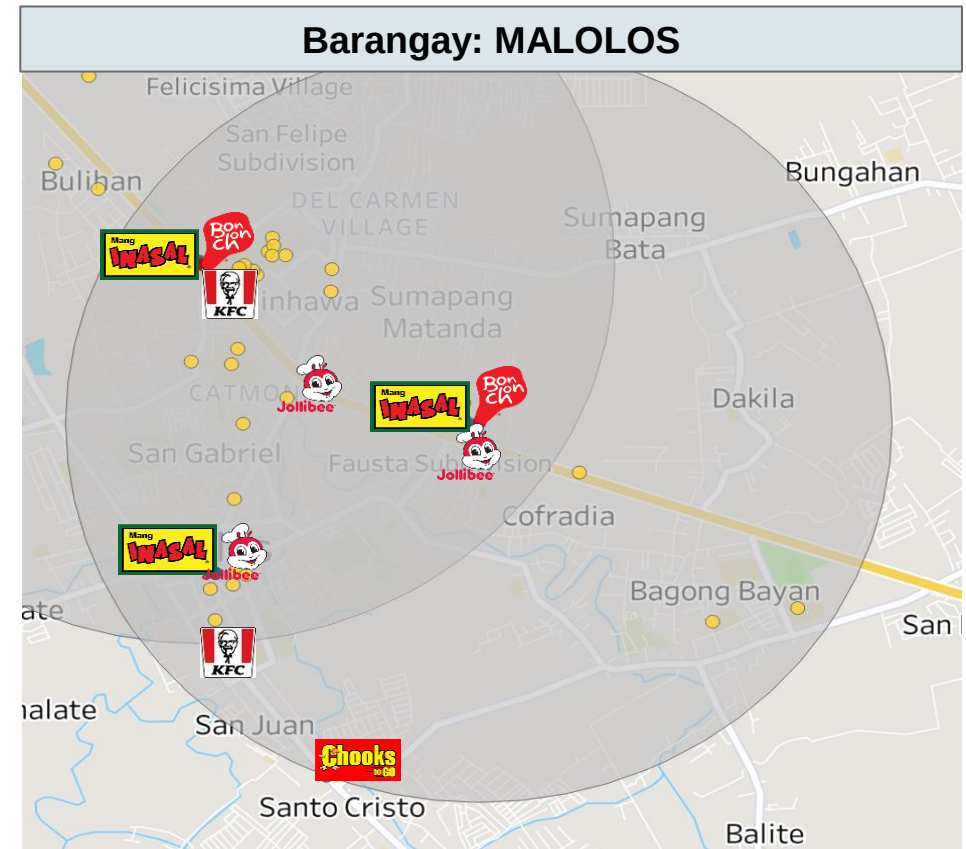


Market snapshot approach summary for Philippines

- ① **Define catchments (seed points & radius)**
 - Define **Barangays** in PH as **urban** and **rural**
 - Select centroid of each sub-district as a seed i.e. potential location for whitespace, and draw catchments (fixed distance radii) by taking:
 - 2 km for Urban areas
 - 5 km for Rural areas
- ② **Define competition set**
 - Identify key **competitors** for **Boracay**:
 - **KRFC** – bb.q
 - **Chicken franchise** – Jollibee, Mang Inasal, Chooks-to-go, KFC
- ③ **Identify traffic generators (Point of interest)**
 - These specific locations help identify missed opportunities for revenue engagement or customer flow
 - Schools
 - Universities
 - Public transport
 - Business tech parks
 - Shopping malls
- ④ **Fetch socio-demographic info.**
 - Fetch key socio-demographic details such as:
 - Total population
 - Population by age (15- 29, 30- 44 & 45- 59)
 - Population density (per sq. km)
 - Spending on food & beverage (in PHP)
 - Purchasing power per capita (in PHP)

Source: Bain Analysis

Illustrative view on the map



Store #69, Robinsons Malolos has:

- Very high competition with Mang Inasal, Jollibee and KFC
- highest sales (PHP 61,742,046) amongst all Boracay’s
- Large number of shopping malls, schools and universities thus making it a traffic generator

Boracay locations with strong per-unit sales are more likely to be found near other chicken brands and schools in high-population areas



1-1 STRATEGIC FOOTPRINT EXPANSION

Top 5 drivers of sales ('24A)

Variable	Description	Direction	Implication
Distance(KM) to nearest chicken franchise	Distance from Boracay store to the closest competitor chicken brand	Negatively proportionate: The closer the store is to other fried chicken franchise outlets, the better	Chicken brands likely to cluster in high-demand zones , signaling opportunity-rich areas for Boracay
Age 45-59 (%)	Percentage of people aged 45-59 in the surrounding area	Positively proportionate: The higher the percentage of population aged 45–59, the better	Boracay location tend to attract family groups , with the 45-59 segment often acting as the family decision maker- reinforcing the brand's broad-based appeal
Boracay stores (per 100K)	Number of nearest Boracay store per 100K people	Negatively proportionate: The less the client stores the store has nearby, the better	Cannibalization occurs when Boracay stores are located nearby each other
Total Population	Total population within the catchment of the store	Positively proportionate: The more people in the catchment, the better	Areas with larger population naturally leads to greater chance of attracting customers
Schools (per 100K)	Number of schools per 100k inhabitants in the catchment of the store	Positively proportionate: The more schools the store has nearby, the better	Boracay's strong appeal among young consumers leads to higher store sales in school-dense areas



Stores located in high-population areas with a strong presence of families and young consumers tend to see stronger sales, with nearby chicken brands attracting shared customers through a spillover effect

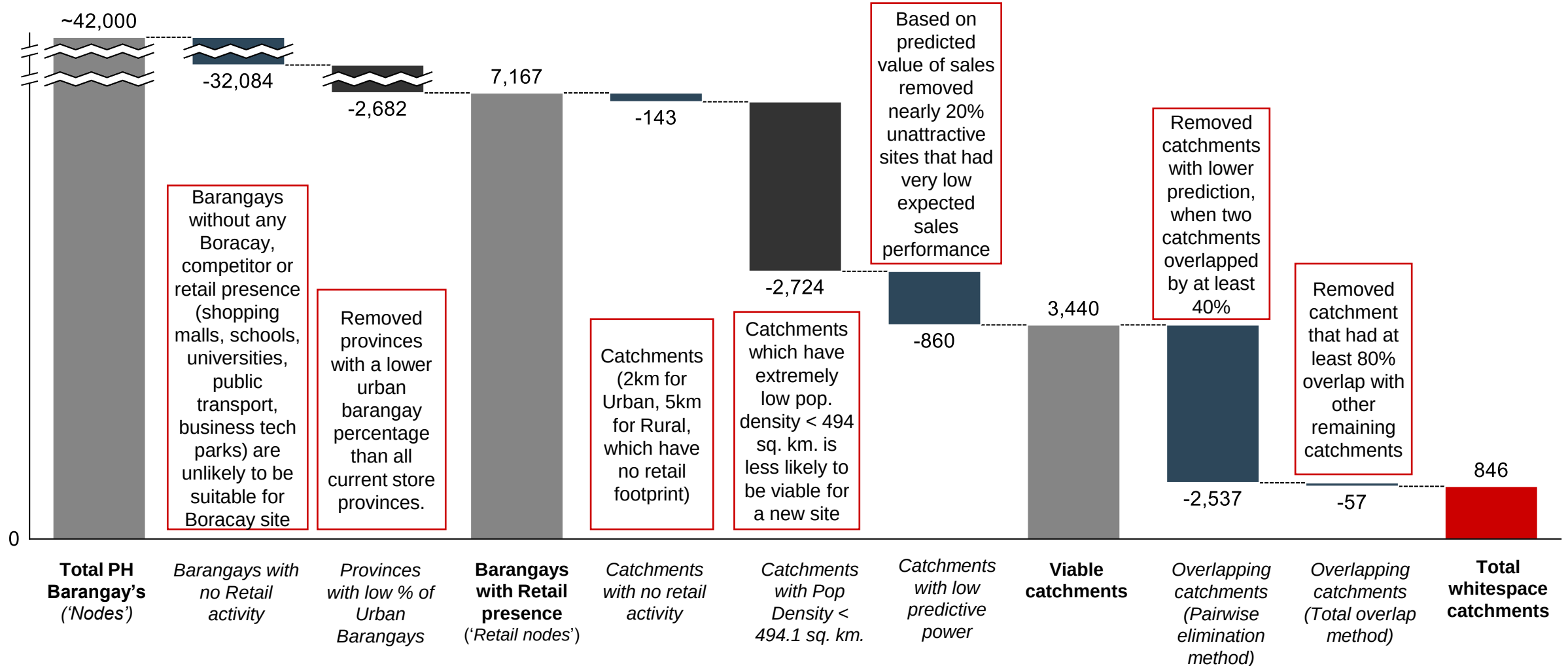
Source: Bain Analysis

Beyond Boracay's current landscape, there are further ~850 addressable whitespace locations that could support potential new stores in Philippines



1-1 STRATEGIC FOOTPRINT EXPANSION

Potential whitespace 'nodes' for Boracay sites (#)



Source: Bain Analysis

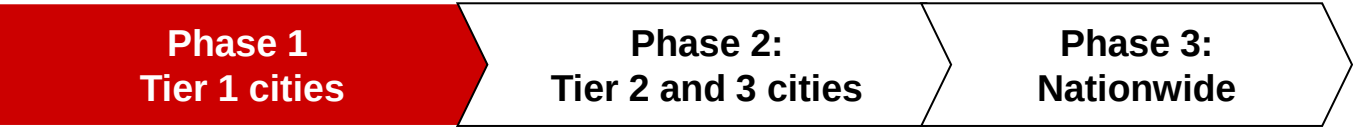
Adapting the best-practice framework from Jollibee will help Boracay transition from controlled rollout to nationwide-reaching market penetration



1-1 STRATEGIC FOOTPRINT EXPANSION

Best practice of store expansion (Jollibee)

Path



- **Full saturation of Tier 1** (Manila / Metro Manila) and **surrounding economic hubs**
 - Established flagship presence in key malls
- **Aggressive expansion into Tier 2 and selective entry in Tier 3 cities**
 - Entered new malls within growing Tier 2/3 cities
- **Active rollout in Tier 3 and 4 cities**
 - Diversified store formats (e.g., dual drive thru) to accommodate regional customers and sites

“Jollibee first focused on Manila area, especially in key shopping malls...then aggressively expanded to Tier 2~4 mainly with drive-thru format”
Former Head of Franchising and Business Dev. In Jollibee

Boracay’s current status

Majority of stores are concentrated in Tier 1 (Manila), with Tier 2 presence selectively developed

- The majority of Boracay stores are concentrated in **key shopping malls in Manila and surrounding satellite cities** such as Nonthaburi and Samut Prakan
- **Selective entry into Tier 2 cities**, focusing on **high-potential urban hubs** such as Chiang Mai, Khon Kaen, and Nakhon Ratchasima

Enabler

- | | |
|---------------------------|---|
| Local dvlpt. expertise | <ul style="list-style-type: none">• Regional dev. Controlled by HQ with strong site vetting capability<ul style="list-style-type: none">– Dedicated internal team oversees site selection, leveraging data on foot traffic, mall partnerships and local demand in Tier 2~4 cities |
| Multi unit support | <ul style="list-style-type: none">• Franchisees operate under ADA* with multi-unit responsibility<ul style="list-style-type: none">– HQ assigns exclusive territories and provides training, performance monitoring, and periodic reviews to scale consistently |
| Systematic dvlpt. process | <ul style="list-style-type: none">• Site selection is centralized, while built-out/operations are franchisee-led<ul style="list-style-type: none">– HQ controls core decisions (location, design standards) with execution delegated to regional franchisors for faster rollout |

- Store rollout is driven by master franchisee with **centralized control and minimal sub-franchising model**
- Multi unit operations are supported by **Scotland’s cross-brand infrastructure**
- Mostly **relied on inbound requests**, with no clear manual or playbook for new store dvlpt.

Born in Manila with strong local appeal, Jollibee scaled nationwide by expanding across Tier 1~4 cities leveraging diverse store formats



1-1 STRATEGIC FOOTPRINT EXPANSION

Jollibee: City-level expansion path in the Philippines



Initial Entry ('78~'03)

- **Initial store expansion focused on Tier 1 cities such as Manila and Metro Manila**
 - ('78) Opened 1st store in Quezon city and expanded to urban areas like Makati, Pasig
 - ('91) Entry in adjacent cities near Manila such as Davao

Mid-Stage Expansion ('04~'16)

- **Aggressive expansion into Tier 2 and selective entry in Tier 3, especially in provincial and mid-sized cities**
 - ('04) Started entering Tier 2 and 3 cities such as Basilan and national expansion into Iloilo, Baguio etc.
 - Positioned in newly built suburban malls (Mall of Asia, SM, Ayala) and diversified store formats
 - Consolidated JFC franchise network system

Continued Expansion ('17~now)

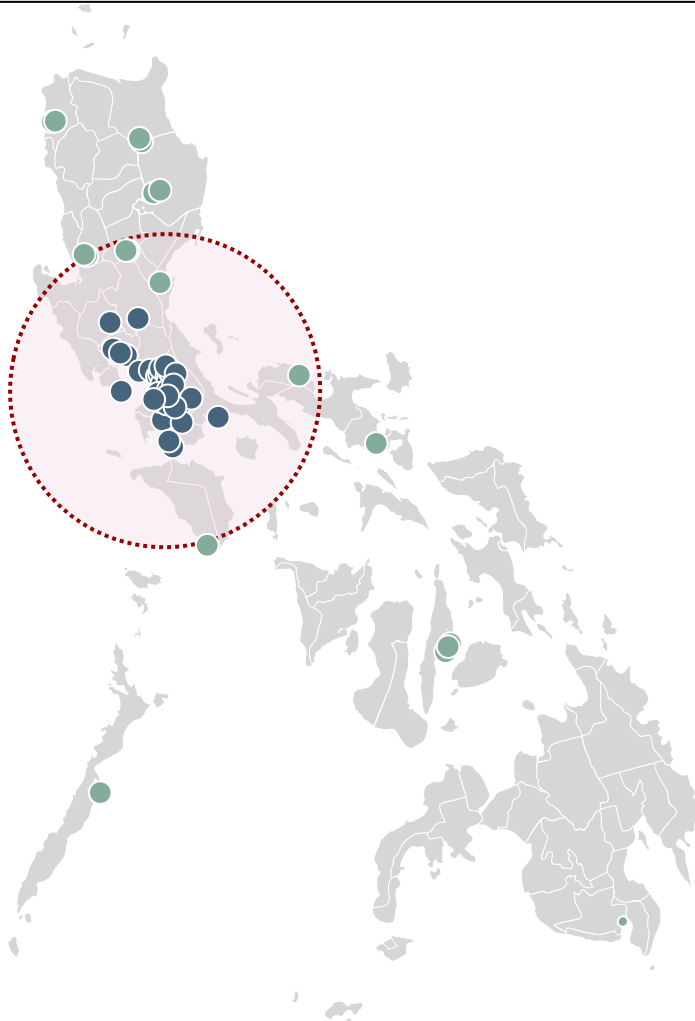
- **Nationwide reach by full penetration in Tier 3 and partial Tier 4 Entry**
 - Entering Tier 3 and 4 cities: nationwide reach by entering cities such as Abulug, Isabela, Sultan Kudart etc.
 - ('19) Driving digital transformation through major store upgrades via 'Level Up Joy' store initiative and introducing new formats such as Dual Drive-thrus

~55% of Boracay stores are located in Tier 1 cities, ~35% in Tier 2 with limited presence in Tier 3/4 cities



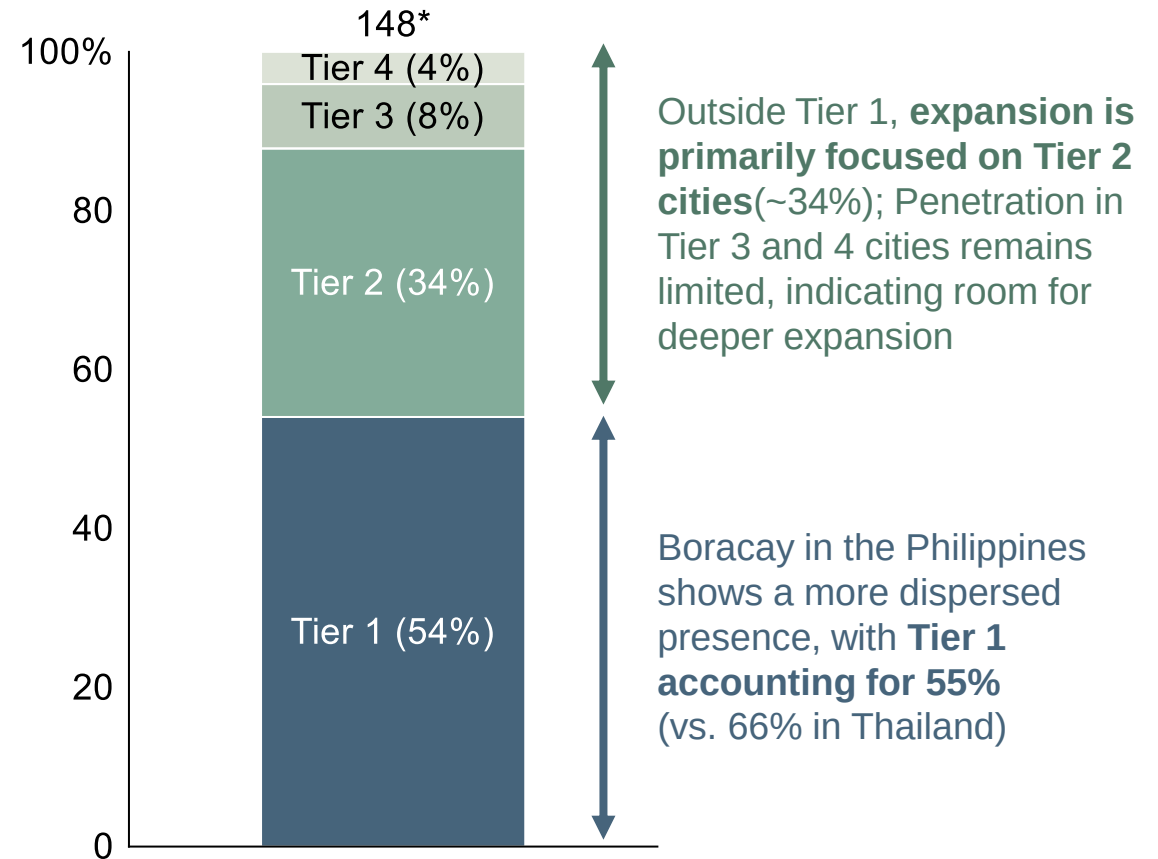
1-1 STRATEGIC FOOTPRINT EXPANSION

Boracay's regional distribution of stores in Philippines



Commentary

Store counts ('25)



*5 stores with unverified addresses have been excluded from the analysis; Source: Company Internal Data; Bain Analysis

Boracay should adopt a phased expansion strategy—accelerating growth in Tier 2 cities, while approaching Tier 3 and 4 selectively



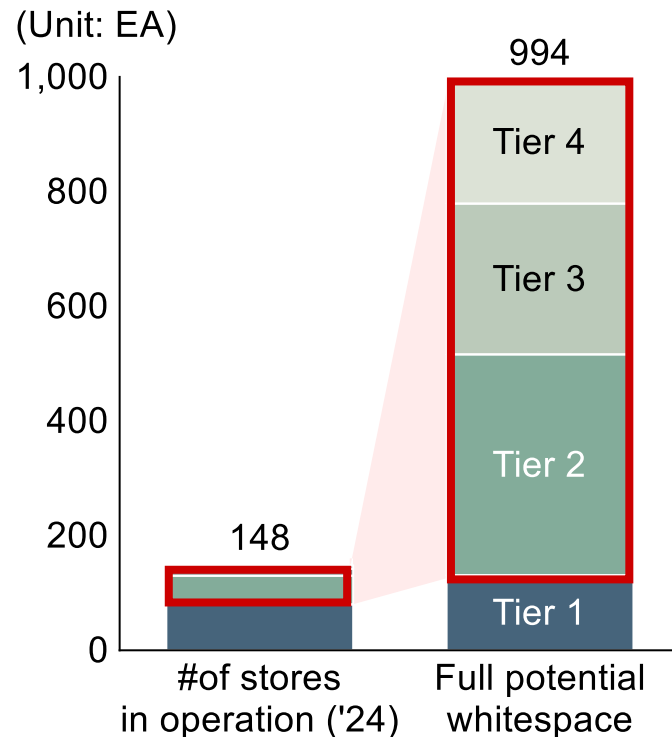
1-1 STRATEGIC FOOTPRINT EXPANSION

Phase 1: Tier 1 Cities

Phase 2: Tier 2/3 Cities

Phase 3: Nationwide expansion

Store expansion plan



- Rather than broad national rollout, **current store base is concentrated in Tier 1 and 2 cities**, limiting broader geographic coverage
- While some room remains in Tier 1, **Tier 2~4 represent the majority of whitespace opportunities**, signaling significant untapped potential

Key capability & enabler for store development

Local development expertise

- Region-based field assignment to secure local insight and manage rollout actively
- Active utilization of **regional franchisors focusing on Tier 2~4**

Multi unit support

- Structured support to enable regional franchisors, especially individuals to achieve scalable growth
 - Training system, construction guide etc.

Systematic development process

- City-tiered rollout playbooks to ensure consistency and execution speed
 - Playbook to divide the R&R between Master Franchisee and regional franchisors

While Boracay is tapping some new store formats, clear strategic direction for each format will further maximize its whitespace potential



1-2 FORMAT INNOVATION

		Description	Boracay's presence (As-is)	To-be potential
Asset-light (QSR-like)	To-go / Delivery Hub	Remote Kitchen	N/A	Considering testing the format in high-density zones
		Kiosk (To-go / Delco)	Recently began expanding with the Delco store format	Apply data-driven approach with 3PD data
	Inline store		N/A	Compact inline formats in key shopping malls for better brand awareness and reduced costs
	Non-traditional location		N/A	Increase exposure to young consumers; considering selective entry into airports and campuses
Asset-heavy (FCR-like)	Shopping Malls		Majority of the stores are FCR formats	Redefine purpose of the format, and strategically search spots with better location-format fit
	Free Standing		N/A	Viable option in Tier 2 outskirts for brand awareness in the long-term
	Drive-thru Store		N/A	Viable option in Tier 2 outskirts for scalable expansion and brand awareness

Source: Company Internal Interview; Expert Interview; Lit. Search; Bain Analysis

AGENDA

Chicken concept and Korean Fried Chicken market growth prospects

Boracay's core competency and performance assessment

Boracay's value creation opportunities

Strategic Footprint Expansion / Format Innovation

Asset-light global expansion

Menu strategy optimization

Performance marketing acceleration

1P ecosystem reinforcement

Chicken price volatility mitigation

Appendix: Customer Survey

Malaysia and Indonesia are attractive markets in SEA, UK in Europe with high market potential and clear winnability

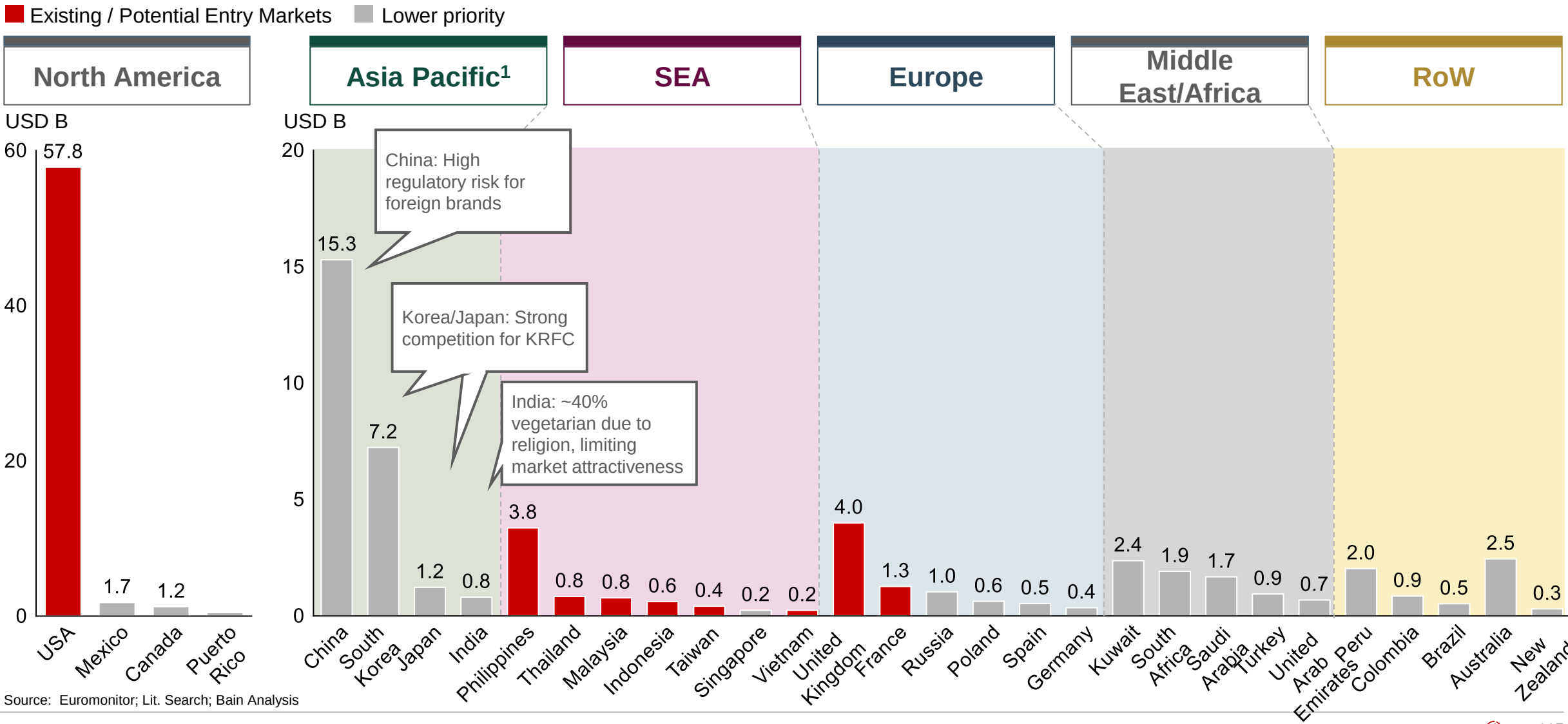
2 ASSET-LIGHT GLOBAL EXPANSION

		NA	APAC	SEA	Europe
Prioritization	LSR Chicken	With 37% global share, the U.S. stands as the key market for chicken	With 15% and 7% global share, China and Korea are key chicken markets	Malaysia, Indonesia trail Philippines and Thailand in Southeast Asia's LSR chicken market	UK is Europe's largest chicken market and top entry point for global F&B brands
	K-Culture Receptivity	The U.S. is the top consumer of major K-culture content like BTS and Squid Game	China's cultural protectionism restrict K-culture reception	Indonesia and Malaysia rank top in SEA for K-culture and K-food receptivity*	Strong K-food intent (2nd in EU) makes UK a top consumption market
	Strategic Importance	Must ensure continued U.S. expansion during global rollout	Market entry can be weighed based on cultural consumption trends	Malaysia and Indonesia should be next targets after Thailand/Philippines	UK should be prioritized as a key entry market based on demand potential
Boracay's winnability	Boracay's attractiveness	Has secured a stable position as a first mover in the U.S.	Low winnability due to high competitive intensity from KRFC and established fried chicken brands	High winnability due to strong brand equity, validation from MFs and customers	High winnability driven by active inbound inquiries from leading MFs and strong local demand
	Boracay's readiness	Preparing to launch key initiatives for broader AD deals and marketing expansion in U.S.	Limited know-how in MF engagement and local business expansion	- Success in Thailand and the Philippines signals high transferability to similar SEA markets Halal-certified supply chain in key SEA countries supports rapid entry	Built localization expertise in Europe via France store as a test-bed

*Based on 'K-Food consumption penetration' which is 90.3% in Indonesia and 88.6% in Malaysia; Source: Company Internal Interview; Lit. Search; Bain Analysis

Back-up: LSR chicken market size by region and country and Boracay's expansion priority

2 ASSET-LIGHT GLOBAL EXPANSION



Source: Euromonitor; Lit. Search; Bain Analysis

This information is confidential and was prepared by Bain & Company solely for the use of our client; it is not to be relied on by any 3rd party without Bain's prior written consent

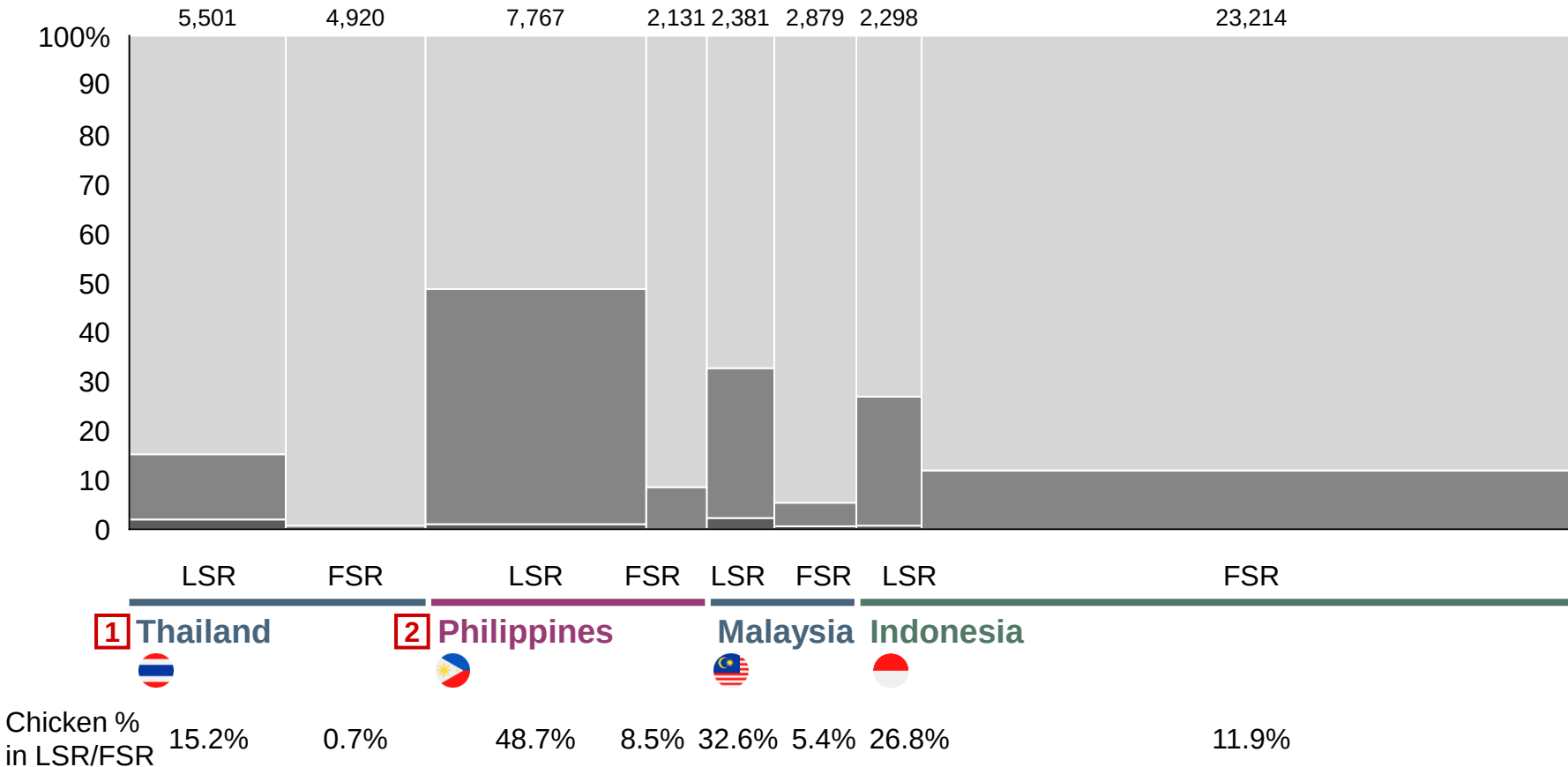
Chicken shows strong penetration via LSR in major SEA markets, with over 15% penetration

2 ASSET-LIGHT GLOBAL EXPANSION

KRFC market map in the core SEA markets ('24A)

(Unit: M USD)

LSR/FSR Market Chicken Market KRFC Market



Key implication

- **Indonesia holds the largest dining-out market**, valued at ~25B USD
 - Indonesia's ~hundred-million population has built its large dining-out market
 - Preference for family dining over franchises has driven stronger FSR market development than LSR
- Across SEA, **chicken market growth is centered around LSR** over FSR
 - Chicken's affordability fits well with value-driven LSR formats
- Driven by local brands such as Jollibee, **the Philippines has the largest chicken market in SEA**

Source: Euromonitor; Lit. Search; Bain Analysis

Given structural similarities in Thailand to Malaysia, and the Philippines to Indonesia, KRFC is well-positioned to unlock further growth across SEA

2 ASSET-LIGHT GLOBAL EXPANSION

Common characteristics among SEA markets

			Thailand	→	Malaysia		Philippines	→	Indonesia
Purchasing Power	Disposable Income*	Mid~High	Strong F&B and retail hub driven by spend-ready consumers - Thailand \$10,120, Malaysia \$20,062			Low	- Fast growing middle-income countries with relatively lower disposable income - Philippines \$8,584, Indonesia \$7,369		
	Price Sensitivity	Low ~ Mid	Shows low price sensitivity with rising demand for quality F&B			High	Post-COVID slump and high inflation keep price sensitivity elevated		
	Chicken Consumption	Whole chicken	- Growing KRFC awareness spurred inclusion of Korean chicken portions in menus - Various KRFC brands feature larger portions			By Piece	Localized offerings are essential given entrenched local brand dominance - Most fried chicken menus come with rice and drink		
Growth Potential	KRFC Recognition	K-Chicken	Deeper Korean food awareness gave top menus standalone value - Rise in specialty restaurants amongst K-food brands			K-Food	- Main motivation for visiting KRFC brands remain focused on ‘exploring’ Korean cuisine - KRFC outlets are yet to be recognized beyond K-food		
	K-Culture Receptivity**	High	- K-content has transitioned from a ‘trend’ to ‘staple’ with increasing demand and awareness - Thailand 29.5%, Malaysia 33.0%			High	Fast-growing appetite for K-experience imported in various formats (media, food, language etc.) - Philippines 34.0%, Indonesia 34.7%		
	Internet Penetration***	High	- Fully onboard with the digital lifestyle, embracing global tastes and delivery formats - Thailand 90.7%, Malaysia 98.1%			Mid	- Digital experiences are associated with novelty and premium, shaping consumer expectations - Philippines 64.5%, Indonesia 72.6%		

Secured halal certification across all key SEA markets, enabling immediate market entry and compliant operations in predominantly Muslim regions

*Median disposable income per household; **Share of K-content from total monthly content consumption (%); ***Percentage of population using the internet via PC, mobile etc.; Source: Bain Analysis

Boracay should prioritize partners with strong capital, F&B operating experience, and expansion capability—especially those with ethnic food brands

2 ASSET-LIGHT GLOBAL EXPANSION

Prioritization criteria

Key assessment criteria

A

Financial soundness

- Financial capacity to sustain MF business
 - Financial health of the MF is crucial for secure initial rollout and sustained growth

B

F&B brand track record

- Whether the operator has hands-on experience managing F&B brands
 - Tied directly to core capabilities like store operations and supply chain management

C

Store expansion capability

- Ability to achieve stable early-stage expansion
 - Achieving early store expansion is crucial to unlock full potential

Potential interest in KRFC

D

Portfolio coverage of ethnic food

- Track record of owning and running ethnic food brands
 - Operators with proven ethnic food success show stronger interest in KRFC

Industry expert perspective



“MF must have capital to open ~100 stores directly to build store economics and brand awareness before sub-franchising.”

Former COO at Minor Food Group



“Operational expertise in F&B and expansion is critical; lack of it has led to multiple MF withdrawals despite strong capital.”

Former COO at Minor Food Group



“Operators with ethnic brands like Mexican or Japanese are likely interested in K-Food/KRFC and often excel at localization—strong fit.”

Former Head of KFC at QSR Brands

A G E N D A

Chicken concept and Korean Fried Chicken market growth prospects

Boracay's core competency and performance assessment

Boracay's value creation opportunities

Strategic Footprint Expansion / Format Innovation

Asset-light global expansion

Menu strategy optimization

Performance marketing acceleration

1P ecosystem reinforcement

Chicken price volatility mitigation

Appendix: Customer Survey

Boracay has potential to grow GMV via improved menu that lifts visits and AOV, with emphasis on launching new chicken menu items



3-1 MENU STRATEGY OPTIMIZATION

High

Mid

Low

Menu enhancement in U.S. – Boracay’s to-be direction

		Boracay’s to-be direction	Best practice examples	Key requirement	Expected impact
Menu renewal		Quarterly or biannual chicken drops offer new flavors (Relaunch based on customer feedback)	(Wingstop) Repeat visits fueled by sauces, tenders, and limited-time offers	- More capable in item updates than full new menu builds - Monitoring customer	- Drives loyalty by increasing revisits - Limited in attracting new customer traffic
New menu development	Chicken	Expanded chicken lineup with new formats, sauces, and meat-free options	(Wingstop) Outside FC, launched tenders, sandwiches, and custom sauces	- Capability in developing new menu items - Boracay already has in-house R&D chefs and a test kitchen	Supports return traffic and new customer growth
	Non-chicken	Add Korean sides(e.g., street food) and new takes on popular items	(Buffalo Wild Wings) Bar identity strengthened through burger, nacho additions	- Secure a stable supply chain for new ingredients - Sysco ensures steady supply of key ingredients	Expands menu and boosts AOV
	Beverage	Adding Korean sweets and drinks to enhance appeal	(Popeyes) Dessert menu now includes beignets and apple pie	Menu rollout may need training and tools	Raises AOV but draws few target customers
Pricing options diversification (e.g., budget, combo)		Developing a value menu and segmenting combo sets by price tier	(Wingstop) Offered low-cost combos and bold pricing deals	- Design combo sets with stable food cost ratios - Use high-margin sides to balance food costs	Increases order volume and draws price-sensitive diners
Menu simplification		Cut slow-sellers, localize some, simplify unique items	(KFC & Wingstop) Simplified the menu by eliminating low-sellers to improve operational efficiency	- Data-driven decision making - Menu-level review of sales, ingredients, and sourcing is essential	Greater efficiency improves cost structure

Source: Lit. Search; Bain Analysis

A G E N D A

Chicken concept and Korean Fried Chicken market growth prospects

Boracay's core competency and performance assessment

Boracay's value creation opportunities

Strategic Footprint Expansion / Format Innovation

Asset-light global expansion

Menu strategy optimization

Performance marketing acceleration

1P ecosystem reinforcement

Chicken price volatility mitigation

Appendix: Customer Survey

Boracay has actively increased marketing spend recently, but still lags behind market average in the US

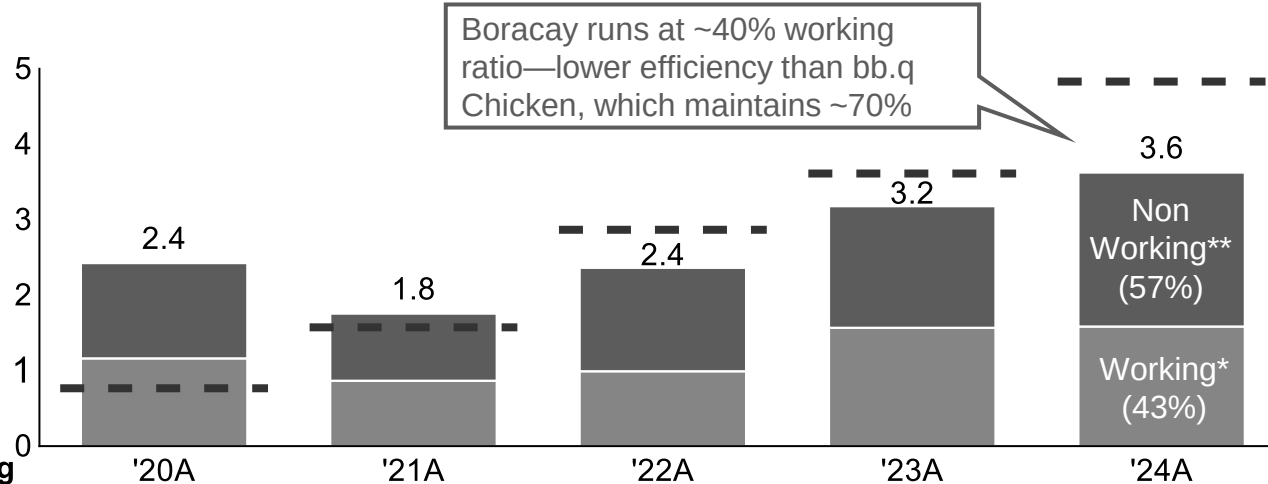


3-2 PERFORMANCE MARKETING ACCELERATION

Boracay's marketing spending trend

(Unit: M USD)

■ Non Working
■ Working
... bb.q



Marketing spending (M USD)

Boracay	2	2	2	3	4
bb.q	1	2	3	4	5
KFC	81	108	126	161	233
Popeyes	213	229	229	233	221
	183	191	200	220	229

Marketing % of GMV

Boracay	1.8%	1.0%	1.2%	1.5%	1.8%
bb.q	2.0%	2.0%	2.0%	2.0%	2.0%
KFC	4.5%	5.0%	5.0%	5.0%	5.3%
Popeyes	4.5%	4.5%	4.5%	4.5%	4.5%
	4.0%	4.0%	4.0%	4.0%	4.0%

*Working marketing focuses on ad spend that directly reaches consumers and drives results; **Non-working marketing involves planning and production costs before ads reach consumers

Source: Expert Interview; Technomics; FDD Reports; Bain Analysis

Marketing spending comparison

1 Marketing spending

- Accounts for only 2% of the size of legacy leaders like KFC, Popeyes and is smaller than the emerging brands (bb.q chicken)
 - Indicates a lack of scalable marketing spend to reach a sufficiently wide audience

2 Marketing % of GMV

- At 1.8%, it remains significantly below legacy brands (4.0–5.0%) and even below growing brands (~2%)
 - Suggests sufficient potential to reach average industry levels

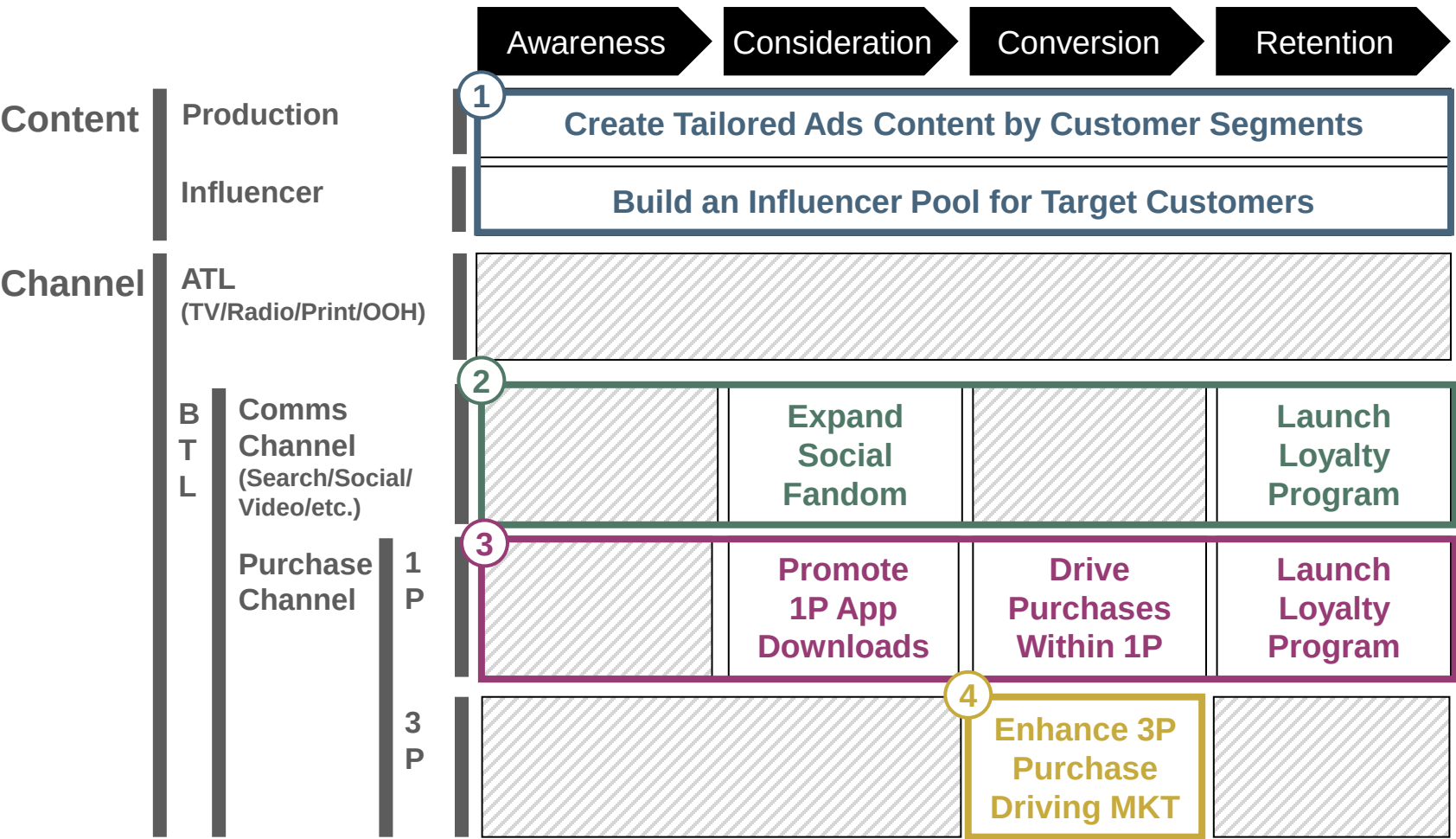
Expand the owned customer base via social fandom, 1P MKT, and loyalty program; Enhance MKT efficiency by tailored content to each customer segment



3-2 PERFORMANCE MARKETING ACCELERATION

Marketing Value Creation Levers

Low priority for Boracay



Commentary

- More Content Variations**
 - Tailor ads by customer segment to enhance MKT ROI (up to +30%)
 - Broaden influencer base to scale up social content production
- Reallocate Budget based on Funnel**
 - Focus marketing on growing the owned customer base
 - Increase social followers and launch the loyalty program
- Activate Marketing Within 1P App**
 - Expand 1P app installs to grow membership base
 - Drive purchases through stronger in-app CRM
- Enhance 3PD Purchase Driving MKT**
 - Maximize visibility on 3P apps through SEO
 - Upgrade promotions to improve ROAS

* Instagram; HypeAuditor - 12 months data as of 24th April, '25 **Similarweb
Source: Lit Search; Smilarweb; Bain Analysis

AGENDA

Chicken concept and Korean Fried Chicken market growth prospects

Boracay's core competency and performance assessment

Boracay's value creation opportunities

Strategic Footprint Expansion / Format Innovation

Asset-light global expansion

Menu strategy optimization

Performance marketing acceleration

1P ecosystem reinforcement

Chicken price volatility mitigation

Appendix: Customer Survey

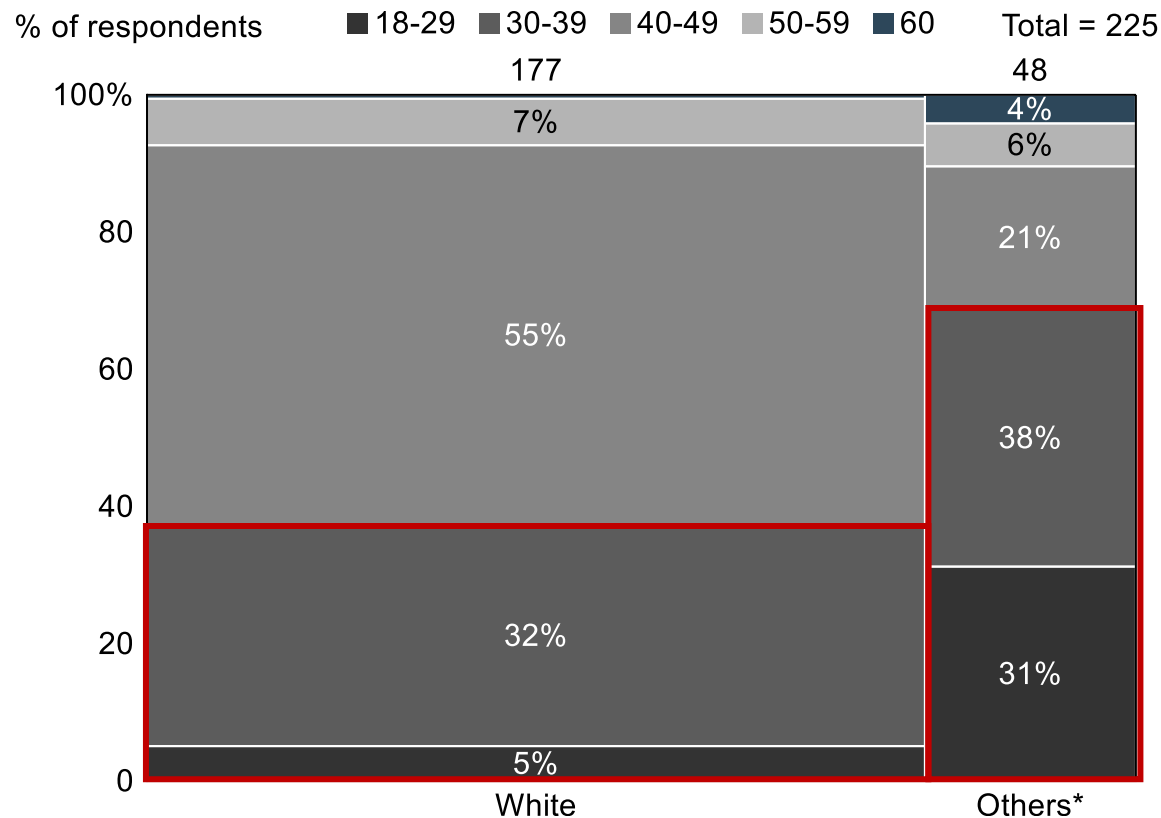
Boracay's 1P app users are mostly under 40s, with NPS far higher than other channels



3-3 1P APP ECOSYSTEM REINFORCEMENT

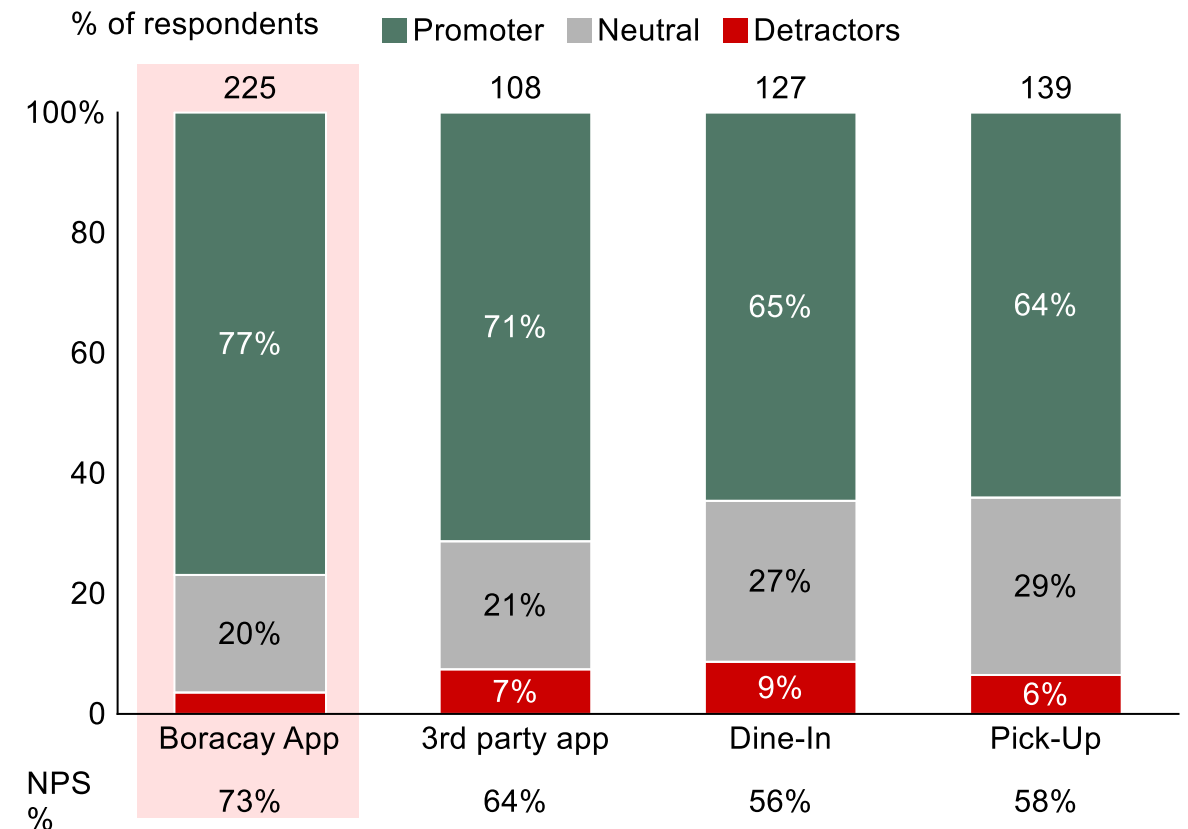
Q.

For the Boracay App users, what is your ethnicity and age?



Q.

On a scale of 0 to 10, how likely would you be to recommend KRFC brand to a friend or colleague?



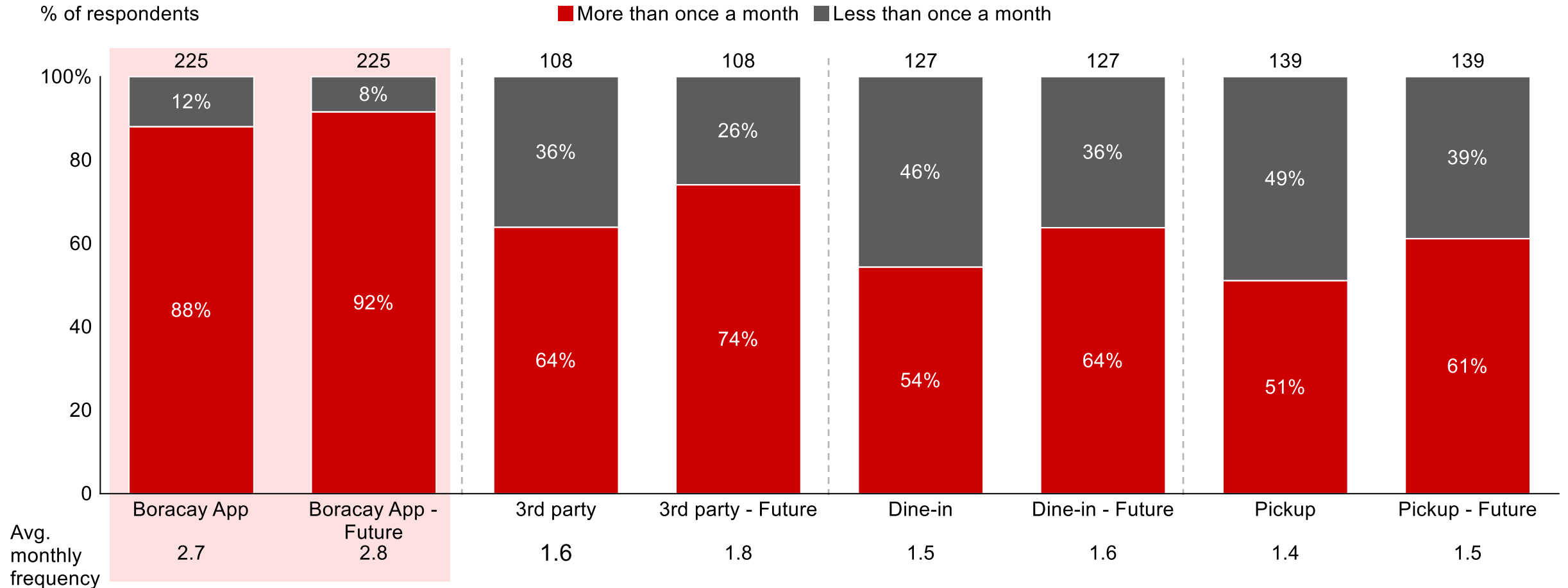
Note: The "Boracay App" customer segment includes respondents secured through an additional survey; (*) Others include African American, Asian/ Asian American, and Hispanic; Source: Customer Survey; Bain analysis

Boracay shows strong growth potential with rising purchase frequency across channels, led by loyal users on the 1P app driving repeat sales



3-3 1P APP ECOSYSTEM REINFORCEMENT

Q. How frequently do you eat Korean Fried Chicken?



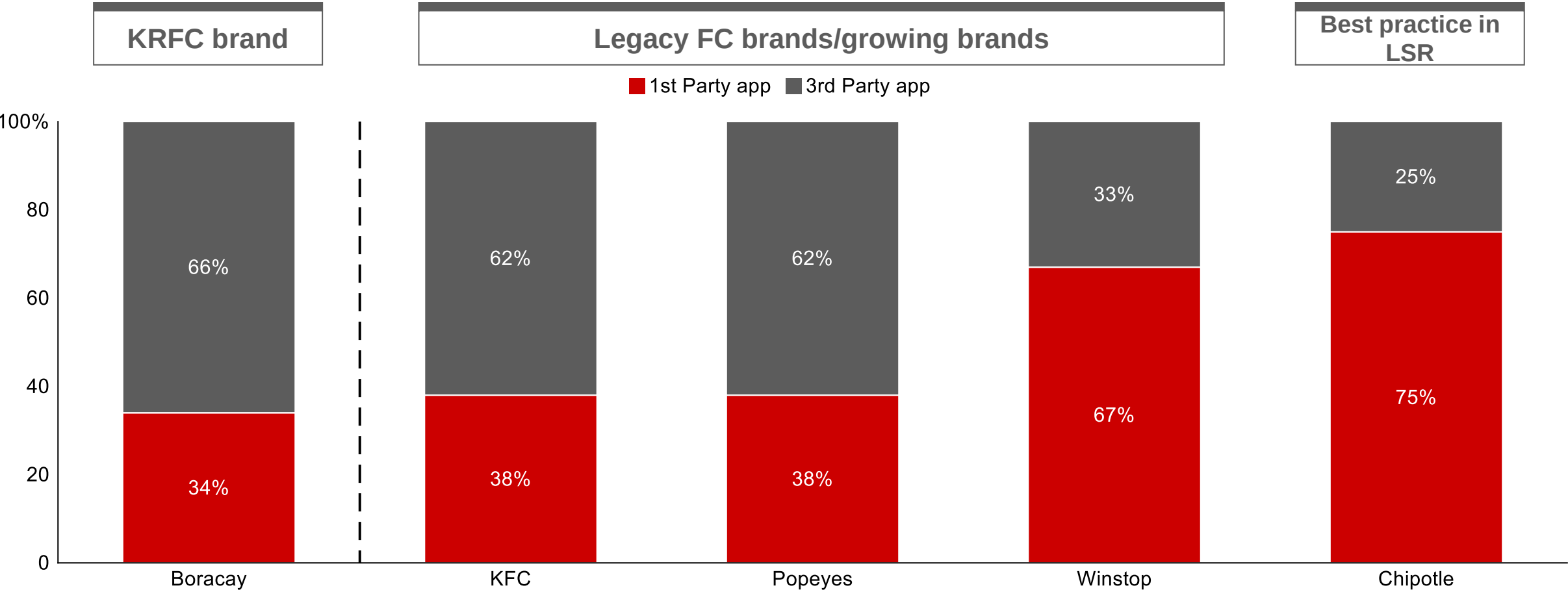
Note: The "Boracay App" customer segment includes respondents secured through an additional survey; (*) Asian/ Asian American includes Asian, Asian American, and Korean American
Source: Customer Survey; Bain Analysis

Boracay's 1P app share in digital sales matches legacy brands but trails 1P-focused peers, highlighting clear headroom for growth



3-3 1P APP ECOSYSTEM REINFORCEMENT

1P app GMV % of Digital GMV (Boracay vs. key competitors in U.S.)



Source: Lit search; Bain analysis

This information is confidential and was prepared by Bain & Company solely for the use of our client; it is not to be relied on by any 3rd party without Bain's prior written consent

Boracay lacks a loyalty program but is planning to launch one modeled after top-tier competitors



3-3 1P APP ECOSYSTEM REINFORCEMENT B LOYALTY PROGRAM

1P loyalty program as-is assessment (Boracay vs. best practices)

		Boracay	Wingstop	Chick-fil-A
Rewards structure	Sign-up incentive : Clear value exchange	N/A	Free fries or drinks upon sign-up	Free chips & guac upon sign-up
	Value of rewards : Attractive rewards		Free items after few purchase	Entree after 1250 points
	Earning mechanism : Straightforward earning process		Points per dollar spent	10 points per 1 USD
Exclusive offering	Lower prices on 1P : Discounts only on 1P channels		App-only free delivery or discount promos	Free delivery on digital orders
	Exclusive promotions : Deals only for app users		Flavor events, app-only deals	App-activated, limited-time rewards for loyalty members only
	Exclusive menu items : Menu only accessible via app		Occasional new flavor early access	Quesadilla only available digitally
	Incentives to switch : Rewards to shift from 3P to 1P		Free delivery for app orders vs. 3P	Free delivery & discounts for app orders vs. 3P
Customer engagement	Personalization : Customized menu recommendation.		Menu suggestions based on order history	Personalized offers and menu based on context & preferences
	Communication : Regular communication cadence		Push notifications & limited-time offers	App push, emails based on activity

Source: Lit. Search; Bain Analysis

This information is confidential and was prepared by Bain & Company solely for the use of our client; it is not to be relied on by any 3rd party without Bain's prior written consent

Strong interest in loyalty program from both Boracay 1P and 3PD users signals clear upside potential

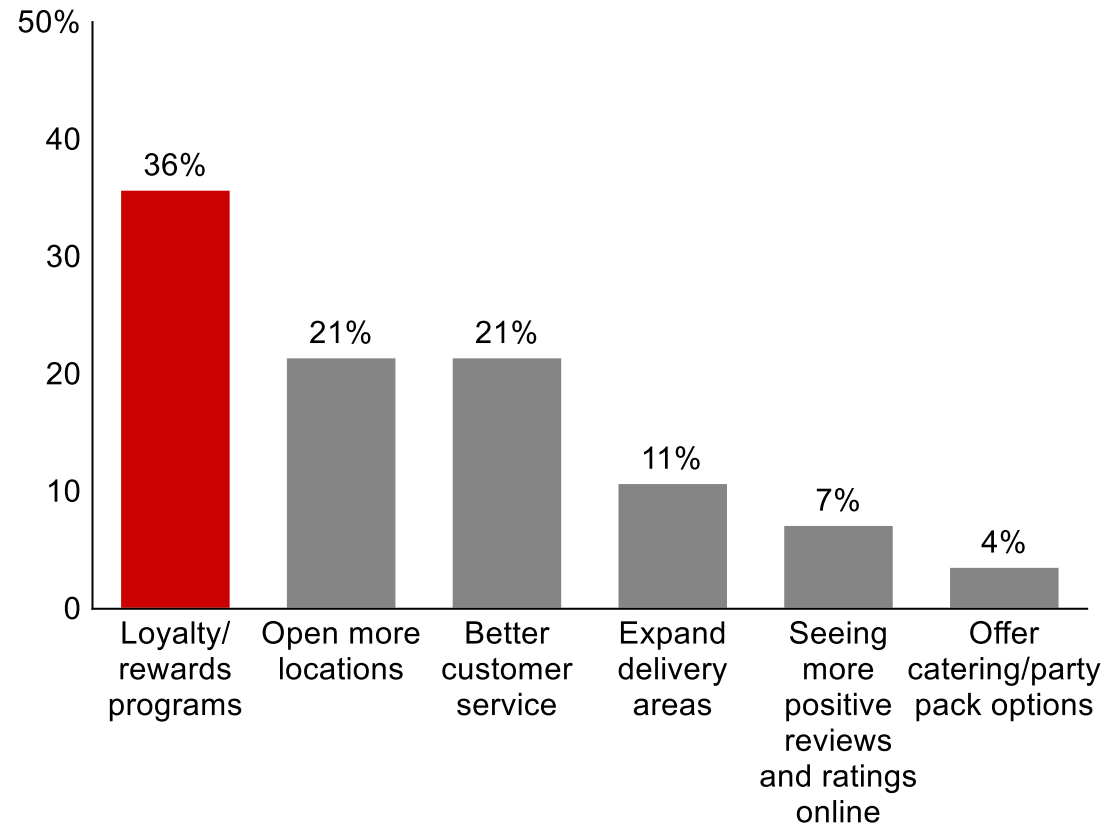


3-3 1P APP ECOSYSTEM REINFORCEMENT

B LOYALTY PROGRAM

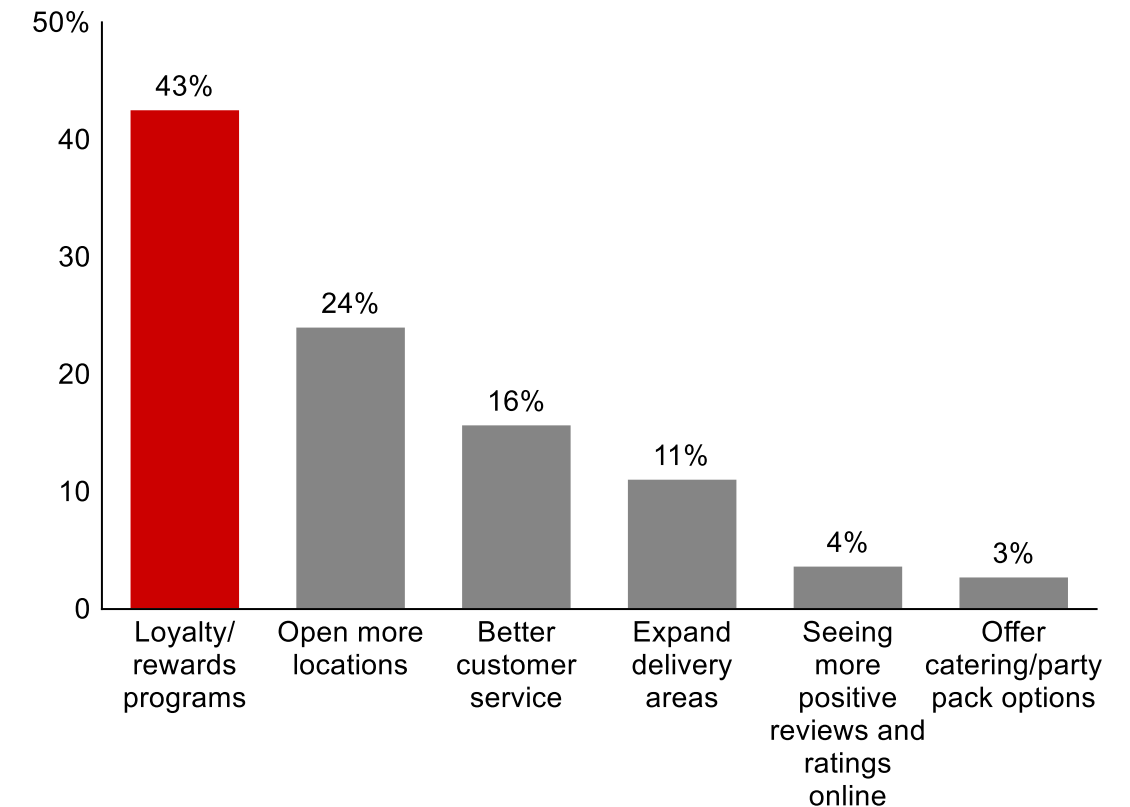
Q. Besides menu & improvements on purchase channels, what would influence users of 1st party app the most to order Boracay more often?

% of respondents (N=28)



Q. Besides menu & improvements on purchase channels, what would influence users of 3rd party apps the most to order Boracay more often?

% of respondents (N=108)



Source: Customer Survey; Bain Analysis

A G E N D A

Chicken concept and Korean Fried Chicken market growth prospects

Boracay's core competency and performance assessment

Boracay's value creation opportunities

Strategic Footprint Expansion / Format Innovation

Asset-light global expansion

Menu strategy optimization

Performance marketing acceleration

1P ecosystem reinforcement

Chicken price volatility mitigation

Appendix: Customer Survey

There are two main categories for drivers / events that impact chicken pricing

4-1 CHICKEN PRICE VOLATILITY MITIGATION

Key drivers for chicken price

Recurring drivers



- Drivers that will usually have a slight impact on pricing every year; impact on pricing is usually really small (generally only less than \$0.1)
- Main traditional ongoing drivers include:
 - Labor costs
 - Freight / transportation costs
 - Cost of grains
 - Seasonality (shift in demand)

Idiosyncratic / black swan events



- Events that don't happen normally and will usually lead to higher pricing impacts compared to traditional ongoing drivers
- Main idiosyncratic drivers include:
 - Avian flu
 - Labor shortage / unproductivity
 - Lower hatchability rate
 - Conflicts that lead to significantly higher materials costs

To mitigate price volatility and improve profitability, the industry has adopted a range of proven strategies to manage volatility in chicken procurement costs

4-1 CHICKEN PRICE VOLATILITY MITIGATION

Risk mitigation strategy

[Rev.] Menu Pricing	Adjusting sales price	• Increase chicken menu prices in a controlled manner by emphasizing premium value to minimize consumer backlash.	 
	Diversifying suppliers	• Diversify suppliers to induce supplier level price competition and to expand volume from the lowest cost supplier to lower unit price.	  
[Cost] Unit chicken price	Expanding long-term, forward contact	• Expand long-term agreements (2yr+) and adopt futures pricing in supply contracts to minimize price swings.	 
	Expanding low-cost parts menu	• Drive sales of low-cost part menus via flexible store operation systems to expand low-cost part purchase volume.	 
[Cost] Chicken purchase mix	Diversifying recipe	• Develop multiple recipe variants per product that flexibly use chicken parts and flexibly adopt low-cost recipe based on market price.	 
	Shifting toward non-chicken menu	• Shift product mix toward non-chicken options like beef and pork during times of chicken cost escalation to lower chicken purchase volume.	 
[Cost] Chicken purchase volume	Size adjustment	• Reduce chicken portion (e.g., from 12oz to 9oz (down to ~80%)) without price drop to lower chicken purchase volume.	  Small growing brands

Source: Expert Interview; Lit. Search; Bain Analysis

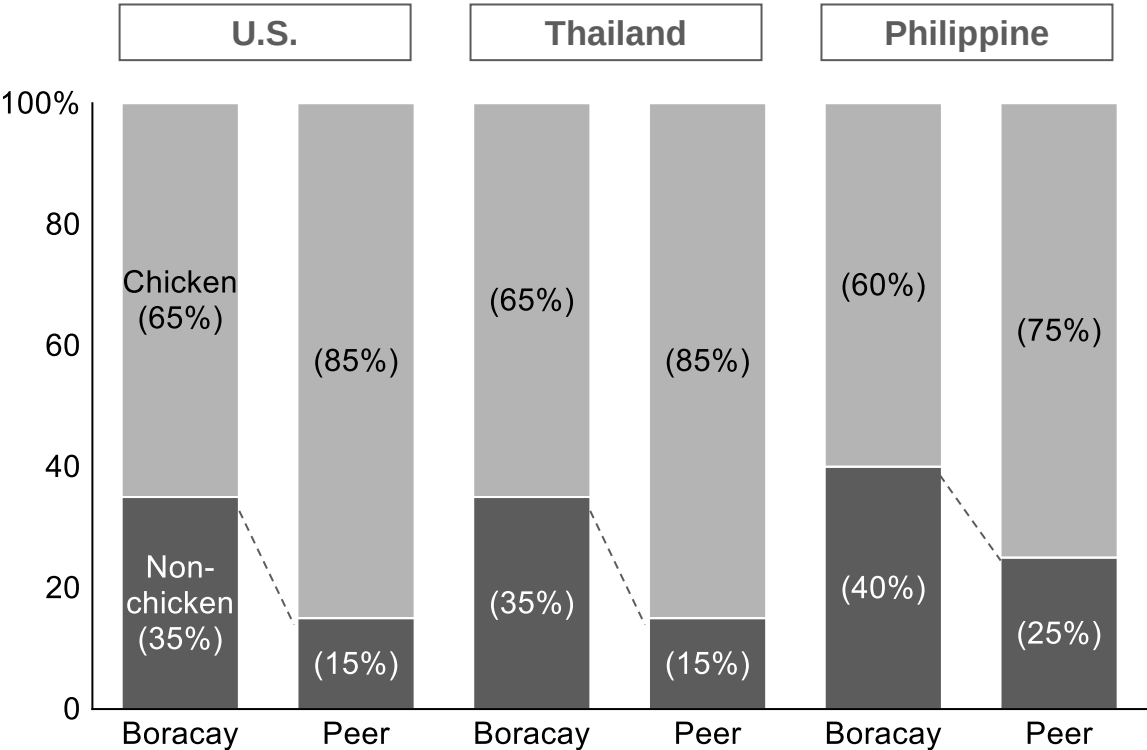
Boracay has low exposure to chicken price hike risk due to its high non-chicken menu mix, while executing strategies to mitigate residual risk and to improve margin

4-1 CHICKEN PRICE VOLATILITY MITIGATION

Low exposure to risk

Operates strong non-chicken menus (e.g., beef/pork, Korean), enabling easy shift during chicken price hikes

Revenue breakdown by menu ('24)



Note: Companies included in 'Peer' of each region is as follows – U.S.: bb.q, KFC; Thailand: BHC, KFC; Philippines: KFC
Source: Company Internal Data; Company Internal Interview; Lit. Search; Bain Analysis

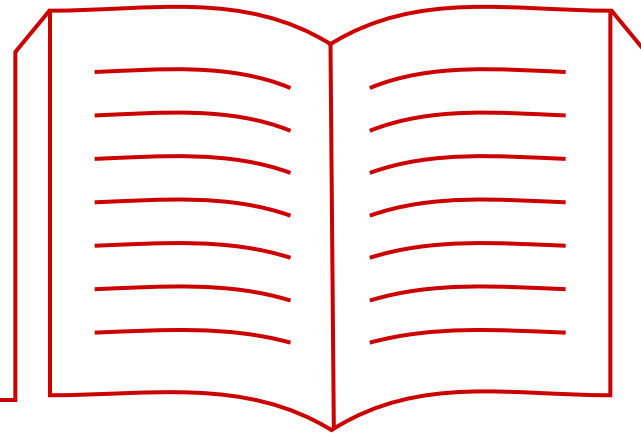
+ Risk mitigation and profitability improvement levers

Pricing, cost, and volume levers underway – further mitigation potential through rollout of volume and contract opt. strategies

Adjusting sales price	✓	Menu prices of chicken based menu raised over 5 years
Diversifying suppliers	✓	Partnered with multi-farm poultry distributors in U.S./SEA and referred them to branches
Expanding long-term, forward contact	✗	Not yet adopted – Mid/long-term opportunity (negotiation power expected to follow only after business scale-up is achieved)
Expanding low-cost chicken parts-based menu	✗	Not yet adopted – Short-term opportunity (enabled by internally developed in-store operations playbook)
Diversifying recipe	✗	Not yet adopted – Short-term opportunity (enabled by internally planned recipe development and store-level execution)
Shifting toward non-chicken menu	✓	Flexible operations to boost non-chicken sales (e.g., menu design, discount combo)

Appendix

- Customer survey

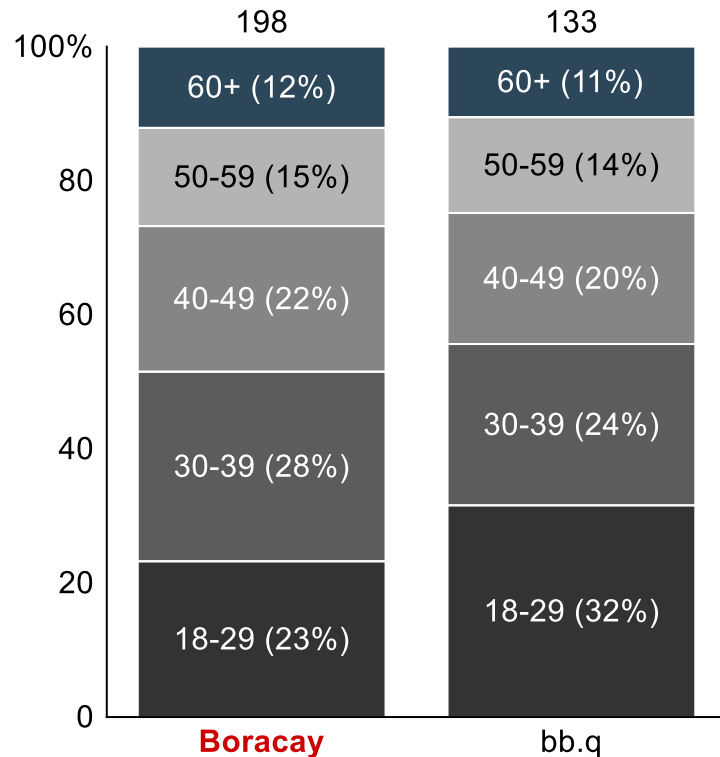


Purchase behavior: Boracay and bb.q attract diverse yet distinct customer bases



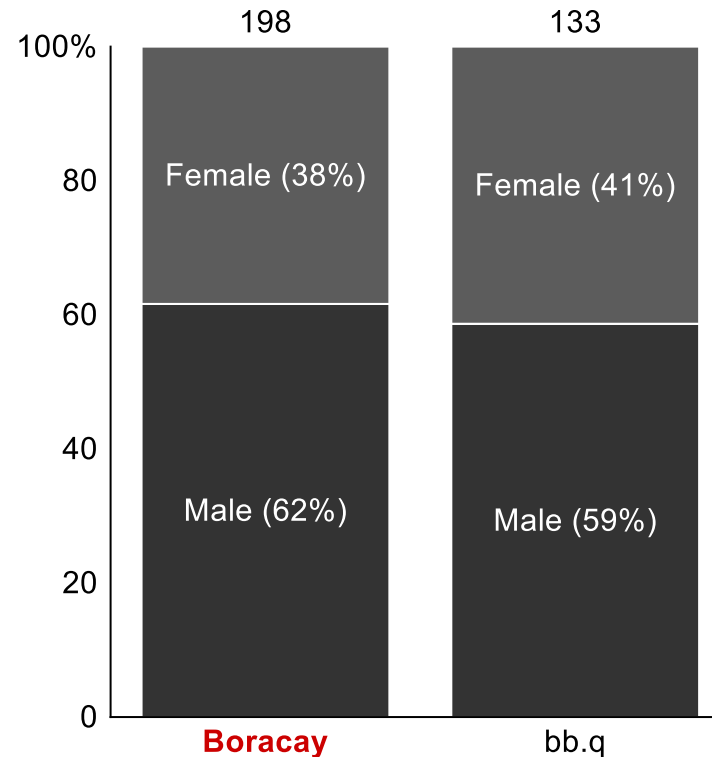
Q. Please indicate your age group?

% of respondents



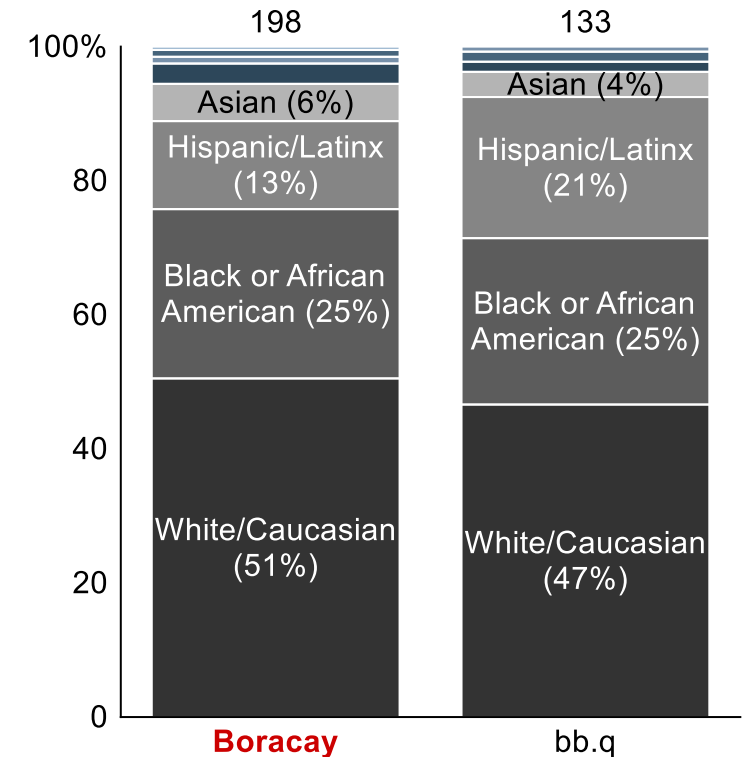
Q. Please describe your gender?

% of respondents



Q. Please describe your race/ethnicity?

% of respondents



Note: 'Others' has been hidden from the charts on the slide

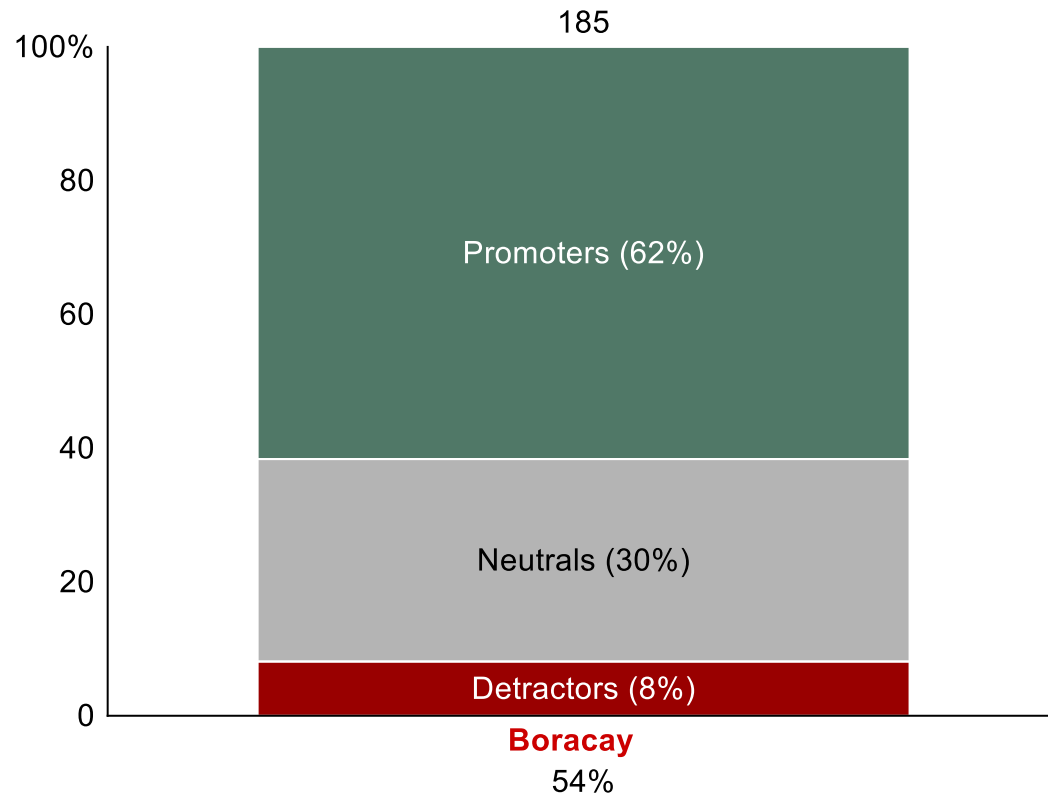
Source: Customer Survey; Bain Analysis

NPS: Boracay's advocacy at ~55%, driven primarily by chicken flavor & cooking style, however scope to improve value perception and limited menu appeal



Q. How likely would you be to recommend Boracay to a friend or colleague?

% of respondents



Q. What is the main reason to recommend Boracay to a friend or colleague?

% of respondents

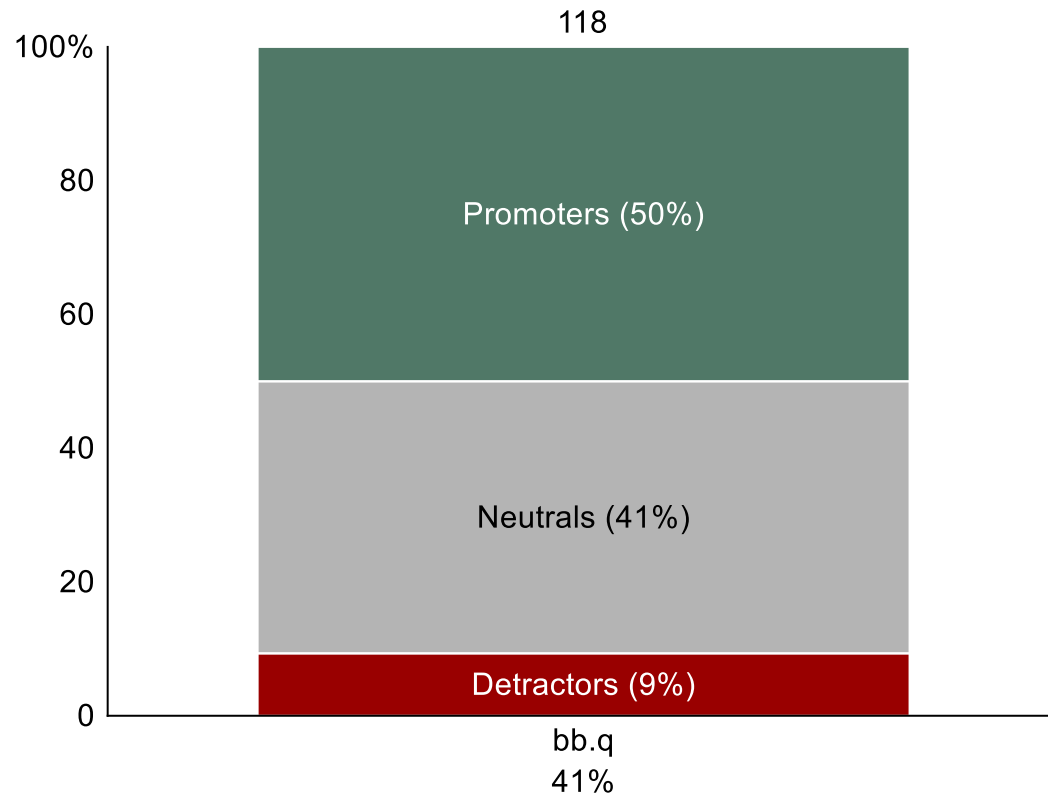


NPS: bb.q advocacy at ~40%, driven primarily by chicken flavor, crispy texture & cooking style, however scope to improve portions & limited menu appeal



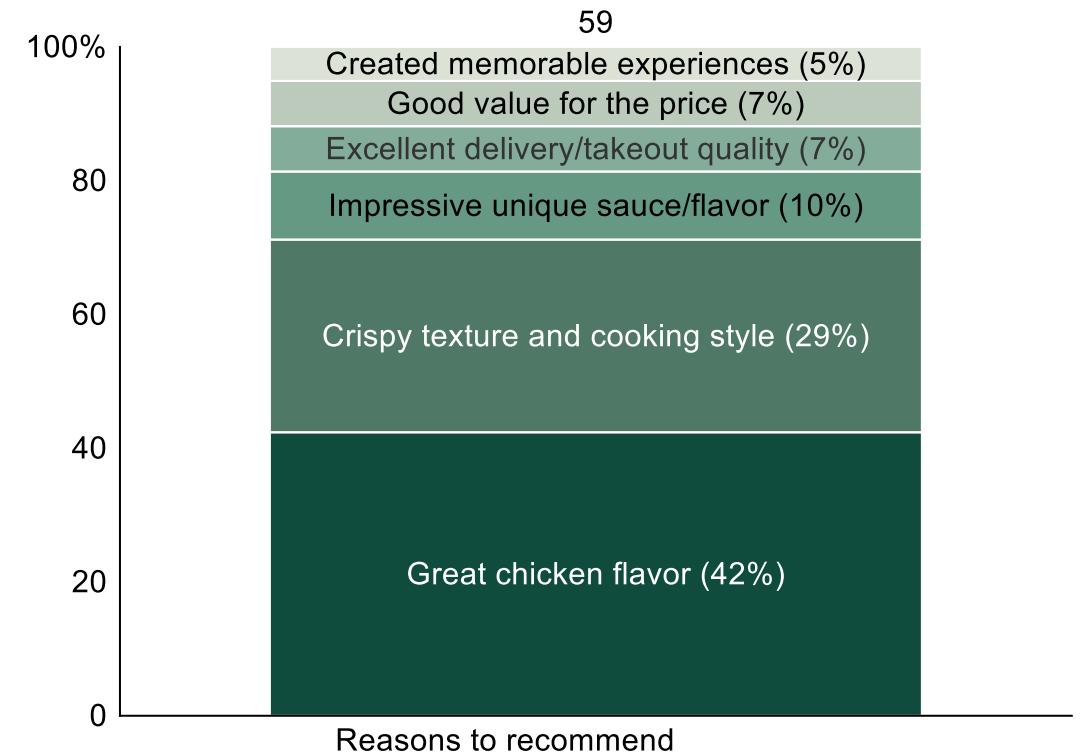
Q. How likely would you be to recommend bb.q to a friend or colleague?

% of respondents



Q. What is the main reason to recommend bb.q to a friend or colleague?

% of respondents



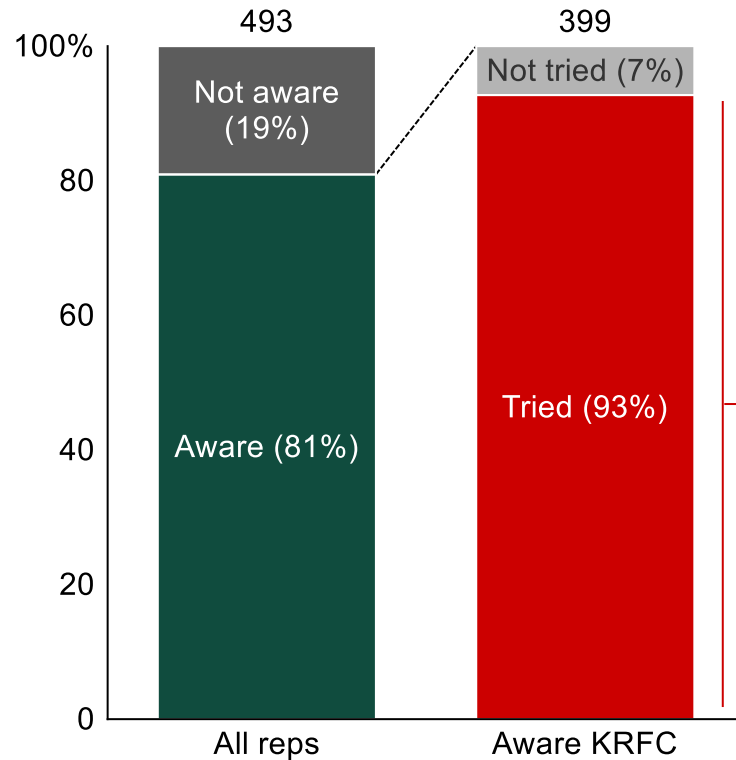
KRFC in Malaysia enjoys high awareness with >90% trial rate, with higher interest from younger age groups & female consumers



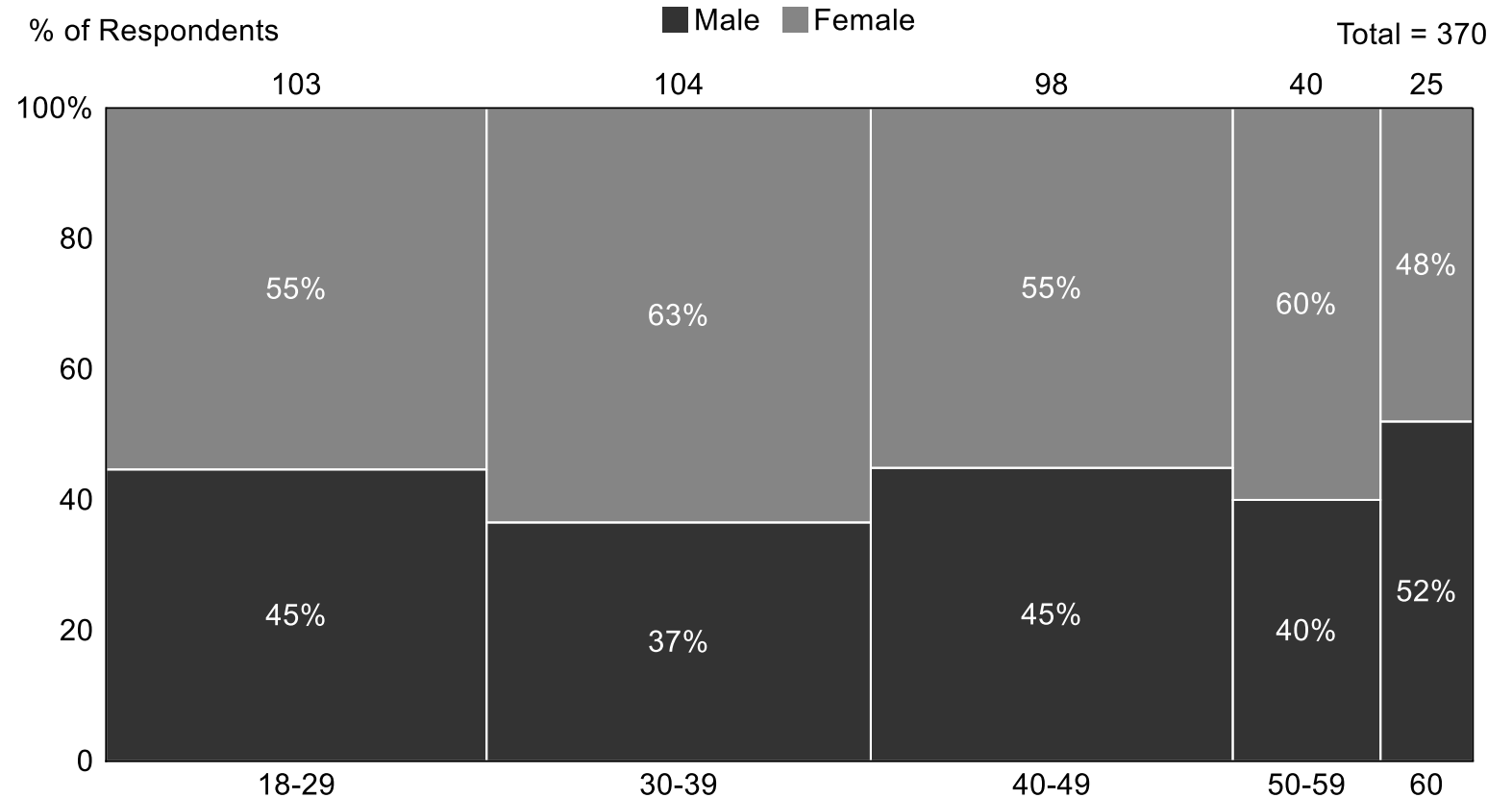
Q.

Have you tried Korean-style fried chicken before?

% of Respondents



Respondents who have tried KRFC by age and gender (Demographic N=370)



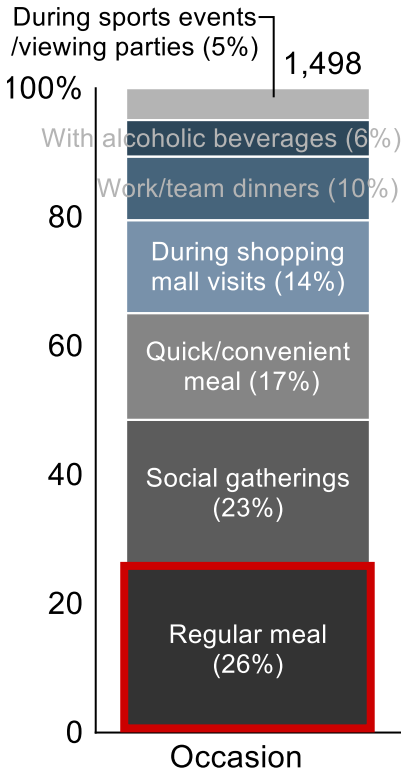
Source: Customer Survey; Bain Analysis

~60% respondents eat KRFC at least once a month, mainly during regular meals; dine-in is the most used channel with flavor as top driver



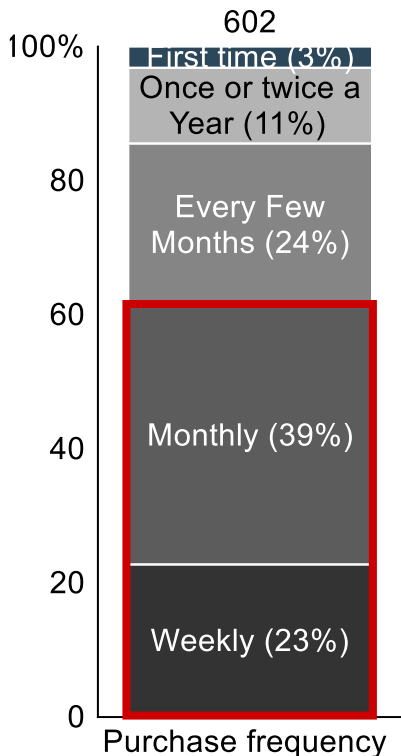
Q. At what occasions do you typically eat KRFC?

% of responses **N=370**



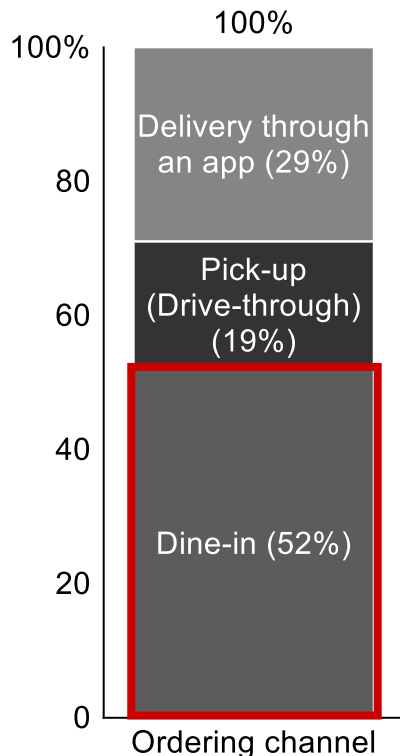
Q. How frequently do you eat KRFC?

% of responses **N=370**



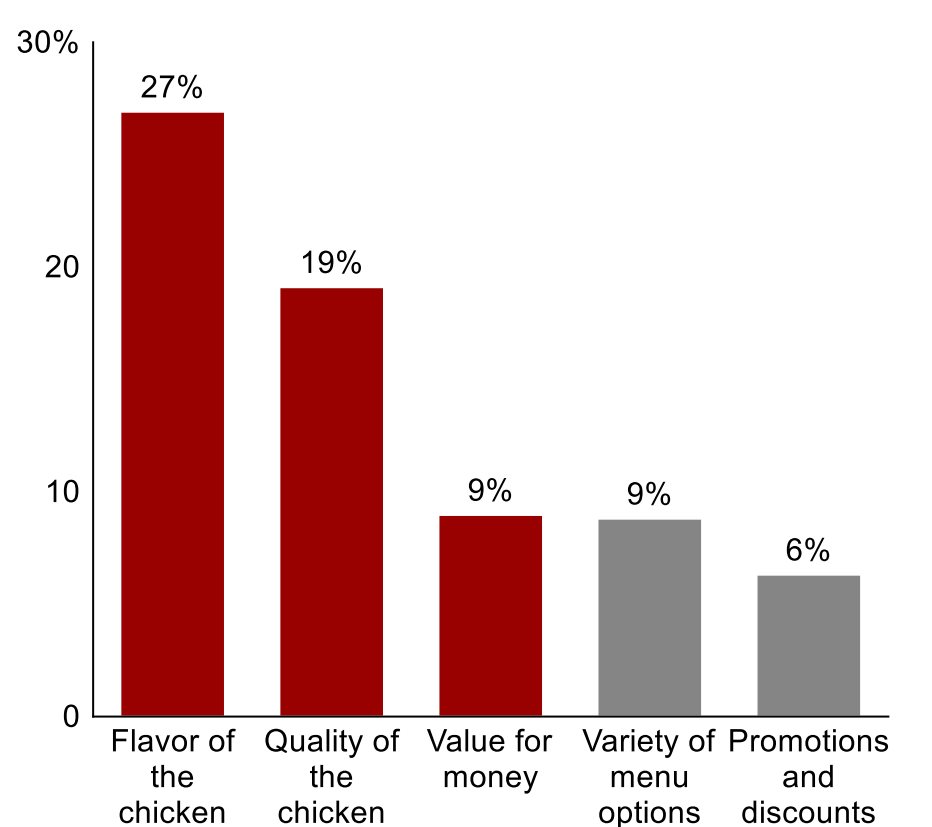
Q. Which channel do you usually use to order KRFC?

% of responses **N=370**



Q. What is the most important reason you usually choose KRFC?

% of responses **N=370**

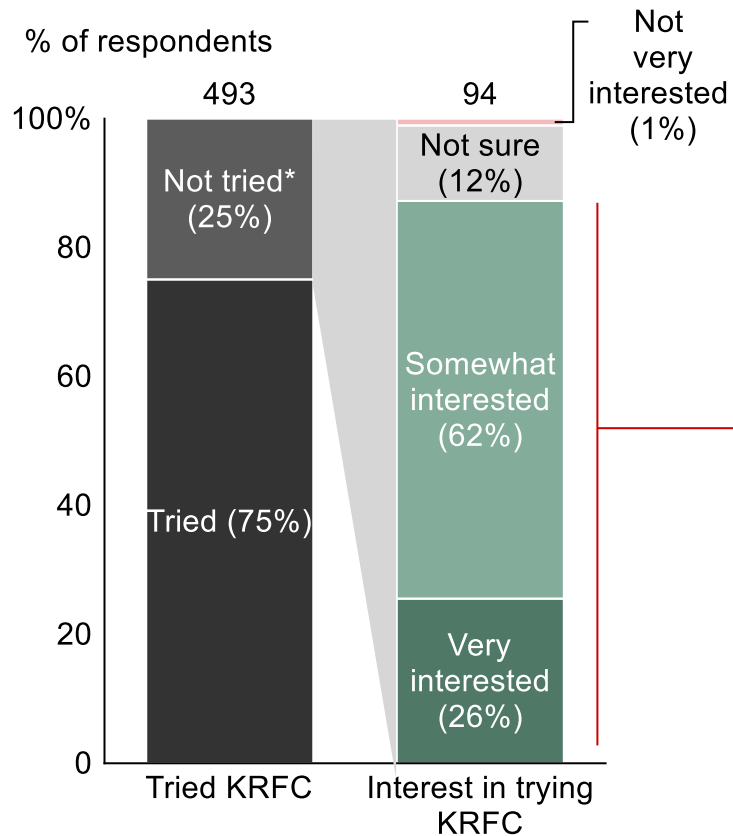


Note: 'Others' has been hidden from the charts on the slide
Source: Customer Survey; Bain Analysis

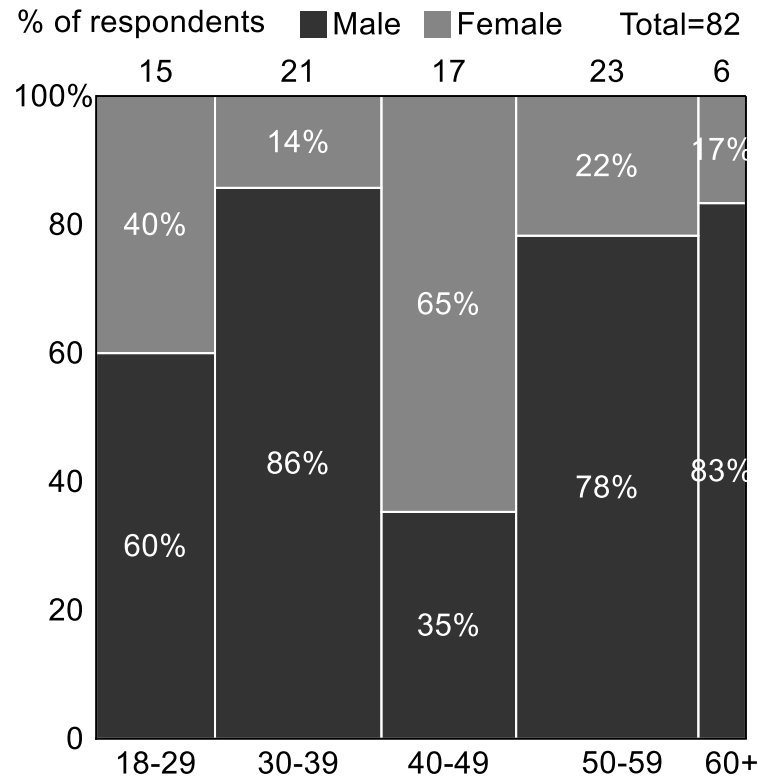
Strong potential for KRFC, driven by crispy, light texture and unique Korean style sauces; strong appeal among male consumers, and from 30-59 yrs. age group



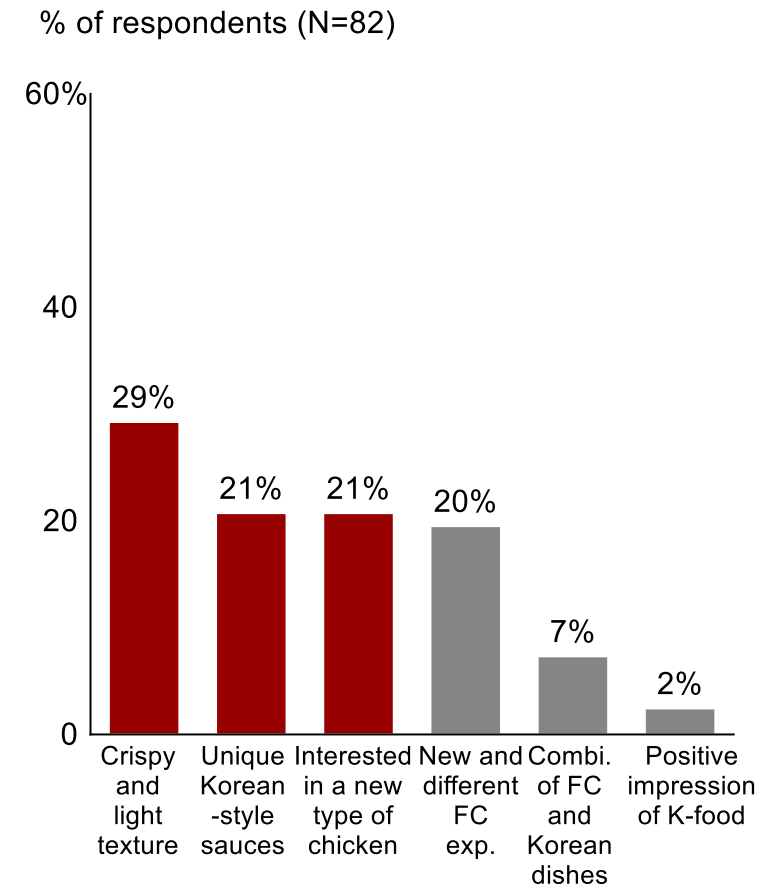
Q. (LHS) Have you tried KRFC before?
(RHS) Would you be interested in trying KRFC?



Q. Demographics of respondents who are interested in trying KRFC



Q. What is the most important reason for you to be interested in trying KRFC?



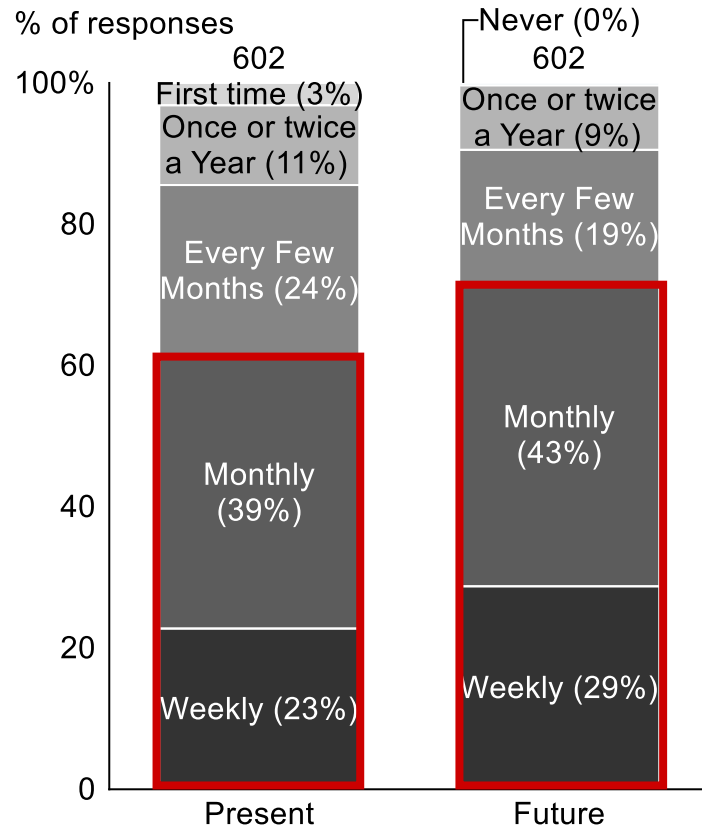
Note: 'Others' bar has been hidden from the chart; (*) Includes both not familiar & familiar but not tried
Source: Customer Survey; Bain Analysis

Customers likely to dine more frequently at KRFC brands in the future; Consistent taste and affordability are key growth drivers



Q.

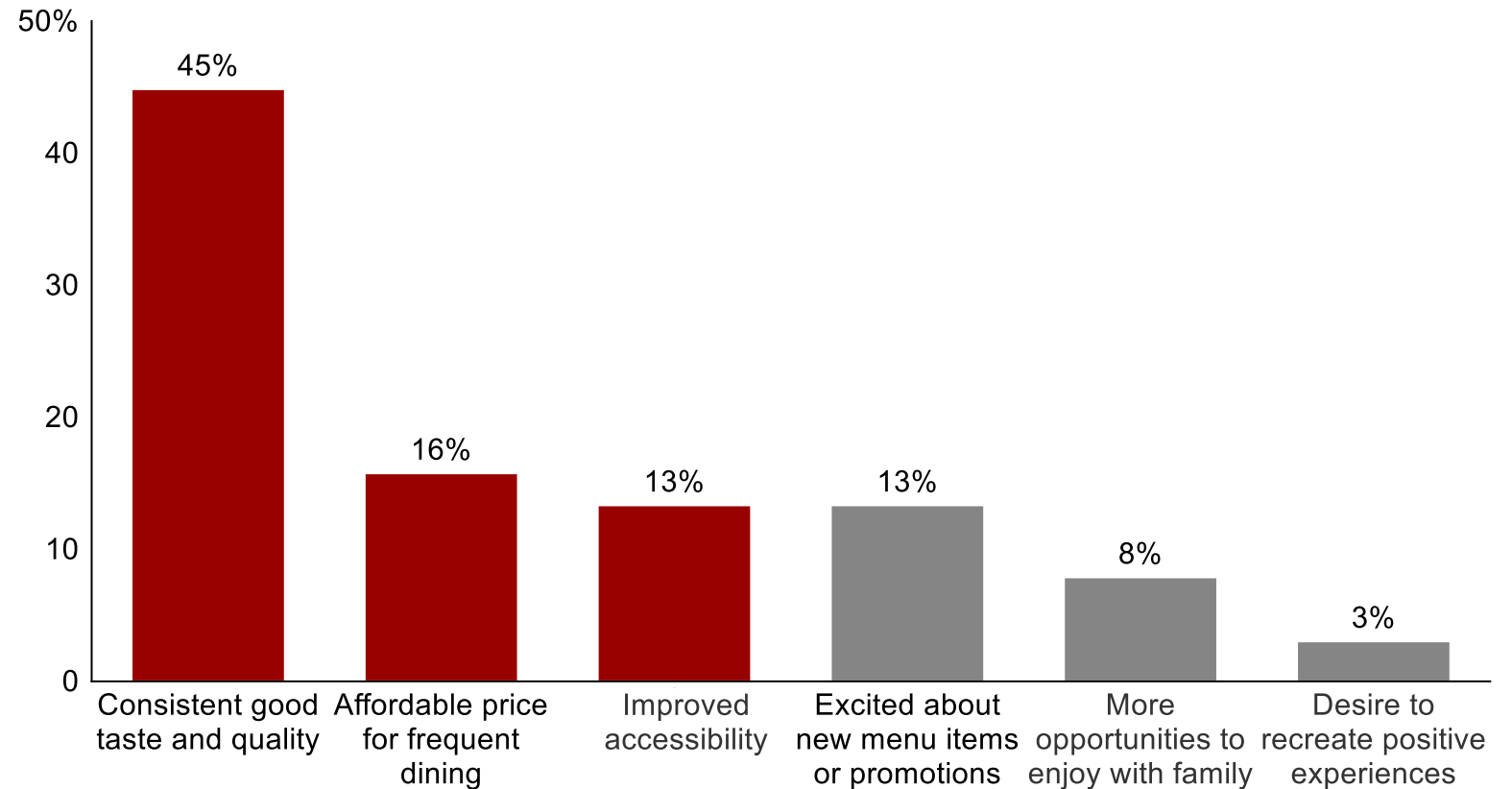
How frequently do you plan to eat KRFC brands in the future?



Q.

Of the reasons you selected for KRFC brands to eat more often in the future, which is the most important one?

% of responses (N=165, respondents with higher frequency in the future)

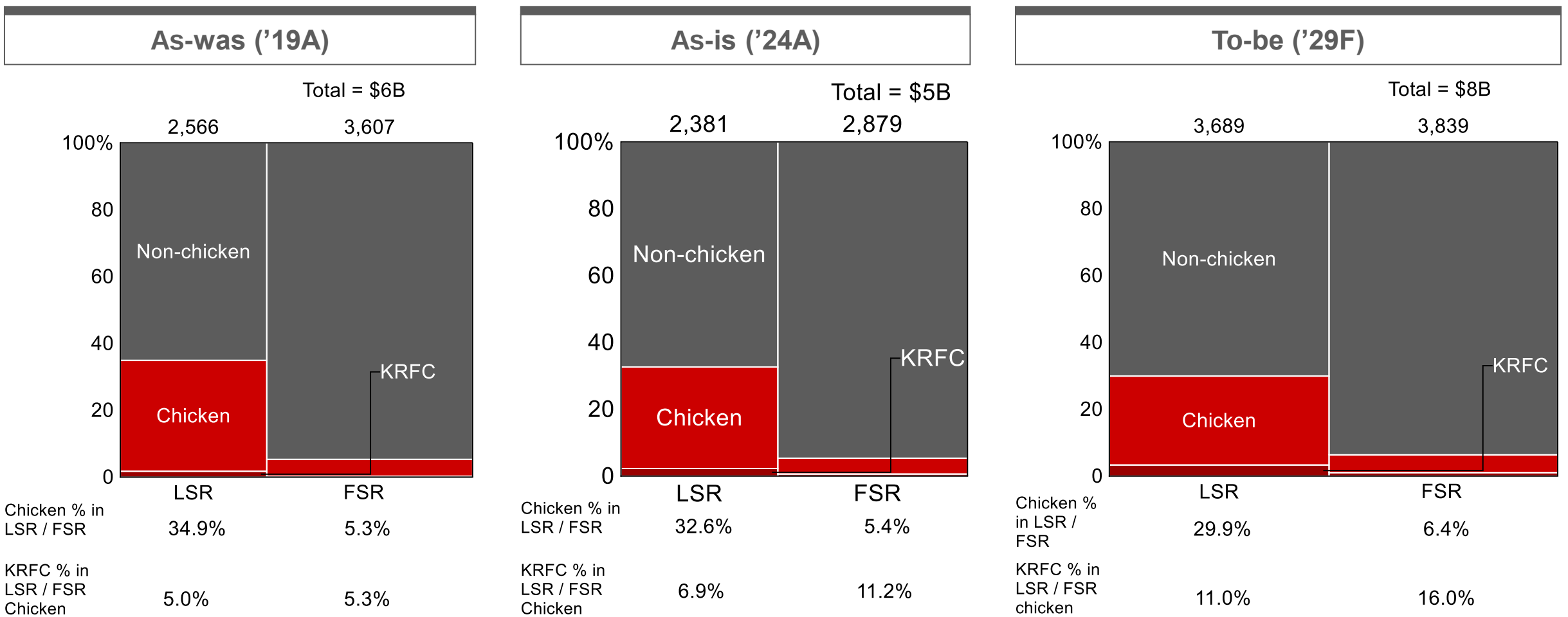


Source: Customer Survey; Bain Analysis

Malaysia follows the Philippines in chicken penetration, with an LSR-driven market; KRFC is growing faster than chicken overall, accelerating penetration



KRFC Penetration in Malaysia

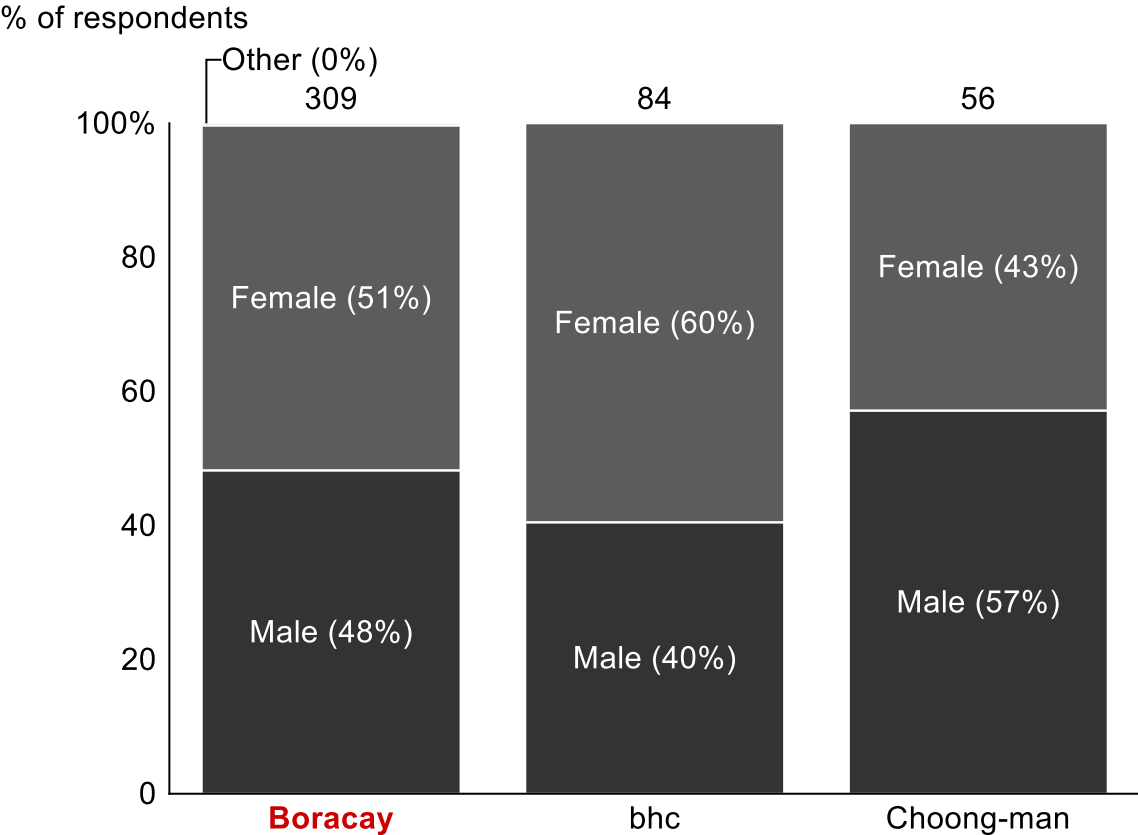


Source: Expert Interviews; Lit. Search; Bain Analysis

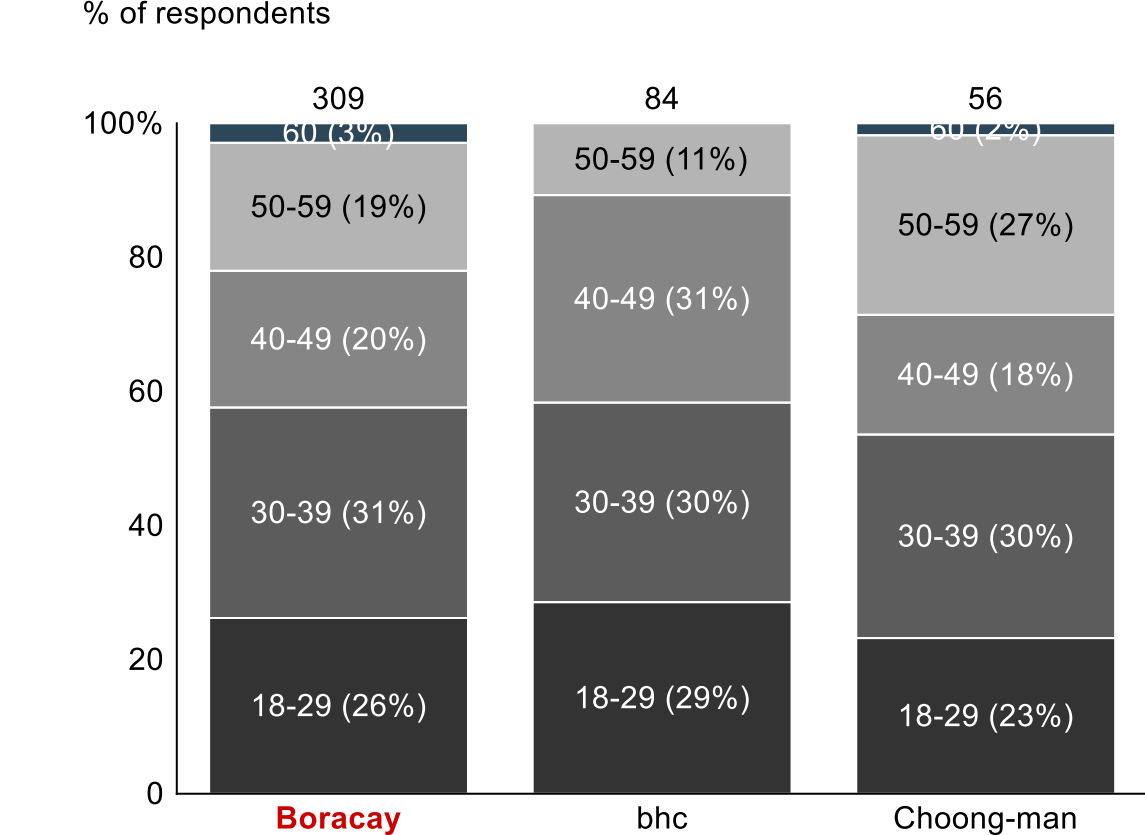
Purchase behavior: Boracay attracts a balanced base, bhc appeals more to younger females, Choong-man sees higher engagement from older male



Q. Please describe your gender?



Q. Please indicate your age group?



Note: 'Others' has been hidden from the charts on the slide
Source: Customer Survey; Bain Analysis

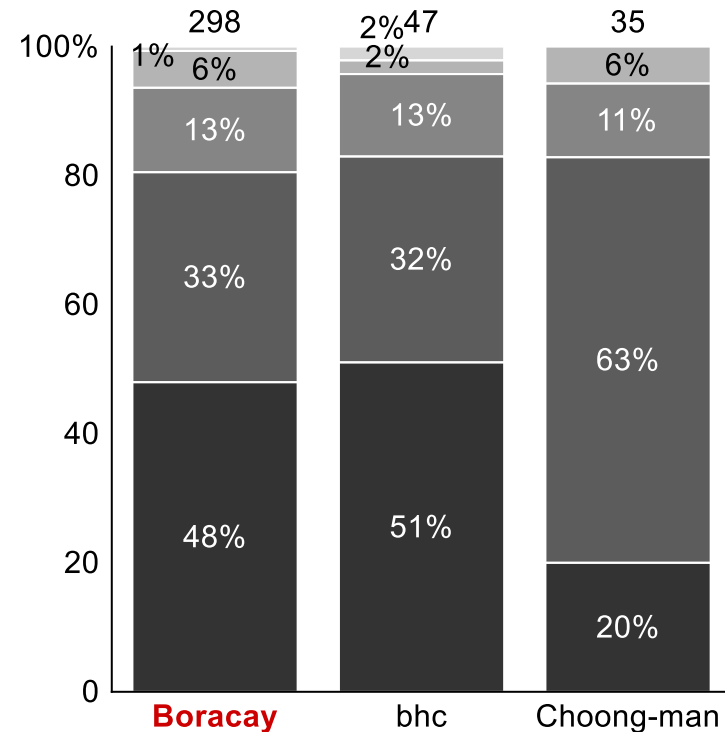
Boracay in-line with bhc and Choong-man in customer visits within a month; all brands mainly consumed as regular meals and primarily via dine-in (~45-50%)



Q. How frequently do you eat KRFC?

Weekly Monthly Every Few Months
Once or twice a Year First time

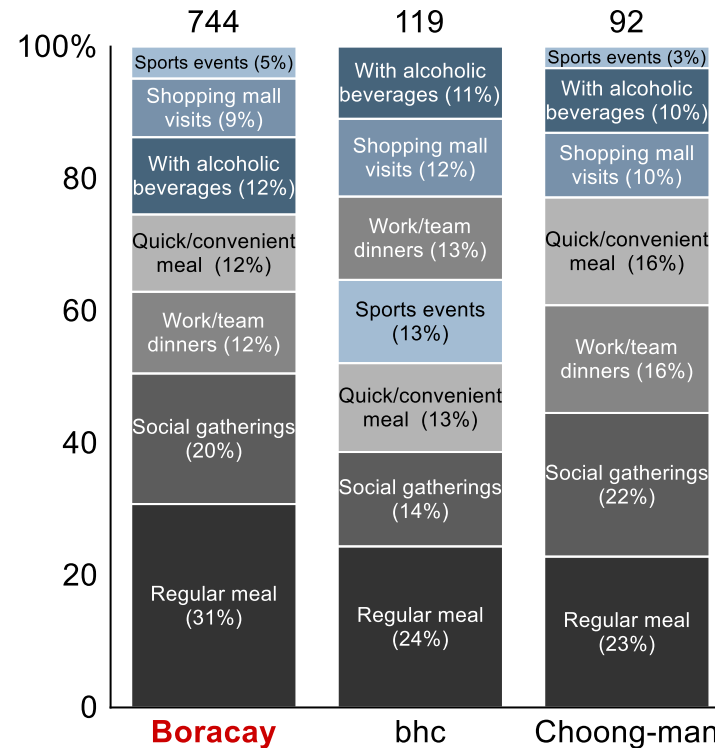
% of respondents



Q. At what occasions do you typically eat KRFC?

% of responses

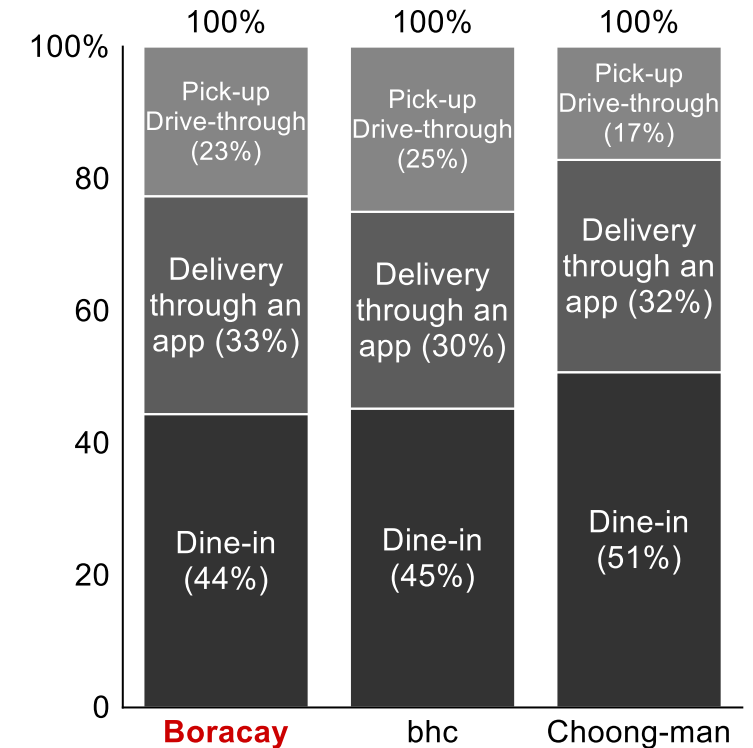
Boracay=298
bhc=47
Choong-man=35



Q. Which channel do you usually use to order KRFC?

of responses

Boracay=298
bhc=47
Choong-man=35



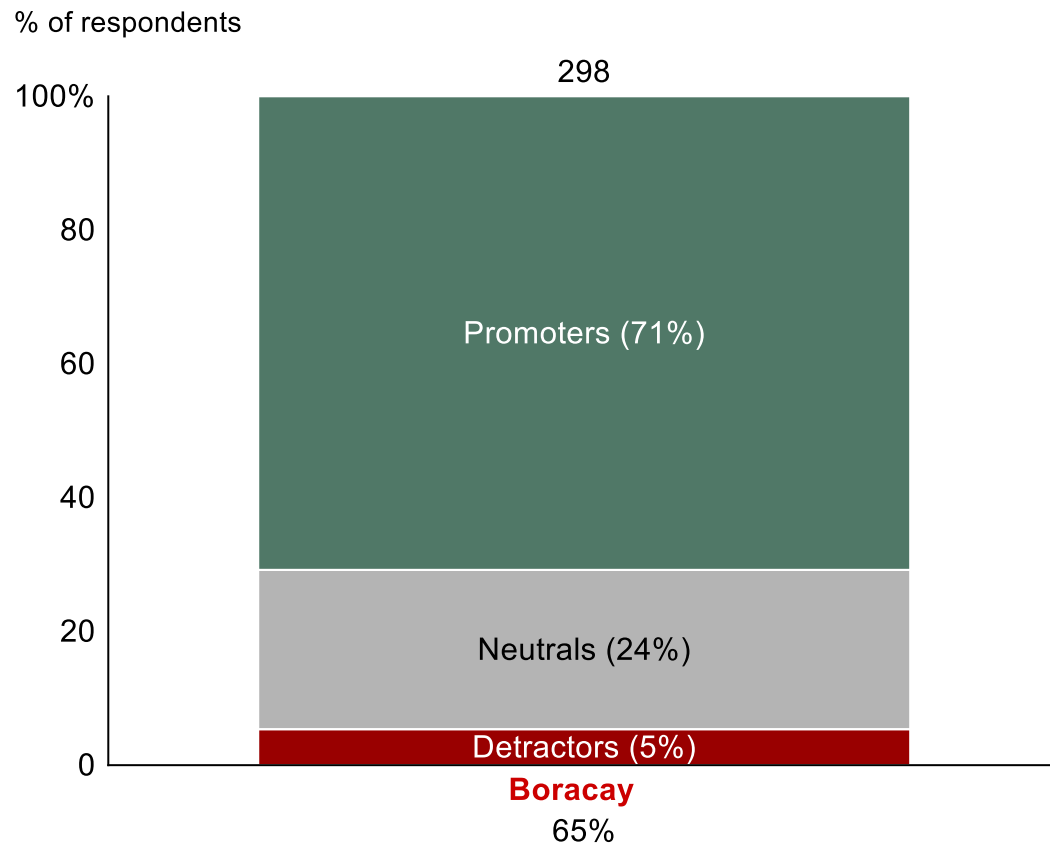
Note: 'Others' has been hidden from the charts on the slide

Source: Customer Survey; Bain Analysis

NPS: Boracay has an NPS of 65%, earns high praise for its chicken flavor and unique sauce



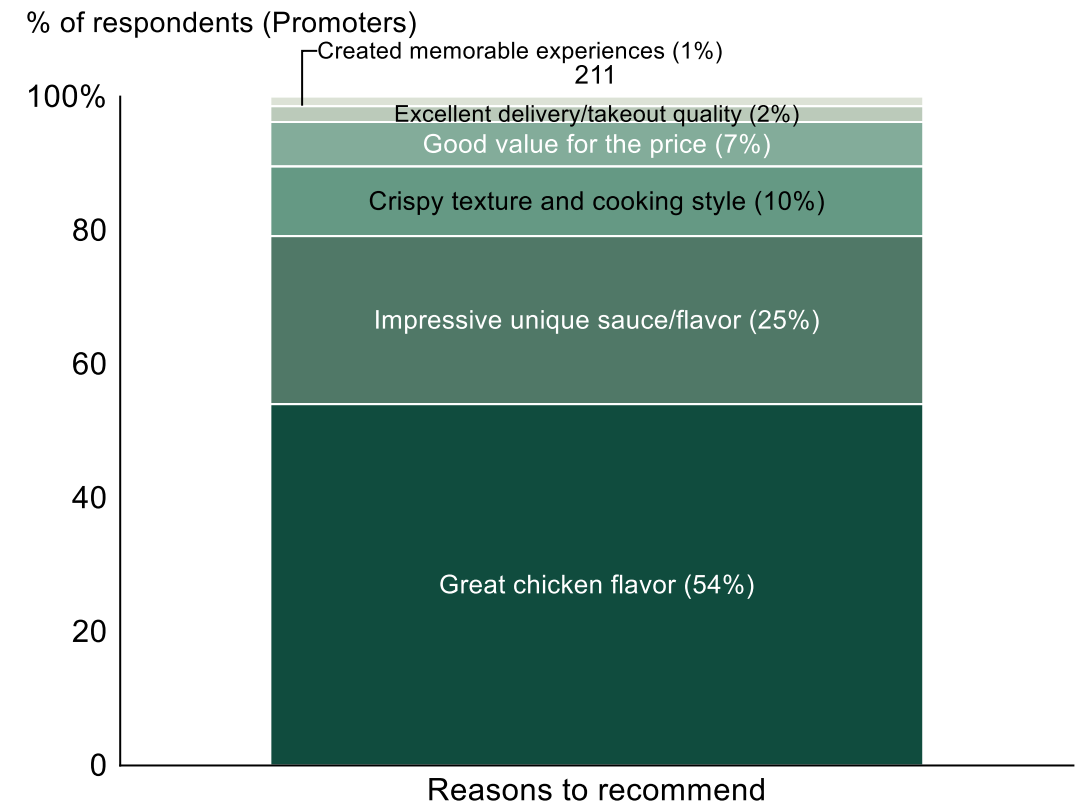
Q. How likely would you be to recommend Boracay to a friend or colleague?



NPS

Source: Customer Survey; Bain Analysis

Q. What is the main reason to recommend Boracay to a friend or colleague?

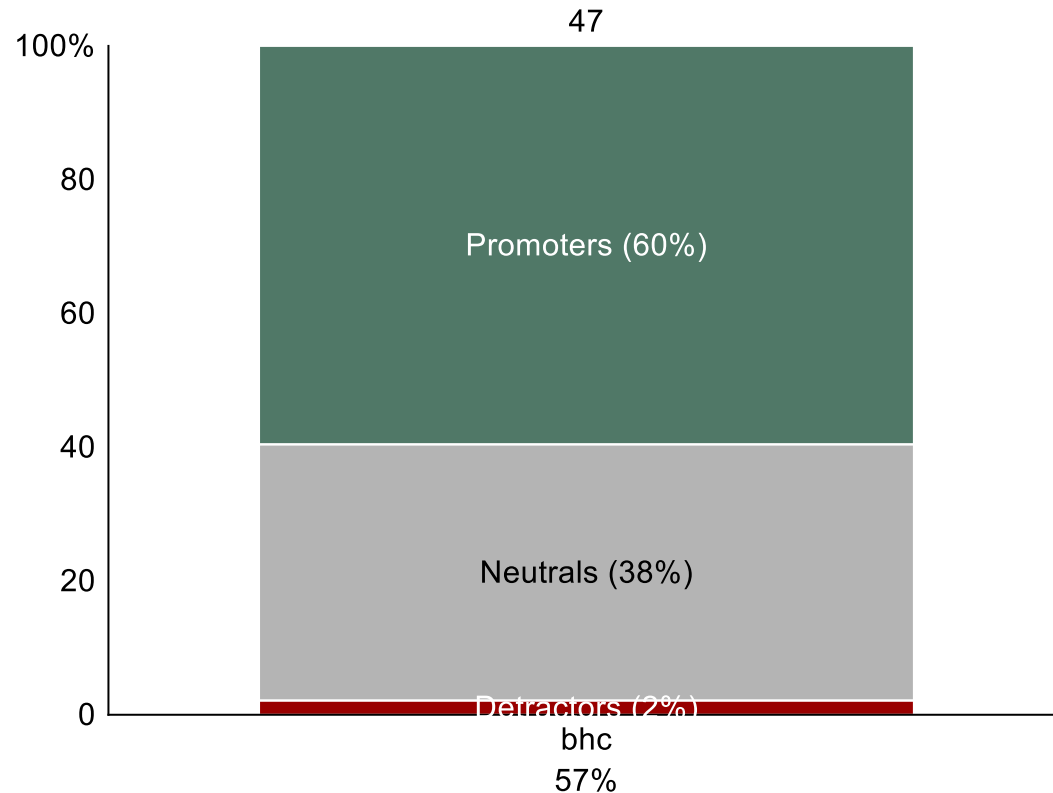


NPS: bhc has an NPS of 57%, earns high praise for its chicken flavor, unique sauce/flavor and crispy texture; scope to deliver consistent food quality



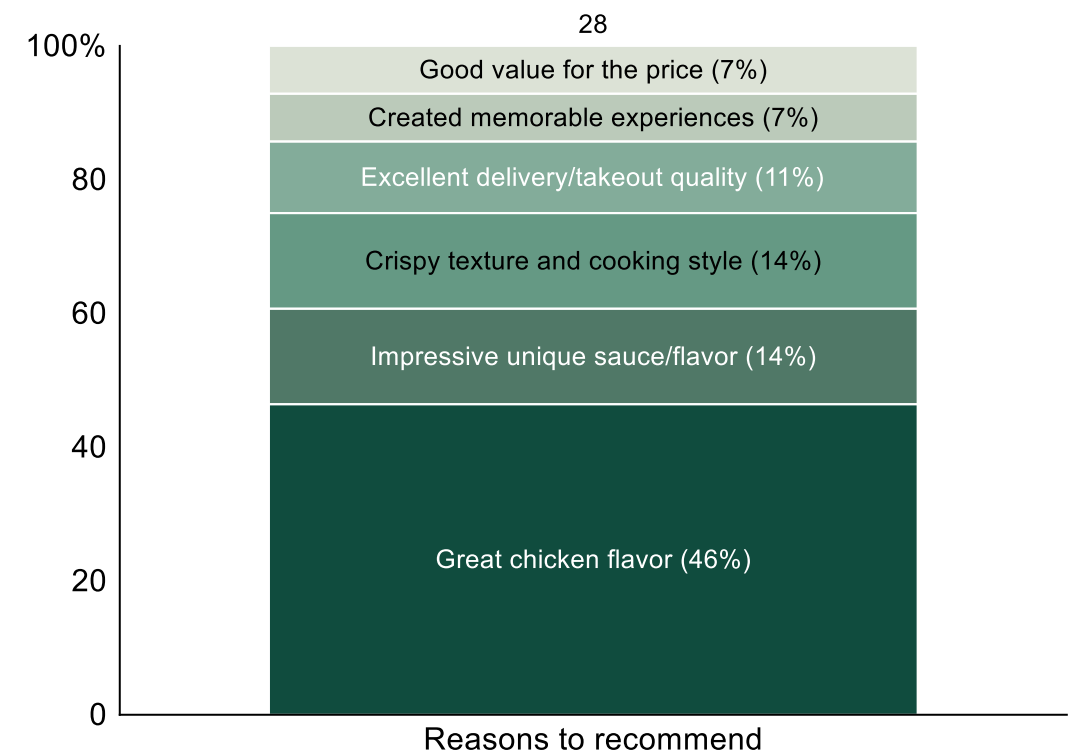
Q. How likely would you be to recommend bhc to a friend or colleague?

% of respondents



Q. What is the main reason to recommend bhc to a friend or colleague?

% of respondents (Promoters)

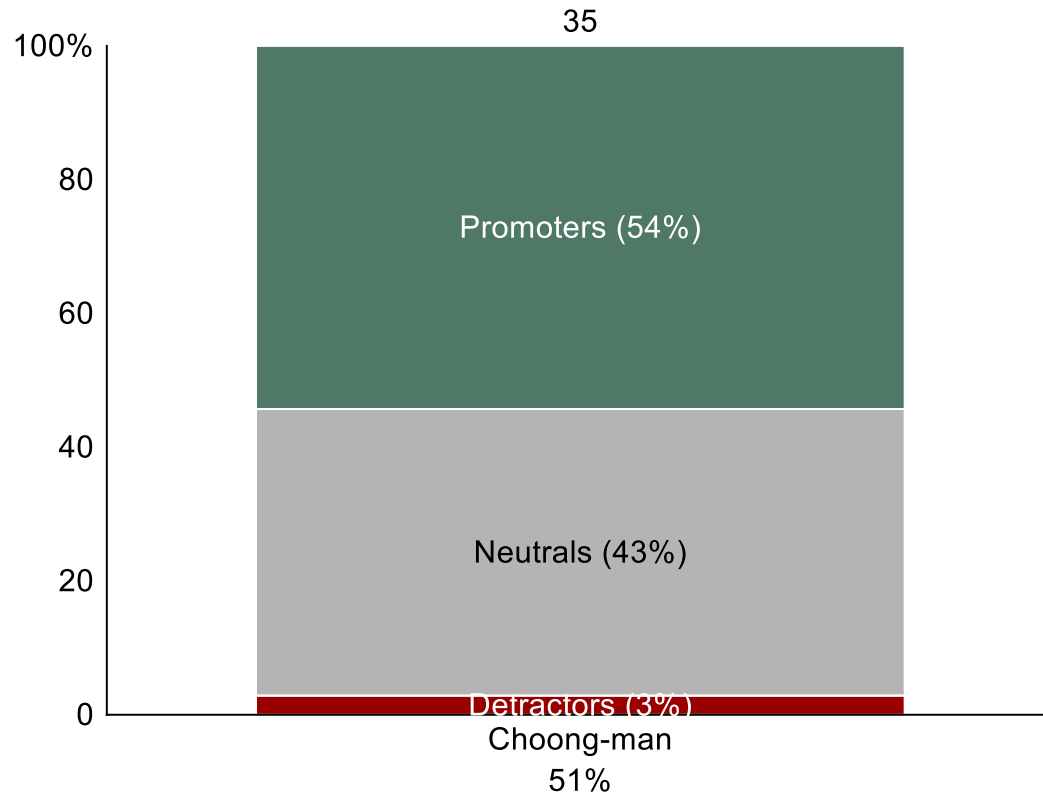


NPS: Choong-man has an NPS of 51%, earns high praise for its chicken flavor, crispy texture and unique sauce/flavor; scope to increase portion sizes



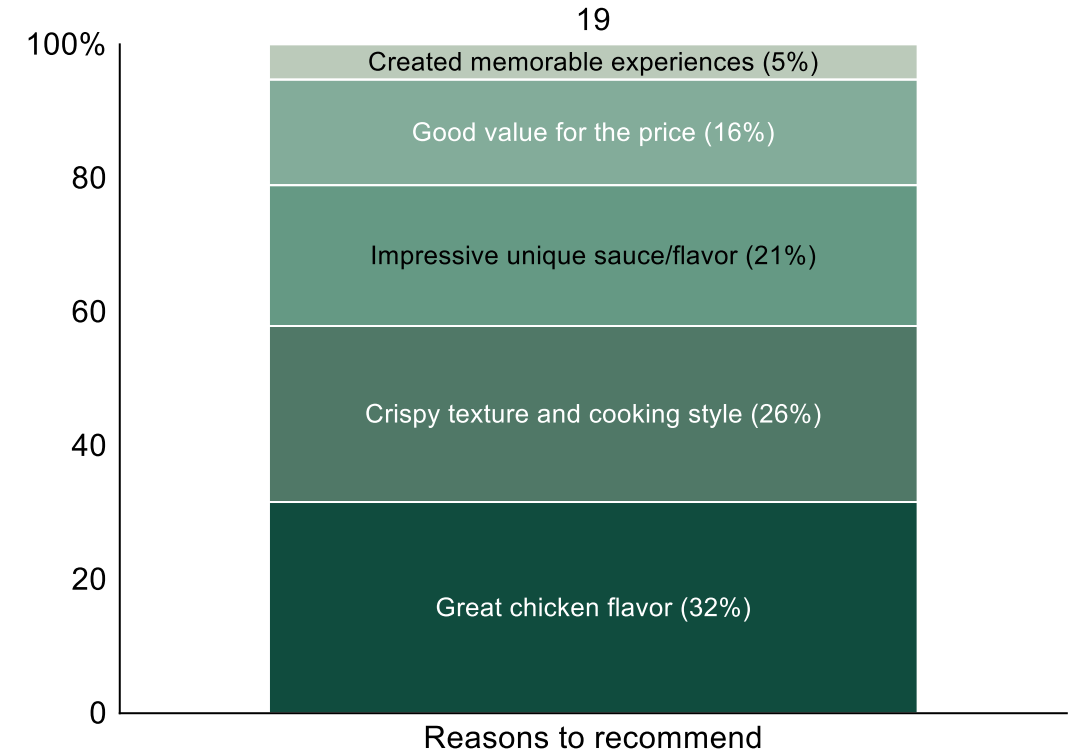
Q. How likely would you be to recommend Choong-man to a friend or colleague?

% of respondents



Q. What is the main reason to recommend Choong-man to a friend or colleague?

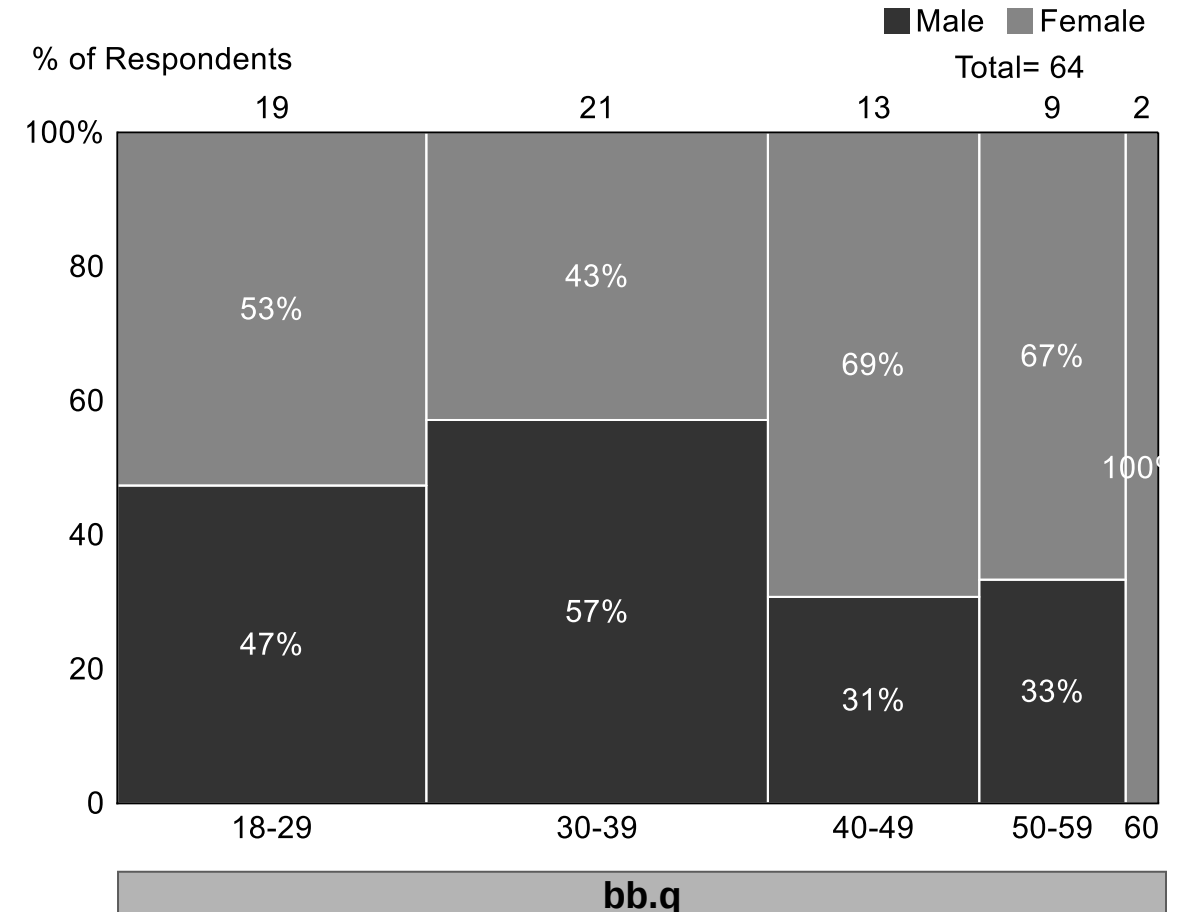
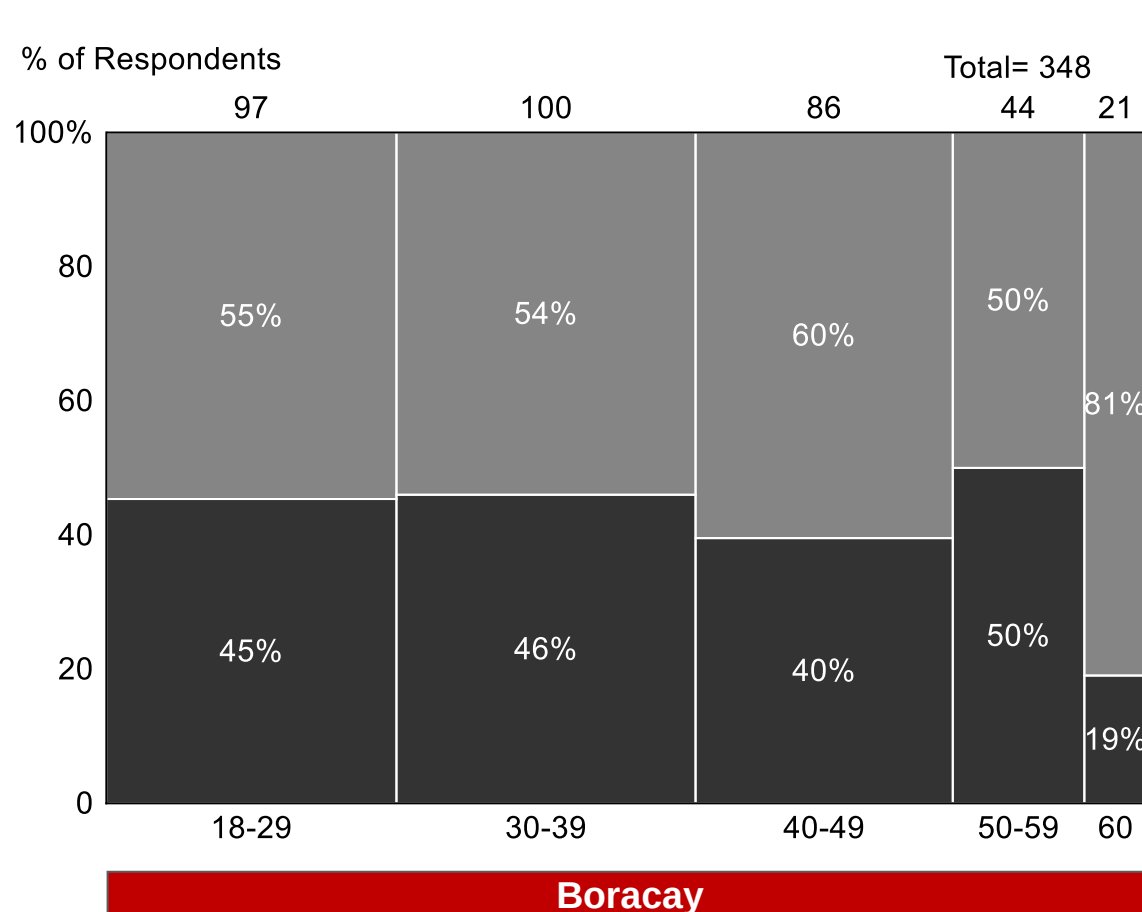
% of respondents (Promoters)



Purchase behavior: Boracay sees balanced male-female interest across age groups, while bb.q skews slightly male and younger



Q. Please indicate your age group and gender?



Note: 'Others' has been hidden from the charts on the slide

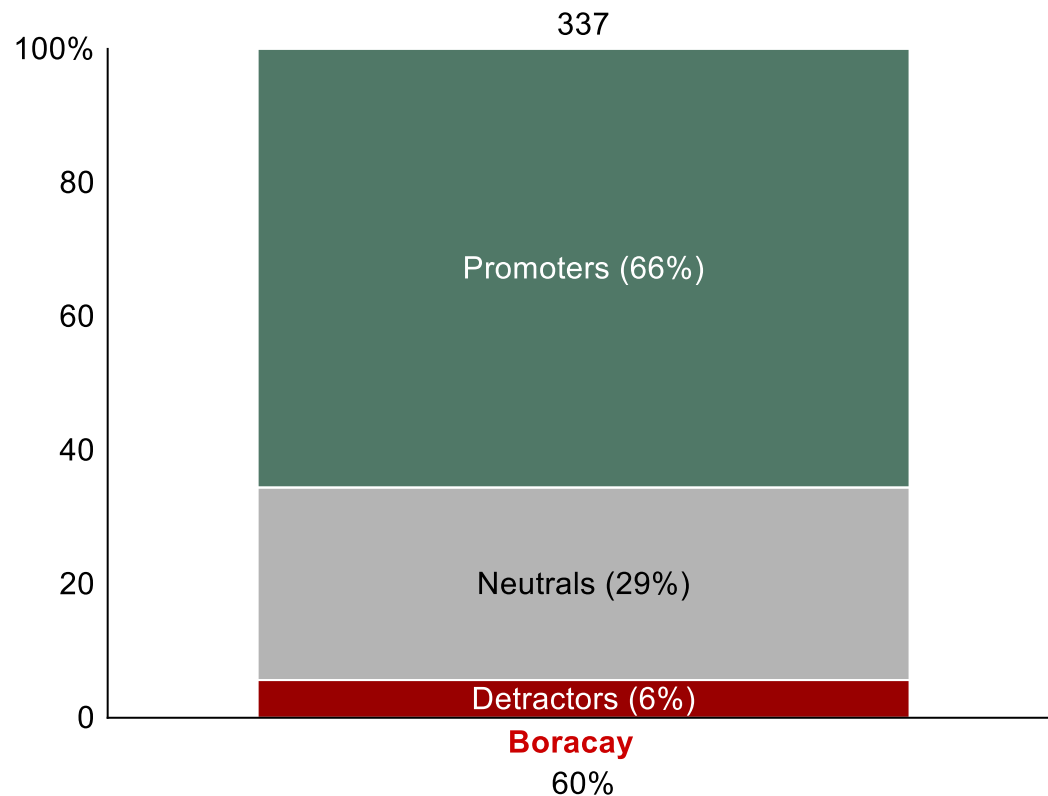
Source: Customer Survey; Bain Analysis

NPS: Boracay has an NPS of 60%, driven by its great chicken flavor, crispy texture and cooking style



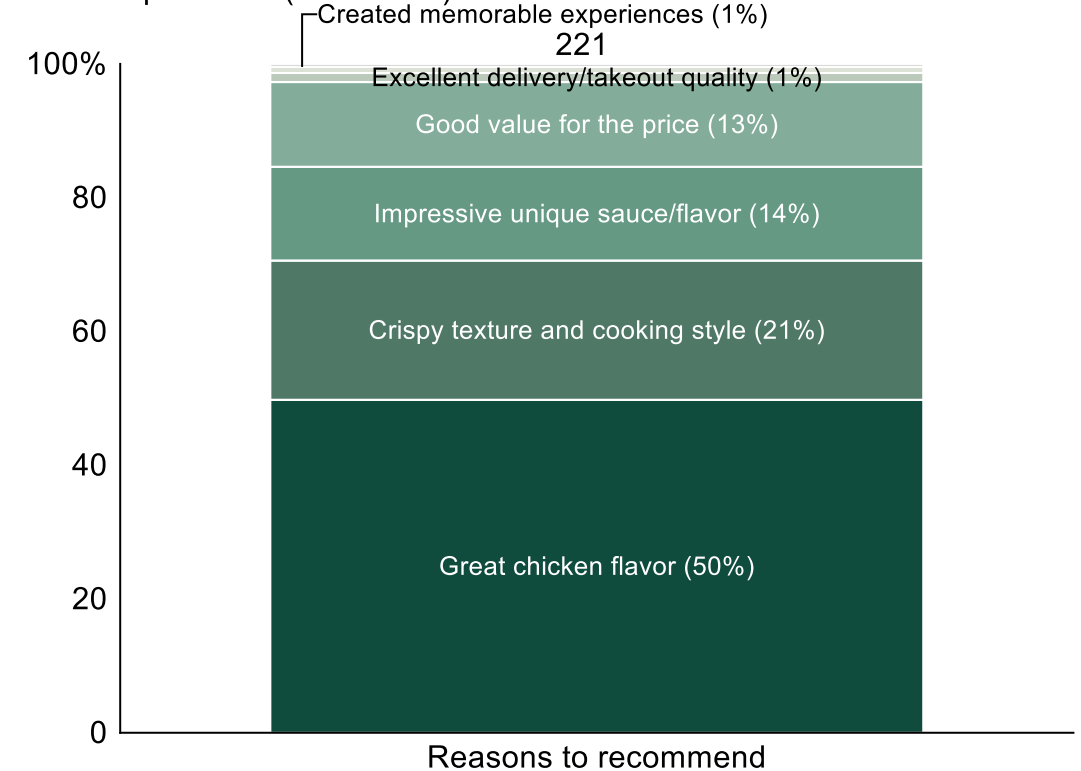
Q. How likely would you be to recommend Boracay to a friend or colleague?

% of respondents



Q. What is the main reason to recommend Boracay to a friend or colleague?

% of respondents (Promoters)

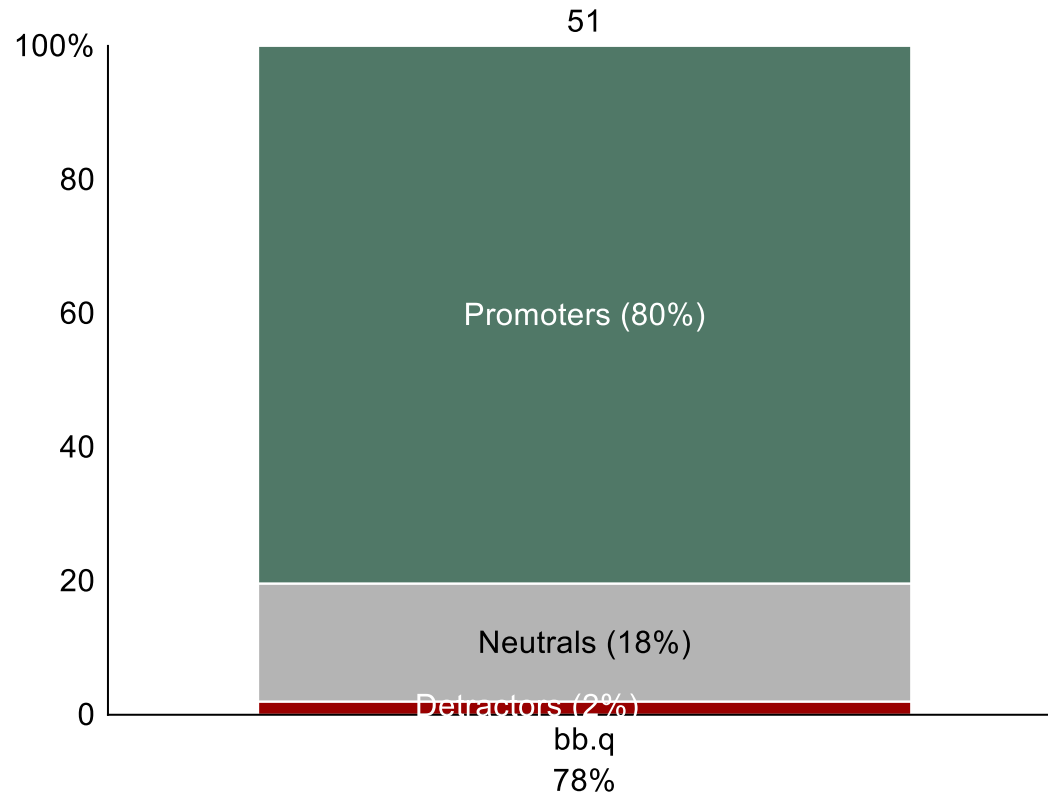


NPS: bb.q has an NPS of ~80%, driven by its great chicken flavor, crispy texture and cooking style; scope to improve on dine-in experience



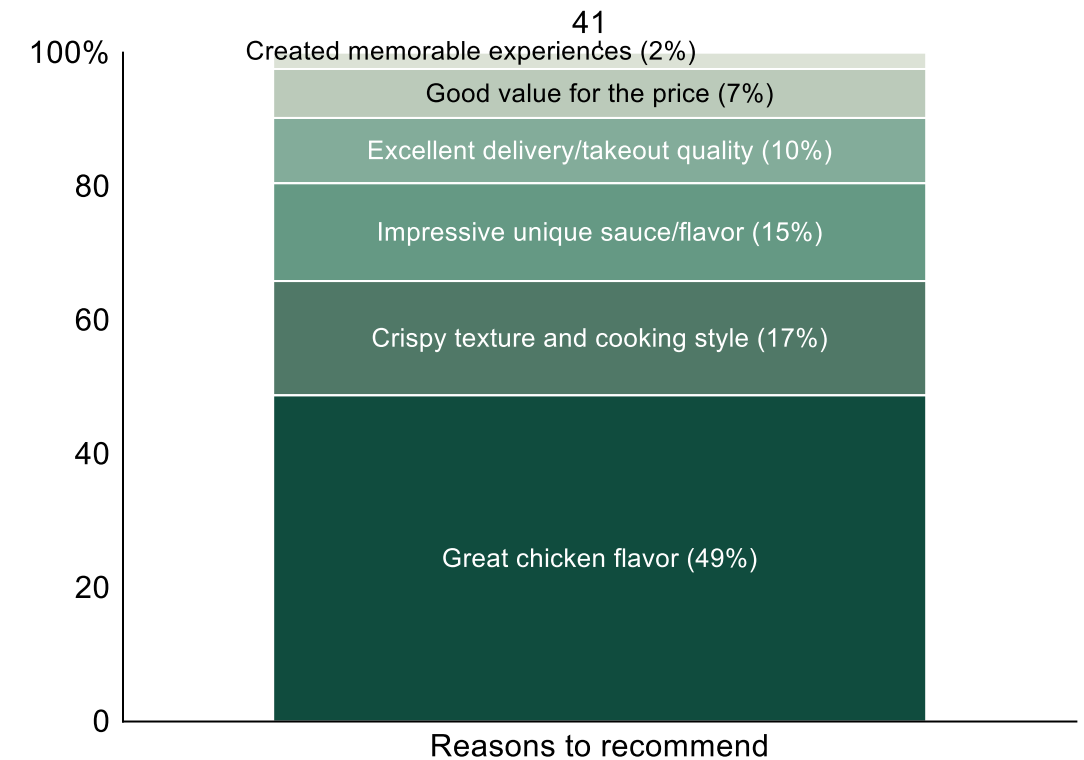
Q. How likely would you be to recommend bb.q to a friend or colleague?

% of respondents



Q. What is the main reason to recommend bb.q to a friend or colleague?

% of respondents (Promoters)



Source: Customer Survey; Bain Analysis

